



**GREEN
CLIMATE
FUND**

Meeting of the Board
10 - 13 July 2023
Incheon, Republic of Korea
Provisional Agenda Item 12

GCF/B.36/02/Add.07

19 June 2023

Consideration of funding proposals – Addendum VII

Funding proposal package for FP212

Summary

This addendum contains the following six parts:

- a) A funding proposal summary titled “&Green Fund: Investing in Inclusive Agriculture and Protecting Forests” submitted by the Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V.(FMO);
- b) No-objection letters issued by the national designated authorities or focal point(s);
- c) Environmental and Social report(s) disclosure;
- d) Independent Technical Advisory Panel’s assessment;
- e) Response from the accredited entity to the independent Technical Advisory Panel’s assessment; and
- f) Gender documentation of the funding proposal.

These documents are presented as submitted by the accredited entity and the national designated authority(ies) or focal point(s), respectively. Pursuant to the Comprehensive Information Disclosure Policy of the Fund, the funding proposal titled “&Green Fund: Investing in Inclusive Agriculture and Protecting Forests” submitted by the Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V.(FMO) is being circulated on a limited distribution basis only to Board Members and Alternate Board Members to ensure confidentiality of certain proprietary, legally privileged or commercially sensitive information of the entity.

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Funding Proposal

Project/Programme title:	&Green Fund: Investing in Inclusive Agriculture and Protecting Forests
Country(ies):	Brazil; Cameroon; Colombia; Cote d'Ivoire, Democratic Republic of Congo; Ecuador; Gabon; Indonesia; Lao PDR; Liberia; Zambia
Accredited Entity:	Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO)
Date of first submission:	<u>2022/06/10</u>
Date of current submission	<u>2023/04/26</u>
Version number	<u>V.8</u>



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Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the [GCF Information Disclosure Policy](#), project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

"FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]"

PROJECT/PROGRAMME SUMMARY			
A.1. Project or programme	Programme	A.2. Public or private sector	Private
A.3. Request for Proposals (RFP)	If the funding proposal is being submitted in response to a specific GCF Request for Proposals, indicate which RFP it is targeted for. Please note that there is a separate template for the Simplified Approval Process and REDD+. <u>Not applicable</u>		
A.4. Result area(s)	Check the applicable GCF result area(s) that the <u>overall</u> proposed project/programme targets below. For each checked result area(s), indicate the estimated percentage of GCF and Co-financers' contribution devoted to it. The total of the percentages when summed should be 100% for GCF and Co-financers' contribution respectively.		
		GCF contribution	Co-financers' contribution¹
	Mitigation total	65 %	65 %
	☐ Energy generation and access	<u>Enter number</u> %	<u>Enter number</u> %
	☐ Low-emission transport	<u>Enter number</u> %	<u>Enter number</u> %
	☐ Buildings, cities, industries and appliances	<u>Enter number</u> %	<u>Enter number</u> %
	☒ Forestry and land use	65 %	65 %
	Adaptation total	35 %	35 %
	☐ Most vulnerable people and communities	<u>Enter number</u> %	<u>Enter number</u> %
	☒ Health and well-being, and food and water security	14 %	14 %
	☐ Infrastructure and built environment	<u>Enter number</u> %	<u>Enter number</u> %
	☒ Ecosystems and ecosystem services	21 %	21 %
A.5. Expected mitigation outcome (Core indicator 1: GHG emissions reduced, avoided or removed / sequestered)	339,150,000 tCO ₂ e	A.6. Expected adaptation outcome (Core indicator 2: direct and indirect beneficiaries reached)	26,628,132
1,921,340			24,706,792
0.26%			3.38%
A.7. Total financing (GCF + co-finance²)	981,620,000 USD	A.9. Project size	Large (Over USD 250 million)
A.8. Total GCF funding requested	189,350,000 USD <i>For multi-country proposals, please fill out annex 17.</i>		

¹ Co-financer's contribution means the financial resources required, whether Public Finance or Private Finance, in addition to the GCF contribution (i.e. GCF financial resources requested by the Accredited Entity) to implement the project or programme described in the funding proposal.

² Refer to the Policy of Co-financing of the GCF.

A.10. Financial instrument(s) requested for the GCF funding	<i>Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8.</i>		
	☒ Grant <u>USD 9,350,000</u> ☒ Loan <u>USD 180,000,000</u> ☐ Guarantee <u>Enter number</u>	☐ Equity <u>Enter number</u> ☐ Results-based payment <u>Enter number</u>	
A.11. Implementation period	<i>a). Disbursement period: 3 years³</i> <i>b). Repayment period: 15 years</i>	A.12. Total lifespan	15 years for the investment facility, 5 years for the TA facility
A.13. Expected date of AE internal approval	<i>This is the date that the Accredited Entity obtained/will obtain its own approval to implement the project/ programme, if available.</i> 7/1/2022	A.14. ESS category	<i>Refer to the AE's safeguard policy and GCF ESS Standards to assess your FP category.</i> I-1 at programme level A at sub-project level
A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	A.16. Has Readiness or PPF support been used to prepare this FP?	Yes ☐ No ☒
A.17. Is this FP included in the entity work programme?	Yes ☐ No ☒	A.18. Is this FP included in the country programme?	Yes ☐ No ☒
A.19. Complementarity and coherence	<i>Does the project/programme complement other climate finance funding (e.g. GEF, AF, CIF, etc.)? If yes, please elaborate in section B.1.</i> Yes ☒ No ☐		

³ This disbursement period is indicative, based on the expected time to raise tranches of commercial funding, and complemented by an Availability Period of the funding to &Green Fund of 60 months.

A.20. Executing Entity information	<i>If not the Accredited Entity, please indicate the full legal name of the Executing Entity(ies) and provide its country of registration and ownership type. Note that there can be more than one Executing Entity. Also indicate if an Executing Entity is the National Designated Authority. Refer to the definition of Executing Entity in the Accreditation Master Agreement.</i> FMO and the Stichting AndGreen.Fund (“the &Green Fund”) shall act as Executing Entities for their respective activities in the implementation of the Funded Activity as shall be specifically stated in the FAA. FMO shall be an Executing Entity only in respect of certain activities that it is involved in implementing, as shall be further specified in the FAA. Stichting AndGreen.Fund shall act as Executing Entity for Output 1.1 under Component 1 and for Component 2. The Stichting AndGreen.Fund will establish a scalable investment vehicle - a Dutch private company with limited liability (besloten vennootschap met beperkte aansprakelijkheid or B.V.) under the laws of the Netherlands named ‘&Green B.V.’ (together with the Stichting AndGreen.Fund referred to in this document as “&Green Fund”), which shall act as the Executing Entity for Outputs 1.2 and 1.3 under Component 1. The investment manager of the scalable investment vehicle, SAIL Ventures, a Dutch private limited company registered in the Dutch commercial register KvK under the company number 68338563, shall be an Executing Entity for Output 1.3 under Component 1. &Green Fund is a Dutch foundation (“Stichting”) with its registered seat in the municipality of Amsterdam, the Netherlands.⁴
A.21. Executive summary (max. 750 words, approximately 1.5 pages)	

⁴ The Stichting Andgreen.Fund is a foundation under Dutch Law with no share capital. Under Dutch AML/CFT law there are no natural persons which meet the definition of the UBO of the Stichting (25% share capital/entitlement to Stichting’s funds or voting rights; or effective control). As such there are no HNWI’s which are UBOs. In the absence of such natural persons, Dutch law determines that the members of the Board of Directors (Nanno Kleiterp, Joost Oorthuizen, Felia Salim and Claudia Arango) are considered to be the “pseudo-UBOs” of the Stichting.

FMO, as the Accredited Entity, requests GCF support to transform major tropical commodity supply chains to be deforestation free and socially inclusive in a way that is commercially viable and replicable at scale.

1. Tropical forests are biodiversity hotspots that moderate water supply and quality, sustain millions of livelihoods, and are massive stores and potential sinks of carbon that are key to slowing climate change. Tropical forests play a vital role in the global carbon cycle: the 1.2 billion ha of tropical forests constitute the largest above ground terrestrial component of the global carbon budget⁵.
2. Deforestation, including below-ground biomass and drainage of peat forests, is a major driver of climate change: it is the second largest anthropogenic source of carbon dioxide emissions⁶. Deforestation creates the compounded challenges of massive GHG emissions while undoing forests' role as a sink and store of carbon. A quarter of global CO₂ emissions are associated with agriculture, forestry and other land uses (AFOLU)⁷.
3. More than 25 million hectares of tree cover were lost in 2020, almost one hectare per second, driven mainly by the expansion of agriculture and production forestry to meet rising demand for food and commodities. This is in turn driven by growing demand from rising global populations and increasing incomes. Agriculture is the primary driver of more than 70 percent of all deforestation across tropical and sub-tropical countries, with commercial agriculture playing an increasingly large role compared to subsistence agriculture⁸.
4. The loss of trees and other vegetation leads to desertification; soil erosion; reduced water retention and flooding; decreased soil productivity and progressive deterioration of agro-ecosystems. These effects are compounded when higher atmospheric CO₂ concentrations lead to contraction of plant stomata and reduced evapotranspiration from tropical forests and disruption to the local hydrological cycle⁹.
5. The &Green Fund reduces emissions and increases resilience by financing the transformation of tropical agricultural commodity supply chains from extractive to truly sustainable. It achieves this by providing technical assistance and by offering finance to producers with conditions that require both the adoption of sustainable agricultural practices and the commitment to protect existing forest, restore forest where appropriate, and be socially inclusive in approach. &Green Fund transactions create blueprints for sustainable land use and management that other market players can adopt, replicate and scale significantly; thereby making &Green Fund's and GCF's initial investment in the market transformational.
6. The &Green Fund aims to invest in countries with significant tropical forests under threat from agricultural expansion and where the largest opportunities for transformational change exist. The target countries include, during the lifetime of the GCF investment: **Brazil; Indonesia; Colombia; Cameroon; Côte d'Ivoire; Democratic Republic of the Congo; Ecuador; Gabon; Lao People's Democratic Republic (PDR); Liberia; Zambia**. The programme will seek GCF approval before adding additional countries, should any express interest in participating and issue Letters of No-Objection after the date of initial GCF Board approval.
7. The &Green Fund will scale up commercial investment in tropical agricultural supply chains while transforming them to no deforestation and socially inclusive at a landscape level. Investments target forest and peat conservation and restoration embedded in landscapes of sustainable and regenerative agriculture. Target sectors are the major supply chains driving deforestation, including livestock, palm oil, soy, rubber, cocoa and forestry.
8. The &Green Fund promotes sustainable intensification and higher productivity on existing agricultural land to meet growing demand for food. Producing more food on existing land reduces the demand and incentives for deforestation for agricultural production. This is essential for stopping deforestation AND meeting food security. That is, sustainable intensification rather than destructive extensification.
9. **Mitigation impact:** Based on results from investments over the past four years, the programme expected investment lifetime impact is approximately 350,000 tCO₂e of GHG reductions and removals per USD 1 million invested. This is based on emissions reductions from avoided deforestation in &Green's protected forests using a combination of satellite data and national Forest Reference Emission Levels (FREL/FRLs). For a projected investment of USD 960 million the fund would thus contribute 339.15 MtCO₂e over the investment lifetime (15 years). For detail on the mitigation impact methodology, see Annex 22.
10. **Adaptation impact:** This programme contributes to GCF results areas on *Health and well-being, and food and water security* and to *Ecosystem and ecosystem services*. Based on &Green Fund's existing portfolio, and aligning with the GCF impact framework, the programme is expected to yield the following adaptation metrics¹⁰:
 - 1.1 Approximately 16,000 ha/USD 1 million invested (15.7 million hectares for a USD 960 million investment)
 - 1.2 At minimum 2000 people with enhanced resilience/USD 1 million invested (1,900,000 people for a USD 960 million investment).

⁵ Ordway, E. M., & Asner, G. P. (2020). Carbon declines along tropical forest edges correspond to heterogeneous effects on canopy structure and function. *Proceedings of the National Academy of Sciences*, 117(14), 7863-7870

⁶ U.S. Energy Information Administration. 2018. U.S. energy-related CO₂ emissions expected to rise slightly in 2018, remain flat in 2019

⁷ Smith, P., Bustamante, M., Ahammad, H., Clark, H., Dong, H., Elsiddig, E. A. & Masera, O. (2014). Agriculture, forestry and other land use (AFOLU). Climate change 2014: mitigation of climate change. Contribution of Working Group III to the Fifth Assessment Report of the Intergovernmental Panel on Climate Change. Chapter, 11, 811-922.

⁸ Pendrill, F., Persson, U. M., Godar, J., Kastner, T., Moran, D., Schmidt, S., & Wood, R. (2019). Agricultural and forestry trade drives large share of tropical deforestation emissions. *Global environmental change*, 56, 1-10.

¹⁰ The initial estimates for people with enhanced resilience were conservatively taken due to limited data, extrapolating from the existing portfolio and considering the pipeline of investments. Results during implementation are expected to be higher than these estimates.

PROJECT/PROGRAMME INFORMATION

B.1. Climate context (max. 1000 words, approximately 2 pages)

The state of tropical deforestation

11. Tropical forests are biodiversity hotspots that moderate water supply and quality, sustain millions of livelihoods, and are massive stores and potential sinks of carbon that are key to slowing climate change. Tropical forests play a vital role in the global carbon cycle: the 1.2 billion ha of tropical forests constitute the largest above ground terrestrial component of the global carbon budget¹¹.
12. Approximately 25% of global emissions come from the land sector, making it the second largest source of emissions behind energy. Around half of these emissions annually come from deforestation and forest degradation¹².
13. Deforestation is continuing at an alarming rate, with more than 25 million hectares of tree cover lost in 2020, and a similar amount in 2021. The reasons for tree cover loss vary between countries (see individual country deforestation profiles in Table 1 below) but are mainly driven by the expansion of agriculture and production forestry to meet rising demand for food and commodities due to growing global population and rising incomes. Agriculture is the primary driver of more than 70 percent of all deforestation across tropical and sub-tropical countries, with commercial agriculture playing an increasingly large role compared to subsistence agriculture¹³.
14. Most of the environmental benefits of intact forest are unpriced externalities, and it is much more attractive for landowners to convert forest into agricultural land to produce tradable commodities, particularly where strong demand is increasing market prices. The result is a market mispricing of natural forest assets and a disincentive to sustainable production. This problem is expected to worsen without a paradigm shift changing how land is managed and how agricultural commodities are produced.
15. The economic impact of deforestation and forest degradation is enormous. Around 1.3 billion people, or 20% of global population, rely on forests for their livelihoods, many of whom live in poverty.¹⁴ Without healthy forests and forest ecosystems, those reliant on forests could face significant livelihood insecurity. Moreover, forests provide up to USD 100 billion per year in goods and services while providing additional environmental benefits such as clean water and healthy soil for agricultural production.
16. Many agri-commodity businesses are vulnerable to climate hazards, for example, increased temperature and increased rainfall variability (See Table 3 in section B.2.(a) for a description of specific climate hazards facing different commodity sectors). The resultant production losses lead to a vicious cycle, where growers are incentivized to clear more forest land to make up for falling or unreliable yields.

Why deforestation is a problem:

17. Trees convert carbon dioxide from the air into (carbon-based) cellulose and store this carbon in the plant's branches, leaves, trunks, roots and in soil organic matter. Between 2001 and 2021, global forests emitted 8.38 gigatonnes of CO₂e per year and removed 15.6 gigatonnes of CO₂e per year. This represents a net carbon sink of 7.17 gigatonnes of CO₂e per year that has been slowing the rate of changes in the climate. However, when forests are degraded or cleared, this capacity to draw CO₂ out of the atmosphere is lost, and most of the stored carbon is released back to the atmosphere as carbon dioxide, accelerating climate change.
18. Forest loss is a major contributor to GHG emissions. In the last 20 years, 437 million hectares of tree cover was lost globally, accounting for an 11% decrease in total tree cover and 176 gigatonnes of CO₂e.
19. Deforestation, including below-ground biomass and drainage of peat forests, is the second largest anthropogenic source of carbon dioxide released into the atmosphere after energy¹⁵. Deforestation creates the compounded challenges of massive GHG emissions while undoing forests' role as a sink and store of carbon. A quarter of global CO₂ emissions are associated with agriculture, forestry and other land uses (AFOLU)¹⁶.
20. The loss of trees and other vegetation leads to desertification; soil erosion; reduced water retention and flooding; decreased soil productivity and progressive deterioration of agro-ecosystems. These effects are

¹¹ Ordway, E. M., & Asner, G. P. (2020). Carbon declines along tropical forest edges correspond to heterogeneous effects on canopy structure and function. *Proceedings of the National Academy of Sciences*, 117(14), 7863-7870

¹² https://www.iucn.org/sites/dev/files/forests_and_climate_change_issues_brief_2021.pdf

¹³ Pendrill, F., Persson, U. M., Godar, J., Kastner, T., Moran, D., Schmidt, S., & Wood, R. (2019). Agricultural and forestry trade drives large share of tropical deforestation emissions. *Global environmental change*, 56, 1-10.

¹⁴ The World Bank. 2016. Why forests are key to climate, water, health and livelihoods.

¹⁵ U.S. Energy Information Administration. 2018. U.S. energy-related CO₂ emissions expected to rise slightly in 2018, remain flat in 2019

¹⁶ Smith, P., Bustamante, M., Ahammad, H., Clark, H., Dong, H., Elsiddig, E. A. & Masera, O. (2014). Agriculture, forestry and other land use (AFOLU). *Climate change 2014: mitigation of climate change. Contribution of Working Group III to the Fifth Assessment Report of the Intergovernmental Panel on Climate Change*. Chapter, 11, 811-922.

compounded when higher atmospheric CO₂ concentrations lead to contraction of plant stomata and reduced evapotranspiration from tropical forests and disruption to the local hydrological cycle¹⁷.

21. Halting the loss and degradation of natural systems and promoting restoration has the potential to contribute to a third of total climate change mitigation required by 2030.¹⁸ The restoration of 350 million hectares of degraded land, as per the objective of the Bonn Challenge, could sequester up to 1.7 gigatonnes of CO₂e annually.¹⁹

22. Table 1 below presents the current deforestation profiles for &Green Fund target countries.

Table 1: Deforestation profiles in target countries

Country	Country Profile	Impacts
Brazil	Brazil is home to around 12.2% of the world's forests and holds approximately one-third of the world's remaining primary tropical rainforests. Terrestrially, it is also the most biodiverse country on Earth, with more than 34,000 described species of plants, 1,813 species of birds, 1,022 amphibians, 648 mammals, and 814 reptiles. About 80% of Brazil's tropical forest cover is found in the Amazon Basin, a mosaic of ecosystems and vegetation types including rainforests (the vast majority), seasonal forests, deciduous forests, flooded forests, and savannas, including the open woodland cerrado.	Current deforestation: Brazil has experienced high forest loss over the past two generations— more than 76 million hectares, or about 19 percent of its total surface area of 400 million hectares, has been cleared in the Amazon since 1970. Brazil's National Space Research Institute, INPE, reports increasing deforestation in the Brazilian Amazon since 2018, with a more than 30% increase in 2019 and a further 22% increase in 2020 and 2021. The 2021 data confirms the trend detected by multiple deforestation alert systems and shows that in 2021 forest clearing in Earth's largest rainforest stood at the highest level since 2006.²⁰ Key driver(s) of deforestation: In 2019, 2.64 million hectares of tree cover loss occurred, with the key drivers being livestock (largely beef), agricultural expansion, and illegal deforestation. Brazil's most recent assessed Forest Reference Level (FRL)²¹ is 335,540,289 tCO₂ eq/year in 2020.²²
Indonesia	Indonesia is the largest archipelagic nation in the world with a total terrestrial area of 188 million hectares (ha), half of which is forested (forested area 93.9Mha and non-forested area 94Mha). ²³ Indonesia is the second largest mega-biodiverse country after Brazil with substantial, intact tropical forests that extend over 88.1 million ha. Peatland ecosystems encompass approximately 14.9 million ha across 17 provinces, though concentrated on three major islands: Sumatra (6.4 million ha or 43% of total peatland), Kalimantan (4.8 million ha or 32.1%), and Papua (3.7 million ha or 24.7%.	Current deforestation: The average deforestation in Indonesia in the period of 2006/2007 to 2019/2020 was 755,500 hectares.²⁴ Secondary drylands and secondary swamp forests were the most deforested with 453.7 thousand hectare and 220.8 thousand hectares annually. The land use/land cover type after conversion was dominated by estate crops, dry shrubs and estate crops, which accounted for 214.4 thousand hectares, 146.7 thousand hectares and 136.4 thousand hectares, respectively.²⁵ Key driver(s) of deforestation: Commodity driven agriculture dominates Indonesia's tree cover loss including for palm oil which is driven by global demand.

¹⁸ https://www.iucn.org/sites/dev/files/forests_and_climate_change_issues_brief_2021.pdf

¹⁹ Ibid

²⁰ Ministry of Science. 2020. Estimativa de desmatamento por corte raso na Amazônia Legal para 2021 é de 13.235 km². Available at: <https://www.gov.br/inpe/pt-br/assuntos/ultimas-noticias/divulgacao-de-dados-prodes.pdf>

²¹ The Forest Reference Level (FRL) and Forest Reference Emissions Level (RFEL) is a benchmark for emissions from deforestation and forest degradation and removals from sustainable management of forests and enhancement of forest carbon stocks. Reference levels are expressed as tonnes of CO₂ equivalent per year for a reference period against which the emissions and removals from a results period will be compared. Thus, reference levels serve as benchmarks for assessing each country's performance in implementing REDD+ activities.

²² <https://redd.unfccc.int/submissions.html?country=bra>

²³ World Bank database.

²⁴ Indonesia. 2022. National Forest Reference Level submissions to the UNFCCC. Available at

https://redd.unfccc.int/files/2nd_frl_indonesia_final_submit.pdf

²⁵ Ibid.

		Indonesia's most recent assessed forest reference level is 593,329,235 tCO ₂ eq/year for 2020. ²⁶
Cameroon	Cameroon has 20 million ha of natural forest, covering approximately 43% of the country's area. ²⁷	Current deforestation: According to the updated NDC, the estimated net annual deforestation rate is 0.6%.²⁸ This combined with a low reforestation rate of 0.1% is leading to a rapid loss of biodiversity. Key driver(s) of deforestation: Cameroon's forests are under pressure from foreign investment in mining, agriculture and associated infrastructure development. Illegal and uncontrolled logging, slash-and-burn agriculture and the unsustainable development of agro-industry are all key drivers of deforestation.²⁹
Colombia	Natural forests occupy 59.3 million ha in Colombia, 53% of the country's area, ^{30 31} including the third largest extent of Amazon Forest (after Brazil and Peru) within its territory. 69% of Colombia's territory (marine and terrestrial, including 285,000ha of mangroves) is considered to be in its natural state, while 31% has been transformed. The Amazon region has the country's largest natural forest coverage and it is currently the most affected by deforestation.	Current deforestation: According to the national REDD+ Strategy, "Bosques Territorios de Vida", more than 6 million hectares have been deforested between 1990 and 2016, resulting in the loss of ecosystem and ecosystem services and increasing GHG emissions.³² The Ministry of Environment estimated the emission reduction potential from reduced deforestation (39% reduction compared to business-as-usual) as a contribution to the NDC as 32.4 million tons CO₂ by 2030.³³ Key driver(s) of deforestation: The main direct causes of deforestation are expansion of the agricultural frontier, expansion of infrastructure, timber extraction and forest fires.³⁴ The national REDD+ Strategy also points to indirect, underlying factors that drive the direct causes such as poor land rights, population growth, and demand for forest products. Colombia's most recent assessed forest reference level is 140,732,334.73 tCO₂ eq/year in 2022.³⁵

²⁶ <https://redd.unfccc.int/submissions.html?country=idn>

²⁷ World Bank database. Cameroon – forest area. Available at <https://data.worldbank.org/indicator/AG.LND.FRST.ZS?locations=CM>

²⁸ Republic of Cameroon. 2021. Updated Nationally Determined Contribution.

²⁹ Ibid.

³⁰ Colombia Ministry of Environment and Sustainable Development. REDD+ Strategy – Bosques Territorios de Vida. Available at https://redd.unfccc.int/files/eicdgb_bosques_territorios_de_vida_web.pdf

³¹ World Bank database. Colombia – forest area. Available at <https://data.worldbank.org/indicator/AG.LND.FRST.ZS?locations=CO>

³² Colombia Ministry of Environment and Sustainable Development. REDD+ Strategy – Bosques Territorios de Vida. Available at https://redd.unfccc.int/files/eicdgb_bosques_territorios_de_vida_web.pdf

³³ Climate Action Tracker. 2021. Colombia. Available at <https://climateactiontracker.org/countries/colombia/>

³⁴ Colombia Ministry of Environment and Sustainable Development. REDD+ Strategy – Bosques Territorios de Vida. Available at https://redd.unfccc.int/files/eicdgb_bosques_territorios_de_vida_web.pdf

³⁵ <https://redd.unfccc.int/submissions.html?country=col>

Côte d'Ivoire	Côte d'Ivoire's forested area covers more than 3.4 million hectares, accounting for 10.64% of total land area.³⁶ More than 99.5% of this is naturally regenerated forest. Agricultural production is primarily subsistence-based and rainfed, as currently, only 0.2 % of the total national crop land is equipped for irrigation. Hence, especially smallholder farmers suffer from the impacts of climate variability, which can reduce their food supply and increase the risk of hunger and poverty. Limited adaptive capacity in the agricultural sector underlines the country's vulnerability to climate change.	Current deforestation: Côte d'Ivoire's forests are mainly severely degraded or in an early stage of secondary growth. According to the Ministry of Water and Forests: Cote d'Ivoire lost more than 70% of its forest cover between 1960 and 2015, from 16 million hectares to 3.4 million hectares. Only 1.3 million of the 4.2 million hectares of classified forest that existed in the country more than half a century ago remain undegraded. 13,179,403 hectares are allocated to forestry operations.³⁷ Between 2002 and 2020, the country lost 348kha of humid primary forest, making up 11% of its total tree cover loss in the same time period. Total area of humid primary forest in Côte d'Ivoire decreased by 26% in this time period. Key driver(s) of deforestation: According to the National REDD+ Strategy of Cote d'Ivoire, the direct drivers of deforestation and forest degradation over the period 1986-2016 include: • Expansion of agriculture (62%), including an increase in cocoa and palm oil; • Logging (18%); • Extension of infrastructure (10%); • Mining (8%); • Spreading bushfires (2%).³⁸ Cote d'Ivoire's most recent assessed forest reference level is 20,569,766.02 tCO₂ eq/year in 2017.³⁹
Democratic Republic of Congo. (DRC)	The Democratic Republic of the Congo (DRC) is the 2nd largest country in Africa (spanning 2.3 million square km) and home to large swaths of arable land, vast quantities of natural resources and minerals, and critical habitats supporting rich biodiversity. In 2010, DRC had 198 million hectares of natural forest, making up a significant portion of the forests within the Congo Basin. Forests are a valuable natural resource for DRC for both the products extracted and for the services provided.	Current deforestation: According to the national REDD+ Strategy, DRC's average annual deforestation rate rose from 0.22% during the period 2000-2005 to 0.25% for the next period up to 2010 – moving from approximately 350,000 hectares each year to over 400,000.⁴⁰ The average annual forest degradation rate of 0.12% is higher than other tropical forest basins.⁴¹ In 2020, the DRC's deforestation rate was second only to Brazil. The release of greenhouse gases due to deforestation and forest degradation are the country's principal emissions source. Key driver(s) of deforestation: The primary drivers for deforestation and forest degradation in the country are⁴²: • Slash-and-burn agriculture; • Timber exploitation to supply wood market; • Mineral exploitation; • Fuelwood. DRC's most recent assessed forest reference level is 1,177,318,178 tCO₂ eq/year in 2019.⁴³

³⁶ UNEP. 2020. Ivory Coast Country Overview.

³⁷ Timber Trade Federation. 2020. Côte d'Ivoire Profile. Available at: <https://www.timbertradeportal.com/countries/ivory-coast/>

³⁸ Republic de Cote d'Ivoire. 2017. Reference emission level for forests of Cote d'Ivoire – presentation to the UNFCCC. Available at https://redd.unfccc.int/files/rci_nrf_ccnucc_2017.10.15.pdf

³⁹ <https://redd.unfccc.int/submissions.html?country=civ>

⁴⁰ DRC. National REDD+ Strategy. 2015. Available at https://redd.unfccc.int/uploads/3262_1_strategie-cadre_nationale_redd_de_la_rdc_1-corps_infographie1.pdf

⁴¹ Ibid

⁴² DRC. National REDD+ Strategy. 2015. Available at https://redd.unfccc.int/uploads/3262_1_strategie-cadre_nationale_redd_de_la_rdc_1-corps_infographie1.pdf

⁴³ <https://redd.unfccc.int/submissions.html?country=cod>

Ecuador	Approximately half of Ecuador's territory is covered by forest – an estimated 12.55 million hectares.⁴⁴ More than 99% of the forest cover is primary forest or naturally regenerated forest, with the vast majority situated in the Amazon region. The three major forest types are the Amazon rainforest, Montane (sierra) forests in the Andes and tropical rainforests in the coastal plains. Mangrove forests used to be widespread but now only cover around 150,000 ha.⁴⁵	Current deforestation: Deforestation in Ecuador leads to a significant loss of biodiversity, water reserves and environmental services; in addition to GHG emissions. Between 1990 and 2014, nearly 2.2 million hectares of natural forest were lost in the country.⁴⁶ According to the national REDD+ Strategy, native forest cover decreased from 14,587,771 hectares in 1990 to 12,753,383 hectares in 2014. The average annual gross deforestation in the period 1990-2000 was 129,943 hectares per year. For the period 2000- 2008 it was 108,650 hectares per year. For the most recent period, 2008-2014, it was 97,917 hectares per year.⁴⁷ Key driver(s) of deforestation: The REDD+ Strategy deforestation map shows that of the areas that went from forest to non-forest: • 64.9% of forest was due to changing to pasture for livestock; • 11.8% due to agricultural mosaics; • 10% due to other types of coverage; • 3.7% due to cocoa; • 3.1% due to hard maize, • 3% due to African palm; • 2% coffee; • the remaining 1% of the remaining deforested area was distributed among infrastructure, mainly related to urban areas and dense rural settlements.⁴⁸ Ecuador's most recent assessed forest reference level is 43,418,126 tCO₂ eq/year.⁴⁹
Gabon	The vast majority of Gabon's land area is forest – approximately 20 million of the country's 22.68 million hectares.⁵⁰ After petroleum and mining, agriculture and forestry sectors are the two largest in the country, with agriculture alone employing 20% of the population. Today, 15.5 million hectares are allocated to some 40 logging companies, which extracted 3.6 million m³ of timber in 2021.⁵¹	Current deforestation: Nationally, deforestation has increased slightly in recent years and is currently estimated at 0.1% per year - around 25,000-30,000 hectares of loss annually over the last 5 years.⁵² Key driver(s) of deforestation: According to the national REDD+ Strategy, since 2012, industrial agriculture has expanded, with the establishment or strengthening of oil palm and rubber plantations that currently cover about 75,000 hectares (about 64,000 ha of oil palm and 11,000 of rubber).⁵³ Some controlled deforestation of the degraded low-carbon forest-agriculture mosaic was undertaken in 2011-2015 for the establishment of industrial oil palm as part of the country's economic diversification. Subsistence agriculture and infrastructure expansion (roads, cities) are also recognised drivers of deforestation.⁵⁴

⁴⁴ Timber Trade Federation. Ecuador Profile. Available at: <https://www.timbertradeportal.com/countries/ecuador/>

⁴⁵ Ibid

⁴⁶ Ministry of Agriculture. 2016. REDD+ Strategy – 'Bosques para el Buen Vivir (2016-2025)' submitted to the UNFCCC. Available at <https://www.undp.org/es/ecuador/publications/plan-de-acci%C3%B3n-redd-%E2%80%99Bosques-para-el-buen-vivir%E2%80%9D-y-acuerdo-ministerial-116-de-expedici%C3%B3n-del-plan-de-acci%C3%B3n-mae>

⁴⁷ Ibid.

⁴⁸ Ibid.

⁴⁹ <https://redd.unfccc.int/submissions.html?country=ecu>

⁵⁰ The Rainforest Foundation. 2020. Gabon Profile. Available at: <https://www.rainforestfoundationuk.org/gabon>

⁵¹ Gabonese Republic National Climate Council. 2022. Gabon's National REDD+ Strategy

⁵² Gabonese Republic National Climate Council. 2022. Gabon's National REDD+ Strategy.

⁵³ Ibid.

⁵⁴ Ibid.

		Gabon's most recent assessed forest reference level is - 96,468,186 tCO ₂ eq/year in 2018. ⁵⁵
Lao People Democratic Republic (Lao PDR)	Approximately 57.5% of Laos is covered by forest.⁵⁶ There are subtropical montane forest areas in the north, lowland semievergreen dipterocarp forest on the Mekong River Plain, and dry dipterocarp forest in the southern area. The ecosystem services provided by forests have been noted as particularly important to poorer smallholder farmers. In addition, forests provide resilience to the high inter-annual variability in success of rain-fed agriculture by diversifying incomes.	Current deforestation: According to Lao PDRs' National REDD+ Strategy (2021), in the ten-year period between 2005 to 2015, forest area in the country decreased from 14.3 million hectares (or 60.2% of the total land area) to 13.7 million hectares (58%).⁵⁷ Key driver(s) of deforestation: Lao's REDD+ Strategy identifies the following as the four main drivers of deforestation and land degradation: i) The need for expansion of permanent agricultural land, including illegal cropping and tree plantation; ii) The necessity of livelihoods linked to uncontrolled shifting cultivation; iii) The need for infrastructure development particularly hydropower, electricity distribution and road construction, and mining; and iv) Uncontrolled logging that is against laws and regulations⁵⁸. Additionally, the REDD+ Strategy finds that "the main underlying causes of deforestation and forest degradation can be grouped as following: (1) the formulation of policies for the development of relevant sectors is not yet centralized, consistent or inclusive; (2) forest management and law enforcement are not strict; the legislation that provides a tool for forest management is not yet complete; and the demand for natural forest timber from domestic and foreign markets is high, leading to illegal logging; (3) demand for agricultural products in the domestic and external markets is increasing, but the efficiency of agricultural production is still low as traditional methods are still predominantly used in agricultural production; (4) most upland people are still poor and lack livelihood alternatives other than shifting cultivation; and, (5) land allocation and planning to accommodate population growth and investment have not been completed, which in many cases has allowed encroachment into forestland"⁵⁹. Lao PDR's most recent assessed forest reference levels are 41,013,316 tCO₂ eq/year (FREL) and -7,533,558 tCO₂ eq/year (FRL) for 2018.⁶⁰
Liberia	Liberia faces significant climate stressors and risks. It is home to 40% of West Africa's Forest cover which is used for food, fuelwood,	Current deforestation: Liberia's Forest Reference Emission Level Submission to the UNFCCC (2019) outlines the (subnational scale) reference emissions levels for the two

⁵⁵ <https://redd.unfccc.int/submissions.html?country=gab>

⁵⁶ FAO. 2020. What is the forest area of Lao People's Democratic Republic. Available at: <https://www.fao.org/3/cb3000en/CB3000EN.pdf>

⁵⁷ Government of Laos (2021) National REDD+ Strategy

⁵⁸ Government of Laos (2021) National REDD+ Strategy

⁵⁹ Ibid

⁶⁰ <https://redd.unfccc.int/submissions.html?country=laos>

	medicinal products and energy.⁶¹ Increased duration and intensity of rainfall causes slower tree growth and rotting, ultimately leading to a decline in forest cover. Higher temperatures reduce agricultural yield and shorten the growing season creating food insecurity risks.⁶²	priority landscapes in Liberia: (1) the North West; (2) the South East. Between 2009 to 2018 total deforestation in the two priority areas was 298,946 ha.⁶³ Key driver(s) of deforestation: In Liberia's Forest Reference Emission Level Submission to the UNFCCC (2019), agriculture, mining and commercial logging are identified as large-scale drivers of deforestation and forest degradation⁶⁴. Liberia's Agriculture sector under the Liberia Agriculture Transformation Agenda (LATA) is promoting industrialization of the sector to benefit from more stable markets and better revenues for farmers. The country has prioritized industrial oil palm production as an important industry for economic development. The area of land cleared for oil palm plantation in the next 10-15 years is estimated at a maximum of 530,000 ha and is likely to be nearer 250,000 ha based on current industry plans (REDD+ Strategy, 2016). As such, the industry is likely to have a negative impact on forest cover and is likely to drive emissions in this sector⁶⁵. Liberia's most recent assessed forest reference levels are 31,353,454.1 tCO₂ eq/year (PL1) and 10,723,402.9 tCO₂ eq/year (pl2) for 2020.⁶⁶
Zambia	Forests and related resources in Zambia represent the lifeline of rural economies and daily subsistence. The forest sector currently contributes about 5.2% to the country's GDP and provides formal and informal employment to about 1.1 million people. The Government of Zambia seeks to manage and enhance forest products and services in order to mitigate climate change, boost income generation, poverty reduction and job creation, and protect biodiversity.	Current deforestation: Land-use change and forest loss are the main contributors to Zambia's greenhouse gas emissions. Deforestation rates are significant in Zambia, with approximately 300,000 ha of forest cover lost per year. According to the data from Zambia's Ministry of Green Economy and Environment, total deforestation for the period 2009 to 2018 was approximately 1,915,962.27 hectares which translates into an annual average deforestation of 191,569.23 hectares across the country. In the same period degradation in Zambia was 383,569 hectares or less than 40,000 hectares annually. The provinces with the highest degradation include Northern and Muchinga province followed by Central province.⁶⁷ In the period 2009 to 2018, total emissions attributable to land use change (forest to cropland, grassland, settlements, as well as forest degradation) totaled 235,284,812.29 tCO₂e.⁶⁸ Key driver(s) of deforestation: Zambian forests are vulnerable to factors such as extensive practices of slash and burn shifting cultivation; ever-increasing demands for wood-based energy (firewood and charcoal); unsustainable commercial utilization of indigenous tree species; over-grazing; and to a lesser extent, forest fires. In particular, the low productivity of small scale agriculture and degraded agricultural soils create pressure to expand land use for agriculture in forested areas.

⁶¹ ClimateLinks. 2017. Liberia Climate Change Risk Profile. Available at: <https://www.climatelinks.org/resources/climate-risk-profile-liberia>

⁶² Ibid

⁶³ Government of Liberia (2019), Liberia's Forest Reference Emission Level Submission to the UNFCCC

⁶⁴ Government of Liberia (2019), Liberia's Forest Reference Emission Level Submission to the UNFCCC

⁶⁵ Ibid

⁶⁶ <https://redd.unfccc.int/submissions.html?country=lbr>

⁶⁷ Republic of Zambia, Ministry of Green Economy and Environment (2021), Forest Reference Emissions Level (Zambia).

⁶⁸ Ibid

		Population growth in Zambia has led to increased pressure for agricultural land in order to meet national and subsistence food requirements. Agricultural expansion is caused both by shifting subsistence cultivation and intensification of subsistence and commercial farming. The demand for timber has over the past few years been exacerbated by the expanding and intensifying construction activities in the country and international demand for valuable timber species existing in the country such as <i>Pterocarpus chrysotrich</i>, <i>Pterocarpus angolensis</i>, <i>Guibourtia coleosperma</i>, <i>Colophospermum mopane</i>, and <i>Baikiaea plurijuga</i> which has contributed to illegal harvesting leading to Forest degradation⁶⁹. Zambia's most recent assessed forest reference level is 23,520,000 tCO₂ eq/year in 2020.⁷⁰
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23. Climate change and deforestation severely impact global commodity supply chains, including the sectors &Green Fund targets: soy, livestock, cocoa, coffee, timber, palm oil and rubber.
24. Table 3 in section B.2.(a) – Theory of Change narrative and diagram - illustrates the climate rationale behind the &Green Fund's interventions. It shows the climate risks associated with targeted commodities, selected evidence of climate impacts from scientific literature and the potential appropriate interventions for both adaptation and mitigation that exist, along with their expected benefits. For the detailed accompanying written narrative, see section 1.2. of the Feasibility Study (Annex 2).

Barrier analysis

25. In a low-carbon, climate-resilient scenario, agri-commodity producers, smallholder farmers, government agencies and other stakeholders would identify these climate challenges and invest the time and resources required to shift to more sustainable production systems that are less vulnerable to climate impacts. Unfortunately, there are multiple interconnected barriers that prevent a spontaneous response:

Barrier: Limited capital flows due to high-risk perception by impact investors

26. There is insufficient investment in sustainable commodity production and forest protection. Investment in commodity production such as palm oil, soy and beef is estimated at USD 1.4 trillion and the annual value of trade in these commodities is USD 135 billion – several orders of magnitude higher than (predominately public and private philanthropic) investment in forest protection (around USD 6 billion).
27. &Green Fund started in 2017 expecting it to “grease- the-wheels” for existing direct foreign investors, commercial impact funds and local banks to finance land-use in a sustainable way. However, very few investors consider investing in the sustainable, long-term transformation of these sectors and &Green Fund has been required to act as the lead investor in the transactions it has worked on. The lack of co-investors is due to mainstream investors' risk perception of financing the transformational pathways that these sectors and jurisdictions require. These are challenging sectors for international investors who are concerned about reputational risk, and who do not have the internal knowledge to properly assess credit risk for land-use investments in emerging markets. &Green Fund's business model serves as a “first-mover” in this space, managing risks of perceived barriers and creating a blueprint for commercially viable and financially attractive no-deforestation investments that commercial investors can initially participate in, then replicate and scale to transformative levels.

Barrier: Market distortions undervalue standing forests and induce deforestation

28. Many of the benefits of standing forests, while critical to ecosystem health and local livelihoods, are difficult to capture and monetize. Producers expect and achieve far greater financial return from a hectare of soybeans than products harvested from standing forests. Payment-for-ecosystem-services mechanisms are incipient or non-existent in most jurisdictions, making it difficult to earn money for carbon storage or biodiversity. Similarly, a forest

⁶⁹ Republic of Zambia, Ministry of Green Economy and Environment (2021), Forest Reference Emissions Level (Zambia).

⁷⁰ <https://redd.unfccc.int/submissions.html?country=zmb>

reserve in many cases cannot be used as collateral for an agricultural loan. As a result, relatively little value is attached to standing forests.

29. Most of the environmental benefits of intact forests are unpriced externalities, and it is much more attractive for landowners to convert forest into agricultural land to produce tradable commodities, particularly where strong demand is increasing market prices. For example, a hectare of Sumatran rainforest, could produce around 2.5 tonnes of palm oil a year, and palm-oil prices have risen to \$1,520 a tonne, from around \$1,000 a year ago⁷¹. Even after the investments in plantings, this far outweighs the value of carbon stored on the same land at current voluntary carbon market prices⁷² and is a more familiar (and hence perceived lower risk) business model.
30. The result is a market mispricing natural forest assets and a disincentive to sustainable production, meaning that deforestation remains economically rational. This problem is expected to worsen without a paradigm shift changing how land is managed and how agricultural commodities are produced.
31. In farm areas where forests are largely already cleared, the costs associated with preserving the remaining forest and reforesting cleared areas are high. Existing laws aimed to prevent deforestation are often either weak or rarely enforced, so forest protection and restoration are uncommon. Meanwhile, there are significant financial benefits from clearing forests. In Brazil, properties with open areas for agriculture are valued at up to ten times more than forested areas. Extensive production (i.e., expanding the production frontier into new lands) requires less capital investment than agricultural intensification (i.e., growing more on the same hectare of land), despite the greater environmental impacts of forest clearing. Tighter credit conditions, such as those that occurred with the onset of the COVID-19 pandemic, further increase the relative attractiveness of forest-clearing activities.

Barrier: Limited local access to knowledge and technology for no-deforestation production

32. No-deforestation production methods often require producers to modify their systems and processes, to switch to new crops and varieties, and/or to adopt new production techniques (e.g. agroforestry), often as part of multi-year transformations. Unfamiliar approaches translate to higher perceived risk and less willingness to embrace change. As noted above, market distortions and capital and lender constraints can render this a financially unattractive proposition not offered by commercial lenders. Producers face an equally daunting challenge obtaining locally appropriate information, knowledge and technology to implement these changes. In many cases, the information and technology has not been employed widely in the country or region, while in others it has not been packaged in a way that is accessible to local agribusiness owners, farm workers and the smaller farms that supply agribusinesses.
33. Supply chains lack traceability and there are porous boundaries to farms that make ensuring production is from the farm stated difficult. Reliable and sophisticated supplier tracking and tracing systems are necessary in the market alongside outreach and cooperation with intermediaries.

Barrier: Inaccessible or poorly presented information on climate hazards and adaptive measures:

34. Reducing climate-related losses can go hand-in-hand with sustainably intensifying agricultural production. Relevant climate and weather data is often produced by government agencies, along with case studies on climate resilient production techniques. However, this information is often not shared directly with agri-commodity businesses and the communities that supply or depend upon them. In other cases, the information is available only in a highly technical, undigested form that cannot be absorbed by producers, converted into knowledge and put into action. Also, there are few examples available to producers that demonstrate feasibility and viability of these new models at scale / with mainstream agri-commodity companies.

Barrier: Insufficient regulatory or policy conditions that support sustainable practices and environmental impact

35. In regions with significant forest resources, it is necessary for local authorities to be committed to the prevention of deforestation and the protection of valuable ecosystems, and to actively work with the private sector, communities and civil society to achieve this. However, only a minority of local governments in key regions have developed (or have the resources to develop / enforce) regulations that promote protection of forest resources, together with increased production and inclusive management at a landscape level. Sustainable land use is not yet incentivized by the policy and stakeholder environment.

⁷¹ The Economist (19th May 2022), Offset markets struggle in the face of surging commodity prices. <https://www.economist.com/finance-and-economics/2022/05/19/offset-markets-struggle-in-the-face-of-surging-commodity-prices>

⁷² A preserved forest in Sumatra might store 700tCO₂e, and be contractually required to protect and retain the carbon for at least 60 years. At US\$10/tCO₂e, this is \$7,000 over 60 years, or ~\$120/ha/year.

36. Existing regulations in most cases do not incentivise or support shifting towards sustainable development of the agricultural sector, nor do they recognize the potential tax benefits and job creation opportunities from such a move. Insufficiently developed or unclear regulatory environments creates the potential for land use conflicts in situations where land use practices, land rights and future plans are not transparent or agreed upon.

&Green Fund seeks to overcome these barriers, making deforestation free commercial agriculture and forestry a profitable and viable alternative and setting the stage to drive sustainable land use investment at scale. Table 1 below summarizes the barriers and the programme elements that will overcome these barriers.

Table 2: Barriers to &Green Fund

Barrier	Interventions to overcome the barrier
<i>Limited capital flows due to high-risk perception by impact investors</i>	&Green Fund's business model serves as a "first-mover" in this space, managing risks of perceived barriers and creating a blueprint for commercially viable and financially attractive no-deforestation investments that commercial investors can replicate and scale (Outputs 1.2, 1.3, 2.1, 2.2).
<i>Market distortions undervalue standing forests and induce deforestation</i>	The Fund will incorporate robust environmental and social covenants into lending agreements, with breaches of these constituting events of default with related financial consequences and risks for clients. This provides a financial incentive to preserve forests and intensify production on existing acreage. By providing this money at the outset of the transformative activity preserving forests but with a clear timetable and scope to meet them, &Green Fund directly links the financial incentive to the paradigm shift needed in the targeted supply chain and company (Output 1.2).
<i>Limited local access to knowledge and technology for no-deforestation production</i>	Technical cooperation service contracts in eligible jurisdictions for capacity building of companies and business model development, landscape-level impact design and local community/smallholder inclusion; assessment against commercial viability and environmental and social impact criteria (Output 2.2).
<i>Inaccessible or poorly presented information on climate hazards and adaptive measures</i>	Technical cooperation service contracts in eligible jurisdictions for capacity building of companies and business model development, landscape-level impact design and local community/smallholder inclusion; assessment against commercial viability and environmental and social impact criteria (Output 2.2).
<i>Insufficient regulatory or policy conditions that support sustainable practices and environmental impact</i>	GCF investment will support policy dialogue, both through the JECA ⁷³ process, and via awareness raising and capacity building in each jurisdiction to maximise country ownership, blueprint communication and replication (Outputs 1.3 and 2.1).
<i>Subsidies to key commodities driving deforestation</i>	The Fund's investments will support sustainable agricultural practices in key sectors that have previously received or may still be receiving subsidies that – even if unintentionally by policy makers but as a consequence of the prevalent business models – drive deforestation (e.g., beef in Brazil and palm oil in Indonesia). Investees commit to no deforestation practices and must complete LPPs before receiving loans (Output 2.2.). The TA Facility engages policy makers and other stakeholders to improve the enabling environment for lower-emission agricultural practices (Output 2.1). The Fund therefore incentivizes producers, allowing them to contribute to food security and promote their livelihoods (the main reasons for subsidies) without driving deforestation.

B.2 (a). Theory of change narrative and diagram (max. 1500 words, approximately 3 pages plus diagram)

&Green Fund's Theory of Change

⁷³ &Green's Jurisdictional Eligibility Criteria Assessment process. For more details see <https://www.andgreen.fund/how-we-invest/>

37. The &Green Fund's financial and technical support levels the playing field for sustainable, climate resilient and deforestation-free agriculture. &Green Fund provides capital to new commodity production systems; incentivises the intensification of agricultural production without deforestation; helps commodity producers price the externalities provided by natural forests; reinforces public policy signals and encourages improved regulation; and motivates mainstream private sector investors to provide increased capital inflows at scale for responsible producers.
38. The Theory of Change (ToC) statement, as presented in the attached ToC diagram below is: **If &Green Fund works across tropical forest landscapes to support agri-commodity businesses with capital, expertise and partnerships, then large-scale tropical agricultural commodity production will be transformed to a climate-resilient, deforestation-free and socially inclusive model because private sector investors will have a commercially profitable investment blueprint that aligns with local and global sustainability objectives.**
39. Climate resilience is enhanced by the investments both in terms of increased resilience of individuals, as well as ecosystem resilience. Under Output 2.2 companies will receive support to incorporate both mitigation and resilience into their operations and those of their smallholder supplier base on a case by case, downscaled basis. In particular the 20 country and commodity specific climate hazard assessments prepared under Activity 2.3.2 will drive the resilience actions promoted by the Fund. The mechanisms are different between different sectors and jurisdictions, and further described section 2.4 of the Feasibility Study. &Green Fund's approach to transformational change / paradigm shift focuses on forest and climate-friendly and resilient interventions, and guidance is given in the template for establishing the investment rationales (part of the Annexes of the ESMS) how to maximise transformational change when defining a transaction.
40. The Theory of Change operates on several assumptions. They are explained in more detail in Section E – Logical Framework, but the core assumptions are:
 - Private sector investors are willing to participate if they can identify potentially profitable opportunities relating to NDPE (no deforestation, no peatland expansion, no exploitation) commodity supply chains.
 - The creation and dissemination of knowledge and learning products to create market blueprints will lead to replicability of &Green Fund's business model.
 - Political will to slow deforestation and support sustainable supply chains will develop throughout the period of programme implementation in target countries.
 - All activities in the ToC are aligned with the country needs and priorities identified in Annexes 7 and 8. See both annexes for more detailed information.

Figure 1: The &Green Fund Theory of Change

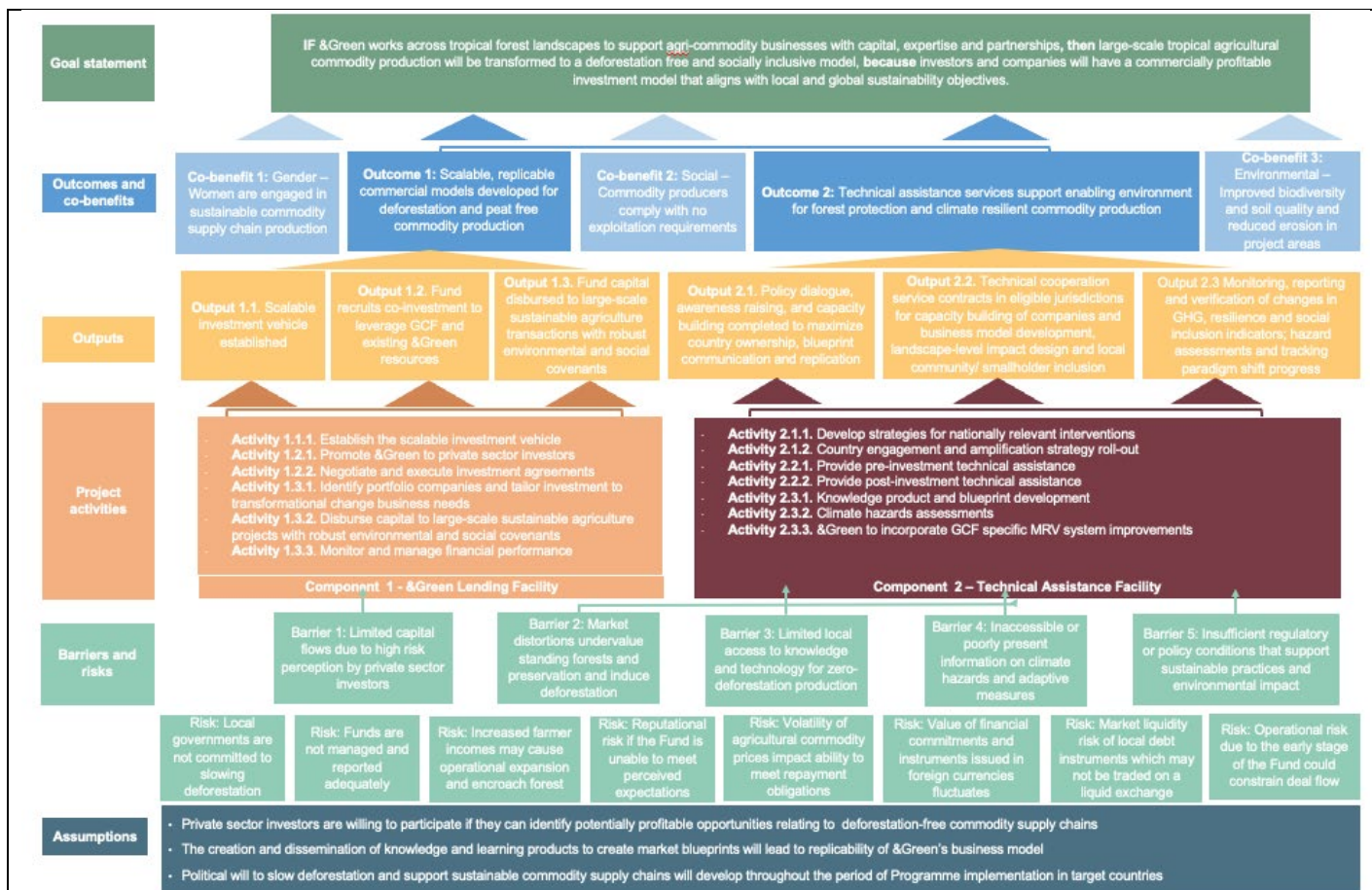


Table 3: The &Green Fund Climate Rationale

Sector	Climate risks	Evidence of impacts (selected examples from the scientific literature)	Adaptation and mitigation interventions	Adaptation and mitigation benefits
Palm oil	Clearing of land for palm oil plantations is one of the largest single contributors to GHG emissions (Russell et al, 2017; Meijaard et al, 2020) Palm oil plantations cover 20% of peatlands in South East Asia and are a significant driver of peatland oxidation (Miettinen et al, 2016) Carbon impacts extend beyond lost forest and peatlands, and result in substantial direct emissions from the oil palm plantations	- Conversion of peat swamps for palm oil in South East Asia alone contributes 0.8% of total global GHG emissions (Cooper et al, 2020) - Palm oil is responsible for 30% of peatland fires in Indonesia (Maskun et al, 2021) 20% of the peatland area in Malaysia has been disturbed for palm oil production (Taheripour et al, 2019) - Palm oil frontier expansion has been detected in Sebangau National Park in Kalimantan,	- Develop plantations on degraded land rather than destroying forests and peatland (Mutsaers, 2019) - Introduce appropriate management practices (Khatun, 2017) - Use high-yield and disease-resistant cultivars (Murphy et al, 2021) - Work with local and national governments to enable protection of high carbon storage areas (Umayah et al, 2021) - Introduce and promote the use of sustainability industry standards (Macdonald, 2020)	- Produce higher yields and meet global demand for palm oil while avoiding large-scale GHG emissions (Monzon et al, 2021) - Retention of undisturbed carbon sinks and ongoing carbon sequestration (Miller et al, 2021)

	themselves (Jaafar et al. 2020)	Indonesia – one of the last remaining peat swamp forests (Robles et al. 2021)	• Ensure any investee company engaged in palm oil production commits to no deforestation or peatland depletion (Dermawan, 2022) • Work with smallholder farmers so they understand the damage caused by land clearing (Suhada et al. 2018) • Downstream mitigation – e.g. reducing methane emissions from palm oil mill effluent (POME), &/or including production of biogas or biofuels from production processes (Choong et al. 2018)	
Livestock farming: cattle	Cattle are responsible for 9.4% of anthropogenic GHG emissions (FAO, 2013; Munidasa et al. 2021) Livestock use ~80% of global farming land (for grazing and animal feed production), resulting in deforestation and carbon loss (Skidmore et al. 2021), reduced ongoing soil carbon sequestration (Aryal et al. 2018), and use of land that could be allocated to lower-emission food alternatives (Simmons et al. 2022) Cattle farming contributes significantly to CO₂, CH₄ and N₂O emissions (Lynch & Pierrehumbert, 2019) Livestock manure and enteric fermentation are responsible for one-third of anthropogenic methane emissions (UNEP, 2021) Livestock is the most exposed agricultural sub-sector to the adverse impacts of	• Cattle account for almost twice as much global deforestation as palm oil, soy, cocoa, rubber, coffee and plantation wood fibre combined (Goldman et al. 2020) • Extensive cattle ranching accounts for ~80% of deforestation in the Amazon (Trancoso, 2021) • Livestock methane emissions increased by 51% between 1961-2018, and this trend is expected to continue (FAO, 2018). • Rising temperatures and humidity are reducing dairy cattle milk yields in Tanzania (Ekine-Dzivenu et al. 2019) • The livestock sector accounts for 8% of global human water use: climate change (primarily rising temperatures) may increase this by a factor of 2-3 (Nardone et al. 2010)	• Introduce improved grass species on rangelands with higher nutrient content, lower moisture use, heat tolerance and/or pest resistance (Perera et al. 2019) • Modify grazing management systems (e.g. rotation) (McDonald et al. 2018) • Use new/different pasture grasses, animal feed, supplements or changed genome to reduce methane emissions from methanogenesis in ruminants (Haque, 2018; McCauley et al. 2020) • Downstream mitigation – e.g. manure methane capture (Abdallah et al. 2018) • Develop the genome of new, or introduce existing, breeds tolerant to higher temperatures (such as Pe-Duro, Curraleiro or Indu-Brasil) (Pryce & Haile-Mariam, 2020) • Diversify crops and animals to reduce climate vulnerability (Idrissou et al. 2020)	• Intensification of existing cattle grazing areas can reduce pressure on forest land while contributing to global food availability and continued rural development (Garrett et al. 2018) • Supplementation of roughage-based cattle diets with red seaweed can reduce enteric methane emissions by over 80% (Roque et al. 2021) • Agroforestry can reduce GHG emissions, increase productivity / head of cattle per hectare, provide shade and enhance nutrient cycling (Maia et al. 2021) • Changes in livestock genome can simultaneously reduce methane emissions by 10-20% and increase drought and heat tolerance (i.e. mitigation / adaptation trade-offs can be managed) (Eenennaam, 2019) • Changes to feeding practices such as diet modification, feeding time and frequency, and production and conservation of feedstock, can

	climate change (Escarcha et al. 2018) Climate change leads to reductions in cattle productivity by directly depressing animals' adaptive response mechanisms (Rojas-Downing et al. 2017), altering the spread and prevalence of diseases (Bett et al. 2017), and causing heat stress and related welfare issues (Morignat et al. 2014); and indirectly by compromising the availability of feed crops and forage (Kandalam & Samireddypalle. 2015)		• Apply agroforestry and land management practices to increase GHG sequestration and soil organic carbon absorption (Jordon et al. 2020) • Plant copses of trees in open paddocks to provide shade and localised heat shelters for livestock (and some carbon sequestration) (Junior et al. 2020)	promote higher intake or compensate for low feed consumption, thus reducing animal feed insecurity and malnutrition caused by climate change (Maleko et al. 2018)
Soy	The global land area allocated to soybean production is now greater than that of South Africa; soy production is linked to extensive deforestation and clearance of natural vegetation (Brack et al. 2016; Dreoni et al. 2022) Soybean plantations are associated with a greater loss of soil carbon than other crop-types (Villarino et al. 2017) Land clearance for soy production is altering the climate (primarily, reduced rainfall and higher temperatures) at the regional level in South America, contributing to a vicious cycle of lower agricultural productivity (Spera et al. 2016) In China, climate change impacts on the dates of soy anthesis, the lengths of the vegetative and reproductive growth periods and the duration of growing seasons are evident and are more	• The area of soy cropping in Brazil has doubled in the past 20 years, with 20% of the expansion involving the conversion of natural forest (Zalles et al. 2018) • ~30% of the loss of Cerrado natural vegetation cover in Brazil is attributable to soy production (Rausch et al. 2018) • Soy is the second-largest contributor to N₂O emissions in Argentina and the largest crop-related source, accounting for more N₂O emissions than wheat, corn, sunflower and sugar cane combined (Castesana et al. 2020) • Climate change to date is estimated to have reduced soybean yields by 25% relative to yields under non-warming (i.e. pre-industrial) climate conditions (Iizumi et al. 2018) • The increasing frequency and intensity of drought	• Ensure soil moisture content retention, through minimisation of tilling, covering soils with plants (cover crops) or mulches, and crop diversification (Nayak et al. 2019; Looby & Diaz. 2021) • Develop or disseminate new crop varieties (heat- or drought-tolerant) through breeding (Khojely et al. 2018; Tiwari. 2022) • Move (or provide in current location) soybean crops to areas with lower air temperature – e.g. higher elevations, adjacent to protected forest areas that lower local ambient temperatures and stabilise humidity; provide biodiversity strips or corridors that also break up wind currents and provide some shade effects; and areas with broad-acre irrigation that absorbs latent heat (Hatfield et al. 2016; Kukal & Irmak. 2018; Fernandes et al. 2022) • Introduce and promote the use of sustainability industry standards (Gibbs et al.	• Augmenting soy with additional crop-types, rotating fallow land and adopting Integrated Crop-Livestock Production (ICLP) in an area serves to retain soil organic carbon and increase resilience to climate change (Kumar & Babalad. 2018; Chalise et al. 2019; Nepstad et al. 2019) • New soy varieties created through breeding can be more resilient to the impacts of climate change (Kulkarni et al. 2018; Raza et al. 2019) • Growing a range of crops allows income and risk diversification for farmers in case one crop underperforms or fails (Garbelini et al. 2020; Piedra-Bonilla et al. 2020) • The climate resilience of farmers and local communities is strengthened by adopting sustainable and climate-adapted soy farming practices (Ali et al. 2020; Siamabele. 2021; Akinyi et al. 2022)

	significant than the influence of crop management practices (He et al., 2020) If baseline rates of technical change continue, then soybean yield can be expected to decrease by 26-57% by 2050 compared with 2013-17 levels, depending on the warming scenario (Yu et al., 2021)	in China is reducing soy yields – by ~10% in moderate drought years and ~22% in severe drought years (Wang et al., 2020)	2015; Kusumaningtyas & van Gelder, 2019) • Work with local and national governments to enable protection of high carbon storage areas (Nepstad et al., 2014; Lima et al., 2019)	
Rubber	Expansion of rubber plantations is an accelerating driver of deforestation and carbon emissions: the global land area devoted to rubber plantations has doubled in the past 20 years (Singh et al., 2021) The land area allocated to rubber production is increasing rapidly in less traditional growing countries, including Myanmar, Cameroon, Côte d'Ivoire, Nigeria and the Congo Basin (Gitz et al., 2020) Climate change is already impacting rubber production due to drier seasons and more variable precipitation (Pinizzotto et al., 2021) Higher temperatures will likely reduce latex flows and therefore yields (Ismail & Gohet, 2021) As rubber is never planted in areas with average temperatures above 28°C, higher temperatures will likely have a severe	• The spatial extent of rubber plantations in South East Asia is now equivalent to two-thirds that of palm oil (Warren-Thomas et al., 2018) • 3m ha of forest loss in the Mekong region can be directly attributed to the expansion of rubber cultivation since 2000 (Ecofys, 2018) • In Thailand, rubber plantations located on long-established cultivated land generate emissions of 0.5 tCO₂e/tonne of concentrated latex; on land where forest has recently been cleared for rubber production, the emission factor is 20 times higher (13 tCO₂e/t latex) (Jawitt et al., 2010) • Climate-driven geographical shifts in land suitability for rubber production are predicted in China (Liu et al., 2015), India (Ray et al., 2015), Malaysia (Hazir et al., 2018) and the Greater Mekong sub-region (Golbon et al., 2018). • Pestalotiopsis (a fungal leaf-fall disease), first detected in Indonesia in 2016,	• Rubber plantations constitute carbon stocks that are comparable to or exceed sub-humid, humid and temperate agroforestry or forestry systems and some tropical agroforestry systems (Brahma et al., 2016). When planted on degraded land, rubber plantations can serve as an effective mitigation approach (Brahma et al., 2017; Jong et al., 2021) • Increase the use of rubber wood to reduce the need for additional wood collection in forests and for timber plantations: e.g. 80% of wooden furniture in Malaysia is now made from rubber wood (Ratnasingam et al., 2018) • Promote the use of rubber or rubber wood as alternatives to fossil fuels: e.g. for bio-energy production (Riazi et al., 2018; Waewsak et al., 2020) and as a replacement for synthetic polymers (Micu, 2019) • Promote evaporative cooling and moisture recycling from rubber plantations to the atmosphere (Nouvellon et al., 2021) • Intercrop rubber plants with native tree species rather than monoculture (Penot et	• Reduced intrusion of rubber plantations into natural forests and hence retention of undisturbed carbon sinks (Grogan et al., 2019; Cho et al., 2022) • Enhanced carbon sequestration by existing rubber plantations (Singh et al., 2021) • Moving away from monoculture as a climate adaptation measure can provide shade, enhance soil nutrients, prevent moisture loss and reduce pest damage, potentially boosting yields and incomes for farmers (Esekhade et al., 2021) • Irrigation measures reduce the impacts of drought and keep rubber trees cooler (Mangmeechal, 2020) • Breeding can produce high yielding, climate-resilient and disease-resistant clones (Jacob et al., 2021).

	impact on production (Jacob et al. 2021). Rubber plantations are particularly vulnerable to extreme rainfall events and high wind speeds (Chen et al. 2021; Qi et al. 2021) Most pests and diseases associated with rubber are influenced by climatic conditions (Mazlan et al. 2019)	is increasing rapidly, driven by wetter and more prolonged rainy seasons, and has reduced latex yields by more than 30% (Febbiyanti. 2021). It has since spread to Malaysia, Thailand and Sri Lanka (Chelong et al. 2020)	al. 2020) and with fruit crops, vegetables, legumes and natural flora (Déo-Gratias et al. 2018; Kadir et al. 2022) • Introduce management measures including shading young plants, mulching, irrigation, reducing surface runoff and using rain guards to protect the bark (Blagodatsky et al. 2021; Gay et al. 2021) • Extend rotation lengths to increase carbon stocks (Nizami et al. 2014) • Support breeding with genomic assisted selection and collection of wild germplasm (Isarangkool Na Ayutthaya et al. 2017; Wiiesuriya. 2021)	
Sustainable agroforestry: coffee	Between 2001-2015, coffee plantations replaced ~2 million ha of forest globally, of which 1.1 million ha were for robusta coffee and 0.8 million ha were for arabica coffee (Goldman et al. 2020) Demand for coffee is expected to triple by 2050; unless growers can significantly increase coffee productivity per hectare, the industry will need to increase the area under coffee production commensurately (Nab & Maslin. 2020) GHG emissions attributable to coffee-driven deforestation amount to ~20 million tCO₂e/year (Treanor & Saunders. 2021) Coffee is categorised as a 'highly sensitive' plant to climate change (DaMatta et al. 2018); extensive	• Aside from Brazil, where increases in coffee production are being driven by technology, in nearly all other countries deforestation is the primary driver of increasing coffee production (Baker. 2014) • Expected climate change in Brazil may lead to a ~60 % reduction in the area suitable for coffee production in unshaded plantations by 2050 (Gomes et al. 2020) • Climate-driven reductions in suitability are predicted in 90% of Nicaragua's coffee-growing areas, with lower elevations particularly impacted (25-50% projected suitability reductions) (Läderach et al. 2017) • Approximately 15% of Peruvian coffee-growing areas will require systemic climate adaptation	• Cocoa and coffee are similar crops with overlapping areas of production, that can effectively be produced under sustainable agroforestry • Coffee can serve as an agent of reforestation (Somarriba & Lopez-Sampson. 2018) • Identify agricultural land that may become less productive for current use and more suitable to coffee production (such as higher elevations), where sustainable / shade-grown coffee can be introduced (Rahn et al. 2018; López et al. 2020) • Identify coffee production areas that are vulnerable to specific facets of climate change (changes in temperatures, rainfall variability, pests, etc.) and implement appropriate sustainable management actions, including:	• Coffee production with appropriate agroforestry can significantly enhance carbon sequestration (particularly when conducted on degraded land) (Justine et al. 2019; Zaro et al. 2020; Goncalves et al. 2021), as well as reduce pressure on existing forest (Nijmeijer et al. 2019; Fitch et al. 2022) • Climate-adapted production systems – with appropriate geography, agroforestry and management systems – can maintain coffee output in the face of adverse climate change (Kumar et al. 2018; Mulinde et al. 2019) • Adaptation actions relating to coffee production provide a disproportionately effective means of reaching smallholder farmers and enhancing their climate resilience (Shapiro-Garza et al. 2019; Jawo et al. 2021)

reductions in agro-climatic extent (and spatial drift) of suitable growing areas are anticipated ([Bunn et al, 2015](#); [Pham et al, 2019](#)), as well as reductions in yields ([Kath et al, 2020](#)), impaired beverage coffee quality ([Gokavi & Kishor, 2020](#)) and greater pest incidence ([Ziska et al, 2018](#); [Lemma & Megersa, 2021](#)).

In the next 30 years, 75% of available, unforested land suitable for Arabica farming will be lost due to climate change, and 63% of similarly suitable land for Robusta farming ([Sachs et al, 2019](#))

Coffee is predominantly a family farmer's crop, produced by an estimated ~20 million farms, of which 70-80% are smallholder households ([Bacon et al, 2017](#); [Panhuysen & Pierrot, 2020](#)) and a large majority are climate-vulnerable ([Eakin et al, 2014](#); [Harvey et al, 2018](#); [Guido et al, 2020](#))

- to remain viable ([Morales et al, 2022](#))
- Local production systems in Uganda are maladapted to future climate conditions: without adaptation, coffee production in Uganda will likely become uneconomic in most of the country ([Bunn et al, 2019](#))
- 39-59% of the current coffee-growing area of Ethiopia could experience climatic changes that are large enough to render it unsuitable for coffee farming ([Moat et al, 2017](#))
- Four of the top five producing countries are expected to become less suitable for growing by 2050 ([Gruter et al, 2022](#))
- Processing of coffee beans results in considerably higher GHG emissions (~2.5 tCO₂e/t coffee beans) than cocoa or palm oil processing, largely due to methane emissions from wastewater and landfilled pulp ([Wainaina et al, 2021](#))
- Introduce agroforestry systems that provide at least 50% shade cover and provide fruit, firewood, timber and other climate resilience benefits to farmers ([Nesper et al, 2017](#); [Rice, 2018](#); [Harvey et al, 2021](#))
- Introduce incentives for local stakeholders to safeguard production areas, including improved land tenure security and crop consistency (and hence higher farm-gate prices) ([Alemie & Amsalu, 2020](#); [Nghiem et al, 2020](#))
- Replant coffee plantations with disease-resistant cultivars ([Avelino & Anzueto, 2020](#))
- Provide incentives for local stakeholders to identify valued conservation areas for set-aside forest protection, that may hold cultural significance as well as provide biodiversity reservoirs to increase ecosystem resilience ([Gladkikh et al, 2019](#); [Verbarg et al, 2019](#))
- Introduce or scale-up appropriate agroforestry practices, such as introduction of native trees and crops (intercrops or companion plantings) ([Mariño et al, 2016](#); [Rahn et al, 2018](#))
- Increase the coffee area grown under sustainability standards ([Hagggar et al, 2015](#); [Elliott, 2018](#))
- Promote downstream bio-energy generation using coffee residues – e.g. gasification using coffee grounds and husks, briquettes, etc. ([Espeulas et al, 2020](#); [Martinez et al, 2021](#))

Cocoa	Between 2001-2015, cocoa farms replaced an estimated 2.3 million ha of forest globally, more than rubber, coffee or plantation wood fibre (Goldman et al, 2020) Cocoa production was responsible for ~1% of global forest loss in the period 1988-2008 (Kroege et al, 2017) Cocoa production remains concentrated in West Africa (primarily Côte d'Ivoire and Ghana) but is expanding rapidly in South America, contributing to Amazonian deforestation (Castro-Nunez et al, 2020; Orozco-Aguilar et al, 2021) Low-shade and no-shade cocoa systems are replacing shade-based systems, with resultant loss of tree cover and carbon storage (Blaser et al, 2018) Prolonged dry periods, increasing mean temperatures, erratic precipitation and droughts are expected to be key climate change stressors on cocoa production (Bunn et al, 2019; de Sousa et al, 2019; Lahive et al, 2019), exacerbated by indirect effects on companion forest species, cocoa pollinators, and pests and diseases (Arnold et al, 2018; Cilas & Bastide, 2020; Jung et al, 2020; Lima et al, 2022)	• ~10% of Ghana's forest loss since 2001 is attributable to cocoa production (World Bank, 2017); the corresponding statistic for Côte d'Ivoire is almost 3 times higher (UN-REDD, 2016) • 7 of 23 protected areas in Côte d'Ivoire have been partially or almost entirely converted to cocoa production (Bitty et al, 2015) • In Côte d'Ivoire, production of 1 kg of cacao beans is associated with emissions of ~1.5 kg CO₂e, with the high emission factor attributable to extensive deforestation (Vervuurt et al, 2022) • Cocoa farming in West Africa is sensitive to changes in climate, notably: the maximum temperature reached during the year and the length and intensity of the dry season (Läderach et al, 2013; Black et al, 2020; Wongnaa & Babu, 2020) • Climate aridification since the 1960s has already significantly reduced cocoa production in the eastern forest belt of Côte d'Ivoire (Ruf et al, 2015) • Climate change will shift the geography of cocoa production in West Africa, with Ghana, Nigeria and Togo being negatively impacted – potentially significantly – and new growing opportunities arising in	• Cocoa and coffee are similar crops with overlapping areas of production, that can effectively be produced under sustainable agroforestry • Cocoa can serve as an agent of reforestation: e.g. on previously cleared pastureland (Schroth et al, 2016; Middendorp et al, 2018) • Identify agricultural land that may become less productive for current use and more suitable to cocoa production (such as higher elevations), where sustainable / shade-grown cocoa can be introduced (Herawati et al, 2021; Sassen et al, 2021; Singh et al, 2021) • Identify cocoa production areas that are vulnerable to specific facets of climate change (changes in temperatures, rainfall variability, pests, etc.) and implement appropriate sustainable management actions, including: • Introduce agroforestry systems that provide at least 50% shade cover to mitigate temperature spikes and moderate humidity changes to reduce likelihood of plant mortality and improve consistency of fruit production (Jezeer et al, 2017; Roth et al, 2017; Niether et al, 2020) • Introduce incentives for local stakeholders to safeguard production areas, including improved land tenure security and crop consistency (and hence higher farm-gate prices) (Boeckx et al, 2020;	• Effective agroforestry systems can mitigate the effects of climate change and maintain up to 75% of the area suitable for coffee production (Gomes et al, 2020; Gusli et al, 2020; Arimi & Omoare, 2021) • Agroforestry techniques have proven efficacy in addressing climate change stressors, including reduced water availability, excessive heat and wind damage (Apuri et al, 2018; Somarriba et al, 2018; Fisher-Ortiz, 2022) • LISA technologies safeguard food security and combat the negative impacts of climate change on productive land (Sarkar et al, 2020)
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		Cameroon and Liberia (Schroth et al., 2016) • Climatic variability is reducing cocoa yields in Cameroon, including via poor pod formation and increased incidence of pests and diseases (Suh et al., 2022) • Brazil will likely experience a 37% and a 73% reduction in land areas suitable for cocoa expansion under RCP 4.5 and RCP 8.5, respectively (Igawa et al., 2022)	Folefack & Darr, 2021) • Provide incentives for local stakeholders to identify valued conservation areas for set-aside forest protection, that may hold cultural significance as well as provide biodiversity reservoirs to increase ecosystem resilience (Santiago et al., 2018; Osei-Owusu & Frimpong, 2019) • Introduce or scale-up appropriate agroforestry practices, such as introduction of native trees and crops (intercrops or companion plantings) (Apuri et al., 2018; Niether et al., 2020; Saputra et al., 2020) • Introduce viable low-input sustainable agriculture (LISA) technologies in low-income countries (Gertsis & Vasilikiotis, 2018) • Encourage (through, for example, awareness raising, provision of seedlings and training on non-timber forest products) the use of native species in rural and peri-urban agro-ecosystems (Asigbaase et al., 2019; Braga et al., 2019)	
Timber	Clearing of forests for timber accounts for ~25% of global deforestation, just behind commodity production (27%) (Curtis et al., 2018); logging is also a major driver of forest degradation (Pearson et al., 2017; Ken et al., 2020) Timber production is responsible for ~13% of the GHG emissions from tropical deforestation and	• Logging accounts for up to ~78% of forest-related GHG emissions in India, ~24% in Indonesia and ~10% in South America (Pendrill et al., 2019) • Globally, timber production may experience a net increase due to climate change: ~8% by 2100 under RCP 2.6 and ~30% under RCP 8.5. However, the largest increases	• Improve the efficiency of primary wood utilisation, which can serve to reduce the rate of harvesting (McEwan et al., 2020; Iwanaga et al., 2021) • Promote the productive use of wood waste (bio-energy, plywood, etc.) (Simangunsong et al., 2017; Dulys-Nusbaum et al., 2019; Swinton et al., 2021) • Increase the forest area grown under certification standards	• Application of sustainable on-site timber production techniques, selection of appropriate sites (degraded land, denuded agricultural land) for extensification of timber production, substitution of materials for harvested wood products and fuller utilisation of timber residues offer substantive carbon sequestration and avoided emissions benefits (Marchi et al.,

degradation ([Pearson et al., 2018](#))

Global demand for timber is set to triple by 2050 ([FAO, 2022](#))

Inefficiencies in primary wood utilisation and under-utilisation of wood waste contribute to unnecessary timber harvesting and associated GHG emissions ([Aalmo et al., 2019](#); [Charis et al., 2019](#); [Pandey, 2022](#))

The timber industry is vulnerable to climate change ([Andersson et al., 2017](#); [Brecka, 2018](#); [Subramanian et al., 2019](#); [Brecka et al., 2020](#)), notably die-back driven by temperature and moisture changes ([Deb et al., 2017](#); [Ofoegbu et al., 2017](#); [Shvidenko et al., 2017](#)), damage from increasingly frequent extreme events (heatwaves, fires, floods, storms) ([Keskitalo et al., 2016](#); [de Oliveira et al., 2018](#); [Da-Rocha et al., 2021](#)), and pests and diseases ([Wyka et al., 2016](#); [Pureswaran et al., 2018](#); [An et al., 2019](#); [Zaiton et al., 2020](#))

Timber management approaches rarely incorporate carbon sequestration or community resilience objectives ([Torres-Rojo et al., 2016](#); [Sheppard et al., 2020](#); [von Hedemann et al., 2020](#))

will likely occur in temperate and boreal regions – the tropics may experience reductions ([Favero et al., 2021](#)); there will be considerable intra-regional shifts and disruption ([Tian et al., 2016](#)); and the majority of timber producers, and particularly smallholders, are ill-equipped to adapt ([Keenan, 2015](#); [Jandl et al., 2018](#))

- A number of key timber supply countries, including Colombia, Mexico, Tanzania, DRC and Vietnam, appear to be in 'timber deficit', meaning the total area of forest currently used exceeds the area designated for production: there is a significant risk that any further supply from these countries can only come from areas designated for forest conservation ([Dean, 2016](#))
- Logging in violation of national laws may account for ~8-10% of global timber production ([Nguyen & Cao, 2020](#))
- Climate-linked wind damage is predicted to increase in many temperate forests ([Potter et al., 2022](#)); wildfire frequency and extent will increase in temperate and tropical areas ([Mansoor et al., 2022](#)); and water stress will negatively impact timber yields in many tropical areas ([Lam et al., 2020](#))

([Halalisan et al., 2018](#); [Wibowo et al., 2018](#)) and in compliance with national laws ([Guan et al., 2017](#); [Torres-Rojo, 2021](#))

- Select and breed fast-growing tree species that accelerate carbon sequestration and are adapted to expected climate change ([Pilipović et al., 2018](#); [Isabel et al., 2019](#); [Ahtikoski et al., 2020](#))
- Promote win-win strategies that boost timber yields and promote carbon sequestration, such as protecting trees from predation and replacing low-productivity forests with more vigorous stands ([Bellassen and Luyssaert, 2014](#), [Pukkala, 2018](#))
- Deploy reduced-impact logging techniques, which can reduce GHG emissions by almost half while maintaining timber production ([Ellis et al., 2019](#); [Umunay et al., 2019](#))
- Reforest degraded land with timber plantations ([Veintimilla et al., 2018](#); [Rodríguez & Sabogal, 2019](#); [Briceño et al., 2020](#))
- Promote mixed-species timber plantations to diversify away from climate risks ([Pukkala, 2017](#); [Liu et al., 2018](#))
- Promote the use of harvested wood products in applications (furniture, buildings, etc.) that serve as durable carbon stores ([Jordan et al., 2018](#); [Johnston & Radloff, 2019](#)), as well as alternatives to materials with large carbon footprints (e.g. steel, plastics, cement) ([Leskinen et](#)

[2018](#); [Ezquerro et al., 2019](#); [Piponi et al., 2019](#))

- Modification of tree species (and mix) and the introduction of adapted management techniques can serve to avoid, or reduce the impacts of, climate change stressors ([Halofsky et al., 2018](#); [Jhariya et al., 2019](#); [Ontl et al., 2020](#)), as well as sustain the livelihoods of forest-dependent communities ([Lescuyer et al., 2016](#); [Lin et al., 2019](#); [Nambiar, 2019](#))

			al, 2017; Breton et al, 2018; Švajlenka & Kozlovská, 2020) - Promote tenure and property rights that incentivise long-term, sustainable wood harvesting (Aggarwal et al, 2021; Sarfo-Adu, 2021) - Build smallholder capacities and incentives to adopt sustainable logging practices and adapt to anticipated climate change (Arvola et al, 2019; Susilawati et al, 2019)	
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B.2 (b). Outcome mapping to GCF results areas and co-benefit categorization

Fill in the GCF results area table below to map each project/programme outcome identified in section B.2(a) to the contributing GCF results area(s) by referring to the description of eight results areas provided in the guidance note.

OUTCOME	ALIGNMENT WITH RESULTS AREA
Outcome 1: Scalable, replicable commercial models developed for deforestation and peat free commodity production	Outcome 1 aligns with result area: - MRA 4 – as Fund investments will transform agri-commodity supply chains to deforestation and peatland development free, yielding large scale mitigation. - ARA 2 – investments benefit supply-chain farmers by increasing yield (and hence income) and improving resilience of production through better agricultural practices and genomes, as well as diversification of crops and improved land tenure.⁷⁴ - ARA 4 – investments conserve and densify existing forests as well as restore or reforest degraded lands, protect riverine zones/watercourses and protect biodiversity corridors and hotspots. Areas under cultivation are managed more sustainably/ and are less extractive. Together these improve &/or protect ecosystems and ecosystem services. This has a compounding effect of improving hydrological stability in microclimates, and water availability and security for human and agricultural use (linked to ARA 2).
Outcome 2: Technical Assistance Facility supports enabling environment for forest protection and climate resilient commodity production	Outcome 2 aligns with result area ARA 4 as the Fund will enable resilience in ecosystems through forest protection and sustainable commodity production.
1. CO-BENEFIT: Increased proportion of women engaged in commodity production	Co-benefit 1 relates to gender co-benefits - the programme will promote more inclusive participation in commodity supply chains.

⁷⁴ For both mitigation and adaptation outcomes, the level of control and tenure is determined by &Green in deal-specific Landscape Protection Plans, which determine the scope from which mitigation impact is derived. Typically, the supply chains &Green finances have reasonable land tenure clarity, and where this is not the case, such tenure is promoted as part of the ESAPs. Investees are contractually obligated to monitor and report land tenure and use rights to &Green and seek approval for amendment if changes occur. If necessary, &Green will then revise results and targets for the transaction. This is set out in the accompanying Investment Principles document.

2. CO-BENEFIT: Elimination of exploitation in commodity supply chains	Co-benefit 2 relates to social co-benefits related to the creation of more ethical commodity supply chains.
3. CO-BENEFIT: Improved soil quality and reduced soil erosion	Co-benefit 3 relates to environmental co-benefits resulting from land placed under more sustainable production practices and positive biodiversity impacts.

Outcome number	GCF Mitigation Results Area (MRA 1-4)				GCF Adaptation Results Area (ARA 1-4)			
	MRA 1 Energy generation and access	MRA 2 Low-emission transport	MRA 3 Building, cities, industries, appliances	MRA 4 Forestry and land use	ARA 1 Most vulnerable people and communities	ARA 2 Health, well-being, food and water security	ARA 3 Infrastructure and built environment	ARA 4 Ecosystems and ecosystem services
Outcome 1	☐	☐	☐	☒	☐	☒	☐	☒
Outcome 2	☐	☐	☐	☒	☐	☒	☐	☐

If any co-benefits have been identified in section B.2(a), fill in the Co-benefit table below to map each co-benefit to the corresponding category as defined in the FP guidance note.

Co-benefit number	Co-benefit					
	Environmental	Social	Economic	Gender	Adaptation	Mitigation
Co-benefit 1	☐	☐	☐	☒	☐	☐
Co-benefit 2	☐	☒	☐	☐	☐	☐
Co-benefit 3	☒	☐	☐	☐	☐	☐

B.3. Project/programme description (max. 2500 words, approximately 5 pages)

&Green Fund – Investing in Inclusive Agriculture, Protecting Forests

41. Note on terminology: “&Green Fund refers to the combination of Stichting andGreen.fund and the scalable investment vehicle suitable for commercial investors. **Stichting andGreen.fund** (“**Stichting**”) is the existing legal entity through which investments are made currently and since inception in 2017. **&Green B.V.** refers to the type of entity that will be established as a scalable investment vehicle by the Stichting. **Scalable investment vehicle** is the financial instrument and/or legal entity which the Stichting will establish under output 1.1 to attract commercial investors, the form of which is the &Green B.V.
42. Stichting AndGreen.Fund was launched in 2017 to support the transformation of global supply chains by de-linking them from deforestation and exploitation and producing a positive social and climate change impact.
43. &Green Fund brings to the mainstream a model for financing socially inclusive, sustainable and deforestation-free commodity production that is commercially viable and replicable, strengthening the case for a rural development paradigm that protects valuable forests and peatlands and supports high-productivity agriculture. It achieves this by providing technical assistance and by offering finance to producers with conditions that require both the adoption of sustainable agricultural practices and the commitment to protect existing forest, restore forest where appropriate, and be socially inclusive in approach. &Green Fund transactions create blueprints for sustainable land use and management that other market players can adopt, replicate and scale significantly; thereby making &Green Fund’s and GCF’s initial investment in the market transformational.
44. &Green Fund will scale up commercial investment in tropical agricultural supply chains while transforming them to be no deforestation and socially inclusive at a landscape level. Investments include those targeting forest and peat conservation and restoration embedded in landscapes of sustainable and regenerative agriculture. Target sectors are the major supply chains driving deforestation, such as livestock, palm oil, soy, rubber, cocoa and forestry.

45. &Green Fund promotes sustainable intensification and higher productivity on existing agricultural land to meet growing demand for food. Producing more food on existing land reduces the demand and incentives for deforestation for agricultural production, and is essential to stopping deforestation AND meeting food security. That is, sustainable intensification rather than destructive extensification.
46. &Green Fund currently has approximately USD 180 million under management, with key investors including Norway (NICFI), FMO, Unilever, the United Kingdom (through the FMO-managed Mobilising Finance for Forests programme), the Global Environment Facility (GEF) and a private sector reinsurance company.⁷⁵
47. The initial investments of the USD 142.75 million portfolio of Stichting AndGreen.Fund demonstrate the &Green Fund concept, using largely non-commercial funding. To match the size and urgency of the deforestation challenge, larger amounts of private sector contributions are needed. These are difficult to secure until the Fund reaches sufficient scale. The GCF investment will provide the Fund with the patient capital that will allow &Green Fund to accelerate and reach the scale and private sector de-risking required to achieve transformational change, creating a portfolio, structure and scalable investment vehicle that attracts private sector investors.
48. The &Green Fund has a dedicated Technical Assistance Facility (TAF), launched in 2020, in terms of which it manages TA services in cooperation with IDH – the Sustainable Trade Initiative⁷⁶. The &Green Fund will continue to work through an extension of its existing TA partnership with IDH to implement Component 2 of the Funded Activity. This is because the cooperation agreement (and the PCU established in terms of that agreement) are an efficient mechanism identified as being well suited to managing the TA component of this programme (please see Section B.4, Implementation Arrangements for further details).
49. IDH was the incorporator of the Stichting AndGreen.Fund. An incorporation of an entity refers to the legal process by which an entity is formed. IDH and &Green Fund work collaboratively on a number of aspects, including the TAF. For avoidance of doubt, IDH is not a contributor to the Fund and does not have any shares or ongoing responsibility in the operations of the &Green Fund. IDH also has no legal or governance role within the Stichting.
50. Through its sustainable supply chain engagements, its country offices, and through the international sustainable landscapes programme, IDH works closely with public and private actors, in key jurisdictions for the Fund, to develop potential projects of interest for &Green Fund, and to support local government in meeting the Fund's Jurisdictional Eligibility Criteria.
51. The &Green Fund TAF aims to reduce risk and maximise the impact of the &Green Fund (potential) investment projects, by supporting investment-readiness, monitoring, post-investment client support and sharing of lessons and knowledge from the Fund and its investment projects with third party stakeholders. Under the TAF, project implementation and other work such as knowledge product development may be contracted to and with other partners (see section G.3. regarding procurement arrangements).
52. &Green Fund, especially on land and forest governance, supports and requires its investees to engage with communities and local, regional and national governments. These engagements are often enabled by its long-term supply chain and landscape convening partner, IDH, or other convening organisations⁷⁷, and its clients' partner implementing organisations on the ground in the majority of &Green Fund target regions. In implementing Component 2, the &Green Fund may choose to cooperate with other conveners (such as Conservation International, The Nature Conservancy, etc.,) in geographies where their networks and presence are better established (please refer to section G.3).
53. &Green Fund provides senior and subordinate long-term loans to finance commercially sustainable commodity supply chain projects. They include quantitative, output-based, environmental and social inclusion criteria and targets to measure transformational change progress, loan suitability and impact performance.
54. &Green Fund catalyses investment into jurisdictions where local and host government authorities are also committed to reducing deforestation, and are actively taking steps to work with the private sector, communities and civil society to protect forest and peatlands. This Jurisdictional Eligibility Criteria Assessment (JECA)⁷⁸ process is mandatory prior to investment and assures investors that the policy context of the investment is amenable and supportive of the transformational changes sought. The JECA is conducted by SAIL Ventures under a mandate from the Stichting. The Fund triggers a JECA once prospective investments are identified. In an initial assessment, the JECA evaluates the following criteria:

⁷⁵ Funds under Management refers to all capital under the management of the &Green structure typically. The Fund aims to invest funding drawn down from Contributors and place them as soon as possible in underlying projects, i.e. we draw funds when it has projects to invest in. Currently USD 142.5 million (approx) is committed to underlying portfolio projects, meaning there is still some funding (from MFF and Unilever) which has not yet been drawn and invested, but it is expected that this will be committed, drawn and invested in the remainder of 2022.

⁷⁶ Translated from the original Dutch: "Initiatief voor Duurzame Handel" (IDH)

⁷⁷ A "convener" or "convening partner" is a partner who facilitates or enables engagement with local stakeholders.

⁷⁸ <https://www.andgreen.fund/#jurisdictional-eligibility-approach>

55. Scope: the amount and quality of forest / peatland potential is significant and highly relevant from a global perspective; and
56. Ambition & Strategy: There is a clear strategy with targets tracking the reduction of deforestation against historic trends in the jurisdiction. Of the proposed countries, &Green Fund has approved JECAs for Para and Mato Grosso (Brazil), Colombia, Indonesia, Ecuador, Gabon, Liberia, Zambia, and Lao PDR. Typically, such assessments take 2-3 months prior to their presentation in the Advisory Board. The remaining target jurisdictions (Cameroon, Côte d'Ivoire and DRC) will be tackled in late 2022 or early 2023⁷⁹. Note that the JECA process is paid for via the Fund's operating expenses (and would not be financed directly by GCF).
57. To prove the viability of the business model, the &Green Fund has already begun building its investment portfolio.⁸⁰ Currently, the Fund has seven portfolio investments accounting for USD 142.75 million.⁸¹ These investments are:
- USD 30 million loan to FS Agrisolutions in Brazil for the grain supply chain (corn and soy).
 - USD 10 million loan to Agropecuária Roncador Ltda (Roncador) in Brazil for its integrated cattle-and-soy project at scale.
 - USD 30 million loan to Marfrig Global Foods S.A. in Brazil within the cattle production supply chain.
 - USD 7 million loan to Agropecuaria Bambusa S.A.S. (Hacienda San Jose (HSJ)) to enhance cattle production.
 - USD 12 million loan to PT Hilton Duta to reduce deforestation in their palm oil operations in West Kalimantan, Indonesia.
 - USD 30 million loan to PT Dharma Satya for their upstream palm oil supply chain in Indonesia.
 - USD 23.75 million purchase of notes for PT Royal Lestari Utama for the development of three sustainable rubber concessions.
- For more information on the investment summary, rationale for each investment and the expected environmental and social impacts, see Section 2.2. of the feasibility study.
58. The &Green Fund aims to invest in countries with significant tropical forests under threat from agricultural expansion and where the largest opportunities for transformational change exist. This includes, during the lifetime of the GCF investment: **Brazil; Indonesia; Colombia; Cameroon; Côte d'Ivoire; Democratic Republic of the Congo; Ecuador; Gabon; Lao People's Democratic Republic (PDR); Liberia; Zambia.** See Figure 2 for visual representation of target countries.

⁷⁹ In case assessments are not successful, the assessments also draw a conclusion on what additional information is needed or how policy frameworks would need to develop to provide a conducive environment for &Green investments, and supportive activities would be developed in collaboration with relevant stakeholders in the jurisdiction under Output 2.1, in order to address such barriers.

⁸⁰ Two of the seven portfolio companies – Marfrig Global Food (BVMF:MRFG3) and PT Dharma Satya (IDX: DSNB) are publicly listed in their countries. Their financial information can be found at <https://ri.marfrig.com.br/en/informacoes-financeiras/relatorios-anuais> and <https://dsn.co.id/investor/annual-report>. See the accompanying document titled '&Green Portfolio' for further information for the remaining portfolio investments.

⁸¹ For more information on &Green's existing portfolio, see <https://www.andgreen.fund/portfolio/>



Figure 2 Map of target & Green Fund countries

59. Detailed contextual information relating to socioeconomic background, demography and financial landscape for each target country is presented in the feasibility study – see appendices 3 and 4.
60. The deforestation profiles of the target jurisdictions are provided in Table 1 above. All the above countries except Lao PDR signed the Glasgow Leaders' declaration on forests and land use on 2 November 2021, committing to "...working collectively to halt and reverse forest loss and land degradation by 2030."⁸² The political commitments underline the need for practical investment tools such as &Green Fund to realise this goal. All of these countries have significant forest cover that is threatened by agricultural expansion and include actions to halt deforestation in their NDCs.
61. The Fund and accredited entity have engaged, and had in-depth discussions, with all 11 country NDAs⁸³ as per the GCF Secretariat's DCP guidance. This engagement ensures country ownership and strengthens their role in the formulation of the programme. As part of the outreach and to initiate the No-Objection Letter (NOL) process, an advanced version of the Funding Proposal has been shared, as well as country specific sections of the Feasibility Study, outlining how the programme aligns with each Country Programme (where relevant), contributes to the country's policies, plans and development priorities, and aligns with existing projects or programmes. Each country has a different No-objection Letter (NOL) process, and the Fund has recognized the need to remain flexible to accommodate different country contexts. As well as the circulation of project information, presentations have been offered and provided to NDAs and relevant agencies and departments where requested, to provide more information and to allow for feedback and comments. This feedback has been included in the Funding Proposal. As of April 2023, all 11 NOLs from target countries have been received. Annex 7 Stakeholder Consultation and Stakeholder Engagement Plan includes details of the programme and sub-project level stakeholder mapping in section 2 and a country-by-country overview of specific consultations with relevant experts and authorities in each country in section 3. See Annex 7 for additional details.
62. &Green Fund works across tropical forest landscapes to support agri-commodity businesses that empower communities, protect forests & optimize production to drive transformational change in global supply chains.
63. &Green Fund sequesters emissions in regrowth, regeneration and densification in forest conservation and restoration, and reduces emissions from deforestation by transforming inefficient agri-commodity businesses associated with deforestation into efficient enterprises that intensify production, build resilience to climate change, and conserve and restore forests.

⁸² COP 26. Glasgow Leaders' Declaration on Forests and Land Use. 2021. Available at: <https://ukcop26.org/glasgow-leaders-declaration-on-forests-and-land-use/>

⁸³ The NDAs represent major tropical forest areas worldwide. Via the NOL process they have welcomed the &Green Fund as an element of their strategy to address deforestation, and agreed to participate in future exchanges, both on mitigation and adaptation impact but also in a number of cases to promote, through the relevant authorities, concrete commercial operations seen as aligned with the NDCs or NAPs (e.g. balsa wood in Ecuador, or cocoa in Brazil).

64. &Green Fund's approach is to finance delinking deforestation from major commodity supply chains by changing the economic incentives available to commercial agricultural players, and through supply chains to smallholder farmers and local communities, and by deploying investments in tropical regions (specifically, areas with significant forest resources and progressive forest and/or peat protection agendas, as identified by the Fund's Jurisdictional Assessment approach). Through its existing &Green Fund TA Facility, IDH enables such investments, by the landscapes program that convenes 'Produce-Protect-Include' compacts in agro-commodity producing landscapes where forests are at risk, as well as by convening supply chains action, co-funding business model innovation and investment readiness initiatives and enabling impact tracking and sharing of lessons.
65. The project builds a virtuous cycle between GHG mitigation and climate resilience, because reducing agri-commodity businesses' vulnerability to climate impacts will reduce per-hectare losses and remove an incentive to advance the agricultural frontier through deforestation.
66. The Fund is sector and supply chain agnostic. However, it prioritizes key sectors associated with most commodity-driven deforestation and highest transformational potential: palm oil, soy, livestock, rubber and plantation forestry.
67. Private sector investors (requiring commercial returns) cannot invest in the current structure of Stichting AndGreen.Fund (existing funding from Unilever is a redeemable grant given for strategic purposes soon after the launch of the Fund – this contribution is not scalable to other private investors), a Dutch Stichting, which was used to date to provide the proof of concept for the pilot portfolio.⁸⁴ Stichting AndGreen.Fund with the investment of GCF is structuring into a scalable investment vehicle wholly controlled by Stichting AndGreen.Fund (a Dutch private company, called a B.V. in the Netherlands) that allows private sector investors to invest commercially at scale. From private sector investors' perspective, the short track record of &Green, the limited diversification of its portfolio and the focus on a narrow sector (emerging markets agri-business) with high-risk perception, the fund will need to offer risk protection to private sector investors as it further scales to attract such investors. While this initial risk protection needs to be substantial, its extent will decrease as the fund matures and grows in size. At around a USD 1 billion portfolio, &Green Fund will have sufficient track record, diversification and cash flows (liquidity) to not need further risk protection (concessionality) to raise further funding.

Proposed programme structure

68. The proposed GCF programme is comprised of two main components. Component One focuses on the establishment and operation of the investment vehicle which will secure co-financing and invest directly in commodity supply chain businesses that embrace no-deforestation production and forest protection. Component Two will further establish and implement the technical assistance services that overcome the capacity and information barriers facing commodity producers and neighbouring communities, while building a community of practice for replication and scale-up for producers in target countries. Both programme components are elaborated in more detail below.
Specifically, Component 1, Output 1.1. focuses on setting up the &Green Fund's structure and investment / disbursement mechanisms. &Green Fund will first establish a scalable investment vehicle suitable for private sector investors. The investment vehicle will take the form of a Dutch B.V. &Green B.V., will be a new and separate entity from the Stichting AndGreen.Fund (established in 2017) but wholly controlled by the Stichting. Once established, co-investment from the private sector, triggered by GCF participation, will be secured from commitments made by potential investors to scale capital disbursements to borrower companies.

Component 1 &Green Financing Facility

Outcome 1: Scalable, replicable commercial models developed for deforestation free commodity production

Executing Entity: Component 1 activities will be implemented by Stichting AndGreen.Fund as Executing Entity.

69. Component 1 drives sustainable investment via **three outputs** that are presented in sequence, though practically they are implemented in parallel, building on the &Green Fund's existing portfolio and experience. SAIL Ventures, an independent Dutch asset management firm, will continue to serve as investment manager for &Green Fund tasked with the operational management of the Fund. Please note that the investment mandate of the &Green

⁸⁴ The Stichting was used because it was the most appropriate vehicle for government donors and specifically for the anchor investor (NICFI) to invest in the Fund's launch.

Fund will always be wholly determined by the Stichting AndGreen.Fund including the authority to dismiss the investment manager if the investment mandate is not maintained.

Output 1.1: the &Green Fund is restructured as a Scalable Investment Vehicle

This investment vehicle will include the existing &Green Fund resources and assets and allow investment by the GCF as well as commercial investors (particularly institutional investors such as pension funds and insurance companies, strategic corporates and family offices), enabling the Fund to launch and operate at scale.

Activity 1.1.1. Establish the scalable investment vehicle

70. Once the programme receives GCF approval, the &Green Fund will incorporate the new investment vehicle as a B.V. This new investment vehicle will receive a transfer of assets from the existing Stichting AndGreen.Fund. Assets, referring to the underlying loans from the current portfolio, will be transferred to the B.V. This is allowable as per the loan agreements previously signed. The value of this equity is determined at current valuation of the assets. The B.V. will issue the A Shares to the Stichting and the Stichting will transfer the portfolio to settle the subscription price in-kind. The &Green Fund is thereby restructured to allow investment by commercial private sector investors.
71. The documents showing the evidence to show the establishment of the investment vehicle will be provided, including the presentation of valid certificate of incorporation, bylaws, and bank account for investment vehicle.

Output 1.2: the &Green Fund will recruit private sector co-investment to leverage GCF and existing &Green Fund resources

72. Inflows into the scalable investment vehicle will be tracked and published in &Green Fund's audited annual financial accounts. By the mid-point of the GCF investment period, the Fund expects to mobilize USD 300 million of new investment, with a target of USD 600 million of private sector money mobilized by the end of the period. The Fund is evergreen and expects to attract additional investment beyond USD 1 billion after the GCF's involvement ends. The Fund is already engaged in discussions with commercial investors and has a plan to progress this and ensure commitment. The Fund intends to follow a targeted marketing approach to find anchor investors. This approach includes reaching out to commercial investors through connections, attending commercial conferences and relevant networking events. A confidential summary of &Green fundraising efforts has been provided to the GCF Secretariat.

Activity 1.2.1. Promote &Green Fund to private sector investors

73. While the scalable investment vehicle is established, &Green Fund will implement an outreach and promotional campaign to attract private sector investors. &Green Fund will promote the investment opportunity to large private and public investors via its website, roadshows and other outreach activities, partly supported by its donor investors NICFI and United Kingdom. &Green Fund will engage in discussions with investors to ensure private sector actors are aware of the &Green Fund and understand its objectives. The focus of this activity is to signal to private sector investors that the &Green Fund is a viable investment opportunity that provides exposure to emerging markets and commodity supply chains that are otherwise challenging to access, and the fund has a positive environmental impact and provides opportunity for strong financial returns over the medium term. Investment from the GCF builds credibility, lowers risk perceptions, acts as a catalyst to unlock additional co-investment and de-risks this during the time of investment.

Activity 1.2.2. Negotiate and execute investment agreements

74. For each private sector investor, &Green Fund will engage in thorough due diligence and adhere to the Fund's investor requirements, including those regarding AML/CFT. Once investors are successfully identified and progress through the due diligence process, &Green Fund will negotiate a term sheet and execute the relevant investment agreement. The executed investment documents/contracts provide the evidence for the completion of this activity and set the stage for project-level disbursement.

Output 1.3. Fund capital disbursed to large scale sustainable agriculture projects with robust environmental and social covenants incorporated into lending agreements as events of default

75. &Green Fund catalyses investment into jurisdictions where local and host government authorities are also committed to reducing deforestation and are actively taking steps to work with the private sector, communities

and civil society to protect forest and peatlands. This Jurisdictional Eligibility Criteria Assessment (JECA)⁸⁵ process is mandatory prior to investment and assures investors that the policy context of the investment is amenable and supportive of the transformational changes sought. In an initial assessment, the JECA evaluates the following criteria:

76. Scope: the amount and quality of forest / peatland potential is significant and highly relevant from a global perspective; and
77. Ambition & Strategy: There is a clear strategy with targets tracking the reduction of deforestation against historic trends in the jurisdiction.
78. The Jurisdictional Eligibility Criteria Assessment (JECA) will establish where, in a given jurisdiction, a specific commodity drives deforestation, and will narrow down the scope of the investment universe that is interesting for &Green. The JECA analysis is conducted in house and is based on the analysis of forest cover and deforestation trends (FREL, GFW, local geospatial monitoring platforms, governmental and multilateral institutions reports, academic literature etc.), of the relevant public policies and climate mitigation targets (NDC, REDD+ national strategies, National Communications, National Climate Strategies etc), as well as of the monitoring capacity. &Green assumes forests are degraded:
 - in highly trafficked forest areas, with populations living in or in close proximity to forest;
 - in edge-zones of forests up to 500m⁸⁶ from forest boundaries; and / or
 - in highly fragmented forests (e.g., pockets of <50ha).
79. This is the most likely scenario for &Green's investments and is clearly the case in and around palm or rubber leases, cocoa farms, beside mining sites, along major roads, or in close proximity to urban or peri-urban areas. Annex 22(a) describes how &Green establishes deforestation rates for the target jurisdiction in a conservative manner. The Advisory Board of &Green will determine the validity of the assessment.
80. As part of the Investment Rationale step, the Investment Manager will describe, and justify to the Investment Committee, the reasons why, how and to what extent the transaction can reduce deforestation/forest degradation risk.
81. During the Deal Note stage, the Investment Manager will establish the historic deforestation rates in the Area of Assessment (i.e. the landscape in which &Green seeks to create impact), including its causes and a baseline scenario in the absence of the transaction. Significant deviations from the FREL rates used for the avoided deforestation calculations are identified at this stage. As &Green acts at the deforestation frontier, these actual historic rates are typically higher than the FREL: therefore, the calculation of avoided deforestation (which uses the 'official' FREL rates) results in lower – i.e., more conservative – mitigation benefits than will actually be achieved in reality. The calculations (parameter values, assumptions, etc.) are fully documented and must be justified to the Investment Committee.
82. During the Credit Application stage, independent third-party consultants will further assess deforestation risks, and the Investment Manager, in collaboration with the client, will determine in the Landscape Protection Plan the scope and mechanism for forest protection, as well as the MRV strategy to evidence it.
83. Once part of the &Green portfolio, the deforestation rate is tracked on an on-going basis using satellite tools and publicly accessible databases.
84. Mitigation impact is calculated based on forest protection in areas where the deforestation risk is clearly associated with the commodity, including, as referred to under (a) above, in a way that it can be disaggregated as per level of assurance of the attribution.
85. The process described ensures that the deforestation-related emissions in the project area are typically considerably greater than the avoided deforestation mitigation benefits that are calculated and claimed using the conservative FREL approach (as described in Annex 22a).
86. In Annex 21 - Operations Manual, the respective steps are linked to the detailed description in the Investment Principles and subordinated guidance.
87. Once established, continued jurisdictional eligibility is dependent on subsequent biennial positive assessment of progress on the following criteria:
88. Timely progress towards milestones indicated in the strategy of the jurisdiction, on a trajectory towards the targets for reducing deforestation;
89. A transparent MRV system is operational to monitor, report and verify reductions in deforestation, and where relevant, forest and peat degradation, in the jurisdiction;
90. Social & Environmental Safeguards: Progress shown towards implementation of the Cancun Agreement.

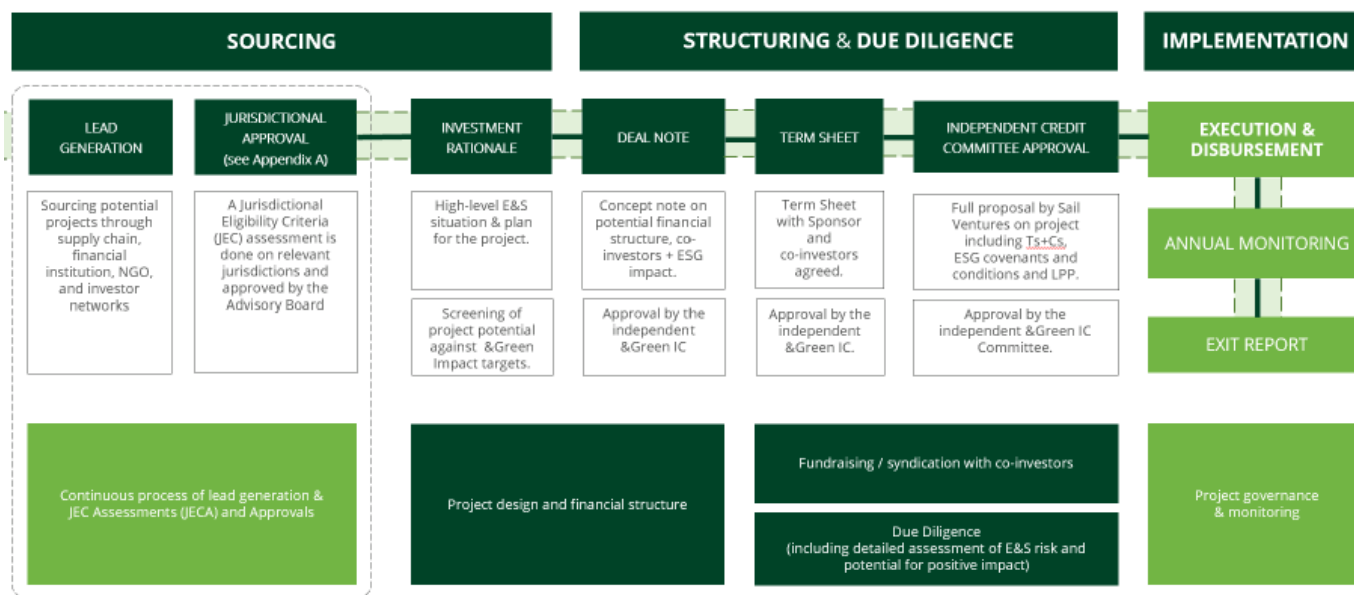
⁸⁵ <https://www.andgreen.fund/#jurisdictional-eligibility-approach>

⁸⁶ The 'edge-zone' varies with forest-type and incursion intensity and type. 100m is typically a minimum distance, and edge effects have, on occasion, been seen more than 1km from the forest boundary.

91. The Fund will continue to develop its investment pipeline and disburse Fund capital to transformational agricultural projects with robust environmental and social covenants incorporated into lending agreements. These covenants align producer incentives for more efficient and intensified production with reduced expansion into forested areas and increased social protections for workers and communities. &Green Fund's current investment portfolio is USD 142.75 million. The Fund is targeting USD 400 million by mid-term and USD 900 million by the end of the GCF programme.

92. &Green Fund's typical investment cycle is summarized in Figure 4 below:

Figure 3: &Green typical investment cycle



Activity 1.3.1. Identify portfolio companies and tailor investment to business needs

93. The Fund will continue to develop its investment pipeline of transformational agricultural projects to add to the existing portfolio investments. For each potential investment, &Green Fund will follow the sourcing process summarized in Figure 4, including checks for jurisdictional approval including published JEC assessments; due diligence that includes environmental and social risks and the potential for positive impacts; and ensuring the investment rationale aligns with the goals of the Fund.

Activity 1.3.2 Disburse capital to large scale sustainable agriculture projects with robust environmental and social covenants

94. The Fund will negotiate commercial lending agreements and disburse funds to target companies that pass the rigorous due diligence and agree to robust environmental and social covenants incorporated into lending agreements. Key deliverables include executed investment documents / contracts (confidential) and periodic financial disbursement summaries.

95. The &Green B.V. will sign LMA based loan agreements (which may also be called facility agreements) with its borrowers. Those agreements will include the E&S clauses required to implement the Investment Principles in each case. &Green B.V. will be the lender of record in the financing agreements.⁸⁷

Activity 1.3.3. Monitor and manage financial performance

96. &Green Fund will monitor investee companies' performance, and enforce the financial and other terms of the investment agreements. The financial performance of the Fund's portfolio companies will be published in semi-annual / annual financial statements.

97. Activities 1.3.1., 1.3.2., and 1.3.3. will contribute to achieving Output 1.3.

Component 2: &Green Fund Technical Assistance Facility

⁸⁷ While it has not occurred yet, to the extent that any licence is required in order to make a specific loan to a specific borrower in a specific Host Country - any required licence will be obtained as part of the implementation of that specific transaction.

Outcome 2: Technical assistance services to support an enabling environment for forest protection and climate resilient commodity production

Executing Entity: Component 2 activities will be implemented by Stichting &Green Fund as Executing Entity⁸⁸.

98. **Component 2** further contributes to the implementation of the &Green Fund TAF, the services of which will be delivered through an extension of the existing Cooperation Agreement between the Stichting and IDH.⁸⁹ The TAF helps to overcome the many information, coordination, technical and policy/regulatory barriers that prevent effective climate action in the tropical agri-commodity sector. Co-financing for the implementation activities will be provided by Stichting &Green Fund. This extension of the TAF will focus on Engagement and Amplification, and enable and strengthen &Green Fund impact through the following workstreams:

- 2.1 Country and sector engagement to improve enabling environment and replication for more and deeper impact.
- 2.2 Business and landscape level TA and engagement, to deepen impact of individual transactions
- 2.3 Strengthening the technical capacities and tools of &Green Fund
- 2.4 Impact monitoring support, to enable investees and the &Green Fund to better monitor social and environmental impacts and practice adaptive management more effectively.
- 2.5 Learning & Knowledge Sharing of successful models for sustainable land management investment, beyond &Green Fund and its projects.

Accessing the &Green Technical Assistance Facility⁹⁰

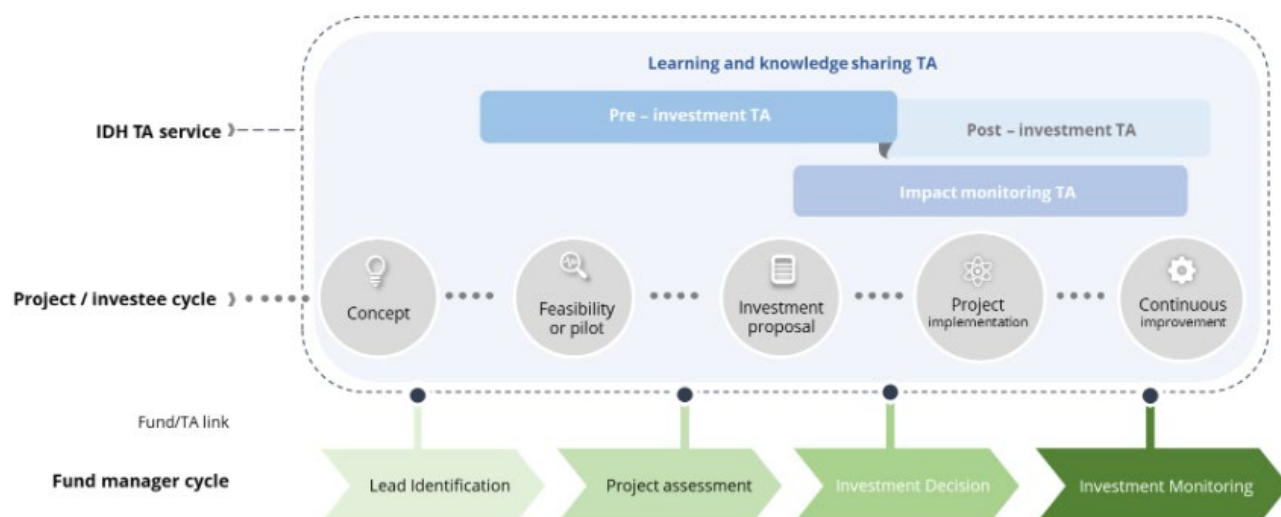
99. IDH has an existing partnership with the Stichting to support the &Green Fund's TAF where the Project Coordination Unit (established by that agreement) decides whether a project in the development and investment pipeline or in the &Green Fund's portfolio is a suitable recipient of support from the TAF. Under the current agreement, each of IDH and the Stichting is entitled to appoint one representative to the PCU, and the Stichting appointed a director of Sail Ventures as its representative to the PCU. &Green Fund's Investment Advisor is responsible for identifying and designing TAF projects, and the IA submits projects for consideration to the PCU. The PCU is tasked with operational management decision making of the TAF including the responsibility of defining the annual workplan and budget. The Stichting &Green BOD provides oversight of the functioning of the TAF. For the GCF Proceeds for the TAF, an addendum to the current TAF Cooperation Agreement will be concluded, in terms of which the Stichting &Green BOD will assume the governance responsibilities for the management of the TA Grant. (Note that Stichting &Green BOD is permitted to appoint service providers to implement certain portions of the TAF in accordance with its procurement practices, however, the Stichting &Green Board shall retain all responsibility, authority and discretion for the implementation of the TAF). Over time the &Green Fund will generate sufficient fees to support the relevant ongoing activities of Component 2 as part of its operating expenses and with the rationale to secure sustainable TA activities. FMO, as AE and a contributor to &Green Fund, will be offered a seat on the Annual Operational committee to be established through the Addendum. The role of the &Green Fund (as represented by SAIL Ventures) and further detail relating to legal arrangement between parties is presented in section B.4, Implementation Arrangements. The below diagram shows how the TAF works.

⁸⁸ The executing entity operational team will grow as the programme develops and GCF investment in Component 2 will support this growth.

⁸⁹ The TA Grant from GCF will be managed by &Green Fund with support from IDH as an extension of the existing TAF Cooperation Agreement, provided that the Stichting Board of Directors will assume the governance responsibilities for the management of the TA Grant.

⁹⁰ For more detail on the TAF, see <https://www.idhsustainabletrade.com/landscapes/the-green-technical-assistance-facility/>

Figure 4: IDH-&Green Technical Assistance Facility



100. IDH's landscape approach focuses on the establishment of local coalitions covering all land-users and actors influencing the land-use change in each landscape. Across the landscapes, IDH developed Production, Protection, and Inclusion (PPI) Compacts that help establish the medium and long-term targets to direct the land-use transformation to more sustainable occupation and is implemented through a landscape governance model, transparency systems, development of a bankable investment pipeline and market connection for sustainable produced commodities. Before the establishment of a PPI Compact, IDH promotes the scoping of each region and its main bottlenecks for the sustainable development of the commodities production, forest conservation and land-use changes. It enables the establishment of a tailor-made set of interventions to create the enabling conditions for private investments and scalable models through market connection. IDH's engagement with local governments has enabled cross-learning and information transfer. Introducing &Green's approach raised government awareness and action to support the enabling condition for green investment to be secured.
101. The business plan for this component is frontloaded to reinforce country ownership and awareness in the early years of the project, as supportive institutional frameworks and stakeholder support will drive the willingness of potential investees to embrace transformational initiatives in their supply chains. Over time the fund will generate sufficient fees to support the relevant ongoing activities of Component 2 as part of its operating expenses and with the rationale to secure sustainable TA activities.
102. The TA Grant from the GCF will be managed by the &Green Fund with services provided by IDH as an extension of the existing TAF Cooperation Agreement, provided that the Stichting &Green Board of Directors will assume the governance responsibilities for the management of the TA Grant. See Section B.4. for detailed explanation of the implementation arrangements.

Output 2.1: Policy dialogue, awareness raising and capacity building to maximise country ownership, blueprint communication and replication.

103. Output 2.1 leverages strongly on existing regional, national and jurisdictional mandates of IDH on sustainable supply chains and the landscapes approach. An overview of ongoing "parallel" programs is provided in section C.1.d. In sum, IDH's landscape approach focuses on the establishment of local coalitions covering all land-users and actors influencing the land-use change in each landscape. Across the landscapes, IDH developed Production, Protection, and Inclusion (PPI) Compacts that help establish the medium and long-term targets to direct the land-use transformation to more sustainable occupation and is implemented through a landscape governance model, transparency systems, development of a bankable investment pipeline and market connection for sustainable produced commodities. Before the establishment of a PPI Compact, IDH promotes the scoping of each region and its main bottlenecks for the sustainable development of the commodities production, forest conservation and land-use changes, as well as the investment needs and opportunities to enable such a sustainability transition. It enables the establishment of a tailor-made set of interventions to create the enabling conditions for private investments and scalable models through market connection. IDH's engagement with national governments has enabled cross-learning and information transfer. Introducing &Green's approach raised government awareness and action to support the enabling condition for green investment to be secured.

104. Output 2.1 includes stakeholder engagement in target countries, convening and socialising the approach of &Green Fund and more generically the business cases and investment models for deforestation free commodity production. &Green Fund will in each active jurisdiction expand its network including the NDAs but also important commercial operators like local Financial Institutions; the latter are already engaged in existing &Green transactions.
 105. Engagement strategies must be tailored to the needs of &Green investments and depend on the situation in the country, e.g., whether there are existing investments serving as examples to persuade notoriously conservative local FIs, whether &Green is actively sourcing, or whether &Green can already demonstrate that it is actively contributing to reducing emissions and increasing resilience in the jurisdiction.
 106. IDH - in partnership with &Green Fund representatives will engage with key governmental, private and civil society stakeholders:
 107. explaining and/or co-designing the business case for a deforestation free and climate resilient commodity sector (see for example Box 2 in Annex 2, on developing the business case for deforestation free and climate resilient development in West Kalimantan);
 108. business development, mobilising ambition and landscape collaboration (see for example Box 3 in Annex 2, on the enabling role of TA for &Green investment in Marfrig);
 109. linking with host government policies on mitigation and adaptation and gender priorities in agriculture relevant to the Fund's focus; (see for example Box 1 in Annex 2, on the IDH co-convened Cocoa and Forest initiative); and
 110. communicating and advocating the success of blueprints to stimulate replication.
- This will include enabling cross learning per country, which promotes and advances knowledge generation and dissemination and helps create the blueprints that will ultimately ensure programme sustainability and replicability in the long term.

Activity 2.1.1 Develop strategies for nationally relevant interventions

111. The vast demand for agricultural commodities worldwide creates increasing pressure to convert natural vegetation into productive land. A thought-through and monitored transition of land use is critical if we wish to reduce the impacts of agriculture and livestock on the climate, prevent ecosystem degradation, soil erosion and the loss of valuable land to desertification. Land use must therefore be managed intelligently to halt land and forest degradation.

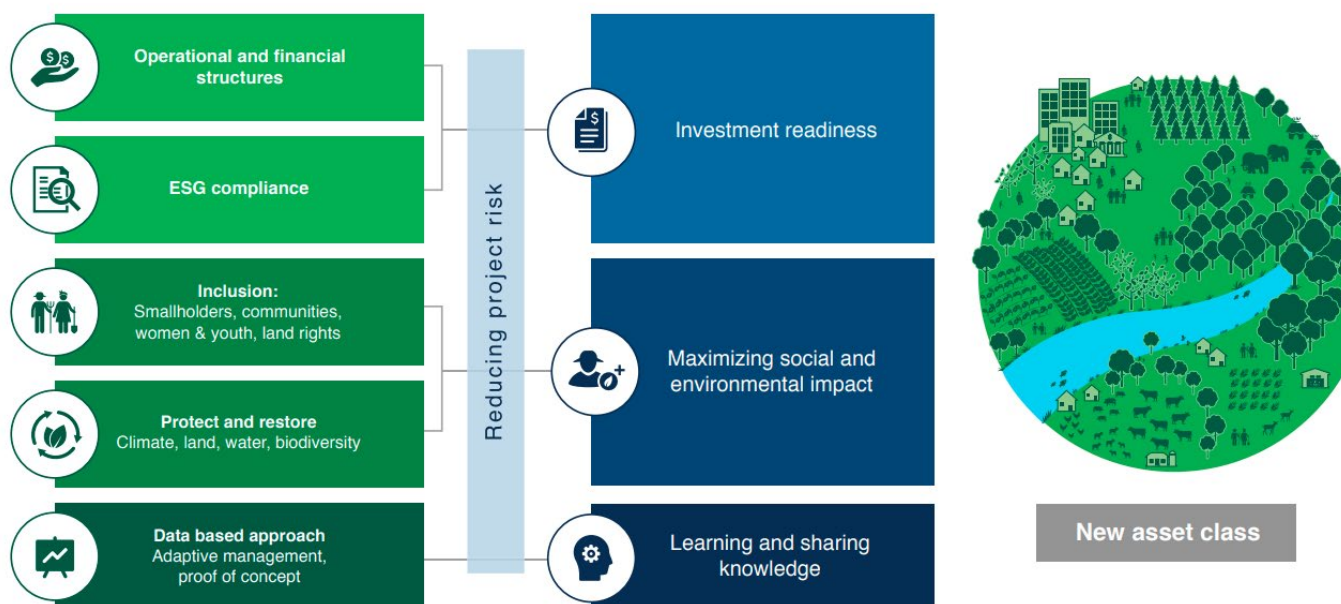


Figure 5 Strategy development process

112. IDH will continue to support the &Green Fund to work with stakeholders and partners to lay the groundwork for nationally relevant blueprint communication and replication.
113. IDH regional leads- employees in various regions across the globe - enable cross learning per country, which promotes and advances knowledge generation and dissemination and helps create the blueprints that will ultimately ensure programme sustainability and replicability in the long term.

To start with, in year one, the &Green Fund and IDH will work to develop engagement strategies per country and per region, including specific actions per key country and priority sector. These Engagement and Amplification strategies will become the roadmap for Output 2.1, and are based on technical data, (including that from the relevant &Green Fund commodity sectors, plans such as the NDCs and NAPs, country/sector specific climate hazard reports and the &Green Fund JEC assessments that must be completed to confirm eligibility of the investment jurisdiction as well as analysis and assessment of political and market dynamics.

114. The strategy will focus on the need to create and enhance enabling environments in target countries, and within supply chains, to support an environment exists to enhance transformative investments that allow the Fund to reach the overall objectives.
115. Key elements of the regional strategies will include:
116. Analysis of potential enabling environment drivers and limiting factors in the region, and in priority countries and sectors, based on NDCs and NAPs and country/sector specific climate hazards, mapping of existing platforms for engagement and political and market dynamics;
117. Analysis of the combined offering of &Green Fund and IDH in terms of investment instruments, business and investment models, special attention for gender, and stakeholder engagement models (JEC, LPP, IDH convening, PPI approach)
118. Mapping key stakeholders and institutions to engage;
119. Action plan detailing out key stakeholder engagement plan, partnerships to be developed/enhanced with existing platforms and institutions, tools and knowledge projects to be developed, and detailed responsibilities and budget.

Activity 2.1.2. Country engagement and amplification strategy roll-out

120. This activity takes the national and regional strategies developed under Activity 2.1.1 into implementation, and focuses on the need to create and enhance enabling environments in target countries. Ensuring an environment exists to enhance transformative investments allows the Fund to reach the overall objectives.
121. &Green and IDH will implement actions to deliver the policy dialogue, raise awareness about deforestation and sustainable commodity supply chains, enhance country ownership and communicate the blueprints produced to help with the replication strategy to scale effectively.
122. Intervention options to be implemented include:
123. Feedback loop on policies coming from the Jurisdictional Eligibility Criteria Assessments to help engage with government to further enable these investments with the appropriate regulations and enabling environment.
124. Convene green growth compacts and other work with government that promote green private sector investments.
125. Each annual report will provide detailed updates on the progress on specific country engagement.

Output 2.2.: Technical cooperation service contracts in eligible jurisdictions for capacity building of companies and business model development, landscape-level impact design and local community/smallholder inclusion plan⁹¹; assessment against commercial viability and environmental and social impact criteria.

126. This output contributes to the establishment of a viable investment pipeline for the &Green Fund and longer-term project development to bankability. Technical assistance services will support identification of capable potential investees and development of transaction opportunities that build on existing early-stage capacity building efforts in the agri-sectors in target countries, including supply chain influences on landscapes and producers. This project element will prepare companies for the high standards and commitments required for fund participation (operationalising and piloting business models driving paradigm shift, E&S risk management), and help &Green target clients to develop and implement landscape protection plans and drive smallholder and local community inclusion. Technical assistance services will include support to help agri-commodity businesses develop and implement strategies that build resilience to climate hazards. Projects may also be supported in the early phase of transactions in implementing innovative and first-of-kind activities.
127. All &Green Fund investments require the Client's commitment for a deforestation-free, inclusive supply chain. An immediate action upon investment is the publication of an organization-wide No Deforestation, No Peat and No Exploitation (NDPE) Policy⁹², holding the companies accountable for the environmental and social management of their upstream suppliers. &Green's NDPE and contractual commitments on forest protection requires &Green investees to prevent any additional conversion of land both on their own operations as well as in

⁹¹ Funds will flow directly from the Stichting to the contractees.

⁹² Under &Green's NDPE policy, drafted in reference to the Accountability Framework as a global standard for best practice, clients commit to eliminating deforestation, both legal and illegal, unconditionally and time-bound. The Fund constantly monitors the commitments along with milestones necessary for the transition to deforestation-free production and supply chains. Thus, the NDPE Policy is aligned with the regulations being drafted in the US (Forest Act), EU (EUDR) and UK (Environment Act).

their supply chain. This means steps must be taken to prevent the spillover of intensified management practices in forest areas. This approach and assessment to manage potential source emissions increases within the project boundary is described in detail in Annex 22e.

128. In the wider landscape and at the level of the jurisdiction, the spillover risk is captured by landscape level actions the clients are committed to on an output basis to address any such risks as identified in the Due Diligence; and jurisdictionally, by only investing in jurisdictions with strong forest protection frameworks which would guide any spillover to be in line with national development priorities including NDCs.
129. In addition, the Fund works with investees to prepare roadmaps for the implementation of the NDPE throughout the Clients' supply chains, together with external experts and in close consultation with the Client, prior to investment. These roadmaps result in milestones and targets that are tracked throughout the loan tenor, and become concrete and auditable outcome-oriented deliverables, thereby enhancing clients' accountability for progress.
130. A company-wide commitment to an NDPE Policy that is based on international standards (Accountability Framework) is a key element of investee commitments to &Green Fund. By aligning their commitment to stop deforestation in Tier 1 immediately, and end it in Tier 2ff upon discovery of the supply chain through traceability (with a time-bound end date) provides the tools and evidence to underpin deforestation-free claims. The NDPE approach expects commitments to be inclusive, that is, by providing ways to include small suppliers in the upstream supply chain through TA, financing and other support. In turn, this ensures access to consumer markets and that beneficiaries can align their new models with market regulations, including new regulations taking shape in key geographies such as the EU, UK and US.

Activity 2.2.1. Provide pre-investment technical assistance

131. TA services will be provided at pre- and post-investment stages. Prior to investing, IDH and the &Green Fund will engage in outreach and dialogue with prospective investees and scope their investment needs and opportunities for sustainable business models. &Green Fund will begin the early stages of due diligence to identify potential investment opportunities in the target sectors within the approved jurisdictions. Such companies will be those that advance through the rigorous due diligence process (as shown in Figure 3 above).
132. Pre-investment technical assistance will operate at two levels:
133. Co-funding sustainability innovations with investment potential to create appetite for change within companies before &Green Fund can engage;
134. Supporting Landscape Protection Plan development and stakeholder engagement

Activity 2.2.2. Post-investment technical assistance

135. Post-investment TA services will support companies to achieve scalability and 'durability' of impact and enhance connection with stakeholders in the wider production landscape. Post-investment technical assistance activities will include:
136. Capacity building for companies
137. Business model development
138. Landscape-level impact design
139. Assessment against commercial viability and environmental and social impact criteria
140. Technical cooperation services to support/ engage smallholders/ households

Output 2.3 Monitoring, reporting and verification (MRV) of changes in GHG, resilience and social inclusion indicators; hazard assessments and tracking paradigm shift progress

141. Output 2.3 includes tasks that support impact alignment. These include initial establishment of streamlined systems of Monitoring, Reporting and Verification to track impacts to meet the Fund and incremental GCF requirements for GHG reductions, climate resilience and social inclusion, as well as alignment with multinational corporate mandates (such as the SBTi, CDP), to leverage supply chain actions.

Activity 2.3.1 Knowledge product and blueprint development

142. Development of knowledge products at region, country and sector level, with special attention to gender. .
143. &Green Fund knowledge products on business and investment models will provide the blueprint for sustainability and support widespread adoption and replication of NDPE commodity production at scale.

Activity 2.3.2 Climate hazard assessments

144. Commodity and country specific climate hazard assessments will drive the resilience actions promoted by &Green Fund.⁹³
145. &Green Fund estimates that over 20 hazard assessments will be produced for its target countries and commodities.
146. &Green Fund to Incorporate GCF specific MRV system improvements, and to incorporate corporate reporting capacity (SBTi, CDP, GRI) for sustainability on exit. Proposed actions include:
147. Capacity building and system updates
148. Integrate impact reporting formats relevant to corporates to increase value and sustainability on exit
149. Expand remote sensing capability to enable near-real-time detection of reversals and assess forest quality.

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

Implementation Arrangements:

Flow of funds

150. The GCF and FMO will contractually agree that the GCF will commit USD 189.35 million to the Stichting for the funding of the Funded Activity. The terms for Components 1 and 2 are to be agreed in the term sheet.
151. Of the total amount, USD 750,000 will be provided to the Stichting as a non-reimbursable grant for Component 1, Outputs 1.1 and 1.2; and USD 180 million will be provided to the Stichting as a subordinate loan for Outputs 1.3 (the "Investment Facility").⁹⁴ For Component 2, USD 8.60 million will be provided as a non-reimbursable grant to the Stichting.
152. For the avoidance of doubt, all the GCF Proceeds for the purpose of the Stichting will be kept on a separate ledger on FMO's GCF account.⁹⁵
153. FMO will make the USD 180.75 million capital commitment to the Stichting in the form of a non-reimbursable grant and a subordinated loan as stipulated above. The Stichting can then remit the full USD 180 million Investment Facility to the scalable investment vehicle, &Green B.V. (the "BV") (as Tranche A equity) in the form of the current portfolio assets, cash and undrawn commitments and further capital that is raised by the Stichting to the extent required, for loans to Project Companies.
154. The following disbursement plan for the Investment Facility is indicative and disbursements are subject to fulfilment of the conditions for disbursement set forth in the Term Sheet. FMO will make downstream disbursements as follows.

GCF Disbursement to FMO	Amount (US\$)	GCF Proceeds (%)	Conditions
Disbursement 1 – upon signature [2023]	80,750,000	44.67%	Signature of Concessional Debt Facility.
Disbursement 2 – 2024	50,000,000	27.66%	&Green signing commitment of USD 200 million into the Linked Catalyzed Tranche.
Disbursement 3 – 2025	50,000,000	27.66%	&Green signing further commitment of USD 200 million into the Linked Catalyzed Tranche.
TOTAL	180,750,000	100.00%	

155. FMO will likewise make a USD 8.6 million capital commitment in the form of a non-reimbursable grant to the &Green Fund for implementing some or all of Component 2's activities through its existing TAF Cooperation Agreement with IDH, the service provider for TA.

⁹³ Target countries will be the host countries that provide Letters of Non-Objection. Target sectors are as per &Green investment principles. Predominantly, depending on jurisdictions, these are forestry, rubber, palm oil, cattle, soy, cocoa, coffee.

⁹⁴ The GCF Proceeds will be drawn down by the Stichting AndGreen.Fund and then, for the amounts concerning Output 1.3, provided by the Stichting AndGreen.Fund (in its capacity as Class A Shareholder) to the &Green B.V. through the contribution of additional share capital (in the form of share premium). No further Tranche A shares will be issued for each draw down as the capital will be provided as additional share premium on the A Shares issued upon incorporation.

⁹⁵ GCF is an indirect lender to the Stichting (through FMO, in its capacity as a GCF Accredited Entity).

156. FMO will request the GCF funds on a bi-(annual) basis based on progress made by the Stichting towards its Disbursement Schedule as detailed in Section 6 of the Term Sheet. Upon receipt and after analyzing the compliance with its internal policies and procedures, FMO will remit the funds to the Stichting from its fiduciary GCF account.
157. For Component 2, Stichting AndGreen.Fund will issue drawdown notices to FMO during the availability period of the TA Grant until USD 8.6 million has been spent in accordance with the agreed upon disbursement schedule. The &Green Fund will then spend the funds according to the pre-agreed procurement and budget plans detailed in the TA Grant Agreement.

Implementation arrangements

158. Table 4 below summarises the implementation arrangements for each programme output, in terms of budget allocation and responsible EE.

Table 4: The &Green Fund programme implementation arrangements

Outputs	Financing/Co-Financing (million USD)	Financing source	Executing Entity (EE)	Activities
Component 1				
Output 1.1 Scalable investment vehicle is established	Total: \$1,750,000 GCF: \$250,000 Co-finance: \$1,500,000	GCF Co-financing	Stichting AndGreen.Fund	Activity 1.1.1
Output 1.2 Fund recruits co-investment to leverage GCF and existing &Green Fund resources	Total: \$2,000,000 GCF: \$500,000 Co-finance: \$1,500,000	GCF Co-financing	Stichting AndGreen.Fund; &Green B.V. ⁹⁶	Activity 1.2.1 Activity 1.2.2.
Output 1.3 Fund capital disbursed to large scale sustainable agriculture projects with robust environmental and social covenants incorporated into lending agreements as events of default	Total: \$960,670,000 GCF: \$180,000,000 Co-finance: \$780,670,000	GCF Co-financing	Stichting AndGreen.Fund; SAIL Ventures; &Green B.V.	Activity 1.3.1 Activity 1.3.2 Activity 1.3.3
Component 2				
Output 2.1 Policy dialogue, awareness raising and capacity building to maximise country ownership, blueprint communication and replication.	Total: \$6,477,782 GCF: \$2,127,782 Co-finance: \$4,350,000	GCF Co-financing	Stichting AndGreen.Fund	Activity 2.1.1. Activity 2.1.2

⁹⁶ The B.V. will be established in Output 1.1. and thereafter will act as EE for Outputs 1.2. and 1.3.

Output 2.2 Technical cooperation service contracts in eligible jurisdictions for capacity building of companies and business model development, landscape-level impact design and local community/smallholder inclusion plan; assessment against commercial viability and environmental and social impact criteria.	Total: \$9,234,993 GCF: \$4,984,993 Co-finance: \$4,250,000	GCF Co-financing	Stichting AndGreen.Fund	Activity 2.2.1 Activity 2.2.2
Output 2.3. Monitoring, reporting and verification (MRV) of changes in GHG, resilience and social inclusion indicators; hazard assessments and tracking paradigm shift progress.	Total: \$1,487,225 GCF: \$1,487,225	GCF	Stichting AndGreen.Fund	Activity 2.3.1 Activity 2.3.2 Activity 2.3.3

Governance and legal structure

159. The Stichting is already funded with grants from Norway's International Climate and Forestry Initiative (NICFI), the Unilever Group and the Global Environment Facility (via the UN Environment Program, acting as accredited entity); and with concessional loans from FMO, the Mobilising Finance for Forests (MFF) fund and a private sector reinsurance corporate.
160. In order to catalyse finance from the private and public sector to scale up the impact objectives of the &Green Fund, the Stichting will incorporate a Dutch private company with limited liability (*besloten vennootschap met beperkte aansprakelijkheid* or B.V.) under the laws of the Netherlands. The Stichting will provide equity capital to the B.V., (and is the only equity capital provider to the B.V.) in the form of the current portfolio assets and further capital that is raised by the Stichting. (Note: further costs to raise capital for the Stichting will come from the existing funds of the Stichting, not from outputs 1.1. and 1.2.) The B.V. will conclude an Investment Management Agreement with Sail Ventures B.V. ("SAIL") in addition to the Investment Advisory Agreement between the Stichting and SAIL.⁹⁷
161. The programme will have a robust governance structure that will be specifically designed to safeguard the environmental and social returns as well as the financial and commercial sustainability of the scalable investment vehicle and its investments, adapted to the requirements of the commercial investors. The scalable investment vehicle is to be established by &Green Fund, with Stichting AndGreen.Fund including the GCF capital acting as the sole equity (Tranche A) investor and therefore catalyst for the private sector investors contributing through the purchase of Senior Notes (Tranche B).
162. The scalable investment vehicle will include the following governance bodies responsible for decision making and oversight:
163. A Board of Directors ("B.V. Board") will have legal authority to represent the scalable investment vehicle and responsibility for making executive decisions with respect to the administration and management of the scalable investment vehicle.
164. The B.V. Board will establish an Investment Committee (B.V. Investment Committee) comprising investment, sustainability, environmental & social and credit specialists, and will include independent members.⁹⁸ The B.V. Board will delegate its responsibility for making investment decisions for the scalable investment vehicle to the B.V. Investment Committee.⁹⁹

⁹⁷ Note: There is no intention to raise more equity into the B.V. The Stichting will be the only equity holder. GCF will be part of the Stichting.

⁹⁸ The articles of the BV will provide for the establishment of the Investment Committee by the Board of the BV..

⁹⁹ The funded activities are unlikely to be implemented at the scale which the GCF Proceeds are required to catalyze without the scalable investment vehicle. Private sector investors require a commercial vehicle with which they are familiar (company, LLP, Co-operative) and the Stichting is not a familiar vehicle (particularly its capital and governance structures). The GCF Proceeds will be provided to the Stichting &Green through the GCF Accredited Entity, FMO.

165. The Advisory Board of Stichting AndGreen.Fund will provide strategic advice to the B.V. Board and will be responsible for approving all Jurisdictions in which the scalable investment vehicle is able to invest, as well as defining the investment strategy through the Lending Guidelines¹⁰⁰ and the ESMS.
166. As per the Stichting's current Operating Guidelines, the Board of the Stichting is appointed by the Stichting's Advisory Board. It should be noted that this Stichting Board is distinct from the Board of the scalable investment vehicle (B.V. Board). It has to be independent from investors, meaning investors are not represented at the Stichting Board.
167. The GCF will be represented indirectly on the Advisory Board via the delegated authority FMO holds as the Accredited Entity. Investors into &Green Fund Tranche B will not be represented on the Advisory Board.
168. Because the Advisory Board of the Stichting also has the sole authority to change the Lending Guidelines and the ESMS of &Green Fund, investors in Tranche B will not have the ability to change these, safeguarding the established mission of &Green Fund.¹⁰¹
169. In the &Green Fund structure to be established, the B.V. Board will consist of representatives of the Investment Manager (SAIL Ventures) and the Stichting Board. The Investment Manager will report to a Noteholders Committee, which is a forum for annual reporting and discussion of Fund developments where noteholders are represented.
170. The expert Investment Manager (SAIL Ventures) appointed to the scalable investment vehicle is responsible for:
171. Overseeing the day-to-day business and operations related to the management of the scalable investment vehicle.
172. Fundraising for the scalable investment vehicle and implementing the investment strategy with the capital raised – the decision making with respect to the B.V. investments is the responsibility of the B.V. Investment Committee and not SAIL Ventures. This includes maintaining all relationships with current and potential clients, current and potential contributors, civil society, co-investors and other key stakeholders.
173. Sourcing transactions which meet the investment strategy, conducting due diligence, proposing viable transactions to the Investment Committee, executing transactions and managing the portfolio of investments.
174. As the Accredited Entity, FMO is represented in the structure in two ways: 1). it has the right to appoint a Class I Stichting Advisory Board representative. This provides FMO, and therefore indirectly GCF, with the possibility to participate in decisions relating to any changes in the Lending Guidelines and the ESMS; in defining in which jurisdictions the fund can invest in; and who to appoint to the Stichting Board of Directors which, in turn, will represent the Stichting AndGreen.Fund on the B.V. Board; 2). FMO is a concessional lender to the Stichting AndGreen.Fund directly, with USD 25 million exposure as well as facilitating an additional GBP 33.25 million concessional loan through the UK government's 'Mobilising Finance for Forests' programme.¹⁰²
175. For Component 2 – the TAF, Stichting AndGreen.Fund will be responsible for overseeing the design, implementation and reporting of Component 2, in close cooperation with IDH.
176. The PCU outlined in the existing Cooperation Agreement between the Stichting and IDH is tasked with operational management decision making of the TAF including proposing to the Stichting the annual workplan and budget. Under the current agreement, each of IDH and the Stichting is entitled to appoint one representative to the PCU. The Stichting &Green Board of Directors and Stichting Credit Committee¹⁰³ provides oversight of functioning of the TAF. For the GCF proceeds and through an addendum to the current agreement, the Stichting &Green BOD will assume the governance responsibilities for the management of the TA Grant.
177. In addition, the Governance and specific operating principles already in place in the existing TAF ensures:
178. strong alignment and coordination between &Green Fund and IDH;

¹⁰⁰ &Green's lending policy available at: <http://www.andgreen.fund/downloads/General-Lending-Policy.pdf>. Note that in anticipation of the GCF investment, these are adapted and combined with the ESMS Policy to "&Green's Investment Principles", which form part of the ESMS disclosure as declared in Annex 6.

¹⁰¹ The Stichting, represented by the Board of Directors, will not be permitted to exercise any rights or authority on certain matters (Investment Principles and ESMS included) without getting the Advisory Board's approval. The Articles of the B.V. and the Shareholders Agreement between the Stichting (Board of Directors), the BV and Sail Ventures will bind the parties to requiring the Stichting's approval on any changes to the Investment Guidelines and ESMS and requiring that no deviation from those documents is permitted unless the Stichting (BOD as approved by the AB) approves.

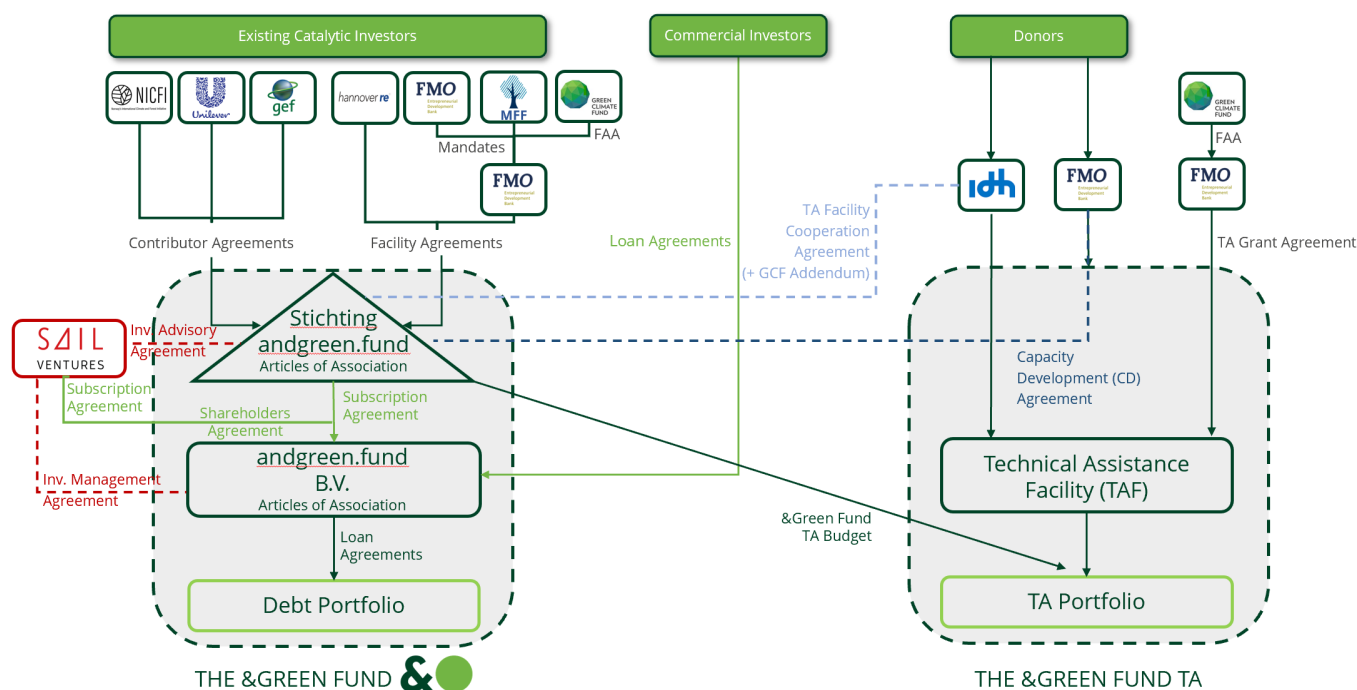
¹⁰² Parts of these loans may be moved from the Stichting AndGreen.Fund to the level of the &Green Fund as they are structurally more aligned with the conditions of the notes.

¹⁰³ The Credit Committee is a body of independent investment and sustainability experts appointed by the Board of Directors to safeguard the environment, social and financial compliance of investment proposals with &Green's guidelines. It assesses the documentation submitted by &Green's investment advisor, SAIL Ventures, and makes a recommendation to the Board of Directors.

179. effectiveness: Effective convening and TA requires relationship building, strong communication strategy, feel for momentum and flexibility to act on opportunities. The working relation between &Green Fund and IDH and its governance is therefore hands-on;
180. efficient and demand driven: TA is demand-driven and designed to fit the needs of the client; and
181. additionality: The TAF team assesses developmental and financial additionality of TA.

The design and structure for this complementary scalable investment vehicle (&Green B.V.) has been vetted by &Green Fund's attorneys (Simmons & Simmons) and is shown in the diagram below.

Figure 5 Scalable investment vehicle and TAF structure



182. The GCF, alongside the current providers of concessional capital enable &Green Fund to attract commercial investors at scale to this new complementary scalable investment vehicle (&Green B.V.) because the concessional capital can provide risk coverage for the private sector. GCF is key for the Fund's scale up as it is the sole player in the market that can provide catalytic capital at scale. Without GCF funding, &Green Fund will not be able to scale to the desired USD 1 billion fund until 2030 (and beyond, after 2030), and its impact on the transformation of tropical commodity supply chains will remain limited, with correspondingly lower climate mitigation and adaptation benefits.
183. The complementary scalable investment vehicle (&Green B.V.) will issue equity (Tranche A) to the Stichting in exchange for the existing funds (in the form of grants, redeemable grants and concessional loans - see waterfall dynamics below), portfolio transfer - and will raise additional funds through the issue of debt instruments (Tranche B) in the form of notes to private sector investors (please note that private sector investors are not issued equity as the structure must be simple with the clearest form of subordination between catalytic investors (equity) and commercial private sector investor debt in order to be attractive to private sector investors and not generate extra risks).
184. Moreover, this structure (equity and debt) will differentiate the required strategic rights of the equity holders (Stichting), namely, among others approval of the fund's jurisdictional scope, investment mandate, ESMS, board governance), through the Advisory Board.

Waterfall Structure

185. GCF will disburse its subordinated loan, through the AE (FMO) to the Stichting, and therefore will be part of Tranche A investors and governance.
186. The Stichting (catalytic investors – Tranche A) will hold an equity position in the structure of the &Green B.V. that is junior to the Tranche B debt instruments held by private sector investors in tenor and timing of reflows.
187. Tranche A is acting as the principal catalyst to attracting commercial capital into the structure – by providing a first-loss buffer to further private sector investors in the &Green B.V.
188. The catalytic investors will rank within the Stichting as follows (from junior to senior): i) NICFI (permanent capital in form of a grant), ii) GEF (redeemable grants), iii) Unilever (redeemable grants), iv) **GCF** and BEIS MFF (concessional loans) and v) FMO and the private reinsurer (concessional loans).¹⁰⁴
189. Private sector investors (Tranche B) will hold a senior position in the &Green B.V. as they will be issued with debt instruments (Notes) with specific terms. The Notes target private sector investors seeking commercial returns at acceptable risk levels. Noteholders are supported by the first loss position provided by the Stichting and its providers of catalytic capital.¹⁰⁵
190. The articles of the BV will stipulate that – once operating expenses (including the management fee) and financing costs on the Notes have been settled each six months - the BV will distribute to Stichting AndGreen.Fund (either by way of dividend or return of share premium) an amount of 1.5% on all of the share capital provided (including that financed by grant, redeemable grant and concessional debt). This amount will be used to settle the 1.5% interest from Stichting AndGreen.Fund to GCF and all of the other financing costs of the Stichting. The amount that can be distributed to the Stichting is dependent on the performance of the BV portfolio which is (partly) financed by the GCF capital.



¹⁰⁴ All of FMO's financing is loans. GCF is subordinate to FMO but senior to NICFI and Unilever.

¹⁰⁵ There may be multiple note offerings with their own specific terms. This will not affect the terms of the Stichting (where the GCF investment is) agreed on the term sheet.

191. Both the Stichting (Tranche A) and commercial investors (Tranche B) will earn returns financed by the interest income received from the fund's debt investments.
192. Income earned by the &Green B.V. includes interest income from the debt portfolio, interest income on any term deposits or other short-term savings instruments and fee income (including upfront fees, structuring fees).
193. The interest income earned and the principal repayment from those portfolio investments will be paid out following a structured waterfall:
194. Fee income will first be applied to transaction costs.
195. Noteholders (Tranche B) will receive distribution paid semi-annually and repayment of note principal (after 10 years).
196. Catalytic investors (Tranche A) will receive distribution paid semi-annually to preserve catalytic capital following the ranking shown in the preceding paragraph. Tranche A will have a catch-up after each Tranche B is repaid following the ranking explained above for the Stichting. Concessional loans within the Stichting will receive repayment of note principal¹⁰⁶ (for their specific redemption rates and after 15 years for GCF)
197. Any excess cash in the fund ("upside") after the repayment of interest, principal and the catch up for GCF will be shared following a structured waterfall: i) Tranche B and then ii) Tranche A grants and redeemable grants contributors.
198. The &Green B.V. intends to raise ca. USD 400 million in total from Catalytic Investors (from current USD 180 million) and USD 600 million (over the course of this decade) from Commercial investors to reach an AuM portfolio size of at least USD 1 billion by 2030. It will provide senior or subordinated debt to projects in Latin America, SE Asia and Africa (Tropical Forest zones).
199. Dividing the &Green B.V. (the complementary scalable investment vehicle) into two instruments (equity/Tranche A and debt/Tranche B) enables the structure to de-risk the investment proposition to commercial investors who acquire the Notes, while supporting their returns by utilizing risk-tolerant, highly additional catalytic capital in the Stichting. Without the provision of this type of catalytic capital, the investment proposition would not be attractive enough to risk-averse commercial capital providers at the required scale.
200. The fund is evergreen, given the grant from the Norwegian government. Having received feedback from commercial investors, private sector capital is being raised with a 10-year lockup at the moment but that might decrease over time (as the Fund's portfolio grows and thus, has more liquidity). In the equity tranche (Tranche A) &Green Fund seeks to raise long-term grants, which it regards as 15 years or longer. Longer tenor provided by catalytic capital is more attractive to commercial investors. Hence, &Green Fund seeks a 15-year tenor from the GCF to provide commercial investors sufficient comfort.

Legal arrangements

201. FMO, in its capacity as Accredited Entity, will ensure that the following agreements are entered into for the implementation of the Funded Activity (each a "Subsidiary Agreement" and together the "Subsidiary Agreements"):
202. For Component 1:
 - The Investment Facility Agreement between the Accredited Entity and the Stichting whereby the Accredited Entity commits and the Stichting accepts the Investment Facility portion of the GCF Proceeds. The obligations on the Stichting should largely be dealt with in the Investment Facility Agreement as covenants. Given this is a debt facility to a debt fund, the Investment Facility Agreement can be tailored to flow down all the necessary obligations to the Stichting; and
 - A side letter between the Accredited Entity, the Stichting, SAIL Ventures and the scalable investment vehicle (e.g. the B.V.) to pass down all relevant obligations in accordance with the AMA, FAA and Investment Facility Agreement (to be negotiated). The obligations will include any obligations in relation to Component 1 that need to be flowed down to the Investment Advisor from the Stichting and/or potentially the scalable investment vehicle (&Green B.V.), if and when it is established. The Side Letter shall also set out the mechanism whereby the authority and rights of the Advisory Board (on which the GCF is represented by the FMO nominee) are passed down to the Stichting (and the B.V.) through the Investment Facility Agreement and pursuant to which the &Green Fund shall seek the Accredited Entity's consent before presenting certain matters (which may require GCF's approval) for approval to the

¹⁰⁶ If the fund performs as expected (yield of 6-8% from portfolio investments), GCF will be able to receive a return equal to the [4.5]% coupon received by investors. This catch up will be calculated once the commercial investors exit the fund (year 10) and GCF will receive it at the end of its investment period (i.e. at redemption or once the concessional loan is repaid – in case is repaid earlier)

relevant governing and decision-making bodies, and the Accredited Entity shall not provide such consent to the &Green Fund on those specific matters without the prior written approval of the GCF.

203. For Component 2:

- The TA Grant Agreement between the Accredited Entity and the Stichting whereby the Accredited Entity commits and &Green accepts the TA Grant portion to deliver the TA services through its existing Cooperation Agreement with IDH. An addendum to the existing Cooperation Agreement between the Stichting and IDH will be signed that reflects the TA Grant Agreement to be signed between FMO and &Green Fund in respect to the TA activities, obligations and conditions precedent for disbursement from &Green Fund.
- It is not anticipated that a side letter will be needed for the TA Grant Arrangement, pending the Term Sheet negotiations - as that should be dealt with in the agreement. If some terms cannot be included in the TA Grant Agreement, a side letter would be needed.

204. Specifically in relation to Component 1 of the Funded Activity, FMO in its capacity as Accredited Entity of the GCF will ensure that the following agreements are entered into for the implementation of the Funded Activity (together with the Subsidiary Agreements for Component 1, the “Key Fund Documents”):

- The Articles of Association of the Stichting (the “Stichting Articles”);
- For the further flow of the GCF Proceeds from the Stichting to the BV, a subscription agreement entered into by the Stichting and the BV, whereby the Stichting provides equity capital to the BV as set out in item 2(ii) (andgreen.fund BV) above (“BV Subscription Agreement”);
- The Articles of Association of the B.V. (“BV Articles”), and in particular the rights of the Stichting with respect to the matters reserved for approval by the Advisory Board of the Stichting;
- The Shareholders Agreement between the Stichting, the BV and SAIL with respect to the rights of the Stichting as shareholder in the BV; and
- SAIL Ventures will act as the advisor and/or manager of the &Green Fund under investment advisory and/or management agreements (each a “Management Agreement”).

Operations Manual

205. Given the multiple entities involved in the preparation, assessment and investment decision-making for the programme, &Green has developed a comprehensive Operations Manual (Annex 21) using the “RACI format” (Responsible, Accountable, Consulted, Informed).

206. The Operations Manual is an Excel document with automatic links¹⁰⁷ to the established methodologies and guidance under the Investment Principles (Annex 6a and 6b), including the &Green ESMS, where the “how” for each step is described in detail, and at several levels, from principles to policies to guidance notes to guided templates. The Operations Manual (Annex 21) clearly spells out “who” and “when” in the investment process is responsible, accountable, consulted and informed.

207. The responsibilities and the Investment Process in turn are informed by the existing Stichting.AndGreen.Fund Operations Memorandum (Annex 21, Appendix 1), the Stichting.AndGreen.Fund Articles of Association (Annex 2, Appendix 10) (namely articles 5 to 27) and, for the prospective B.V. to be established under Output 1.2, the &Green B.V. governance report, as well as the Investment Principles (Annex 6a and 6b). See these documents, which accompany the funding proposal package, for further detail.¹⁰⁸

208. The Operations Manual (Annex 21) was created to clarify the links between the existing documentation and governance set up (as explained in paragraphs 159-185). For the proposed &Green B.V. scenario to be established under Output 1.2., the Operations Manual clearly and unambiguously defines:

- Responsibilities lie to a large extent with the Investment Manager, SAIL Ventures, who defines Deal Teams with a suitable mix of specialists to manage specific transactions.
- Accountability is delegated to the Investment Committee for transaction level investment decisions (representatives from SAIL and delegated from Stichting AndGreen.Fund); and to the Stichting’s Advisory

¹⁰⁷ N.B. hyperlinks only work if the Excel file is run from the same file folder as the linked documents. The AE has provided the Excel and the linked files in a ZIP file format for reference, in order for the links to function.

¹⁰⁸ The Stichting Articles of Association (Annex 2, Appendix 10), the Conflict of Interest Policy (Annex 21, Appendix 3) and the Investment Principles (Annex 6) are publicly available on the &Green website. A final Investment Memorandum (IM) will be prepared by &Green’s Legal Advisor once the GCF Term Sheet is finalised – the IM describes the governance of the B.V.

Board (which includes AE representatives) for the Investment Principles, selecting eligible jurisdictions and hiring the Stichting AndGreen.Fund Board of Directors, which represents the Stichting AndGreen.Fund as equity investor and sole economic beneficiary of the &Green B.V. in the &Green B.V. governance, as such overseen the operations of the &Green B.V. operationally. Within the investment manager's team, there is also accountability within "Deal Teams" and towards senior management, which in turn is bound by fiduciary duty by the &Green B.V. and its investors.

- Consultations are held with stakeholders, internal and external, at different stages of the investment process.
- Information is shared with a variety of stakeholders, internal and external, at different stages of the investment process.

209. The figure below describes this logic:

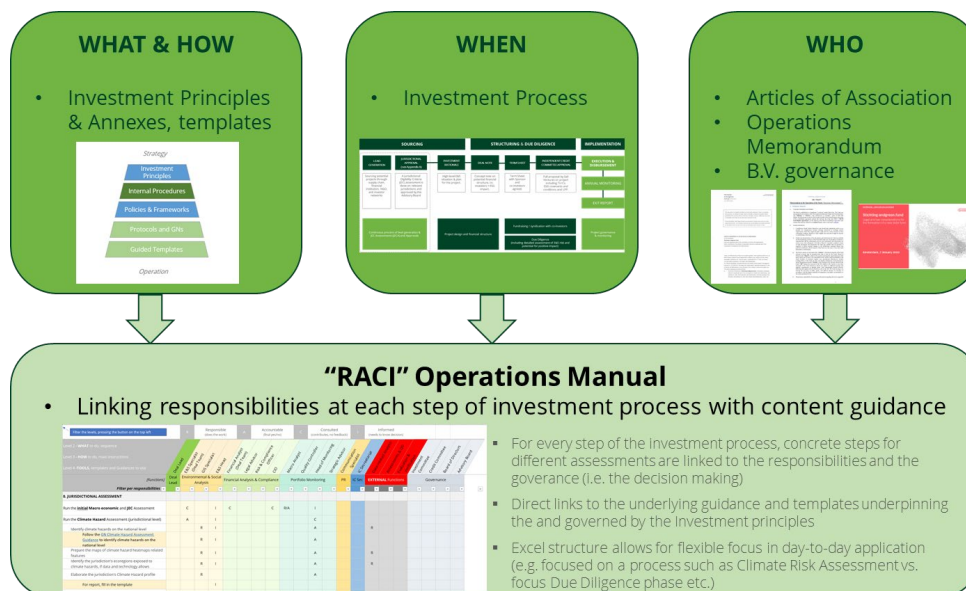


Figure 8 Operations Manual Logic

B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

Support for the &Green Fund will contribute to GCF's strategic mission and results

210. The &Green Fund is a global programme targeting 11 countries including Least Developed Countries and African nations. Unsustainable natural resource exploitation and deforestation are major GHG emissions in these countries. Communities and businesses in the target countries are highly reliant on forests and ecosystems for protection against climate change impacts and for sustaining millions of livelihoods. The Fund is aligned with the climate targets and national policies in the target countries, as evidenced in their NDCs, NAPs and other strategies. Supporting these countries to sequester emissions in protected forests and avoid emissions from deforestation and degradation, while addressing the climate resilience needs of people working at the base of global agricultural supply chains is at the core of the GCF's mandate.

211. The adoption of adaptation and mitigation practices focusing on forests is rarely taken up due to the knowledge and capacity gaps of those most reliant on forest resources (as detailed in Section B.1.).

Minimum concessionality

212. National governments do not have the financial resources to deliver the programme's climate resilience and GHG mitigation objectives on top of existing development priorities or to prevent alternative, less forest- and climate-friendly development alternatives. This trade-off is especially challenging in the wake of the COVID-19 pandemic, which has forced countries to increase spending and international borrowing. GCF investment in the &Green Fund will help target countries avoid a trade-off between meeting their commitments to reduce and eliminate deforestation and other development and environmental priorities.

213. &Green Fund operates on the principle of minimum concessionality. GCF financing to Stichting AndGreen.Fund will be provided as a concessional loan, with a catch-up for GCF at the end of the loan tenor to match the expected coupon of the senior commercial private sector investors. Grant financing comprises a small

percentage (< 5%) of total GCF funding and is intended to strengthen the enabling environment in participating countries for ongoing commercially-driven replication and scale up.

GCF support will overcome barriers and support a paradigm shift towards low-carbon and climate resilient commodity production

214. GCF support for &Green Fund will help to overcome critical barriers to commercially viable, deforestation-free commodity production at scale. The financial and market barriers outlined in Section B.1 prevent the &Green Fund from reaching the scale necessary for sector transformation without GCF investment. They include limitations of other financing sources including other investment funds: financing sources for agricultural companies or projects seeking funding currently includes traditional banking or financing through conglomerates (diversified entities). These traditional sources of finance do not include sustainability commitments and typically do not offer attractive terms (e.g. long tenors, cash flow adapted repayment structures) for more sustainable production practices. Mainstream investors are unfamiliar with sustainable production approaches and this is perceived as 'risk'. Carbon finance via voluntary and compliance markets is prohibited by &Green Fund's mandate. In addition, the policy and regulatory environment surrounding forest-related carbon finance has grown increasingly complex since the Paris Agreement, making it unlikely that this source of finance will provide the confidence required to crowd in commercial investors at scale.
215. Local financial markets in tropical regions and developing economies are relatively small and the many family-owned, or smaller agriculture companies or farmers have limited access to patient capital. Without patient capital and technical support, these farmers typically find deforestation-free production to be unprofitable compared to traditional practices.
216. &Green Fund will provide attractive financing terms, legally binding loan covenants, technical assistance and policy support to align incentives between farmers, investors, local communities, and governments to drive the transformation in commodity production.

A critical mass of investment will crowd-in private sector co-finance at scale

217. GCF funding will enable the &Green Fund to increase scale, crowd in private sector investment and accelerate interventions and impact commensurate with the urgency of the climate and deforestation crises. Without additional capital from GCF, &Green Fund would grow incrementally, but would not be able to drive impact at increased scale in the critical decade to 2030, and the commitments made at CoP26 (See Section B.1) to stop deforestation in the target countries. &Green Fund offers a 'market-ready' platform, and GCF's commitment of up to USD 180 million will rapidly unlock scale-up from private sector investment, and accelerate achievement of impacts the Fund is targeting.
218. To scale rapidly and achieve sector transformations given the lack of private sector engagement in this space, the Fund requires a reputable source of debt financing to provide an initial first-loss tranche¹⁰⁹ to lenders to the fund, helping to de-risk the investment opportunity for private sector investors by ensuring their coupon is secure. In addition, transactions must be structured with considerable downside risk protection to be attractive to private sector investors that can provide capital at scale. The necessary collateral, professionalism and security is only available from larger, more established players in tropical supply chains. Equally, to be attractive as a lender for those larger scale actors that can influence tropical commodity supply chains and reduce deforestation at scale, comparatively large ticket sizes (typically USD 5 to 35 million) are required to see meaningful impact on business models and for companies to venture into such transformational transactions. Scale is an important prerequisite for the paradigm shift targeted.
219. &Green Fund will scale a portfolio of investments delivering quantifiable social, forest and climate benefits as well as solid, risk-adjusted returns for investors. The innovative &Green Fund business model requires additional funding to achieve the necessary scale for paradigm shift to occur. To attract institutional investors, the Fund needs to provide sufficient financial and reputational (i.e., ESG) safeguarding. With a growing portfolio and increasing diversification as well as increasing track record, private sector investors will feel increasingly comfortable with decreasing risk cover with each Note issued. That is, the barriers to private sector investment will progressively be overcome. This will increase the private sector share of the financing to underlying projects, ultimately leading to commercial investor led transformation of tropical commodity supply chains towards a deforestation-free, socially inclusive model.
220. GCF's investment of USD 180 million on top of the Fund's existing USD 180 million will provide credibility to the &Green Fund business model, change perceptions regarding the risk-reward ratio of investments in this sector and support the Fund to crowd-in private sector investors. In turn, private sector actors will view this

¹⁰⁹ GCF will commit 50% of the first loss capital available to attract the private sector investors; the other concessional capital is provided by Stichting &Green Fund. More detail is provided in the Term Sheet (Annex 14).

area as one of significant economic opportunity, which will stimulate money to flow into the Fund and the sector more broadly and achieve transformational change, and large-scale mitigation and resilience impacts. There has been no other example of blended finance at scale in the land-use space. It is critical that &Green Fund creates that pathways for the market and allows rhetoric of institutional investors to shift as they see credible and investable opportunities.

221. Any potential GCF risks related to successful private sector fundraising is mitigated by phased conditional disbursements linked to the achievement of fundraising milestones (see Annex 14 – Term Sheet for details).
222. It is expected that a long-term USD 180 million contribution from GCF will catalyse institutional investor capital at fund level, funds from existing donors, as well as directly mobilize additional private and public sector investments at portfolio level totalling around USD 780,670,000 (see the programme budget in section C.1. for more details).
223. This mobilisation does not include the additional private sector capital mobilisation that happens at the project level: for the assets of the tropical commodity supply chain actors. &Green Fund's Lending Guidelines require that over the lifetime of its exposure, &Green Fund may not hold more than 25% of the total project exposure. Therefore, at least an additional 3x private sector leverage, or approximately USD 3 billion will be mobilised from project sponsors, financial institutions or capital markets and others, albeit with potentially differing financial terms (i.e., through a catalytic de-risking through &Green Fund's lending). &Green Fund reports this mobilisation, but due to the variance in attribution it does not form part of the budgeted outcomes proposed to GCF as part of the budget under C.1.

B.6. Exit strategy (max. 500 words, approximately 1 page)

224. GCF's subordinate loan to the Fund will have a 15-year tenor. The capital invested by GCF, plus interest, will be repaid in accordance with the Fund's distribution waterfall. This approach aligns incentives and ensures the Fund will continue to attract commercial investors after the GCF's exit.
225. GCF's repayment and exit are built into &Green Fund's business plan. The &Green Fund structures its loans to clients on commercial terms with contractually agreed schedules for repayment of principal and interest. The initial client due diligence process includes an analysis of the market, the client's intended customers and the client's resultant ability to repay the loan's interest and principal to the Fund. **Stress-testing the Fund's financial model shows that GCF's successful exit would be ensured even with significant impairments in the Fund's underlying investments.**

Sustainability and replicability

226. The &Green Fund is designed from the outset for sustainability and scale-up. The Fund's sustainability is ensured by an evergreen financial structure, and a transparent monitoring, reporting and verification that builds investor confidence. The 15-year commitment from the GCF will catalyse additional investment to provide enough resources to sustain the Fund through the critical period of establishing the commercially viable blueprints for the sectors and jurisdictions targeted, and beyond the period of GCF involvement. &Green Fund issues highly transparent, audited annual reports¹¹⁰, and will continue to do so, and will provide investors with regular updates on portfolio performance, including financial statements status of current investments.
227. &Green Fund is designed to finance and expedite sustainable commodity supply chain projects enabling large-scale sector players to confidently transition well beyond business-as-usual practices. Once established (through Component 1), &Green Fund will scale up to USD 1 billion with the potential for expansion to additional sectors and geographies. At USD 1 billion scale there is sufficient volume and stability in the portfolio that actual and perceived risks are reduced, a clear track record is established, and commercial investors will confidently invest in the target sectors (barriers to commercial investment are overcome).
228. Since the recent commitment to reducing and eliminating deforestation made at COP 26 includes 141 countries and the &Green Fund is currently targeting only 11, there is considerable potential for replicating and scaling-up investments. Other investors will be targeted to increase the potential of the Fund to deliver private sector-driven impact on forest protection. The scalable fund structure means that future international investors and development agencies can be included, complementing the project's technical, financial and convening capacities over time.
229. The &Green Fund investment strategy can be scaled by expansion of the businesses it invests in via attracting additional capital; potentially expanding the commodities it focuses on and their supply chains; developing and disseminating knowledge and learning products (such as best practice examples and case studies) that illustrate success stories for others to replicate; and by encouraging other investors to apply &Green Fund's strategy to other regions or sectors.

¹¹⁰ See Annual Reports publicly available at: <https://www.andgreen.fund/wp-content/uploads/2021/12/2020-Green-Fund-Annual-Report.pdf>

230. &Green Fund anticipates increasing interest in its approach and offering from potential Clients as a result of market signals from end-consumers and hence major buyers (multinationals) of tropical commodities. Stronger regulation for deforestation-free commodities in the EU and other jurisdictions creates a significant pull for market actors who wish to retain the ability to trade their produce freely. This creates an added incentive to find, implement and replicate blueprints for sustainable commodity production.
231. The initiatives supported under the project will establish a scalable mechanism that uses financial incentives to achieve behaviour change on the part of resource users that will contribute to sustainability. The paradigm shift delivered by this programme across different geographies increase the likelihood that local actors (public and private) will be willing to adopt and scale such an approach themselves given the benefits for both. &Green Fund believes that long-term economic returns are a requirement for delivery of robust and sustainable impact.
232. In 15 years' time (GCF investment period), it will be beyond 2035 and global public and private sector strategies will be midway to their 2050 climate change targets. &Green Fund will have played an important role in ending deforestation in tropical forests from key commodity supply chains. &Green Fund will have also demonstrated that social and environmental impact with global relevance and at scale is possible with proper financial planning and a funding mechanism that mitigates risk and delivers absolute returns in line with private sector investor demands.
233. &Green Fund, at the time of GCF's exit, will continue to accelerate and scale deep market transformation in the same landscapes, jurisdictions, and supply chains without the need to renew funding with additional catalytic money (i.e., fully funded by commercial investors, underpinned by the grant from NICFI), acting as a mainstream green lender essentially alongside other international funds and local banks. This long-term goal would be a marker for a significant shift in how commodities are produced and financed. &Green Fund expects that by 2035 the financing and traceability of tropical supply chains will be the norm across the tropics. Other kinds of finance products, syndication, structured finance, distressed finance, and club loan opportunities will remain opportunities for &Green Fund as a purely commercial offering to continue its financing of the sector and drive sector innovation. The no-deforestation additionality will then be about maintaining rather than creating no-deforestation status in these supply chains.
234. &Green Fund, at that point, will be inherently replicable, given that it is based on a proven concept that applies broadly accepted lending and risk management principles.
235. GCF's Financial Exit Strategy depends on &Green Fund managing its cash flows (including debt interest and principal payments) in line with its obligations to commercial investors and GCF's maturity timelines, which will be constantly validated as new investments are approved and existing portfolio is managed. After year 10, commercial investors will get repaid their notes and &Green Fund will begin to unwind the catalytic investors' money by catching up to commercial investors' return and repaying its principal by year 15.
236. As the Fund is a debt fund, the exit from portfolio projects is predefined and less of a risk than for equity investments (&Green Fund extends credit with fixed repayment terms), and thus the Asset-Liability Management Policy (which requires that the portfolio is managed in line with any repayment obligations) and &Green Fund's ability to manage liquidity is more important. &Green Fund will manage its business so as to not be taking refinancing-risk with respect to the GCF or any other repayment.

FINANCING INFORMATION

C.1. Total financing								
(D) Requested GCF funding (I + II + III + IV + V + VI + VII)	Total amount			Currency				
	189,350,000			million USD (\$)				
GCF financial instrument	Amount	Tenor	Grace period	Pricing				
Senior loans	Enter amount	Enter years	Enter years	Enter %				
Subordinated loans	180,000,000	15 years	Enter years	1.5 %				
Equity	Enter amount			Enter % equity return				
Guarantees	Enter amount	Enter years						
Reimbursable grants	Enter amount							
Grants	9,350,000							
Results-based payments	Enter amount							
(b) Co-financing information	Total amount			Currency				
	Enter amount			Options				
Name of institution	Financial instrument	Amount	Currency	Tenor & grace	Pricing	Seniority		
Public and private investors	Senior loans (600 million); Grant (94.69 million co-financed by NICFI); Reimbursable grants (26.98 million) Concessional loans (59 million)	780,670,000	million USD (\$)	10 years Enter years	Enter%	Options		
Stichting AndGreen.Fund	In kind	3,000,000 ¹¹¹	million USD (\$)	Enter years Enter years	Enter%	Options		
Stichting AndGreen.Fund	Grant and in-kind	4,350,000 ¹¹²	million USD (\$)	Enter years Enter years	Enter%	Options		
Stichting AndGreen.Fund Stichting AndGreen.Fund FMO (MFF)	Grant	4,250,000 ¹¹³	million USD (\$)	Enter years Enter years	Enter%	Options		

¹¹¹ This figure represents cofinancing for Output 1.1 and Output 1.2. See co-financing information below in C.2.

¹¹² This figure refers to co-financing provided by the TA Service Provider, IDH, as part of the extension of the TA Cooperation Agreement.

¹¹³ Co-financing from Stichting AndGreen.Fund in cash (USD 3.75 million) and FMO in cash (USD 0.5 million)

Total financing (c) = (a)+(b)	Amount	Currency
	981,620,000	million USD (\$)
(d) Other financing arrangements and contributions (max. 250 words, approximately 0.5 page)	Stichting AndGreen.Fund's equity contribution is composed of:	
	Contributors	Amount (USD)
	NICFI	94.69 million
	Unilever; GEF	26.98 million
	Private reinsurer; FMO; UK MFF	59.0 million

C.2. Financing by component

Please provide an estimate of the total cost per component and output as outlined in section B.3. above and disaggregate by source of financing. More than one co-financing institution can fund a single component or output. Provide the summarised cost estimates in the table below and the detailed budget plan as annex 4.

Component/Output	Indicative cost (USD)	GCF financing		Co-financing		
		Amount (USD)	Financial Instrument	Amount (USD)	Financial Instrument	Name of Institutions
Component 1: &Green Fund Lending Facility	964,420,000	180,750,000		783,670,000		
Output 1.1 Scalable investment vehicle is established	1,750,000	250,000	Grants	1,500,000	In-kind (Operating costs)	Stichting AndGreen.Fund
Output 1.2 Fund recruits co-investment to leverage GCF and existing &Green resources.	2,000,000	500,000	Grants	1,500,000	In-kind (Operating costs)	Stichting AndGreen.Fund
Output 1.3: Fund capital disbursed to large-scale sustainable agriculture projects with robust environmental and social covenants incorporated into lending agreements as events of default	960,670,000	180,000,000	Subordinate loan	780,670,000	Equity (180.67 million) Senior Loans (private sector) (600 million)	Stichting AndGreen.Fund, Private (investors)
Component 2: Technical Assistance Facility	17,200,000	8,600,000		8,600,000		
Output 2.1 Policy dialogue, awareness raising and capacity building to maximize country ownership, blueprint communication and replication	6,477,782	2,127,782	Grants	4,350,000	Grants	Stichting AndGreen.Fund
Output 2.2 Technical cooperation service contracts in eligible jurisdictions for capacity building of companies and business model development, landscape-level impact design and local community/ smallholder inclusion; assessment against	9,234,993	4,984,993	Grants	500,000 3,750,000	Grants Grants	FMO Stichting AndGreen.Fund

commercial viability and environmental and social impact criteria						
Output 2.3 Monitoring, reporting and verification of changes in GHG, resilience and social inclusion indicators; hazard assessments and tracking paradigm shift progress	1,487,225 over investment lifetime	1,487,225	Grants	0	n/a	Stichting AndGreen.Fund
Indicative total cost (USD)	981,620,000	189,350,000		792,270,000		

This table should match the one presented in the term sheet and be consistent with information presented in other annexes including the detailed budget plan and implementation timetable.

In case of a multi-country/region programme, specify indicative requested GCF funding amount for each country in annex 17, if available.

Please see Annex 17 (Multi-country Programme Information) for indicative GCF funding amount for each country.

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)

C.3.1 Does GCF funding finance capacity building activities?	Yes ☒ No ☐
C.3.2. Does GCF funding finance technology development/transfer?	Yes ☐ No ☒

If the project/programme is expected to support capacity building and technology development/transfer, please provide a brief description of these activities and quantify the total requested GCF funding amount for these activities, to the extent possible.

237. Component 2 – &Green Fund's TAF delivers capacity building, technical assistance and stakeholder engagement activities required to strengthen the enabling environment for deforestation-free agricultural commodity production in tropical countries.

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's [Initial Investment Framework](#).

D.1. Impact potential (max. 500 words, approximately 1 page)

Describe the potential of the project/programme to contribute to the achievement of the Fund's objectives and result areas. As applicable, describe the envisaged project/programme benefits for mitigation and/or adaptation. Provide the intended outcomes for mitigation by elaborating on how the project/programme contributes to low-emission sustainable development pathways. Provide the intended outcomes for adaptation by elaborating on how the project/programme contributes to increased climate-resilient sustainable development. Calculations should be provided as an annex. This should be consistent with section E.3 reporting GCF's core indicators.

Impact Potential

Mitigation impact:

238. Based on results from investments over the past four years and potential results from pipeline investments, this programme is expected over the lifetime of the investment to result in approximately 350,000 tCO_{2e} of GHG reductions and removals per USD 1 million invested, as a result of changes to agri-commodity production practices. For a projected investment of USD 960 million the fund would therefore contribute to over 339 MtCO_{2e} over the investment lifetime. [Table 5 Summary of mitigation impacts](#) below provides an overview of the programme's expected lifetime mitigation impacts. For detailed information on the methodology and calculation of these figures, see documents in Annex 22.
239. Intensification of agriculture and livestock management can, in some cases, increase emissions from methane (CH₄) and/or nitrous oxide (N₂O). &Green does not historically require its investments to provide a full-scale GHG inventory because the material GHG impact from its transactions stems from the quantified forest protection. However, where potential source emissions increases within the project boundary might occur due to the transaction, this would be captured in the International Finance Corporation Performance Standard 3 risk assessment that &Green performs on a standard basis for all investments¹¹⁴. Projects with risks to potentially increase emissions >25,000tCO_{2e}¹¹⁵ require quantifying and addressing with mitigation actions and monitoring through the ESAP. &Green has created a specific, detailed, protocol for addressing material source emissions increases within the project boundary, as described in Annex 22e (see section 3) for the assessment and management process and section 2.2 for an illustrative example of how the process would work for a sub-project.
240. To document removal estimates for the enhancement of carbon stocks in forest remaining as forest and reforestation, &Green uses and conservative removal factors derived from national sources and updated to the latest UNFCCC-approved FRELs and FRLs. These removals are not claimed as mitigation impacts in the GCF reporting, to ensure alignment with GCF approaches. &Green will transparently report conservatively quantified estimates of removals as part of annual reporting to the GCF and make data and information available to relevant host government authorities, including the NDAs. Annex 22c includes guidance on the approach taken to estimate GHG removals, including how removal factors are calculated, differentiation between forest restoration types and assumptions made in the calculations, and example calculations illustrating how the guidance is applied.
241. Annex 17 (Multi-country Programme Information) illustrates how the programme's mitigation impact across the countries that provided NOLs. The figures are *indicative* forecasts based on the benchmarked CO_{2e} mitigation potential / USD million invested ratio, derived from existing &Green portfolio investments. Precise country or transaction specific allocations are not possible in advance as the programme includes future investments (sub-projects) that are yet to be identified; relevant downscaled information cannot be collected until pipeline investments reach the due diligence stage.¹¹⁶ For each of the approaches discussed above, the Operations Manual (Annex 21) describes how and where this is addressed and which actor in the investment process has

¹¹⁴ IFC PS 3 is summarized in Guidance Note 3 – Resource Efficiency and Pollution Prevention, IFC 2012, p.5. https://www.ifc.org/wps/wcm/connect/e99f8ca9-dbf3-4eae-a48d-206ca099b7b3/Updated_GN3-2012.pdf?MOD=AJPERES&CVID=nXqn9PX

¹¹⁵ The IFC derived materiality threshold of 25,000tCO_{2e}/year is a maximum. Some jurisdictions or sectors may have alternate thresholds (in % or in absolute value in tCO_{2e}) that are more relevant and applicable. These alternate thresholds will be adopted where applicable, but &Green retains a maximum threshold of 25ktCO_{2e}/year, even if the alternate threshold is a higher amount (via % or in tCO_{2e}/year). If source emission increases are above this threshold, they are considered material.

¹¹⁶ &Green can disaggregate different levels of control and report for each level separately. This is described in the Guidance Note on MRV (Annex 6, Appendix 4 on pages 3 and 6). Only the impact on land under control by the transaction operators and their supply chain partners bound by the NDPE is accounted for.

responsibility. &Green's transparent reporting process will include frequent progress updates, in line with the reporting requirements of the GCF, provided to the GCF Secretariat. &Green also includes a transparent reporting system for other donors and investors to monitor Fund progress to mitigation impact goals.

Table 5 Summary of mitigation impacts

Mitigation contribution type	Location	Quantification approach	Impact for US\$960M portfolio (MtCO _{2e})	Attributed to MRA4 (Y/N)
Avoided deforestation	In forests protected by &Green incentives	Downscaled FREL	339	YES
<i>Avoided deforestation</i>	<i>In forests in supply sheds (landscapes) of &Green influence</i>	<i>Marginal production</i>	<i>618</i>	<i>No</i>
<i>Forest restoration</i>	<i>In forests protected by &Green incentives</i>	<i>Forest area multiplied by Removal Factor (RF) from FREL or IPCC.</i>	<i>504</i>	<i>No</i>
Total mitigation estimate			1461	No
Total mitigation reported to GCF under MRA4			339	Yes

Adaptation impact:

242. This programme contributes to GCF results areas for Health and well-being, and food and water security and also to ecosystem and ecosystem services. Based on Stichting AndGreen.Fund's existing portfolio and pipeline potential, the programme is expected to yield the following adaptation metrics:

- Approximately 16,000 ha/USD 1 million invested (16 million hectares for a USD 1 billion investment)
- Approximately 2,000 people with enhanced resilience/USD 1 million invested (2,000,000 people for a USD 1 billion investment).

243. Because the programme includes future investments (sub-projects) that are yet to be identified, precisely specifying the contribution to adaptation at the jurisdictional level is not possible at this stage. Annex 22f describes the detailed climate hazard, vulnerability and resilience assessment process undertaken for each investment to identify, plan, implement and monitor, and report and verify adaptation actions in line with GCF requirements. Sections 3.3-3.10 in Annex 22f include a detailed explanation of the 8-step process. The key element of the methodology is the design of adaptation activities as part of the Landscape Protection Plan by the Investment Manager in collaboration with the investee (client). These activities will align with and build upon nationally identified priorities relevant for the sector, landscape and geography. Once sub-projects are identified, this methodology will also be applied to the JECAs. The adaptation impact methodology comes with an accompanying case study to illustrate how it works. Output 2.3 provides support to identify and continuously expand the visibility of relevant climate hazards, adaptation options and quantification of increased resilience. The application of this methodology is included in the Operations Manual (Annex 21) to show how it is operationally linked to the investment process.

244. As set out in Section E3 of the logical framework, &Green Fund's investments will generate positive impacts against the following IRMF indicators:

Forests and Land Use
• GHG emissions reduced, avoided or removed/sequestered
• Direct and indirect beneficiaries reached

Hectares of natural resources brought under improved low-emission and/or climate-resilient management practice
Health, well-being, food and water security
Hectares of natural resources brought under improved low-emission and/or climate-resilient management practice
Number of livestock brought under sustainable management practices (relevant to investments in livestock value chains).
Ecosystems and ecosystem services
Hectares of terrestrial forest, terrestrial non-forest, freshwater and coastal marine areas brought under restoration and/or improved ecosystems

The &Green Fund has developed a transformational change model:

245. By financing business models that focus both on generating revenue through commodity production and decoupling revenue growth from forest impact, the mindset of financiers can be changed so that lending products are offered to clients where sustainability criteria are intrinsically embedded in the financial conditions of the loan. &Green Fund aims to transform finance and business models in mainstream markets such that they sustain land-use practices in which the increased production of agro-commodities contributes to the protection and restoration of forests and the inclusion of smallholders and forest communities in the economy. This contributes to countries' land degradation prevention efforts and hit Sustainable Development Goals (SDGs) targets by mobilizing private finance at scale.

The GCF's investment will be used by &Green Fund to realise the following two outcomes:

- Outcome 1: Scalable, replicable commercial models developed for deforestation and peat free commodity production**
- Outcome 2: Technical Assistance Facility (TAF) supports an enabling environment for forest protection and climate resilient commodity production**

Calculations are presented in Annex 2 – Feasibility Study; Annex 4 – Budget; and Annex 17 – Multi-country project/programme information.

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

Catalyzing Impact

246. &Green Fund employs a **Production-Protection-Inclusion** approach. This is a multi-stakeholder approach, taken to secure inclusive, sustainable, deforestation-free production within a defined area (the “Landscape”) involving local communities, producers, financiers, supply chain companies, local and national government, and civil society. This approach is enshrined in a binding and contractually agreed plan (the “Landscape Protection Plan, LPP”) between the lender (&Green Fund) and the borrower.
247. &Green Fund generates its impact within supply chains that are active in landscapes where valuable ecosystems require active protection and/or restoration but face increasing pressure from agricultural production. That is, &Green Fund directly targets the *drivers* of deforestation, rather than forest areas for conservation. The key paradigm shift is between agricultural expansion (and deforestation) to sustainable agricultural intensification (more production from the same area of land). Communities and participants in the relevant commodity supply chains will benefit from sustainable use and management of ecosystem services in the Landscape. This way, &Green Fund can finance the process of delinking deforestation from major commodity supply chains.
248. &Green Fund advances its credit only in jurisdictions that have a progressive forest protection agenda and therefore reviews every potential jurisdiction on 5 Jurisdictional Eligibility Criteria (JECs)¹¹⁷. &Green Fund evaluates transactions with respect to the environmental and social impacts generated by: ensuring borrowers commit to the organisational NDPE policy; Environment and Social Action Plans (ESAPs) that are conditions of loan contracts are aligned with IFC performance standards for each client; an LPP is developed with quantitative impact targets that describe and monitor performance. This information is transparently reported¹¹⁸ and creates a blueprint for sustainable land use and management that the broader market can adopt.

Innovative financing:

249. Commodity players work in very low margin markets, where any changes to sourcing are risky and find limited appetite from a commercial perspective. Working capital is always a limiting factor for commodity businesses, and therefore there is reduced appetite to deploy it to make risky changes to the status quo. &Green provides long-term funding that is adapted structurally to the nature of the paradigm shift the fund finances – therefore reducing these risks for the commodity players to an acceptable level.
250. The Fund offers financing that is structured to achieve transformational changes. Credit terms are flexible and adapted to client needs - they can include longer tenors, subordinate loans, risk guarantees, and extended grace and/or repayment periods tailored to the nature and needs of investments. Commodity producers or supply chain actors can build the blueprint business models that cover the costs of implementing sustainable practices and for opportunity costs associated with forest conservation and other environmental and social targets.
251. &Green Fund imposes clear requirements on its clients regarding impact targets that must be delivered during the loan period. The Fund provides support and technical assistance to clients to build a robust Environmental and Social Management Systems (ESMS) that incorporates the necessary process, resources and actions to achieve these targets in the operations of the business. This support makes it practical for investees to deliver on and report these outcomes.
252. The funding &Green provides is not currently available in the market today, and it is a key objective for &Green to demonstrate to the financial markets that adapting their funding structures could drive paradigm shift at scale. There is, in addition, a reputational benefit from working with &Green given the high-profile investors it has, as this serves as a “seal of approval” for high ESG quality and makes projects more bankable.
253. &Green’s early investments have already led to increased interest in &Green in countries of operation to date (Indonesia, Brazil, Colombia), and increasingly &Green is working with local banks to structure co-financing transactions. All &Green investments must, at project level, over the duration of the transaction catalyze at least three times &Green’s funding; this project level co-financing is in place already for a number of existing investments. In some transactions, &Green’s funding is directly connected to the co-funding of local banks (such as for DSNG and Roncador) through cross-default arrangements, indicating the importance of &Green’s support for the co-financiers. Ultimately, &Green is successful when local players learn to set the same conditions and offer the same terms and tenors for financing as &Green does today, as this will enable commodity businesses to fund their climate transition without jeopardizing their profitability. See &Green’s KPI Framework (Annex 6, Appendix 1) which accompanies the Funding Proposal package and details the approach to transformational change and paradigm shift.

Impact model:

254. &Green Fund aims to transform finance and business models in mainstream markets such that they sustain land-use practices in which the increased production of agro-commodities contributes to the protection and restoration of forests and the inclusion of smallholders and forest communities in the economy. This

contributes to countries' land degradation prevention efforts, and Sustainable Development Goals (SDGs) targets by mobilizing private finance at scale.

255. &Green Fund has developed a transformational change model: by financing business models that focus both on generating revenue through commodity production – and at the same time decoupling revenue growth from forest impact – the mindset of financiers can be changed so that lending products are offered to clients where sustainability criteria are intrinsically embedded in the financial conditions of the loan. These criteria are set out in the Environmental and Social Action Plan (ESAP) and Landscape Protection Plan, which are highly customized, each taking into account the client type, jurisdiction, commodity supply chain, and individual landscape complexities.

- Landscape Protection Plan: A comprehensive, long-term land-use and management plan developed by the prospective client in conjunction with key stakeholders, covering all relevant areas of high carbon stock and high conservation value forest and peatlands.
- Environmental and Social Action Plan: a document that defines how the client will implement and monitor its progress towards achieving the vision set out in the LPP. The ESAP is aligned with the IFC Performance Standards (or equivalent) and NDPE policies and constitutes an enforceable part of loan contractual obligations.

256. Through the implementation of LPP, ESAP and NDPE policies, investees will transform their business models and decouple commodity production from deforestation. Investments are designed to be commercially viable, create lasting, irreversible change and serve as blueprints for replication and scale up.

257. The environmental and social impact strategy of &Green Fund is embedded in and operationalized through an Environmental and Social Management System ("ESMS") designed to identify, manage and report on environmental and social aspects and potential impacts of the Fund's lending program.

Potential for scaling up and replication:

258. The &Green Fund establishes a blueprint for financing inclusive, sustainable and deforestation-free commodity production that is commercially viable and replicable, strengthening the case for a rural development paradigm that protects valuable forests and peatlands and promotes high productivity agriculture.

259. &Green Fund plans to scale-up as follows:

- With USD 180 million confirmed by the GCF in 2023, &Green Fund will then unlock 600 million in additional commitments from commercial investors.
- By December 2025, the Fund will meet its original impact targets (5 million hectares of forest conserved, 500,000 beneficiaries) and achieve a USD 400 million portfolio, with major climate change investors from the public and private sector.
- By December 2030, the Fund will meet its multiplier impact and achieve a USD 960 million+ portfolio, with major institutional and corporate investors.

260. The Fund can expand to other commercially productive landscapes, and other countries, provided they meet eligibility and investment criteria and these opportunities attract additional investors. Other investors will be targeted to optimize the potential of the Fund for private sector driven impact on forest protection. Other international investors and development agencies can be included, complementing the project's technical, financial and convening capacities over time.

261. In addition, &Green Fund's investments will de-risk client companies that have adopted sustainable production approaches, making them more attractive to follow-on investment from other sources.

Potential for knowledge sharing and learning:

262. The &Green Fund's transactions stimulate innovation in agricultural business models by taking the best growth ideas from more mature industries in target jurisdictions or other countries and adapting those processes to the target company while incorporating environmental sustainability. Developing integrated supply chains with centralised operational control allows for transparency and traceability of the entire production process – a requirement that is increasingly becoming the standard for international commodity purchasers. &Green Fund's high degree of transparency and insistence on collecting and sharing data helps to form a community of practice among agri-producers and investors about what works, and how to replicate success. These replicable blueprints are a key element of the Fund's transformational impact.

¹¹⁷ See all JECAs at: <https://www.andgreen.fund/downloads/>

¹¹⁸ Available publicly at: <https://www.andgreen.fund/portfolio/>

263. To achieve the Fund's desired outcomes - to create blueprints for sustainable land use and management which others in the market can adopt, replicate and scale significantly - the Fund reports publicly with high transparency, and implements the following Knowledge Management Approach:

264. The first level of learning takes place within the landscape relating to a particular investee, where there is a focus on strategic issues and critical challenges being faced, both on a project-level and jurisdictional-specific matters. The &Green Fund Technical Assistance window works with each client producer to identify the most effective and climate-resilient approaches to intensifying agricultural production. The results of these interventions and the overall investment are tracked and reported against &Green Fund's Key Performance Indicators (KPIs).

265. &Green Fund evaluates every potential and executed transaction with respect to the environmental return and social inclusion impact generated. The Fund's Key Performance Indicators (KPIs) include the engagement of smallholders in a supply chain and ensuring the inclusion of local communities. Knowledge sharing at the project level mainly benefits those upstream in the supply chain, namely the smallholders, and provides an opportunity for two-way learning. With technical assistance provided to improve smallholders' resilient production capacity, this knowledge sharing has the overall effect of improving the long-term sustainability of production and traceability of the supply chain.

266. The investees, beneficiaries, investors and other partners, as well as the Fund itself, engage in an ongoing learning process. As deals are executed, the Fund's investment team will capture and share best practices, lessons and models within and across sectors through multiple channels. &Green Fund aims to create blueprint transactions – practices and approaches that can be replicated – therefore knowledge sharing is built into the Fund's operating structure and KPIs.

Creation of an enabling environment – through the &Green Fund's Production – Protection – Inclusion approach:

267. The &Green Fund takes an innovative **Production-Protection-Inclusion** approach. This is a multi-stakeholder approach, taken to secure inclusive, sustainable, deforestation-free production within a defined area (the "Landscape") involving local communities, producers, financiers, supply chain companies, local and national government, and civil society. This approach is enshrined in a binding and contractually agreed plan (the "Landscape Protection Plan, LPP") between the lender, &Green Fund, and the borrower.

268. &Green Fund generates its impact within supply chains that are active in Landscapes where valuable ecosystems require active protection and/or restoration but face increasing pressure from agricultural production. Communities and participants in the relevant commodity supply chains will benefit from sustainable use and management of ecosystem services in the Landscape. This way, &Green Fund can finance the process of delinking deforestation from major commodity supply chains.

Contribution to regulatory framework and policies:

269. &Green Fund advances its credit only in jurisdictions that have a progressive forest protection agenda and therefore reviews every potential jurisdiction on 5 Jurisdictional Eligibility Criteria (JECs). &Green Fund evaluates transactions with respect to the environmental and social impacts generated by: ensuring borrowers commit to the organisational NDPE policy; Environment and Social Action Plans (ESAPs) that are conditions of loan contracts are aligned with IFC performance standards for each client; an LPP is developed with quantitative impact targets that describe and monitor performance. This information is transparently reported and creates a blueprint for sustainable land use and management that the broader market can adopt.

270. All target &Green Fund countries must have at least a minimum acceptable regulatory environment, or specific mechanisms to adequately value natural/forest assets. Advances made in regulatory and institutional frameworks vary among the targeted countries (see Appendix 5 of the Feasibility Study). The development of sustainable commodity production strategies remains in its infancy, as producers struggle to shift towards environmentally friendly practices. Overall, legal and policy frameworks are in place for the conservation and sustainable management of forests and biodiversity, but incentives for streamlining the participation of private investors in businesses relating to forest protection and sustainable commodity production are generally not in place.

271. On the other hand, targeted countries have financial systems with limited depth, are inherently risk-averse and offer very limited financing alternatives for these ventures. Adequate financial instruments that can crowd in the private sector to support more rapid development of these business models are still lacking. In general, the

risks (or perceived risks) associated with these transactions, especially in the absence of proper natural capital valuation, hinders credit and investment by private actors. In addition, support is needed to overcome barriers related to the limited expertise and advancement in technology development associated to the innovative nature of these businesses (see Section B.2).

272. The Fund offers financing that is structured to achieve the transformational changes sought. Credit terms are flexible and adapted to client needs, they can include longer tenors, subordinate loans, risk guarantees, and extended grace and/or repayment periods tailored to the nature and needs of investments. Commodity producers or supply chain actors can build the blueprint business models that cover the costs of implementing sustainable practices and for opportunity costs associated with forest conservation and other environmental and social targets.

273. &Green Fund imposes strict requirements on its clients regarding impact targets that must be delivered during the loan period. The Fund provides support and technical assistance to clients to build a robust Environmental and Social Management Systems (ESMS) that incorporates the necessary process, resources and actions to achieve these targets in the operations of the business. This support makes it practical for investees to deliver on and report these outcomes. GCF resources are necessary for deploying mechanisms that can attract private capital and can deliver climate benefits with the maximum leverage possible. They are also needed to build knowledge and capacity within local governments, and along the finance and production value chains.

Overall contribution to climate-resilient development pathways consistent with relevant national climate change adaptation strategies and plans:

274. Despite governments' (of the target countries) willingness to find ways to reduce deforestation and land degradation, efforts so far have been insufficient. A shift in local productive structures and practices can contribute to addressing this issue, although this cannot be achieved by public efforts alone.

275. Private sector participation is key to produce a fundamental and long-lasting change, specifically via investing in the adoption of business models, activities and technologies that use natural resources sustainably, and contribute to climate-resilient development pathways. In all targeted countries, natural capital is substantial, and the development of bio-businesses poses an important opportunity to address AFOLU-related GHG emissions and increase resilience to climate change. Yet, capital flows to these activities are minimal. Measures are needed to better connect relevant actors within these markets and for them to realize the value of natural capital in these activities at scale.

276. All of &Green Fund's target countries have demonstrated a commitment to reducing greenhouse gas emissions, adapting to the impacts of climate change and safeguarding their natural capital. These commitments are outlined in national climate policies of the respective countries (including Nationally Determined Contributions and National Adaptation Plans) and through being party to international agreements. The &Green Fund strives to ensure close alignment with the mitigation and adaptation objectives of each target country. To this end, &Green Fund have undertaken a detailed analysis of the climate policies of each target country and engaged with relevant stakeholders in each country. The &Green Fund's alignment with national climate policies is documented in Appendix 5 of the Feasibility Study (Annex 2). &Green Fund's engagement with relevant stakeholders in each target country is documented in Annex 7.

277. &Green will monitor and report investments' contribution to paradigm shift and transformational change as part of the existing &Green MRV framework. For example, KPI 1 in the MRV framework requires reporting on contribution to systems change, scale and durability.

D.3. Sustainable development (max. 500 words, approximately 1 page)

Describe the wider benefits and priorities of the project/programme in relation to the Sustainable Development Goals and provide the potential in terms of:

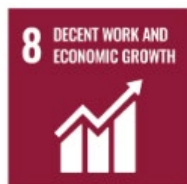
- *Environmental co-benefits*
- *Social co-benefits including health co-benefit*
- *Economic co-benefits*
- *Gender-sensitive development benefit*

278. The proposed programme contributes indirectly to almost all of the Sustainable Development Goals (SDGs), but contributes most directly to:

- Goal 8: Decent work and economic growth;

- Goal 12: Responsible Consumption and Production;
- Goal 13 Climate Action;
- Goal 15: Life on Land.

279. &Green Fund will support these goals by improving sustainable forest and agricultural land management, contributing to climate change mitigation, and building climate resilience. Goal 5: Gender-sensitive Development has been mainstreamed into &Green Fund operations at both programme and project level.



280. &Green Fund's borrowers must adopt a "no-deforestation, no peat, no exploitation" policy as a condition of investment. In alignment with SDG 8, these provisions, and the technical assistance provided via Component 2, will help to improve working conditions for smallholders in producers' supply chains, and a more equitable share of the benefits from commodity supply chains.



281. The &Green Fund makes a major contribution to the achievement of SDG 12 in all participating countries. By promoting agricultural intensification, sustainable management and reduced natural resource exploitation, the Fund engages large companies to adopt sustainable practices and to integrate sustainability information into their reporting cycle.



282. As described throughout this Funding Proposal, the &Green Fund will contribute to SDG 13 by delivering >339 million tCO₂e in emission reductions from the agriculture, forestry and land use sectors over the GCF investment lifetime, while building climate resilience for agricultural producers.



283. The Fund's investments will support SDG 15 by protecting, restoring and promoting sustainable use of terrestrial ecosystems, contributing to sustainable forest management and halting / reversing land degradation and biodiversity loss in tropical ecosystems threatened by unsustainable agricultural practices.

284. &Green Fund does not quantitatively account biodiversity impacts as co-benefits from investments and forest protection, though each hectare of forest protected and restored contributes to slowing biodiversity decline, and the reported number of hectares with increased ecosystem resilience can be considered a proxy for biodiversity improvement. Beyond this, the Fund is very aware of the importance of halting and reversing the catastrophic decline in biodiversity and has used best practice approaches in this regard. See Section 2.9 of Annex 2 – Feasibility Study for more detail on the Fund's approach to biodiversity.

285. The contribution to the achievement of social and environmental co-benefits will be measured and reported regularly. &Green has strong transaction-level MRV that addresses requirements in each ESAP, subject to annual monitoring and 3rd party review. Project-level ESAPs follow a standardized structure to track timely

delivery of expected milestones, annual performance in KPIs, and progress in (or maintenance of) IFC PS compliance. These elements are contractually prescribed in ESAP documentation and are made publicly available.¹¹⁹

286. &Green monitors and tracks NDPE and IFC PS compliance for all transactions as part of careful oversight of our investments. This data is aggregated from project level to portfolio in a defined process and used as a portfolio indicator by management and the &Green Board (OPI 9.2 and 9.4 respectively; see &Green KPI Framework).¹²⁰
287. &Green Fund's robust approach to implementation, monitoring and reporting is described further in Annex 21 - Operations Manual as well as accompanying MRV documents (MRV Protocol (Annex 6, Appendix 2), Guidance Note (Annex 6, Appendix 4) and KPI Framework (Annex 6, Appendix 1)).

Gender-sensitive development benefit



288. The formative research conducted for Annex 8 (Gender Assessment and Action Plan) revealed that women, more so than men – in the &Green target countries – face a number of gendered and social barriers and constraints when working in agricultural production and processing.
289. These include: limited equal opportunity to acquire the factors of production such as land, credit, networks, infrastructure and education; limited time to take advantage of economic incentives (e.g. by participating in agricultural development projects) due to women's existing roles and responsibilities to carry out non-salaried tasks (e.g. child care, housework), also referred to as the unpaid care economy; discriminatory gender norms prevalent in communities, markets and institutional structures which favour male participation and prevent women from having an equal voice in decision-making.
290. &Green Fund, as a Fund that aims to generate substantial environmental and social returns, also works on diminishing gender inequality through the invested portfolio. In principle, &Green Fund will tackle gender inequalities in three ways: understanding the gendered division of labour, decision making process and access to financial services; drawing action plans specific to the local context with specific attention to SEAH and GbV in commodity supply chains; and enhancing cooperation in local communities and raising awareness of women's empowerment. Please see Annex 8 – Gender Analysis and Gender Action Plan for more detail. Through an intersectional approach &Green Fund will build an awareness of the differentiated needs and vulnerabilities of other underrepresented groups based on gender, age, sexual orientation, race and other characteristics.

D.4. Needs of recipient (max. 500 words, approximately 1 page)

Describe the scale and intensity of vulnerability of the country and beneficiary groups and elaborate how the project/programme addresses the issue (e.g. the level of exposure to climate risks for beneficiary country and groups, overall income level, etc.). Describe how the project/programme addresses the following needs:

- *Vulnerability of the country and/or specific vulnerable groups, including gender aspects (for adaptation only)*
 - *Economic and social development level of the country and the affected population*
 - *Absence of alternative sources of financing (e.g. fiscal or balance of payments gap that prevents government from addressing the needs of the country; and lack of depth and history in the local capital market)*
 - *Need for strengthening institutions and implementation capacity*
291. As described in Section B.1, the agriculture, forestry and land use sector is a major contributor to GHG emissions in all target &Green Fund countries. Moreover, agriculture and shifting of commodity productions are primary drivers of deforestation in these countries (see table on deforestation in each country in section B.1.). The sector is also highly vulnerable to climate change: increasing temperatures, changes to rainfall variability and frequency and intensity of fires, are already impacting agricultural productivity. A shift in local productive structures and practices can contribute to addressing this issue, but this cannot be achieved with public

¹¹⁹ https://www.andgreen.fund/wp-content/uploads/2022/05/ESAP_FS_Final_Public-1.pdf

¹²⁰ While the GCF logframe templates do not include sub-investment indicators. &Green is happy to share this monitoring data GCF as part of quarterly, semi-annual and annual reports that go to all &Green investors.

investment alone. Despite governments' willingness to find ways to reduce deforestation and land degradation, efforts so far have been insufficient. Private participation is key to produce a fundamental and long-lasting transformation, specifically via investing in the adoption of business models, activities and technologies that use the natural resource base more sustainably. In all targeted countries, natural capital is substantial, and the development of more sustainable businesses models poses an important opportunity to address AFOLU-related GHG emissions and increase resilience to climate change. However, as described in Section B.1 and B.2, multiple barriers prevent the spontaneous adoption of low-emission, climate resilient agricultural commodity production.

292. &Green Fund's target countries have demonstrated their commitment to consolidate a support system for safeguarding their natural capital through international agreements and their own policy documents (NDCs, NAPs, etc.). However, these countries require support to strengthen regulatory environments, or establish specific mechanisms to adequately value natural / forest assets. Advances made to establish or enforce these regulatory and institutional frameworks vary among the targeted countries (see Appendix 5 of the Feasibility Study). The development of sustainable commodity production strategies remains in its infancy, as producers struggle to overcome barriers that hinder the shift towards environmentally friendly practices. Overall, legal and policy frameworks are in place for the conservation and sustainable management of forests and biodiversity, but incentives for streamlining the participation of private investors in businesses relating to forest protection and sustainable commodity production are generally not in place.
293. The main commercial lenders in &Green Fund's target countries typically employ risk-averse investment strategies and offer very limited financing alternatives for these ventures. In general, the risks associated to these projects, especially in the absence of proper natural capital valuation, hinders credit and investment by private actors. In addition, support is needed across the region to overcome barriers related to the limited expertise and advancement in technology development associated to the innovative nature of these businesses (see Section B.2).
294. GCF resources are necessary for deploying mechanisms that can attract private capital and can deliver climate benefits with the maximum leverage possible. They are also needed to build knowledge and capacity within local governments, and along the finance and production value chains.
295. For detailed descriptions of the economic and social development and overviews of the financial landscape in each country, see appendices 3 and 4 of the Feasibility Study.

D.5. Country ownership (max. 500 words, approximately 1 page)

Alignment with existing national strategies and GCF Country Programmes

296. A detailed review of the 11 target countries concluded that the Fund is well-aligned with multiple strategies, targets, and plans (such as Nationally Determined Contributions (NDC) and National Adaptation Plans (NAPs)) of the target countries. In addition, the Fund has reviewed the GCF Country Programmes for all target countries. While this Funding Proposal was prepared subsequent to the publication of those GCF Country Programmes, nearly all of the CPs call for interventions that make agricultural production more climate resilient and reduce deforestation threats. **Annex 2 includes an extensive (100+ pages) analysis of &Green Fund's alignment with each target country's strategy.**
297. The proposed program is aligned with recent global commitments to which the target jurisdictions are parties. The **Glasgow Leaders' Declaration on Forests and Land Use**, signed at COP26, highlights the need for transformative steps to transform agriculture as part of efforts to conserve forests and other terrestrial ecosystems.
298. **The Convention on Biological Diversity (CBD)** has three main targets: biodiversity conservation, sustainable use of biodiversity and fair and equitable sharing of genetic resources. &Green Fund activities directly align with CBD objectives by targeting sustainable use and conservation of forests in all target geographies and incorporating the principles and practices of the TNFD (Taskforce on Nature-related Financial Disclosures) based.
299. All countries are parties to the **Nagoya Protocol** and will support the main objectives of the protocol to promote equal use of natural resources and environmental benefits through this project by improving local smallholder livelihoods through sustainable forest management.

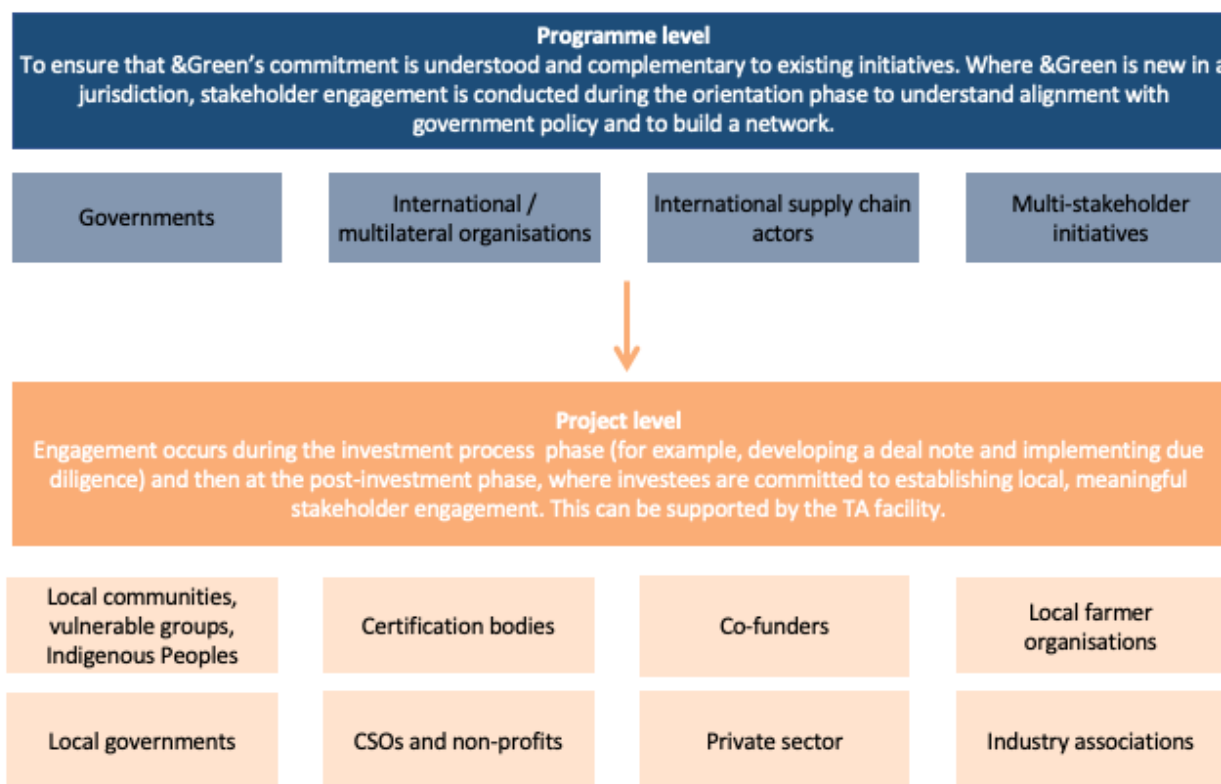
Engagement with National Designated Authorities and other stakeholders

300. &Green Fund has received letters of No-Objection Letters (NOLs) from the NDAs of all 11 target countries: Brazil; Indonesia; Colombia; Cameroon; Congo, Côte d'Ivoire; Democratic Republic of the Congo; Ecuador; Gabon; Lao People's Democratic Republic (PDR); Liberia; Zambia. FMO shared an overview presentation of the

programme along with formal NOL request letters and the GCF approved Concept Note or draft Funding Proposal (depending on the timing of communications). This initial outreach was followed up by the Fund and IDH (where there is in-country presence) for further engagement. Presentations and virtual meetings were offered to all NDAs. The following points provide a summary of the NDA consultations (further details can be found in Annex 7):

- Presentations and Q&A virtual meetings: Democratic Republic of Congo, Ecuador, Gabon, Indonesia;
- IDH direct engagement in-country: Brazil, Colombia, Cameroon, Liberia;
- NDA engaged through email or phone: Cote d'Ivoire, Lao PDR, Zambia.

301. &Green Fund and its partners have been in regular dialogue with the NDAs and country representatives throughout the Funding Proposal development, incorporating comments and feedback into the proposal as it is being developed. The final package will be shared with all the NDAs upon completion. As illustrated in the Figure below, stakeholder engagement occurs at both the programmatic and project levels. As part of the programmatic engagement during preparation of the Funding Proposal, all stakeholders were invited to attend virtual stakeholder consultations (i.e. webinars) in June 2022, which provided an opportunity for Q&A and feedback, as well as a call to feedback through the &Green Fund stakeholder webpage (see: <https://www.andgreen.fund/stakeholders/>).



302. As of April 2023, eleven NOLs have been received from the NDAs of **Brazil; Indonesia; Colombia; Cameroon; Côte d'Ivoire; Democratic Republic of the Congo; Ecuador; Gabon; Lao People's Democratic Republic (PDR); Liberia; and Zambia**. The programme has been well received, with a high level of interest from NDAs and key ministries in developing the programme in their country. Additional countries, beyond the 11 targeted, have been contacted and NOL process initiated but no NOL has been received. These countries include (without limitation) Ghana, Malaysia, Mexico, Paraguay, Peru and Viet Nam. The programme may include further countries if NOLs are received prior to GCF board approval.

303. The programme has provided ongoing opportunities for stakeholders at programme, national, and project level to contribute their views and influence the design of the programme, including via a series of virtual stakeholder consultation webinars held in English, Spanish, French and Portuguese in June 2022. Engagement has been promoted with national and local governments, including the National Designated Authorities and relevant ministries both during programme formulation and implementation. The private sector, civil society organisations, and local communities will also be engaged and supported at deal level, also supported by the TAF to, where needed, avail additional capacity and resources for meaningful engagement and development of gender sensitive or gender transformational strategies.

D.6. Efficiency and effectiveness (max. 500 words, approximately 1 page)

Appropriate financial structure and minimum concessionality

304. The &Green Fund seeks USD 180 million from GCF in the form of subordinate loans, and a further USD 9.35 million in grants to support programmatic activities over a 15-year timeframe. The total funding request is USD 189.35 million. &Green Fund will on-lend to agricultural commodity producers – an appropriate financial intervention given the income-generating nature of the producers' activities. Grant financing comprises only 4.9% of total GCF funding, and is essential to overcome policy, technical and information barriers that prevent a rapid transformation of the sector.
305. GCF financing to Stichting AndGreen.Fund will be provided as a concessional loan, with a catch-up for GCF at the end of the loan tenor.
306. GCF capital is subordinated to commercial lenders in the timing of the reflows, and in the way the catch-up is structured. This approach avoids crowding out private and other public investors. Once the principal and interest from GCF's loan to &Green Fund have been repaid, these resources will be available once again for GCF's use in driving transformational climate action.
307. As noted in Section B.5, GCF's loan of USD 180 million on top of the Fund's existing USD 180 million will provide credibility to the &Green Fund business model, change perceptions regarding the risk-reward ratio of investments in this sector and support the Fund to crowd-in private sector investors. The financial model (See Annex 3) shows that, without GCF support, the &Green Fund is unable to crowd-in sufficient private sector investment to scale rapidly and achieve sector transformation. In the absence of early-stage GCF debt financing, the Fund is expected to achieve a maximum size of USD 300 million over the next 15 years, instead of the USD 1 billion fund size projected in the 'with-GCF' scenario. The USD 1 billion is merely a north star to guide the Fund, but in reality (given it is an Evergreen structure) it is possible that &Green Fund could raise and deploy significantly more than that. It would not need more concessional financing at that stage to do so.

Leveraging significant co-financing

308. The programme anticipates co-financing in the form of loans and equity from private and public investors totaling at least USD 783.6 million over the GCF investment period. The margin over the risk-free rate, the tenor, and the downside protection currently required by the private sector investors have all been incorporated into the financial model that underlies the funding proposal, based on discussions with prospective investors. In addition, the programme will provide USD 8.6 million of co-financing in the form of grants. Total co-financing for the programme is therefore USD 792.27 million, for a co-financing ratio of 4.18:1.
309. As per &Green Fund Lending Guidelines, any investment of the fund must, over the lifetime of the investment, be no more than 25% of the total project investment amount. The balance (75%) of the necessary investment can come from the project sponsor (equity or other instruments), local investors (including commercial banks, individuals, etc.) and international investors. Project-level co-investments are **NOT** counted under the co-financing indicated under Section C.2 – Financing by Component and are additional to the co-financing indicated there. **Including the project-level co-investments would yield an effective co-financing ratio of at least 15:1.** However, &Green Fund and the Accredited Entity have presented only the Fund-level co-financing in the GCF budget presentation.

Cost-effective programme impact

310. &Green Fund is a cross-cutting programme that reduces emissions from deforestation while making ecosystems and agricultural producers more resilient to the impacts of climate change. GCF's catalytic support is expected to result in net GHG reductions of 339.15 million tCO_{2e} over the lifetime of the investment (see Section E – Logical Framework, and Annex 22 – GHG calculations for details). Over the same period, the programme is expected to deliver direct climate resilience benefits to more than 1.9 million people and bring more than 15.7 million ha of land under sustainable and climate resilient management.
311. Table 5 below summarises the programme's performance against multiple efficiency and effectiveness metrics.

Table 6: Cost-effectiveness metrics

Total budget (USD)	981,620,000
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GCF contribution (USD)	189,350,000
Co-financing (USD)	792,270,000
GCF contribution as percentage of total budget	19%
Co-financing as percentage of total budget	81.26%
Co-financing ratio (co-finance:GCF) – programme level	4.2:1
<i>Co-financing ratio – project level</i>	15:1
GCF grant (USD)	9,350,000
GCF grant as percentage of total GCF contribution	4.9%
GCF allocation for forestry and land use (M4)	65%
Direct emissions reductions (tCO ₂ e - lifetime)	339,150,000
Allocated project cost per tCO ₂ e reduced	\$2.89
Allocated project cost per tCO ₂ e reduced	\$1.87
Allocated GCF contribution per tCO ₂ e reduced	\$0.36
GCF allocation for health & well-being, food and water security (A2)	14%
Total direct beneficiaries	1,921,340
Total project cost per beneficiary	\$511
Allocated project cost per beneficiary	\$70.27
Allocated GCF contribution per beneficiary	\$13.80
GCF allocation for ecosystems & ecosystem svcs (A4)	21%
Total direct hectares under low-emission / climate-resilient mgmt	15,705,920
Total project costs per hectare	\$62.50
Allocated project costs per hectare	\$13.13
Allocated GCF contribution per hectare	\$2.53

Application of best practices

312. This Funding Proposal has been prepared based on &Green Fund's existing experience with 5 completed investments since its establishment in 2017, as well as builds on the experiences and guidance of IDH-Sustainable Trade Initiative. IDH is engaged in multiple global coalitions to identify and develop best practices in tropical agricultural commodity production. IDH's support to &Green Fund will enhance producer, supply chain partners and key government stakeholders to be aware of and pursue best practices in deforestation free and climate resilient production.

E. LOGICAL FRAMEWORK

*This section refers to the project/programme's logical framework in accordance with the **GCF's Integrated Results Management Framework** to which the project/programme contributes as a whole, including in respect of any co-financing.*

E.1. Project/Programme Focus

Please indicate whether this proposal is for a mitigation or adaptation project/programme. For cross-cutting proposals, select both.

- ☒ Reduced emissions (mitigation)
- ☒ Increased resilience (adaptation)

E.2. GCF Impact level: Paradigm shift potential (max 600 words, approximately 1-2 pages)

This section of the logical framework is meant to help a project/programme monitor and assess how it contributes to the paradigm shift described in section D.2 above by applying three assessment dimensions - scale, replicability, and sustainability.

Accordingly, for each assessment dimension (see the definition per assessment in the accompanying guidance note), describe the current state (baseline) and the potential scenario (target) and rate the current state (baseline) by using the three-point-scale rating (low, medium, and high) provided in the guidance note. Also describe how the project/programme will contribute to that shift/ transformation under respective assessment dimensions (scale, replicability and sustainability). In doing so, please refer to section B.2(a) (theory of change).

Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
Scale	Currently, investments and financial flows towards the sustainable, long-term transformation of the palm, soy, cattle and forestry sectors are limited. Few investors are willing to divest from these supply chains away from areas associated with high deforestation risk. &Green Fund has been required to act as the lead investor in the transactions it has worked on to date. The lack of co-investors is due to mainstream investors' risk perception of financing the transformational pathways that these sectors and jurisdictions require. They also remain challenging sectors for international investors who are concerned about reputational risk, and who do not have	<u>Low</u>	&Green Fund plans to scale-up investment into the Fund as follows: • With USD 180 million confirmed by the GCF in 2023, &Green Fund will then unlock USD 600 million in additional commitments from private sector investors. &Green Fund will only draw GCF capital, as and when private sector capital is committed. • By December 2026, the Fund will meet its original impact targets (5 million hectares of forest conserved, 2,000,000 beneficiaries) and achieve a USD 400 million portfolio, with major climate change investors from the public and private sector. • By December 2031, the Fund will meet its multiplier impact and achieve a USD 960 million portfolio, with major institutional and corporate investors.	Scale up potential for &Green Fund occurs in two ways: (a) through investment by the Fund (b) through attracting private sector investors in the Fund at scale As part of the transformational change approach outlined above, investments are only eligible for &Green Fund lending if the potential for scale-up is demonstrated in advance. Each investment is thus only approved if it is 'at scale' or has a demonstrated potential to scale. Through this approach, the &Green Fund establishes blueprints for financing inclusive, sustainable and deforestation-free commodity production that is commercially viable and replicable (that is, scalable), strengthening the case for a rural development paradigm that protects valuable forests and peatlands and promotes high productivity agriculture. Furthermore, the Fund can expand to other commercially productive landscapes, and

	the internal knowledge to properly assess credit risk for land-use investments in emerging markets. Furthermore, many investors do not possess the skills or capacity required to assess the climate benefits of investments (emissions reductions, adaptation). This prevents them from prioritizing supply chain development to ensure a comprehensive shift from deforestation risks and towards investments from a climate perspective.			other countries, provided they meet eligibility and investment criteria and these opportunities attract additional investors. Additionally, for each sub project &Green Fund will typically invest only 25% of the required amount. The remaining 75% is financed via other sources and is not included as part of the co-financing that &Green Fund is reporting to the GCF. This means that &Green Fund's USD 1 billion target portfolio size will ultimately leverage <u>3 – 4X this investment</u> into target sectors.
Replicability	&Green Fund has an existing portfolio of investments towards agri-commodity producers and commodity supply chains linked with deforestation in tropical countries. However, replication is hampered by investors' limited awareness of effective models for financing socially inclusive, sustainable and deforestation-free commodity production. While there are a number of equity-based funds that focus on the shift to sustainable agricultural commodity production, it is critical to also increase the levels of debt finance flowing to sustainable agriculture. Replication of equity funds is limited because debt accounts for a higher proportion of the total global financial flows than equity.	<u>Medium</u>	&Green Fund will mainstream models of financing socially inclusive, sustainable and deforestation-free commodity production that are commercially viable and replicable, thus strengthening a rural development paradigm that protects valuable forests and peatlands and supports high-productivity agriculture. By the end of the GCF investment period &Green Fund will have replicable investment blueprints for each commodity (soy, cattle, palm oil, rubber, timber) that has received investment in each of the 11 target countries. Replication may involve: ● Follow-on investments in target companies by other investors ● Investments in other companies in target countries using &Green Fund blueprints ● Investments in companies operating in target sectors and based in other countries, using &Green Fund blueprints.	&Green Fund's investment structure and business model can ensure replicability in the following ways: (a) Transactions made through the Fund stimulate innovation in agricultural business models by (among other things) taking the best growth ideas from more mature industries in target jurisdictions or other countries and adapting those processes to the target company while incorporating environmental sustainability. (b) &Green Fund's high degree of transparency and insistence on collecting and sharing data publicly helps to form a community of practice among agri-producers and investors about what works, and how to replicate success. Successful models form the basis for replicable blueprints that will be shared between target countries to be applied in their own contexts – this is a key element of the Fund's transformational impact. (c) &Green Fund enables knowledge sharing through high transparency. Lending guidelines, annual reports, jurisdictional assessments,

			Since replication by definition occurs outside the GCF programme boundaries (as opposed to scaling-up), it is not possible to specify replication targets. Since the recent commitment to reducing and eliminating deforestation made at COP26 includes 141 countries and this Fund is currently targeting only 11, there is considerable potential for replicating and scaling-up investments in additional markets. Other investors will be targeted to increase the potential of the Fund to deliver private sector-driven impact on forest protection. The scalable fund structure means that future international investors and development agencies can be included, complementing the project's technical, financial and convening capacities over time.	governance structure, and each investment's ESAPs and LPPs as well as policies and approaches that are publicly available on the &Green Fund website. This supports other market participants' awareness and assessment of the created blueprints for sustainable land use and management, in turn enabling their adoption, replication and scale-up. The investees, beneficiaries, investors and other partners, as well as the Fund itself, engage in an ongoing learning process. As deals are executed, the Fund's investment team will capture and share best practices, lessons and models within and across sectors through multiple channels. &Green Fund aims to create blueprint transactions – practices and approaches that can be replicated – therefore knowledge sharing is built into the Fund's operating structure, partnerships and KPIs. In support of this replication strategy, IDH will support the development of capacities, skills, and tools development at transaction level as well as support national and international learnings between countries on examples and lessons to be shared between both public and private sectors to mobilizing action for scaling up investment in deforestation-free supply chains.
Sustainability	The current size of the &Green Fund does not allow sufficient economies of scale to crowd in commercial investors and become self-sustaining.	<u>Low</u>	GCF funding will enable the &Green Fund to increase scale, crowd in private sector investment and accelerate interventions and impact commensurate with the urgency of the climate and deforestation crises. Once established (through Component 1), &Green Fund aims to scale up to USD 1 billion with the potential for expansion to additional sectors and geographies. At USD 1 billion scale there is sufficient volume and stability in the portfolio that actual and perceived risks	&Green Fund is set up as an evergreen structure, and the 15-year commitment from the GCF will catalyse additional investment to provide enough resources throughout the critical period of establishing the commercially viable blueprints for the sectors and jurisdictions targeted, and beyond the period of GCF involvement. &Green Fund issues highly transparent annual reports, and will continue to do so, and will provide investors with regular updates on portfolio performance, including financial statements

			are reduced, a clear track record is established, and commercial investors will confidently invest in the target sectors (barriers to commercial investment are overcome).	and status of current investments. The GCF will invest in Stichting AndGreen.Fund, which will use that capital to get exposure to &Green B.V., which will be created for the purpose of mobilizing private sector capital in tandem with GCF's investment. &Green B.V. is designed to finance and expedite sustainable commodity supply chain projects enabling large-scale sector players to confidently transition well beyond business-as-usual practices. In 15 years' time (GCF investment period), it will be beyond 2040 and global public and private sector strategies will be closing in on their 2050 climate change targets. &Green Fund will have played an important role in ending deforestation in tropical forests from key commodity supply chains. &Green Fund will have also demonstrated that social and environmental impact with global relevance and at scale is possible with proper financial planning and a funding mechanism that mitigates risk and delivers absolute returns in line with private sector investor demands. &Green Fund, at the time of GCF's exit, will continue to accelerate and scale deep market transformation in the same landscapes, jurisdictions, and supply chains without the need to ask for additional catalytic money (i.e., fully funded by commercial investors), acting as a mainstream green lender essentially alongside other international funds and local banks. This long-term goal would be a marker for a significant shift in how commodities are produced and financed. &Green Fund expects that by 2040 the financing and traceability of tropical supply chains will be the norm across the tropics. Other kinds of finance products, syndication, structured finance, distressed finance, and club loan
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				opportunities will remain opportunities for &Green Fund as a purely commercial offering to continue its financing of the sector and drive sector innovation. The no-deforestation additionality will then be about maintaining rather than creating no-deforestation status in these supply chains. &Green Fund, at that point, will be inherently sustainable, given that it is based on a proven concept that applies broadly accepted lending and risk management principles. Component 2 will in the first five years support the development of capacities, skills, and tools, which will be taken forward by the team of &Green Fund and their then existing and future investees.
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E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)

Select appropriate IRMF core and supplementary indicators to monitor project/programme progress. More than one IRMF (core and or supplementary) indicators may be selected as applicable for each GCF results area and project/programme outcome (as defined in the table in section B.2(b)). If IRMF indicators are unable to measure any given project/programme outcomes, project/programme-specific indicators should be developed under section E.5 (project/programme specific indicators).

GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final ¹²¹	
<u>MRA4 Forestry and land use</u>	<u>Core 1: GHG emissions reduced, avoided or removed/sequestered</u>	- Annual GHG reporting from Client companies - Audit and review of Client reporting and data by independent consultants &Green Fund reporting consolidated figures annually	The starting point or current value of the indicators before the implementation of the project Baseline established from &Green Fund's Annual Report calendar year prior to GCF engagement	The estimated value of the indicator at the mid-point of the implementation 150MtCO₂e	The estimated value of the indicator at the completion of the implementation 339 MtCO₂e	Externalities and factors outside project management's control that may impact the outcomes Data sources and methodologies applied for estimating baseline and targets Sequestration reported to GCF will be 'beyond' any sequestration in prior years, thus set at zero for reporting. &Green Fund is an evergreen fund. 'Final' taken as 15

¹²¹ The final target means the target at the end of project/programme implementation period. However, for core indicator 1 (GHG emission reduction), please also provide the target value at the end of the total lifespan period which is defined as the maximum number of years over which the impacts of the investment are expected to be effective.

			(0tCO ₂ e sequestration).			years, mid-term at five-years. Estimates extrapolated from existing portfolio, assuming some ramp-up in initial years. By 2030, some loan tenors end (repaid), funds re-deployed, and the accounted impact plateaus. Lifetime sequestration assumes protected forest returns to near natural condition, noting that changes in climate (notably amazon drying) may limit the ultimate sequestration potential to less than the pre-industrial levels. Emissions sequestration results from regrowth and densification in degraded forests that are conserved, and from biomass growth in forest restoration areas. Any reversals (and hence emissions) are deducted. Sequestration is calculated as for national inventories¹²² under the UNFCCC: area multiplied by appropriate IPCC emissions factors¹²⁴. IPCC factors are selected to the highest degree of geographical and location specificity available (Tier 2 or 3) for biomass growth, R, and Carbon
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¹²² As well as Forest Reference Emissions Levels (FRELs) under the Paris Agreement.

¹²³ Within REDD+ approaches OPI 3.2 reflects 'enhanced sequestration' when a forest is protected.

¹²⁴ UNFCCC: United Nations Framework Convention on Climate Change. IPCC: Intergovernmental Panel on Climate Change.

						Fraction. These factors are further compared with recent relevant published research for regrowth in degraded forests when available. [NB above paras could be simplified or say “refer to Annex X”] Data is obtained from Client reporting and remote sensing (satellite).
	<u>Core 2: Direct and indirect beneficiaries reached</u>	- Annual reporting from Client companies - Audit and review of Client reporting and data by independent consultants &Green Fund reporting consolidated figures annually	Calendar year prior to GCF contracting. 0 beneficiaries	~1,700,000 beneficiaries	~1,900,000 beneficiaries¹²⁵	Estimates extrapolated from existing portfolio, assuming ramp-up in initial years. By 2030, repaid loan funds re-deployed, accounted impact plateaus. For each transaction, beneficiaries are identified as those with benefits that are ongoing or permanent and that impact the climate resilience of livelihoods. This may include services that enhance agricultural outputs, local micro-climates, water and food supply, financial stability, education and job security.
	<u>Core 4: Hectares of natural resources brought under improved low-emission and/or climate-resilient management practice</u>	- Annual reporting from Client companies - Audit and review of Client reporting and data by independent consultants &Green Fund reporting consolidated	Calendar year prior to GCF contracting. 0ha.	6,950,000 ha	15,705,920 ha	Area (ha) of land rehabilitated, restored and/or protected, made up of the: - areas of forest protected; - areas of non-forest ecosystems

¹²⁵ The number of beneficiaries is considered a minimum, and a much larger number is expected when investments are identified. The % of population is not included as the investment locations are not yet known.

		figures annually				restored or improved; - areas of degraded land restored through regenerative agriculture, silvo-pastoral agriculture or agroforestry ; - area of land under cultivation with NDPE. = Supplementary 4.1 + area of land under cultivation adhering to NDPE commitments. Based on extrapolation from estimate of 16,000ha of ecosystems with increased resilience for every USD 1 million invested. 16,000 ha x 981.62 = 15,705,920ha
	<u>Supplementary 4.1: Hectares of terrestrial forest, terrestrial non-forest, freshwater and coastal marine areas brought under resoration and/or improved ecosystems</u>	• Annual reporting from &Green's portfolio companies • &Green Fund reporting annually	FIGURES FROM MOST RECENT ANNUAL REPORT	6,950,000 ha	15,705,920 ha	The total number of hectares of natural resources brought under improved low-emissions and/or climate-resilient management practices is based on an estimation of 16,000 ha of ecosystems with increased resilience for every USD 1 million invested. 16,000 ha x 981.62 = 15,705,920

<u>ARA2 Health, well-being, food and water security</u>	<u>Core 2: Direct and indirect beneficiaries reached</u>	- Annual reporting from &Green Fund's portfolio companies &Green Fund reporting annually	FIGURES FROM MOST RECENT ANNUAL REPORT	~1,700,000 beneficiaries	~1,900,000 beneficiaries ¹²⁶	Total figure for estimated beneficiaries is based on a projection 2,000 beneficiaries for every USD 1 million invested.
	<u>Supplementary 2.1: Beneficiaries (female/male) adopting improved and/or new climate-resilient livelihood options</u>	Annual reporting from &Green's portfolio companies involved in livestock value chains.	FIGURES FROM MOST RECENT ANNUAL REPORT	TBC	TBC	OPI6.4 – Producers reached – monitors direct and indirect suppliers compliant with NDPE and sustainability commitments. A producer that reaches this compliance meets important sustainability values (including IFC PS) that protect ecosystems, drive greater diversity (human and biological) resulting in higher resilience. OPI6.4 is directly included, and may be considered equivalent to GCF's: Where the adopted livelihood is one of higher agricultural productivity and no-deforestation, connected to global supply chains.
<u>ARA4 Ecosystems and ecosystem services</u>	<u>Core 4: Hectares of natural resources brought under improved low-emission and/or climate-resilient management practice</u>	Annual reporting from &Green Fund's portfolio companies will indicate the number of hectares of terrestrial forest brought under restoration.	FIGURES FROM MOST RECENT ANNUAL REPORT	6,950,000 ha	15,705,920 ha	Based on an estimation of 16,000 ha of ecosystems with increased resilience for every USD 1 million invested (16,000 x 981.62 = 15,705,920)

¹²⁶ The number of beneficiaries is considered a minimum, and a much larger number is expected when investments are identified. The % of population is not included as the investment locations are not yet known.

		Figures provided by portfolio companies can be aggregated by &Green Fund to show impacts at country / regional / global levels.				
	<u>Supplementary 4.2: Number of livestock brought under sustainable management practices</u>	- Annual reporting from &Green Fund's portfolio companies will indicate the number of hectares of terrestrial forest brought under restoration. - Figures for each portfolio company can be aggregated by &Green to show impacts at country / regional / global levels.	FIGURES FROM MOST RECENT ANNUAL REPORT	TBC	TBC	TBC

E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)

Select at least two relevant IRMF core (enabling environment) indicators to monitor and elaborate the baseline context and project/programme's targeted outcome against the respective indicators. Rate the current state (baseline) vis-à-vis the target scenario and select the geographical scope of the outcome to be assessed. Describe how the project/programme will contribute towards the target scenario. Refer to a case example in the accompanying guidance to complete this section.

Core Indicator	Baseline context (description)	Rating for current state (baseline)	Target scenario (description)	How the project will contribute	Coverage
<u>Core Indicator 5: Degree to which GCF investments contribute to strengthening institutional and</u>	Only a minority of local governments in key regions have developed (or have the resources to develop &/or enforce) regulations that	<u>low</u>	&Green Fund's interventions support the development and enforcement of effective	By providing capacity building support to key stakeholders in agricultural commodity markets, &Green Fund's TAF helps to establish	<u>Multi-countries</u>

<u>regulatory frameworks for low emission climate-resilient development pathways in a country-driven manner</u>	promote protection of forest resources, together with increased production and inclusive management at a landscape level. Sustainable land use is not yet incentivized by the policy and stakeholder environment. In most cases existing regulations do not incentivise or support shifting towards sustainable development of the agricultural sector, nor do they recognize the potential tax benefits and job creation opportunities from such a move. The lack of a robust regulatory environment also creates the potential for land use conflicts in situations where land use practices, land rights and future plans are not transparent or agreed upon.		government policy and regulatory frameworks in each country receiving investment (for example, the Forest Code in Brazil, where &Green Fund transactions drive faster adoptions of all the elements; or the palm oil moratorium of the Indonesian government which hinges on increasing and sustained productivity on existing plantations).	and strengthen the enabling environment conditions required to attract further investment in sustainable agriculture. IDH's landscape approach focuses on the establishment of local coalitions covering key land-users and actors influencing the land-use change in each landscape. Across the landscapes, IDH develops Production, Protection, and Inclusion (PPI) Compacts to improve landscape governance model, transparency systems, and development of a bankable investment pipeline.	
<u>Core indicator 7: Degree to which GCF Investments contribute to market development/transformation at the sectoral, local, or national level</u>	Very few investors consider investing in the sustainable, long-term transformation of these sectors and &Green Fund has been required to act as the lead investor in the transactions it has worked on. The lack of co-investors is due to mainstream investors' risk perception of financing the transformational pathways that these sectors and jurisdictions require. They also remain challenging sectors for international investors who are concerned about reputational risk, and who do not have the internal knowledge to properly assess credit risk for land-use investments in emerging markets.	<u>low</u>	GCF funding will help &Green Fund develop and transform the investment market for tropical agri-commodity supply chains. Large-scale investment in NDPE commodity production will have an equivalent or better risk / reward tradeoff than legacy production methods.	&Green Fund's business model serves as a "first-mover" in this space, managing risks of perceived barriers and creating a blueprint for commercially viable and financially attractive no-deforestation investments that commercial investors can replicate and scale to transformative levels. &Green Fund aims to deepen the capital markets of every country that it invests in. This will be achieved by enhancing local banks understanding of and interest in sustainable agricultural models. This will ensure that local financial institutions (who have the requisite local knowledge) are able and willing to provide adequate finance to sustainable agricultural businesses into the future.	<u>Multi-countries</u>

				GCF investment will enable &Green Fund to secure commercial investors for a USD 1 billion fund that allows private investment at scale. The resulting portfolio will offer sufficient diversification and attractive yields to enable commercial investors to achieve attractive returns without the reputational risk of traditional tropical commodity investments.	
<u>Core indicator 8: Degree to which GCF investments contribute to effective knowledge generation and learning processes, and use of good practices, methodologies and standards</u>	No-deforestation production methods often require producers to modify their systems and processes, to switch to new crops and varieties, and/or to adopt new production techniques (e.g. agroforestry), often as part of multi-year transformations. Market distortions and capital and lender constraints can render this a financially unattractive proposition not offered by local / national commercial lenders. Producers face an equally daunting challenge obtaining locally appropriate information, knowledge and technology to implement these changes. In many cases, the information and technology has not been employed widely in the country or region, while in others it has not been packaged in a way that is accessible to local agribusiness owners, farm workers and the smaller farms that supply agribusinesses.	<u>medium</u>	The GCF investment will result in commercially viable “blueprints” for no-deforestation and regenerative agri-commodity production in the rubber, palm, timber, livestock and soy sectors across tropical Africa, Asia and Latin America. &Green Fund knowledge products will allow learning and replication and help to de-risk the shift to NDPE production by commercial growers and the smallholders who supply them.	The investees, beneficiaries, investors and other partners, as well as the Fund itself, engage in an ongoing learning process. As deals are executed, the Fund’s investment team will capture and share best practices, lessons and models within and across sectors through multiple channels. &Green Fund aims to create blueprint transactions – practices and approaches that can be replicated – therefore knowledge sharing is built into the Fund’s operating structure, partnerships and KPIs. Additionally, &Green’s TAF enables the scaling-up of these sustainable agricultural models by working with commodity producers, government and local community stakeholders to build capacity and buy-in for transformational change.	<u>Multi-countries</u>
<u>Choose an item.</u>		<u>Choose an item.</u>			<u>Choose an item.</u>

E.5. Project/programme specific indicators (project outcomes and outputs)¹²⁷

*This section should list out project/programme-specific performance indicators (outcomes and outputs) that are not covered in sections above (E.1-E.4). List down tailored indicators to monitor /track progress against relevant project/programme results (outcomes/outputs). AEs have the freedom to decide against which outcomes they would like to set project/programme specific indicators. If any co-benefits are identified in sections B.2(a)(b), and D.3, AEs are encouraged to add and monitor co-benefit indicators under the “**Project/programme co-benefit indicators**” section in table below. Add rows as needed.*

Please number each outcome and output as shown below to indicate association of outputs to the contributing outcome. The numbering for outputs under this section should correspond to the output numbering in annex 4 (detailed budget plan).

Project/programme results (outcomes/ outputs)	Project/ programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
Outcome 1: Scalable, replicable commercial models developed for deforestation and peat free commodity production	Number of blueprint and investment case studies for a specific commodity and country	Sources of information and methods used to collect and report data/information to measure progress against targets Independent evaluation report	The starting point or current value of the indicators before the implementation of the project Existing portfolio of five investments across three jurisdictions but no completed blueprints .	The estimated value of the indicator at the mid-point of the implementation 8	The estimated value of the indicator at the completion of the implementation 15	Externalities and factors outside project management's control that may impact on the Component Data sources and methodologies applied for estimating baseline and targets Macroeconomic and policy environment remain aligned with &Green Fund investment approach.
Output 1.1 Scalable investment vehicle is established	One legal incorporation document package	Presentation of valid certificate of incorporation, bylaws and bank account for investment vehicle	0	1	1	Not applicable
Output 1.2 Fund recruits co-investment to leverage GCF	Amount (in USD millions) of private sector co-	Investment agreements signed	USD 180,000,000	USD 450,000,000	USD 780,670,000	Macroeconomic environment remains aligned with Fund projections

¹²⁷ &Green Fund will use the IFC Performance Standards, as mentioned throughout this funding proposal. However, Performance Standard indicators are aimed at ensuring clients comply with lender's environmental and social requirements. As the PS are targeted at clients, it is not appropriate, or feasible given the mandatory GCF reporting templates, to include these indicators at the programme level. &Green Fund will report, at the portfolio level, the relative achievement (%) of the IFC PS for each of the projects, aggregated for the portfolio. This is included clearly in the accompanying KPI Framework document. The results of which will be included in the regular reporting to the GCF and will be independently verified at the sub-project level.

and existing &Green Fund resources.	investment leveraged	Annual audits and financial accounts				• Attractive pipeline of investment opportunities identified through &Green Fund's due diligence process • No political or external external shocks / force majeure incidents • Regulatory and policy environment in &Green Fund target countries remains attractive to investment
Output 1.3 Fund capital disbursed to large-scale sustainable agriculture projects with robust environmental and social covenants incorporated into lending agreements as events of default	Amount (in millions USD) disbursed to investee companies	Financial accounts/ audits Portfolio valuation updates Annual reporting Mid-term reporting	USD 113,000,000	USD 400,000,000	USD 960,000,000	• Macroeconomic environment remains aligned with Fund projections • Attractive pipeline of investment opportunities identified through &Green Fund's due diligence process • No political or external external shocks / force majeure incidents • Regulatory and policy environment in &Green Fund target countries remains attractive to investment
Outcome 2: Technical Assistance Facility supports an enabling environment for forest protection and climate resilient commodity production	Changes to the enabling environment in each of &Green Fund's target countries, for investments in NDPE and climate resilient agricultural production models.	Independent mid-term and final evaluations.	0%	100%	100%	• No political or external shocks / force majeure • Regulatory and policy environment in &Green Fund target countries remains attractive to investment

Output 2.1 Policy dialogue, awareness raising and capacity building completed to maximize country ownership, blueprint communication and replication	% of regional engagement plans implemented .	Annual reports (years 1-5)	0	100%	100%	Local political / social shifts could delay dialogue and interaction between stakeholders
Output 2.2 Technical cooperation service contracts in eligible jurisdictions for capacity building of companies and business model development, landscape-level impact design and local community/ smallholder inclusion plan; assessment against commercial viability and environmental and social impact criteria	20 projects supported with technical assistance pre-investment; 10 projects supported with technical assistance post-investment	&Green Fund investment in projects that have received pre-investment TA 10 investment projects deliver maximal ESG impact	Seven (based on current number of investments in &Green Fund's portfolio) – to be adjusted if required.	20 project supported with technical assistance pre-investment; 10 projects supported with technical assistance post-investment		Investees adhere to investment contracts, including the development and publication of LPPs
Output 2.3 Monitoring, reporting and verification of changes in GHG, resilience and social inclusion indicators; hazard assessments and tracking paradigm shift progress	Knowledge products and tools developed Commodity and country specific climate hazard assessments are performed to drive resilience actions Multi-country MRV systems established	Online publication knowledge projects and climate hazard reports and of MRV system results, with annual updates for each country and project	0	1 MRV System 11 Climate Hazard Reports	1 MRV System 20 Climate Hazard Reports	- Investees adhere to investment contracts, including the requirement to report on key performance indicators - No major disruptions and increasingly supportive technology available for remote sensing based MRV
Project/programme co-benefit indicators						
Co-benefit 1 (Gender)	Proportion of women engaged in	&Green Fund MRV system	TBC	50%	50%	Women are able to access production chains as producers

	commodity supply chain production					with at-par capacity (both financial and technical) Commodities chosen by &Green Fund are attractive to women producers
Co-benefit 2 (Social)	Proportion of commodity suppliers complying with no-exploitation requirements (compared to sectoral baselines)	&Green Fund MRV system	TBC	TBC	TBC	ESAP and other due diligence systems facilitate compliance
Co-benefit 3 (Environmental)	Improved soil quality / reduced erosion in project areas	Bi-annual reporting by independent experts using standardized methodology	TBC	TBC	TBC	Project sites may be vulnerable to environmental impacts from beyond the project boundary that undo / reduce the environmental co-benefits that can be delivered through this project.

E.6. Project/programme activities and deliverables

All project activities should be listed here with a description and sub-activities. Significant deliverables should be reflected in annex 5 implementation timetable. Add rows as needed.

Please number the activities as shown below to indicate association of activities to the related outputs provided above in section E.5. Similarly, please number sub-activities as shown below to associate to the related activity.

Activities	Description	Sub-activities	Deliverables
1.1.1 Establish the scalable investment vehicle	&Green Fund is restructured as a scalable investment vehicle. This investment vehicle will include the existing &Green Fund resources and assets and allow investment by the GCF as well as commercial investors.	- Incorporation of scalable investment vehicle - Transfer assets from Stichting AndGreen.Fund	Fully executed documents relating to establishment of investment vehicle
1.2.1 Promote &Green Fund to private sector investors	&Green Fund will attract private sector co-investment to	Implement outreach and promotional	Promotional plan (n.b. the strategy is expected to evolve over time in response to

	leverage GCF and existing &Green resources	campaign to attract private sector investors	market conditions and investor feedback)
1.2.2 Negotiate and execute investment agreements	For each private sector investor, &Green Fund will negotiate a term sheet and execute the relevant investment agreement	• Comply with private investor due diligence requirements • Negotiate term sheet • Execute investment agreement	Executed investment documents / contracts
1.3.1 Identify portfolio companies and tailor investment to transformational change business needs	&Green Fund will continue to develop its investment pipeline of transformational agricultural projects	• Lead generation • Jurisdictional approval • Due diligence, including E&S risk and potential for positive impact • Investment rationale	&Green Fund Website Disclosure of Project Descriptions with supporting documentations Published JECA assessments for each jurisdiction in which &Green Fund invests
1.3.2 Disburse capital to large scale sustainable agriculture projects with robust environmental and social covenants	&Green Fund will begin disbursing funds to target companies that pass due diligence and agree to robust environmental and social covenants incorporated into lending agreements.	• Deal note • Term sheet with sponsors and co-investors • Investment Committee (including independent members) approval • Execution and disbursement	Financial disbursement summary Quarterly / Annual Financial Statements and other reporting
1.3.3 Monitor and manage financial performance	• &Green Fund will perform its fiduciary duty to monitor companies' performance and enforce the financial and other terms of the investment agreements.	• Annual monitoring and engagement • Exit	Quarterly / annual financial statements and other reporting
2.1.1 Develop strategies for nationally relevant interventions	IDH will provide services to &Green Fund to work with stakeholders and partners to lay the groundwork for nationally-relevant	• Regional and national strategies developed based on technical data (commodity sectors/NDCs and NAPs, the commodity and country specific	National engagement strategies

	blueprint communication and replication engagements.	climate hazard reports, JECs) as well as political and market dynamics analysis (&Green Fund and IDH business, financial sector and government convening engagement) as well as engagement with key government agencies. Analysis shared between the partners, co-created strategy. • Regional lead enables learning across countries. • Engagement level emphasis to be defined for each country: can be thematic or sectoral, national, jurisdictional, landscape level	
2.1.2 Country engagement and amplification strategy roll-out	&Green Fund, with support of IDH services, will implement the regional and country strategies to support an enabling environment for transformative investments.	• Implement actions to deliver the policy dialogue, awareness raising, country ownership and blueprint communication / replication strategy developed for the national and regional context.	Annual progress report
2.2.1 Provide pre-investment technical assistance	Pre-investment technical assistance will operate at two levels: - Co-funding sustainability innovations with investment potential to create / confirm proof of concept within companies before &Green	• Outreach and dialogue with prospective investments • Co-fund capacity building to advance opportunities for scaling up sustainable business models with &Green Fund investment • Technical assistance for stakeholder engagement during	Progress reports Draft Landscape Protection Plans

	Fund can engage - Supporting Landscape Protection Plan development and stakeholder engagement pre-investment	Landscape Protection Plan development	
2.2.2 Provide post-investment technical assistance	Post-investment technical assistance will support companies to achieve scalability and 'durability' of impact, and enhance connection with stakeholders in the wider production landscape	• Capacity building for companies • Technical assistance for implementation of the landscape protection plan and the PPI compact for landscape-level impact. • Technical cooperation services to support/ engage smallholders/ households	Progress reports
2.3.1 Knowledge product and blueprint development	&Green Fund knowledge products on business and investment models will support widespread adoption and replication of NDPE commodity production at scale.	• Development of knowledge products at region, country and sector level, with special attention to gender.	Published knowledge products
2.3.2 Climate hazard assessments	Commodity and country specific climate hazard assessments will drive the resilience actions promoted by &Green Fund and TAF.	• Commission / undertake climate hazard assessments • Share assessment findings with key stakeholders (see activity 2.1)	Est. 20+ hazard assessments for target countries and commodities
2.3.3 &Green Fund to incorporate GCF specific MRV system improvements	&Green Fund to Incorporate GCF specific MRV system improvements, and to incorporate corporate reporting capacity (SBTi, CDP, GRI) for sustainability on exit	• Capacity building and system updates • Integrate impact reporting formats relevant to corporates to increase value and sustainability on exit. Expand remote sensing capability to enable near-real-time	Report on enhanced MRV system

		detection of reversals and assess forest quality	

E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)

At programme level

313. FMO is responsible for regular reporting to GCF. An annual performance report (APR) will be submitted to the GCF following reporting requirements under the AMA and the FAA. The APR will be prepared by &Green Fund according to its contractual requirements under this programme, and will:

- a) summarise the financial performance of the &Green Fund loan facility according to audited and unaudited financial statements. Two logframe indicators - Output 1.2 "Amount (in USD millions) of private sector co-investment leveraged" and Output 1.3 "Amount (in millions USD) disbursed to investee companies" - will include information from audits and financial accounts as a means of verification. &Green is required to provide regular audited financial statements to GCF in any case, and it is appropriate to report the same figures as a means of verification in the logframe because these financial indicators will be reflected in &Green's balance sheet, and the audited financial statements serve as the definitive report to the Board and investors.¹²⁸
- b) report on the TAF support provided by IDH (see Annex 21-4 for TA Facility Operating Guidelines)¹²⁹, and
- c) collect from project owners the disaggregated project / programme specific performance indicators presented in logical framework Section E.5 above.

314. The APR will be submitted to the Secretariat for the period ending on 31 December within 60 days after the end of the relevant annual period. The first APR will be submitted following the end of the calendar year in which the Parties enter into the relevant FAA and the last APR will be submitted within six months of the end of the relevant reporting period. The implementation reporting period of the Programme will start from the date of effectiveness of the FAA until the Programme implementation end date.

315. In addition to the annual performance report, an inception report, mid-term evaluation report and terminal evaluation report will be submitted to the GCF, as described in Annex 11. The methodological approach for reporting the indicators is described in detail in the supplementary MRV documents, including the KPI Framework (Annex 6, Appendix 1), MRV Protocol (Annex 6, Appendix 2), and MRV Guidance Note (Annex 6, Appendix 4). As an overview, data is collected from individual &Green Fund clients which then follows the specific methodology described for each KPI. The KPIs are then additive to create portfolio level statements for reporting progress. The APR will consolidate and aggregate from project owners the project / programme specific data that will allow &Green Fund and FMO to report against the programme specific indicators outlined in Section E.5. The mid-term and terminal evaluations will document the programme's contribution to the GCF outcome level indicators presented in Section E.3 above. &Green Fund's data collection and management system will store raw data in disaggregated form to allow for disaggregated reporting in line with GCF reporting requirements, such as gender-related reporting.

At project level

316. During the disbursement and loan repayment period, &Green Fund will receive implementation reports from project owners to track progress and identify potential issues, as well as improvement opportunities. In

¹²⁸ The other indicators, while important in documenting the performance of the programme, are not captured in the same way by &Green's financial accounts, and therefore will not be covered in the same way by the annual financial audit. Therefore, the logframe does not state that these indicators will be audited.

¹²⁹ &Green will expect a similar level of accountability from IDH as service provider, as is reflected in the TA Facility Operating Guidelines (see document for more details) for the existing IDH &Green TA Facility. They provide for clear reporting and governance guidelines and are audited as part of the IDH audit. &Green will expect a similar setup for any service provider, and in addition procurement of such services will be subject to the &Green and FMO Procurement Policies.

this document, project owners will report at least on an annual basis on performance indicators (e.g., hectares under sustainable management or tCO₂e avoided). &Green Fund and IDH local offices will ensure regular monitoring by overseeing the implementation of projects, meeting with project owners and other stakeholders on a regular basis, and engaging regularly with local and national government. Information will be captured in &Green Fund's MRV system to reduce transaction costs, facilitate quality assurance, and enable transparent reporting of results.

RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

Please describe financial, technical, operational, macroeconomic/political, money laundering/terrorist financing (ML/TF), sanctions, prohibited practices, and other risks that might prevent the project/programme objectives from being achieved. Also describe the proposed risk mitigation measures. Insert additional rows if necessary.

For probability: High has significant probability, Medium has moderate probability, Low has negligible probability

For impact: High has significant impact, Medium has moderate impact, Low has negligible impact

Prohibited practices include abuse, conflict of interest, corruption, retaliation against whistleblowers or witnesses, as well as fraudulent, coercive, collusive, and obstructive practices

Selected Risk Factor 1

Category	Probability	Impact
Governance	Low	High

Description

Host governments are not committed to slowing deforestation and therefore sustainable change cannot be achieved.

Mitigation Measure(s)

Involve relevant governments and their stakeholders from the initial stages to align incentives. Incorporate awareness of relevant government policies, programs and interventions at the national level that can facilitate local government buy-in and support. Further, a condition of Fund investments is the JECA approach (see B.1), which includes evidence of local government commitments to avoided deforestation and ecosystem protection, including explicit targets and monitoring systems. IDH has already established relationships with many of these governments (see Annex 5 for detail on experience so far).

Selected Risk Factor 2

Category	Probability	Impact
Technical and operational	Low	Medium

Description

Funds are not managed and reported adequately.

Mitigation Measure(s)

A monitoring and reporting system has been established during &Green Fund's initial operating period including investees being subject to fiduciary due diligence prior to approval. Annual program and project audits are in place, with regular audits conducted in accordance with the Fund's audit protocol. The Fund's governance structure includes very high transparency, annual public reports, and a Credit Committee that employs international best practice.

Selected Risk Factor 3

Category	Probability	Impact
Prohibited practices	Low	Medium

Description

Increased incomes might motivate the farmers to expand their operation and encroach forest. This might result in additional deforestation.

Mitigation Measure(s)

The Fund has very strong sustainability criteria that investees must meet prior to receiving loans. They include clear eligibility criteria for production areas. Programs are promoting Good Agronomic Practices (prerequisite for investment) as measures to improve productivity of existing plantation. Production Protection Inclusion agreements with communities and farmers embed sustainability at field level and the LPP and ESAP that must be provided are contractual obligations focused on environmental protection. The relevant landscapes are also independently monitored via satellite to detect deforestation events, including fire outbreaks.

Selected Risk Factor 4		
Category	Probability	Impact
Credit	Low	Medium
Description		
The programme fails to 'crowd in' the ambitious level of complementary commercial finance that it expects.		
Mitigation Measure(s)		
GCF funding, combined with the existing concessional capital and the downside protection focused structuring of each transaction will overcome the high (perceived) risk and lower the entry barrier for international private sector investors. The return &Green Fund can offer from its portfolio to all investors, concessional or commercial, is attractive for the amount of risk protection provided. There are no other investment vehicles that allow international private sector investors to get this type of fixed-income exposure to high impact climate and forest protection opportunities from tropical commodity supply chains, and therefore to contribute to an important topic for public and private net-zero ambitions and the Glasgow Leaders' declaration agenda. For GCF this risk is further reduced as &Green Fund will only draw down tranches of funding as they are matched by private sector investor contributions.		
Selected Risk Factor 5		
Category	Probability	Impact
Reputational	Low	Medium
Description		
The Fund's inability to meet perceived expectations of its stakeholders in terms of promoting its development objectives and high standards of integrity and social and environmental sustainability.		
Mitigation Measure(s)		
The Fund implements a comprehensive compliance framework for its service providers and for its borrowers, before and during the investment. The ESMS of &Green Fund explicitly requires its investments to use best practice certification or equivalent (i.e. e.g. for timber FSC would be the baseline for &Green Fund). The reason for this is the recognition of the value of certification for managing sector-specific issues and thereby addressing reputational concerns. Where no suitable international systems exist &Green Fund may also apply more localised standards, e.g. in Colombia &Green Fund's investment HSJ is the very first project to apply the Aval GANSO standard in Colombia, developed by CIAT and Climate Focus. However, the paradigm shift &Green Fund targets requires the fund to go over and above certification in its requirements. &Green Fund applies consistently across all investments a policy of a) IFC Performance Standards compliance; b) contractually agreed impact roadmaps and targets ("Landscape Protection Plan", LPP) that, where missed, will trigger a loan Event of Default; and c) a company-wide NDPE commitment. The LPP in particular requires engagement with stakeholders in the wider landscape of the project, which has a mitigating effect on reputational risks.		
Selected Risk Factor 6		
Category	Probability	Impact
Other	Medium	Medium
Description		
Commodity Price Risk: Volatility and cyclicalities of agricultural commodity prices impact borrowers' ability to meet repayment obligations.		
Mitigation Measure(s)		
The Fund implements a comprehensive compliance framework for its service providers and for its borrowers, before and during the investment.		
Selected Risk Factor 7		
Category	Probability	Impact

Forex	Medium	Medium
Description		
Currency Risk: The value of financial commitments and instruments issued in foreign currencies (other than the Fund's reporting currency, USD) fluctuates due to changes in foreign exchange rates.		
Mitigation Measure(s)		
The Fund will hedge all material currency risk, based on efficiency. Where a broker in a target country can hedge the transaction efficiently, the Fund will include it in the price charged to the client. When international borrowers have experience in hedging, they will do it themselves. The majority of the disbursement will be in USD, expected at an 80/20 ratio of USD to local currency (fully hedged) over the entire portfolio at maturity		
Selected Risk Factor 8		
Category	Probability	Impact
Forex	Medium	Medium
Description		
Market Liquidity Risk: The Fund may invest in local debt instruments which may not be traded on a liquid exchange or market that provides regulatory authority over borrowers and debt instruments. ¹³⁰		
Mitigation Measure(s)		
The Fund's general policy is to hold debt instruments until maturity, it does not trade marketable securities.		
Selected Risk Factor 9		
Category	Probability	Impact
Technical and operational	Medium	Medium
Description		
Operational risk - Due to the relatively early-stage of the Fund, there is a risk the Fund will not achieve its investment objectives, & strict lending criteria could constrain deal flow. The Fund is also exposed to operational and compliance risks stemming from the processes, people & systems of the Fund's service providers.		
Mitigation Measure(s)		
The Fund operates with a three-tier governance structure and has appointed a well-qualified investment team and back office to operate the Fund. The Fund will finance transactions alongside established financial institutions that will bring additional expertise in credit rating and financial structuring. Further, &Green Fund has established a track record and built an initial portfolio and pipeline of deals. All transactions are fulfilling their expected performance and all interest payments continue to be met by the client.		
Selected Risk Factor 10		
Category	Probability	Impact
Other	Medium	High
Description		
Emissions risk - project fails to achieve its GHG target because either: • Anthropogenic or natural disturbances reverse sequestered carbon (ie: emissions); and/or • GHG emissions associated with intensification (e.g. greater mechanisation, more intensive use of fertilizers and chemicals, soil disturbance, higher enteric fermentation etc.) at least partially offset the GHG benefits of reduced extensification and carbon sequestration in protected forests.		
Mitigation Measure(s)		

¹³⁰ The Fund will typically engage in direct lending. However, where local capital markets (which tend to be less liquid) are used to acquire a debt position in a company, the Fund will always buy-to-hold until maturity rather than trade.

A: Investees monitor forest areas for conservation and restoration, and this is checked by satellite monitoring, which includes GLAD alerts¹³¹ and follow-up actions, monitoring and case-by-case reporting on reversal outcomes and remediation by clients. Reversals are accounted for in the KPI framework. The initial portfolio has had some relatively small (<100ha) reversals related to fire. Considering the large areas of protected forest and expected small areas of reversals, the net result is projected to be slightly lower reported emissions benefits.

B: Investments include optimisation of production, which includes intensification as well as best practices related to fertiliser, pesticide and herbicide applications (where relevant), and minimised tillage and soil disturbance to maintain Soil Organic Carbon. Investments will always see a reduction in intensity (ie: tCO₂e/t production) and most will see reduction in absolute emissions. Some investments, notably beef production, may see an increase in absolute emissions within the farm boundary. However, the emissions from deforestation associated with beef is approximately 3x the emissions from intensified production, thus the net emissions in the supply shed (and globally) will be reduced in both intensity and absolute terms.

Addressing both points, the forecast emissions impacts account for reversals (from the current portfolio) and conservative input assumptions. That is, the assumptions related to sequestration calculations are conservatively taken (typically IPCC Tier 2 uncertainty range lower bounds) and the 'actual' sequestration should be higher than that reported. This will tend to counter any reductions in sequestration.

Selected Risk Factor 11

Category	Probability	Impact
Other	Low	Medium
Description		

Limited additionality of grants funding

Mitigation Measure(s)

IDH assesses developmental and financial additionality of Technical Assistance, independently from &Green Fund. This means that

- TA is designed to adequately address the (perceived) risks, enabling the investment or project to occur, beyond what could be self-financed by the (potential) client or should be financed by the Investment fund manager as part of their regular investment process.
- TA will not be provided to commercially unviable projects, projects outside regulatory compliance and projects with inefficient business models.
- TA is developmentally additional, so that an investment's impact goals are achieved, that would not have been met without TA support.

Selected Risk Factor 12

Category	Probability	Impact
ML/FT	Medium	Medium

Description

Risk that the Fund is misused for money laundering ("ML") and terrorism financing ("TF") ML/TF or any other financial misconduct or crime.

Mitigation Measure(s)

The Fund has an AML/CFT Policy and dedicated AML/CFT Compliance Officer aiming to ensure that ML/TF risks in the process of fundraising for, and investments by, the Fund are properly identified, monitored, mitigated and reported in order to prevent the Fund and its Customers, governing bodies and service providers from being misused for ML/TF or any other financial misconduct or crime.

The Fund is only allowed to invest in countries included in the DAC List of ODA Recipients, who also qualify against the Jurisdictional Eligibility Criteria ("JEC") policy of the Fund, and subject to Advisory Board approval. This UNSC requirement can be formally built in to the JEC monitoring process if required. No individual or entity that is listed on any UN Security Council sanctions list, including the UN Consolidated Sanctions list will be involved in any manner with the project or its activities, either as a counterparty, implementer, or beneficiary.

¹³¹GLAD alert is the system devised by the University of Maryland's Global Analysis and Discovery remote sensing analysis.

The use of any materials and technology procured by the Fund is subject to the Fund's Code of Conduct (available on the website) which is applicable to "anyone acting on behalf of the Fund, including people taking a seat on the Fund's formal governance bodies (including the Stichting's Board of Directors, Advisory Board and the Credit Committee), but also the Investment Advisor, Fund Administrator, Board Advisor and any partners and consultants contracted or otherwise acting on behalf of the Fund. Furthermore, the Fund expects its business partners to apply similar standards of conduct when working for and servicing the Fund."

The Fund also has a Complaints Management Policy which can be found in Annex 6 Appendix 3 (which includes provisions on Whistleblowing and is also available on the website).

Selected Risk Factor 12

Category	Probability	Impact
Changed credit environment	High	Low

Description

Risk that the terms offered to investors no longer remain attractive and reasonable given a changed credit environment.

Mitigation Measure(s)

Very limited funding has been mobilized overall from private sector investors to date into the necessary paradigm shift of commodity supply chains sourcing sustainably from tropical forest regions. A primary objective of the &Green Fund is exactly to change that; the proposed programme has been designed and operates in a way that specifically intends to remove these barriers, by providing solid returns in the form of coupons that are competitive.

Project investments are structured with considerable downside protection, and substantial first loss protection that the Tranche A investors (including GCF) provide, which changes the risk adjusted return perception of the targeted private sector investors. This is a necessary step for building the blueprints that establish investor confidence in the space through a blended finance approach.

The coupons offered to investors (including Tranche A investors via the catch up) will depend on the exact timing of the offering and interest rate levels at that time. The coupons offered are commensurate to the risk profile of a private sector investor in this debt fund, and should not be compared to double-digit returns expected from private equity (impact) funds. We have not had any feedback in our private sector investor discussions on a concern over the interest rates offered, key issues are the right "fit" in terms of structure and the extent of downside protection.

On the asset side, &Green does not provide loans to its investees (borrowers) that are concessional in pricing. The concessional nature comes from structuring the loans in a way that is currently not available on the market, including longer tenors and principal grace periods, but interest rates are at levels that are in line with what a purely commercial investor would require in order to support the blueprinting nature of the &Green programme.

The pricing of both the funding from senior loans and the interest which &Green can charge to its borrowers is referenced to the long term risk free rate (e.g. 10 year SOFR).

As interest rates rise, long-term fixed rate capital such as that provided by &Green, is increasingly sought after. We expect increased interest in the &Green offering for this reason, as well as because of increasing regulatory pressure to implement no-deforestation strategies.

We have not seen a deterioration of the credit quality of the borrowers in the &Green portfolio due to the changing market environment. &Green performs quarterly valuations of its portfolio that have to be approved by the &Green board, and no material change was noted in the last assessment. A high-level summary of this assessment is provided as a supportive document. &Green uses an Expected Credit Loss (ECL) model for this purpose that has been approved by the &Green Board, and the &Green auditor (PWC), based on the &Green Impairment Policy.

GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

317. **Environmental and social risk classification:** The proposed programme is expected to have positive environmental and social impacts as it delinks deforestation from commodity supply chains and builds climate resilience through the implementation of sustainable agricultural practices. The programme requires large agri-commodity producers to commit to “No Deforestation, No Peatlands, No Exploitation” (NDPE) practices. Despite the expected positive impacts, the overall environmental and social risk rating for this project is “high”, according to the GCF Environmental and Social Safeguards requirements (Category I-1).
318. **Environmental and Social Management System:** The &Green Fund is committed to integrating environmental and social considerations and will operate an Environmental and Social Management System (ESMS) throughout the programme. This is operationalised at the investment level through environmental and social due diligence; risk assessment; and establishment of a management framework tailored to the nature and scale of the activities and the magnitude of environmental and social risks and impacts associated with each investment. The ESMS has been designed in accordance with IFC Performance Standard 1 as well as best practices of ESG management for funds, such as those provided by CDC Group, FMO, the GCF and IUCN. For efficiency, the ESMS is digital, and incorporates a system of continuous improvement.
319. **Framework approach for risk mitigation:** The framework of the ESMS includes the following set of tools used to establish appropriate Environmental and Social Action Plans (ESAPs) for each investment:
- Policies - describing the requirements and objectives relating to No Deforestation, No development of Peatlands, No Exploitation (NDPE) and Landscape Protection Plans (LPP)
 - Frameworks – including Forest and Biodiversity Framework and the Key Performance Indicator (KPI) Framework
 - Templates
320. &Green Fund’s approach is determined by applying best practice criteria and requirements based on identified risks to investments during due diligence. The following categories are subject to screening and due diligence, with IFC PS, UNGP, applicable legislation and frameworks serving as references: Health, safety and labour related issues of investees, gender- and labour-related issues of investees, communities and social conflicts, displacements and settlements, Indigenous People, Human rights and its diverse aspects (Indigenous People, Communities, Labour issues, Child/slave work, gender issues including SEAH). In case of any material findings, the mitigation/remediation measures become part of ESAP. If a material risk is identified, either a second stage of focused due diligence is undertaken, or an action plan to address the risks elaborated and implemented. Further details of the ESMS framework can be found in Annex 6, with details on analysed issues in item 3.2. of the Annex.
321. **Stakeholder engagement:** &Green Fund has undertaken a thorough stakeholder engagement process at programme level and requires stakeholder engagement for each sub-project investment. &Green Fund maintains a Complaint Management policy that provides easy and clear access to all stakeholders, both local and international. One member of the &Green Board, rather than SAIL Ventures, is dedicated to receiving and managing complaints. SAIL Ventures, as the investment manager contracted to operate the Fund will be the global focal point for &Green. Sail Ventures has resources in Southeast Asia and in Latin America and additional in-country resources will be added via GCF support for Component 2. For more information, see the accompanying &Green Complaints Management Policy (Annex 6, Appendix 3). An effective grievance mechanism is required of investees as prescribed by the Stakeholder Engagement process (Annex 7). Grievance redress for stakeholders is subject to due diligence as per IFC PS requirements. The stakeholder engagement process is fully integrated in the investment process of &Green Fund.
322. In order to enable Transformational Change, maximize positive impacts and mitigate E&S risks, &Green Fund employs forms of local stakeholder engagement throughout the investment management process. When assessing the transformational potential of transaction, &Green Fund engages with its local partners (e.g. IDH) in order to map potentially relevant stakeholders. These stakeholders may enable the transformational change in the landscape, thus their engagement may be considered as an element of LPP later on. They may include local farmer’s associations, non-profits, governmental bodies, research institutes etc.
323. **Impact assessment:** The &Green Fund assesses and manages social and environmental impacts of its (future) investments. The ESMS system operates on two levels - jurisdictional and transactional - and is fully

integrated in the investment process of the Fund, from the development of the investment rationale until the exit evaluation. The following sections describe each step in the investment process in more detail:

- the **Transformational Change Assessment** Phase, described in an Investment Rationale;
- the **Screening Phase**, which is documented in a Deal Note and includes macro processes of Defining the Scope, E&S Risk Screening (including Reputation Screening, Forest & Biodiversity Screening and Gender Screening including SEAH) and Risk Categorization, detailed in Annex 6, item 3.2.;
- the **LPP Design**, which is documented in the Credit Application and comprises due diligence (ESDD), ESAP that contains TC and risk-related milestones, impact targets, IFC PS matrix, detailed in Annex 6, item 3.3.

324. The E&S screening phase aims to identify main material risks. In addition to the identified stakeholders, &Green Fund screens those actors that should be considered both in due diligence and LPP design phases from the risk understanding/mitigation perspective (e.g. NGOs, local associations and similar).

325. The due diligence scope is defined by the screening results, but depending on the severity of findings, &Green Fund may consult some local actors (e.g. research institutions, civil rights organizations, certification bodies and similar) in order to better scope the third-party due diligence process. During the due diligence, third party decides on necessary stakeholder engagement to investigate, provide dimension and mitigation options for the E&S risks. For the biodiversity-related risks, third party follows the requirements of Terms of Reference as per &Green Fund's Forest and Biodiversity Framework, including for the level of stakeholders consultations and engagement – these stakeholders may become part of stakeholder engagement by client in future LPP, if relevant. Due diligence related gender issues, including SEAH, the third party follows the guidelines of Gender Framework and use respective ToR.

326. **Information disclosure requirement:** The Environmental and Social Management Framework (ESMF) was translated and disclosed in Bahasa Indonesia, English, French, Lao, Malay, Portuguese, Spanish, and Vietnamese on the &Green Fund and FMO websites as of 17 June 2022. Physical copies will be made available in each country as investments are made in the jurisdictions, as well as where registered offices of the executing entities exist.

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

327. Annex 8 – Gender Assessment and Action Plan informs the programme's design as presented in this Funding Proposal. The overall objective of the gender assessment is to provide a baseline understanding of the opportunities to engage in gender-transformative investment through the &Green Fund structure. It also aims to screen, analyze and mitigate SEAH risks, in adherence to the IFC Performance Standards that are embedded within the investment process. The following two standards are of relevance:

328. Performance Standard 2, paragraph 15: on Non-discrimination and Equal opportunity, therefore committing to take measures to prevent and address harassment, intimidation, and/or exploitation, especially in regard to women

329. Performance Standard 4, paragraph 1: committing to avoid or minimise the risks and impacts to community health, safety, and security that may arise from project related-activities, with particular attention to vulnerable groups.

330. The assessment integrates in-depth analysis of gender-based inequalities and SEAH-related risks that exist in the countries (via country-specific gender profiles), the context and sociocultural factors underlying gender inequality that are exacerbated by climate change and optimize the potential contributions of women and men of all ages to build both individual and collective resilience to climate change. This assessment will be used to inform project-level formulation, implementation, and monitoring and evaluation.

331. The Gender Action Plan (GAP) has been designed to ensure, through designated actions, that the challenges faced by women and vulnerable groups in accessing and benefiting from the proposed programme, if financed by the GCF, are meaningfully addressed. The GAP describes gender-related activities, baselines, sex-disaggregated indicators and targets, roles and responsibilities, and financial and human resources.

332. Due to pandemic-related restrictions, this gender assessment has been prepared using a combination of primary information and data available to &Green Fund on the target countries, especially through the extensive Jurisdictional Eligibility Criteria Approach (JECA) process, and secondary information and literature collected via an in-depth desk review. The literature review focused on gender mainstreaming, deforestation, climate change and value chains as a broader topic

333. The &Green Fund recognizes that gender mainstreaming¹³² is both necessary and relevant for the programme to maximise its outcomes for no deforestation. This assessment, therefore, focuses on &Green Fund's internal

¹³² It is important to note that gender is socially constructed, and gender relations are contextually specific and often change in response to altering circumstances. MOSER, C. O.N. (1993): Gender Planning and Development: Theory, Practice and Training. New York: Routledge.

Gender Approach and the operationalization of gender mainstreaming within its institutional investment management structure (see Section 3 – Annex 8). Embedding gender into deforestation commitments offers considerable opportunities for leveraging synergies between restoration goals, climate change adaptation as well as mitigation action and global commitments to sustainable development goals - SDGs (particularly SDG 5 – Gender Equality; SDG 8 – Decent Work; SDG 12 – Sustainable Production and Consumption; SDG 13 – Climate Action; and SDG 15 – Life on Land).

334. The key issues identified in the Annex 8 are:

- Participation of women in forestry management is inextricably tied to the social, cultural, historical, and political contexts of communities where forest management efforts take place. Gender plays a key role in shaping environmental rights of control, access, and responsibility that interact with class, race, caste, culture, or ethnicity to shape ecological change and sustainable livelihoods. (Peach Brown, 2011)¹³³
- Strategies for increased participation of women in commercialized and well-developed supply chains (particularly export-facing ones) require upgrading based on the typology of the women in question. While women in female headed households may require limited efforts such as tailoring financial products to their needs or providing interlinked services coupled with prompt payment for their produce to allow them to produce quality fruits and access lucrative markets, women in male-headed households need institutionalization of gender-sensitive policies in the governance of producer groups to enable them to upgrade as value chain integrators and value chain owners. (CGIAR, 2017)¹³⁴
- Informal economies and markets are the dominant source of livelihoods in rural areas – and the engagement in forestry value chains is often crucial for rural women's livelihoods and the well-being of their household. (IIED, 2015)¹³⁵
- Women's time poverty and physical safety concerns limit their access to and use of forest resources and related activities. (CIF, 2017)¹³⁶
- See Annex 8, Section 2.3 for more information.

335. The Fund will take the following approach to address these issues:

- The &Green Fund's Gender Approach will provide a framework to accelerate gender-transformative and gender-sensitive (as appropriate for each Deal) investments through the &Green Fund structure.
- The Gender Approach will be mobilized through the Environment and Social Action Plans (ESAPs) – which are strict environmental and social safeguarding covenants that are conditions of the loan contracts of the &Green Fund. The Gender Analysis has influenced the overall logical framework (in Section E of this Funding Proposal) and has identified entry points for the chosen paradigm shift pathway to deliver gender and social co-benefits, which will be detailed project-level investment stage, as reflected in the Gender Action Plan.

Gender mainstreaming through the TAF:

336. The &Green TAF was formally launched in 2019 through a Cooperation Agreement with IDH, and aims to reduce risk and maximise the impact of the &Green Fund (potential) investment projects, by supporting investment-readiness, monitoring, post-investment client support and sharing of lessons and knowledge from &Green Fund and its investment projects with third party stakeholders. IDH is the service provider of the &Green TAF.

337. IDH has identified that equitable and meaningful participation of women as key to driving sustainable intensification and growth in trade, although gender barriers remain rife in commodity supply chains. To address this concern, IDH has developed a Gender Toolkit, consisting of practical case examples from IDH and similar projects in congruent sectors, and a Gender Guide, where opportunities to integrate gender aspects in different programming steps of projects and inventions are explored. The &Green Fund's Gender Approach will employ these existing and field-tested tools.

338. The role of the TA Facility in gender mainstreaming is both to enhance understanding of gender dynamics in the early project cycle, and to maximize opportunities for enhanced gender equality and empowerment. By considering how women and men participate in interventions, the TA Facility enables the &Green Fund's investments to promote and contribute to gender equality. This can include technical assistance to ensure substantial and impactful participation by women in stakeholder consultation processes, in the project

¹³³ <https://bioone.org/journals/International-Forestry-Review/volume-13/issue-2/146554811797406651/Gender-Climate-Change-and-REDD-in-the-Congo-Basin/10.1505/146554811797406651.short>

¹³⁴ <https://gender.cgiar.org/publications-data/womens-participation-high-value-agricultural-commodity-chains-kenya>

¹³⁵ <https://pubs.iied.org/sites/default/files/pdfs/migrate/16590IIED.pdf?>

¹³⁶ https://www.climateinvestmentfunds.org/sites/cif_enc/files/knowledge-documents/gender_and_sustainable_forest_management.pdf

implementation phase, reporting based on gender disaggregated data, and establishing a grievance mechanism to address complaints, including concerns related to gender and sexual harassment. Whether this is required will depend on an investee's baseline situation, as assessed in due diligence, where a gender assessment is included as part of the Environmental & Social Impact Assessment (for Gender Sensitive investments), or a separate gender assessment is conducted (for Gender Transformative Investments), see section 4.4 in Annex 8 Gender Assessment and Gender Action Plan. Depending on the needs identified during due diligence, TA may be allocated towards the strengthening of an investee's GRM, with a focus on gender inclusivity, addressing SEAH-related risks, and rooted in a survivor-centred strategy. IDH has experience setting a speak-up policy for internal and external grievances IDH has experience setting a speak-up policy for internal and external grievances (<https://www.idhsustainabletrade.com/speakup/>), and has experience in supporting partner organisations in setting up their policy framework (<https://www.idhsustainabletrade.com/publication/setting-up-a-grievance-mechanism-irbc-agreement-floriculture-advisory-report/>). The TA facility can draw from this experience to ensure that GRMs are established as survivor-centred, gender responsive frameworks that adequately address SEAH-specific complaints.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

Financial management

339. The detailed provisions regarding financial management of GCF resources by the AE will be described in the FAA. Periodic reporting will be provided by FMO to the GCF specifying among others:

- The amounts already committed and disbursed by &Green Fund by country and by project;
- The amounts already committed and disbursed by IDH by country;
- The remaining amount on different GCF accounts;
- A provisional disbursement schedule on a one-year rolling horizon;
- For the loan component, a list of the incidents recorded during the repayment period of the loan provided to project clients.

340. FMO is already an investor in &Green Fund and has completed AML/CFT and KYC checks on Stichting AndGreen.Fund. Subsidiary agreements regarding management of GCF resources will be signed between FMO and &Green Fund. The EE is required under the FAA and Term Sheet to carry out AML, CFT and KYC checks on recipients of GCF resources in line with FMO standards. Credit risk monitoring of project borrowers will be carried out by &Green Fund through the assessment of the financial statement of the borrowers, monitoring of financial covenants, etc. Audits will be requested and performed as per FMO's internal guidelines.

Disbursement

341. At FMO level, disbursement will concern investment into &Green Fund on behalf of GCF whose disbursement will be reported to FMO. Disbursement by the &Green Fund to loan recipients will follow the procedures and requirements described in the Term Sheet.

Procurement

342. FMO's procurement rules are in line with international standards and have been reviewed by GCF as a condition of accreditation, the policies and obligations of which will be passed down to the EE. The procurement plan at programme level is provided in Annex 10.

G.4. Disclosure of funding proposal

Note: The Information Disclosure Policy (IDP) provides that the GCF will apply a presumption in favour of disclosure for all information and documents relating to the GCF and its funding activities. Under the IDP, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Information provided in confidence is one of the exceptions, but this exception should not be applied broadly to an entire document if the document contains specific, segregable portions that can be disclosed without prejudice or harm.

Indicate below whether or not the funding proposal includes confidential information.

☐ No confidential information: The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☒ With confidential information: The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

ANNEXES

H.1. Mandatory annexes

- ☒ Annex 1 NDA no-objection letter(s) [\(template provided\)](#)
- ☒ Annex 2 Feasibility study - and a market study, if applicable
- ☒ Annex 3 Economic and/or financial analyses in spreadsheet format
- ☒ Annex 4 Detailed budget plan [\(template provided\)](#)
- ☒ Annex 5 Implementation timetable including key project/programme milestones [\(template provided\)](#)
- ☒ Annex 6 E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3):
[\(ESS disclosure form provided\)](#)
 - ☐ Environmental and Social Impact Assessment (ESIA) or
 - ☐ Environmental and Social Management Plan (ESMP) or
 - ☐ Environmental and Social Management System (ESMS)
 - ☐ Others (please specify – e.g. Resettlement Action Plan, Resettlement Policy Framework, Indigenous People's Plan, Land Acquisition Plan, etc.)
- ☒ Annex 7 Summary of consultations and stakeholder engagement plan
- ☒ Annex 8 Gender assessment and project/programme-level action plan [\(template provided\)](#)
- ☒ Annex 9 Legal due diligence (regulation, taxation and insurance)
- ☒ Annex 10 Procurement plan [\(template provided\)](#)
- ☒ Annex 11 Monitoring and evaluation plan [\(template provided\)](#)
- ☒ Annex 12 AE fee request [\(template provided\)](#)
- ☒ Annex 13 Co-financing commitment letter, if applicable [\(template provided\)](#)
- ☒ Annex 14 Term sheet including a detailed disbursement schedule and, if applicable, repayment schedule

H.2. Other annexes as applicable

- ☒ Annex 15 Evidence of internal approval [\(template provided\)](#)
- ☒ Annex 16 Map(s) indicating the location of proposed interventions
- ☒ Annex 17 Multi-country project/programme information [\(template provided\)](#)
- ☐ Annex 18 Appraisal, due diligence or evaluation report for proposals based on up-scaling or replicating a pilot project
- ☐ Annex 19 Procedures for controlling procurement by third parties or executing entities undertaking projects financed by the entity
- ☐ Annex 20 First level AML/CFT (KYC) assessment
- ☒ Annex 21 Operations manual (Operations and maintenance)
- ☒ Annex 22 Assessment of GHG emission reductions and their monitoring and reporting (for mitigation and cross cutting-projects)¹³⁷
- ☐ Annex X Other references

* Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.



MINISTÉRIO DA ECONOMIA
Secretaria Especial de Comércio Exterior e Assuntos Internacionais
Secretaria de Assuntos Econômicos Internacionais
Subsecretaria de Instituições Internacionais de Desenvolvimento
Coordenação-Geral de Instituições Globais de Desenvolvimento

OFÍCIO SEI Nº 273897/2022/ME

Brasília, October 18th, 2022.

Mr. Yannick Glemarec

Deputy Executive Director
Green Climate Fund
G-Tower, 24-4 Songdo-dong, Yeonsu-gu
Incheon City, Republic of Korea

Subject: Funding proposal for the GCF by FMO regarding the program "&Green Fund: Investing in Inclusive Agriculture and Protecting Forests".

Assunto: Funding proposal for the GCF by FMO regarding the program "&Green Fund: Investing in Inclusive Agriculture and Protecting Forests"

Reference: Process no. 12120.100236/2022-81.

Dear Mr. Glemarec,

1. We refer to the program titled "**&Green Fund: Investing in Inclusive Agriculture and Protecting Forests**" as included in the funding proposal submitted by the *Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. - FMO* to us on April 29th, 2022.
2. The undersigned is the duly authorized representative of the Secretariat for International Economic Affairs, Ministry of Economy, the National Designated Authority of Brazil.
3. Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.
4. By communicating our no-objection, it is implied that:
 - a) The government of Brazil has no-objection to the programme as included in the funding proposal;
 - b) The program as included in the funding proposal is in conformity with Brazil's national priorities, strategies and plans; and
 - c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

5. We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.
6. We note that a non-objection decision does not constitute any kind of guarantee or commitment by the Brazilian Government. Also, it does not exempt FMO from complying with legal, regulatory and administrative requirements in Brazil.
7. We acknowledge that this letter will be made publicly available on the GCF website.

Best regards,

Document signed electronically
MARCO AURÉLIO DOS SANTOS ROCHA
 Secretary for International Economic Affairs
 National Designated Authority for Brazil



Documento assinado eletronicamente por **Marco Aurélio dos Santos Rocha, Secretário(a) de Assuntos Econômicos Internacionais**, em 27/10/2022, às 11:54, conforme horário oficial de Brasília, com fundamento no § 3º do art. 4º do [Decreto nº 10.543, de 13 de novembro de 2020](#).



A autenticidade deste documento pode ser conferida no site https://sei.economia.gov.br/sei/controlador_externo.php?acao=documento_conferir&id_orgao_acesso_externo=0, informando o código verificador **28891526** e o código CRC **62B27A20**.

Esplanada dos Ministérios, Bloco K, 8º andar, sala 874
 CEP 70048-900 - Brasília/DF
 (61) 2020-5644 - e-mail and.gcff@fazenda.gov.br - gov.br/economia

REPUBLIQUE DU CAMEROUN
Paix – Travail – Patrie
 MINISTRE DE
 L'ENVIRONNEMENT, DE LA PROTECTION
 DE LA NATURE ET DU DEVELOPPEMENT
 DURABLE

SECRETARIAT GENERAL

100027

N° _____ /L/MINEPDED/SG

REPUBLIC OF CAMEROON
Peace-Work-Fatherland
 MINISTRY OF ENVIRONMENT NATURE
 PROTECTION AND SUSTAINABLE
 DEVELOPMENT

SECRETARIAT GENERAL

Yaoundé, le

27 JUL 2022

THE SECRETARY GENERAL
Designated National Authority of the Green Climate Fund

Yaoundé

To: The Green Climate Fund ("GCF")

Re: *Funding proposal for the GCF by Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO) regarding The &Green Fund: Investing in Inclusive Agriculture and Protecting Forests*

Dear Madam, Sir,

We refer to the programme titled « *The &Green Fund: Investing in Inclusive Agriculture and Protecting Forests in Cameroon* » as included in the funding proposal submitted by Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO) to us on 14 June 2022.

The undersigned is the duly authorized representative of Ministry of Environment, Protection of Nature and Sustainable Development, the National Designated Authority of Cameroon.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Cameroon has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Cameroon;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,



Prof. Paul TCHAWA



Bogotá D.C., lunes, 10 de octubre de 2022



DADS

Al responder cite este Nro.
20224500717431

The Green Climate Fund – GCF

Att. executive-office@gcfund.org

Subject: Funding proposal for the GCF by Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO) – regarding the programme &Green Fund

Dear Madam, Sir,

We refer to the programme titled "&Green Fund: Investing in Inclusive Agriculture and Protecting Forests" in Colombia, as included in the funding proposal submitted by FMO to us on June 19th 2022.

The undersigned is the duly authorized representative of the National Planning Department of Colombia.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Colombia has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Colombia;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.





We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Best Regards,

CAROLINA DIAZ GIRALDO

Director of Environment and Sustainable Development
National Planning Department

cc: S.Shuford@fmo.nl
schlup@sailventures.com
tollenaar@sailventures.com
e.jegu@fmo.nl
brom@sailventures.com
mrestrepo@dnpgov.co

Prepared by: María del Pilar Restrepo Orjuela



**MINISTÈRE DE L'ENVIRONNEMENT
ET DU DÉVELOPPEMENT DURABLE**

**DIRECTION DE LA COOPÉRATION
INTERNATIONALE ET DE LA
MOBILISATION DES FINANCEMENTS**

N° 013 MINEDD/CAB/DCIMF

To: The Green Climate Fund ("GCF")

RÉPUBLIQUE DE CÔTE D'IVOIRE

Union – Discipline – Travail



Abidjan, 13 July 2022

**Re: Funding proposal for the GCF by Nederlandse Financierings-Maatschappij voor
Ontwikkelingslanden N.V. (FMO) regarding The &Green Fund: Investing in Inclusive Agriculture
and Protecting Forests**

Dear Madam, Sir,

We refer to the programme titled The &Green Fund: Investing in Inclusive Agriculture and Protecting Forests in Côte d'Ivoire as included in the funding proposal submitted by Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO) to us on 12 July 2022.

The undersigned is the duly authorized representative of Ministry of Environment and Sustainable Development, the National Designated Authority of Côte d'Ivoire.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Côte d'Ivoire has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Côte d'Ivoire;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Name: Marcel YAO

Technical Advisor to the Minister in charge of International Cooperation and Resource Mobilization
National Designated Authority of Côte d'Ivoire





To: The Green Climate Fund ("GCF")

Kinshasa, 22 May 2022

Re: Funding proposal for the GCF by FMO regarding "*&Green Fund: Investing in Inclusive Agriculture and Protecting Forests*".

Dear Madam, Sir,

We refer to the programme titled "***&Green Fund: Investing in Inclusive Agriculture and Protecting Forests***". in The Democratic Republic of Congo as included in the funding proposal submitted by **FMO** to us on 22 May 2022.

The undersigned is the duly authorized representative of Hans Andre Lohayo Djamba, the National Designated Authority of The Democratic Republic of Congo.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of the Democratic Republic of Congo has no-objection to the programme as included in the funding proposal.
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of the Democratic Republic of Congo.
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Dr. Hans André Lohayo Djamba
DRC Coordinator CDM and GCF
National Coordination of GCF&CDM

République Démocratique du Congo
Ministère de l'Environnement et Développement
Durable



Secrétariat Général à l'Environnement et Développement
Durable

Direction de Développement Durable
Coordination Nationale du Mécanisme de Développement
Propre et du Fonds Vert pour le Climat

L'Autorité Nationale Désignée

The Democratic Republic of Congo



Oficio Nro. MAATE-SCC-2022-0418-0

Quito, D.M., 04 de septiembre de 2022

Asunto: Funding proposal for the GCF by FMO regarding the initiative "&Green Fund: Investing in Inclusive Agriculture and Protecting Forests"

Señor
Yannick Glemarec
Executive Director
GREEN CLIMATE FUND
En su Despacho

Distinguished Executive Director,

We refer to the programme titled "&Green Fund: Investing in Inclusive Agriculture and Protecting Forests" in Ecuador as included in the funding proposal submitted by Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO) to us on the 23rd of June 2022.

The undersigned is the duly authorized representative of Ministry of Environment, Water and Ecological Transition, which acts as the National Designated Authority of Ecuador.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Ecuador has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies, and plans of [name of country];
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.



GUILLERMO LASSO
PRESIDENTE

Oficio Nro. MAATE-SCC-2022-0418-0

Quito, D.M., 04 de septiembre de 2022

Kind regards,

Atentamente,

Documento firmado electrónicamente

Mgs. Karina Maribel Barrera Moncayo
SUBSECRETARIA DE CAMBIO CLIMÁTICO

Copia:

Señorita Ingeniera
Gabriela Jeanneth Vargas Luna
Especialista de Políticas de Cambio Climático 3

Señora Ingeniera
Daisy Alexandra Cardenas Bautista
Especialista de Mitigación del Cambio Climático 1

Señora Secretaria
Teresa Del Pilar Pérez Toscano
Secretaria de la Subsecretaria

Señorita
Andrea Paulina Bedón Pineda
Asistente en Áreas Protegidas

Señora Magíster
Inés Patricia Arias Machado
Directora de Adaptación al Cambio Climático

ab/gv



Firmado electrónicamente por:
**KARINA MARIBEL
BARRERA MONCAYO**

Ministerio del Ambiente, Agua y Transición Ecológica
Dirección: Calle Madrid 1159 y Andalucía
Código postal: 170525 / Quito-Ecuador • Teléfono: (593 2) 398-7600
www.ambiente.gob.ec



PRESIDENCE DE LA REPUBLIQUE
CONSEIL NATIONAL CLIMAT
SECRETARIAT PERMANENT



REPUBLIQUE GABONAISE
 Union – Travail – Justice

N° **00352** /PR/CNCT/CS/SP.

Libreville, le **04 AOUT 2022**

*The Special Advisor,
 Permanent Secretary of the National Climate Council*
To

The Green Climate Fund ("GCF")
 -Republic of Korea, Songdo-

Object : Funding proposal for the GCF by Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO) regarding The &Green Fund: Investing in Inclusive Agriculture and Protecting Forests

Dear Madam, Sir,

We refer to the programme titled The &Green Fund: Investing in Inclusive Agriculture and Protecting Forests in Gabon as included in the funding proposal submitted by Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO) to us on 14 June 2022.

The undersigned is the duly authorized representative of National Climate Council, the National Designated Authority of Gabon.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Gabon has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Gabon;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.



Yours Sincerely,

Tanguy GAHOUMA-BEKALE



MINISTRY OF FINANCE OF THE REPUBLIC OF INDONESIA
FISCAL POLICY AGENCY

R.M. NOTOHAMIPRODJO BUILDING 2ND FLOOR JALAN DR. WAHIDIN RAYA NOMOR 1 JAKARTA 10710
 TELEPHONE (+62 21) 3441484; FACSIMILE (+62 21) 3848049; WEBSITE www.fiskal.kemenkeu.go.id

Ref. : S-56/KF/2022

19 May 2022

Mr. Yannick Glemarec
 Executive Director
 Secretariat of the Green Climate Fund
 175, Art center-daero
 Yeonsu-gu, Incheon 406-840
 Republic of Korea

Subject : Funding Proposal for the GCF by FMO regarding &Green Fund: Investing in
 Inclusive Agriculture and Protecting Forests

Dear Mr. Glemarec,

We refer to the program of &Green Fund: Investing in Inclusive Agriculture and Protecting Forests as included in the funding proposal submitted by FMO to us on 24 March 2022.

The undersigned is the Chairman of Fiscal Policy Agency, Ministry of Finance as the National Designated Authority of Indonesia.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the program as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Indonesia has no-objection to the program as included in the funding proposal;
- (b) The program as included in the funding proposal is in conformity with Indonesia's national priorities, strategies and plans;
- (c) In accordance with the GCF's environmental and social safeguards, the program as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to program as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the program.

We acknowledge that this letter will be made publicly available on the GCF website.

Yours faithfully,



Ditandatangani secara elektronik
 Febrio Nathan Kacaribu
 Chairman





Lao People's Democratic Republic
Peace Independence Democracy Unity Prosperity

Ministry of Natural Resources and Environment
Department of Planning and Finance

4944

No:/DPF
Vientiane, dated: 22.1.07.2022

To: The Green Climate Fund ("GCF")

Re: Funding proposal for the GCF by Nederlandse Financierings- Maatschappij voor Ontwikkelingslanden N.V. (FMO) regarding the &Green Fund: Investing in Inclusive Agriculture and Protecting Forests

Dear Madam, Sir,

We refer to the programme titled the &Green Fund: Investing in Inclusive Agriculture and Protecting Forests in the Lao People's Democratic Republic as included in the funding proposal submitted by Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO) to us on 21 April 2022.

The undersigned is the duly authorized representative of Ministry of Natural Resources and Environment MoNRE, the National Designated Authority the Lao People's Democratic Republic.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of the Lao People's Democratic Republic has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of the Lao People's Democratic Republic;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Virana Sonnasinh
Director General
National Designated Authority of Lao PDR



Office of the Executive Director

REPUBLIC OF LIBERIA
ENVIRONMENTAL PROTECTION AGENCY

P.O. Box 4024
4th Street Sinkor, Tubman Boulevard
1000 Monrovia, 10 Liberia

ED/EPA-01/01486/22/RL

October 10, 2022

Mr. Yannick Glemarec
Executive Director
The Green Climate Fund ("GCF")
Songdo International Business District,
Yeonsu-gu, Incheon, South Korea

Re: Funding proposal for the GCF by Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO) regarding The &Green Fund: Investing in Inclusive Agriculture and Protecting Forests

Dear Mr. Glemarec:

We refer to the project titled The &Green Fund: Investing in Inclusive Agriculture and Protecting Forests in Liberia as included in the funding proposal submitted by Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO) to us on 25 March 2022.

The undersigned is the duly authorized representative of Environmental Protection Agency, the National Designated Authority of Liberia.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the project as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Liberia has no-objection to the project as included in the funding proposal.
- (b) The project as included in the funding proposal is in conformity with the national priorities, strategies and plans of Liberia.

EPA

- (c) In accordance with the GCF's environmental and social safeguards, the project as included in the funding proposal is in conformity with relevant national laws and regulations.
- (d) We also confirm that our national process for ascertaining no-objection to the project as included in the funding proposal has been duly followed.
- (e) We acknowledge that this letter will be made publicly available on the GCF website.

Kind Regards,


Professor Wilson K. Tarpeh

Executive Director/CEO
Environmental Protection Agency
Liberia

All communication should be addressed to the
Permanent Secretary
Telephone: (260 211) 252395
(260 211) 252394
(260 211) 252391



REPUBLIC OF ZAMBIA

In reply please quote:

No.:

NDA/71/21/4

MINISTRY OF GREEN ECONOMY AND ENVIRONMENT

OFFICE OF THE PERMANENT SECRETARY
CORNER OF JOHN MBITA & NATIONALIST ROADS
P.O. BOX 30147
LUSAKA, ZAMBIA

To: The Green Climate Fund ("GCF")

Lusaka, 16 September 2022

Re: Funding Proposal for the GCF by FMO regarding &Green Fund: Investing in inclusive Agriculture and Protecting Forests

Dear Madam, Sir,

We refer to the programme titled *&Green Fund* in Zambia as included in the funding proposal submitted by FMO to us on 4 August 2022.

The undersigned is the duly authorized representative of Francis Mpampi, the National Designated Authority of Zambia.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of The Republic of Zambia has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of The Republic of Zambia;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Francis Mpampi
National Coordinator – National Designated Authority
Ministry of Green Economy and Environment
The Republic of Zambia

Environmental and social safeguards report form pursuant to para. 17 of the IDP

Basic project or programme information	
Project or programme title	&Green Fund: Investing in Inclusive Agriculture and Protecting Forests
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Private
Accredited entity	Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO)
Environmental and social safeguards (ESS) category	Category I-1
Location – specific location(s) of project or target country or location(s) of programme	Brazil, Cameroon, Colombia, Cote d'Ivoire, Democratic Republic of the Congo, Ecuador, Gabon, Indonesia, Lao PDR, Liberia, and Zambia*
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management (ESMS) (if applicable)	
Date of disclosure on accredited entity's website	Friday, June 17, 2022
Language(s) of disclosure	English, Bahasa Indonesia French, Lao, Portuguese, and Spanish.
Explanation on language	English is the official language of Cameroon, Liberia, and Zambia. Bahasa Indonesia is the official language of Indonesia. French is the official language of Cote d'Ivoire, Cameroon, Democratic Republic of the Congo, and Gabon. Lao is the official language of Lao PDR.

	Portuguese is the official language of Brazil. Spanish is the/an official language of Colombia and Ecuador.
Link to disclosure	https://www.fmo.nl/ex-ante-disclosure-gcf
Other link(s)	https://www.andgreen.fund/stakeholders/ English: https://www.andgreen.fund/wp-content/uploads/2022/06/Green ESMS Disclosure English.pdf Bahasa Indonesia: https://www.andgreen.fund/wp-content/uploads/2022/06/Green ESMS Disclosure Bahasa-Indonesia-.pdf French: https://www.andgreen.fund/wp-content/uploads/2022/06/Green ESMS Disclosure French.pdf Lao: https://www.andgreen.fund/wp-content/uploads/2022/06/Green ESMS Disclosure Lao.pdf Portuguese: https://www.andgreen.fund/wp-content/uploads/2022/06/Green ESMS Disclosure Portuguese.pdf Spanish: https://www.andgreen.fund/wp-content/uploads/2022/06/Green ESMS Disclosure Spanish.pdf
Remarks	An ESMS consistent with the requirements for a Category I-1 programme is contained in the “Investment Principles and ESMS Manual”.
Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), IPP Framework (if applicable)	
Description of report/disclosure on accredited entity's website	Indigenous Peoples Planning Framework, Resettlement Planning Framework, and Forest and Biodiversity Framework are part of the ESMS.
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Disclosure in locations convenient to affected peoples (stakeholders)	

Date	Friday, June 17, 2022
Place	Physical copies are available at &Green's offices at: Basisweg 10, 1043 AP, Amsterdam, The Netherlands; and 5 Joo Chiat Avenue, Singapore 428130. &Green's office in Brazil is currently closed due to COVID. Physical copies will be available at the project site in each country as and when investments are made, during the deal stage.
Date of Board meeting in which the FP is intended to be considered	
Date of accredited entity's Board meeting	TBD
Date of GCF's Board meeting	Monday, July 10, 2023

Note: This form was prepared by the accredited entity stated above.

* Subsequent to the disclosure of this form to the Board and active observers on June 17, 2022, the following updates have been made: Ghana, Malaysia, Mexico, Paraguay, Peru, and Viet Nam have been deleted as they have been removed from the programme.

Moreover, after further due diligence on the funding proposal, the Secretariat has confirmed that the "Investment Principles and ESMS Manual" is consistent with the requirements for a Category I-1 programme. Lastly, the date of the GCF Board meeting in which the funding proposal is to be considered has been updated.

Independent Technical Advisory Panel's assessment of FP212

Proposal name:	&Green Fund: Investing in Inclusive Agriculture and Protecting Forests
Accredited entity:	Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO)
Project/programme size:	Large

I. Assessment of the independent Technical Advisory Panel

1.1 Overview

1. This is the second submission of the full proposal "&Green Fund: Investing in Inclusive Agriculture and Protecting Forests" to the independent Technical Advisory Panel (iTAP). The accredited entity (AE) is the Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO).
2. This full proposal aims at contributing to low-carbon, climate-resilient development pathways by lowering investments' risk while promoting zero-deforestation, socially inclusive commodity production.
3. The iTAP considered in its assessment all documents as submitted on 18 April 2023, the answers to iTAP's questions as received on 16 May 2023, the responses during the Q&A session on 17 May 2023 and the amended documents received by iTAP on 23 May 2023 as a result of minor revisions agreed between iTAP and the AE during the Q&A session. These minor revisions will avoid misunderstandings when implementing the full proposal. The iTAP acknowledges the constructive response from the AE to the comments, concerns and recommendations expressed by iTAP during the first submission.
4. Commodity production is an important driver of deforestation in the tropics. This is true for several commodities including palm oil, soybeans and beef. The funding proposal is aimed at making possible to scale-up an existing investment facility (&Green Fund), which already promotes deforestation-free and socially inclusive commodity supply chains (e.g. palm oil, cocoa, rubber, cattle).
5. FMO, as the AE, requests GCF support to transform major tropical commodity supply chains to be deforestation-free and socially inclusive in a way that is commercially viable and replicable at scale. This paradigm shift assumes that (a) sustainable intensification of commodity production will reduce extensification (i.e. deforestation) while securing socioeconomic and adaptation co-benefits and (b) the willingness to invest in sustainable intensification of agricultural commodity production in the tropics is a consequence of how private investors perceive its financial risks. The &Green Fund will develop blueprints for sustainable commodity supply chains that other players can replicate and/or scale-up in future.
6. Today, several barriers make it difficult to put sustainable commodity supply chains in place: (a) limited capital flows in sustainable intensification due to high risk perception by private investors; (b) market distortions that undervalue standing forests and induce deforestation; (c) limited local access to knowledge and technology for no-deforestation

- production; (d) inaccessible or poorly presented information on climate hazards and adaptive measures; and (e) insufficient regulatory or policy conditions that support sustainable practices and environmental impact.
7. The &Green Fund seeks to overcome these barriers by making deforestation-free commercial agriculture and forestry a profitable and viable alternative and setting the stage to drive sustainable land use investment at scale. The GCF investment should reduce private investments' risks in zero-deforestation commodity supply chains, while improving enabling conditions and capacities in the given areas (countries or subnational entities).
 8. The funding proposal covers Brazil, Cameroon, Colombia, Côte d'Ivoire, Democratic Republic of the Congo, Ecuador, Gabon, Indonesia, Lao People's Democratic Republic, Liberia and Zambia. The starting point for any transaction is the identification of commodity supply chains currently identified as drivers of deforestation in the specific areas (country or subnational level) and could evolve into sustainable production using a method developed by &Green Fund: the Jurisdictional Eligibility Criteria Assessments (JECA).
 9. The funding proposal is structured around two components: (1) the &Green Lending Facility; and (2) the Technical Assistance Facility (TAF). The &Green Lending Facility (component 1) responds to barrier (a) (see para. 6 above) and aims to result in the creation of a scalable investment vehicle (B.V.);¹ the mobilization of co-investment by the private sector; and fund capital disbursed to large-scale sustainable agriculture transactions. The TAF (component 2) will address barriers (b) to (e) and aims to result in policy dialogue and awards raising; technical cooperation for capacity-building of companies and businesses in the supply chain; and a monitoring, reporting and verification system that allows for paradigm shift tracking.
 10. It is expected that the GCF investment will facilitate the mitigation and adaptation impacts of the programme. Based on results from investments over the past four years, FMO, the AE, expects an investment lifetime impact of approximately 350,000 tonnes of carbon dioxide equivalent (t CO₂ eq) in greenhouse gas (GHG) reduction and removals per USD 1 million invested. This results from emissions reduction from avoided deforestation in &Green Fund's protected forests, which will be monitored using a combination of satellite data and national forest reference emission levels/forest reference levels (FRELs/FRLs). The AE expects that a total investment of USD 960 million over the investment lifetime (15 years) will result in a contribution to climate change mitigation of circa 340 million tonnes of carbon dioxide equivalent (Mt CO₂ eq).
 11. Further, the AE expects to contribute to the GCF results areas on health and well-being, food and water security, and ecosystems and ecosystem services. Based on &Green Fund's existing portfolio, and aligning with the GCF impact framework, the programme is expected to yield the following adaptation metrics:²
 - (a) Over 15.7 million hectares of land under sustainable and resilient management; and
 - (b) At minimum, 2,000 people with enhanced resilience per USD 1 million invested (a USD 960 million investment for 1,900,000 people).
 12. The targeted size of the programme is USD 981,620,000. The requested contribution from GCF is USD 189.35 million, out of which USD 180 million is in the form of a loan and

¹ The acronym B.V. comes from the Dutch term *besloten vennootschap met beperkte aansprakelijkheid*

² The initial estimates for people with enhanced resilience were conservatively calculated due to limited data, extrapolating from the existing portfolio and considering the pipeline of investments. Results during implementation are expected to be higher than these estimates.

USD 9.35 million is in the form of a grant. The rest of the co-funding will be secured over the project length from third parties.

1.2 Impact potential

Scale: High

13. The iTAP assessment is guided by decision B.33/12, which explains the principles for demonstrating the impact potential of GCF-supported activities, as well as other appraisal and assessment guidance for this investment criteria and as approved by the GCF Board.

Mitigation potential

14. The AE expects a contribution to the climate change mitigation results area on forestry and land use of 340 Mt CO₂ eq over the investment lifetime (15 years). This is an indicative figure. Detailed calculations will be done for each jurisdiction (i.e. for each transaction) over the project life using methods available to iTAP for assessment.
15. The funding proposal presents a comprehensive methodological approach. It describes three types of mitigation contributions: (1) avoided deforestation in forests protected by &Green incentives; (2) avoided deforestation in forests in supply sheds (landscapes) of &Green influence; and (3) forest restoration in forests protected by &Green incentives. Further, the proposal considers potential GHG emissions increments resulting from land management activities. This allows identifying relevant, project related emissions from intensification of agriculture and livestock management, with especial consideration of methane (CH₄) and nitrous oxide (N₂O).
16. For all above-mentioned types of mitigation contributions as well as for assessing potential increases of emissions due to land management intensification, the funding proposal includes a corresponding quantification approach. For each quantification approach, the funding proposal includes examples based on ongoing activities by &Green Fund.
17. That said, the mitigation contribution to the forestry and land use results area mentioned in paragraph 14 above only includes contribution type 1 (avoided deforestation in forests protected by &Green incentives). The other two mitigation types are quantified in order to understand and monitor further mitigation contributions but are not accounted for. This increases the conservativeness of the overall quantification approach.
18. The &Green Fund will continue working in sectors that are known as drivers of deforestation and will design programmes to overcome barriers at a company and supply chain-specific level at the deforestation frontier. National FRELs/FRLs will be assessed across jurisdictions and will be considerably lower than rates of forest loss in areas highly exposed to agri-commodity expansion. Thus, as far as the programme implementors have full control of the jurisdiction and no other activities will occur in the area, the application of FREL/FRL approaches by &Green in at-risk supply chains can be considered as conservative.
19. The funding proposal states that the &Green Fund will incentivize the avoidance of deforestation through the:
 - (a) Protection of identified forest areas (and avoidance of deforestation) as part of contractual covenants; and
 - (b) Intensification of agricultural production while reducing incentives and demand for extensification, thereby avoiding deforestation. While the specific number of hectares of avoided deforestation are not explicitly identified, the expected impact can nonetheless be estimated.

20. The funding proposal includes a quantification method for avoided deforestation (hectares) and emissions reduction (type 1):
 - (a) From FRLs, the deforestation rate in percentage (% per year) for the relevant biome is extracted from the FRL deforestation rate in proportion to the areas of relevant forest;
 - (b) The deforestation rate for the reporting year (e.g. 2021) in relevant jurisdictions per transaction (in % per year) is established using satellite imagery;
 - (c) FRL and satellite deforestation rates are compared and a demonstrably conservative value (in % per year) is selected;
 - (d) The % deforestation rate is applied to &Green's "forest protected" areas to estimate avoided deforestation per year;
 - (e) The area of avoided deforestation is multiplied by the emission factors from the FREL to quantify emissions reduction; and
 - (f) The satellite analysis is undertaken and reported annually.
21. During the first submission of this full proposal, iTAP expressed the need to clarify how the specific projects within &Green Fund can establish the deforestation threat at the project level in order to attribute the emission reduction to changes in the production of a particular commodity in a specific place (attribution). The iTAP considers that especially relevant for calculating GHG emission reduction using the method presented above. As a response, the AE included a clarification about how this attribution is conducted along the five for the JECA assessment, as part of the investment rationale, during the Deal Note, during the credit application, and once included in the &Green Fund portfolio.
22. The second mitigation contribution type is emissions reduction from avoided deforestation using a marginal production approach. It assumes that intensification of agricultural production reduces the demand for extensification. The corresponding ten-step method is described in the proposal. Complementing this approach and in response to the iTAP recommendations during the first submission, the AE now incorporates a protocol for assessing the materiality of potential sources emissions increases within the investment boundaries (annex 22e).
23. Annex 22e explains (i) the rationale and approach to assessing, quantifying and reporting individual source emissions increases; (ii) the implications of source emissions increase in the context of investment emissions impacts; (iii) relevant standards, methodologies, resources and literature used; and, when relevant, (iv) how source emissions are included in measurement, reporting and verification (MRV) protocols and incorporated into &Green's operational procedures. The annex includes a threshold for identifying the materiality of the source emissions increases (25,000 t CO₂ eq/year) and a safeguard regarding impact magnitude related to the total size of the mitigation potential of a given investment.
24. The third type of mitigation contribution is removal estimates for the enhancement of carbon stocks in remaining forest and through reforestation. The accounting method applies a simple approach of RF multiplied by the area of forest restoration. RFs are extracted from relevant FREL/FRLs from national governments for appropriate forest types or biomass when available. When RFs are not available from FRELs, they are conservatively established from Intergovernmental Panel on Climate Change (IPCC) factors appropriately selected for biomass growth, ratio, and carbon fraction in accordance with approaches used in FREL/FRLs and national GHG accounting.
25. The success of the activities related to climate change mitigation depends upon the level of control of the land (i.e. clarity of land tenure and land use rights). The AE explained that

land tenure issues are included in the Landscape Protection Plans (LPP) and Environmental and Social Action Plans (ESAP) of each transaction. The AE further clarified that in the initial screening of a transaction, the land rights situation is assessed as part of the first risk assessment. For due diligence, a full environmental and social impact assessment will also be carried out, including a detailed assessment against the International Finance Corporation (IFC) Performance Standards (PS) on environmental and social sustainability, specifically standard 5 “Land Acquisition and Involuntary Resettlement”.

26. The iTAP considers that the methodological approach presented by &Green Fund is complete, coherent and allows for proper MRV over time. This methodological approach is based on sound scientific and non-scientific knowledge and experience. The iTAP recognizes that the operationalization of this methodological approach will be challenging in some of the countries where the &Green will operate and is aware of the importance of the Technical Assistance Facility (TAF) included as component 2 of the proposal for facing these challenges.

Adaptation potential

27. During the first assessment of this full proposal, iTAP recommended the development of a methodological approach for assessing adaptation potential at the project level. In the second submission, the AE includes an additional annex explaining the &Green approach to climate risk assessment and the identification, planning, implementation and monitoring, reporting and verification of adaptation actions.

28. In order to mainstream adaptation to climate change in its operations, the &Green Fund will follow a climate risk management process incorporated into the screening, due diligence and loan tenor for all investments (see figure 1 below).

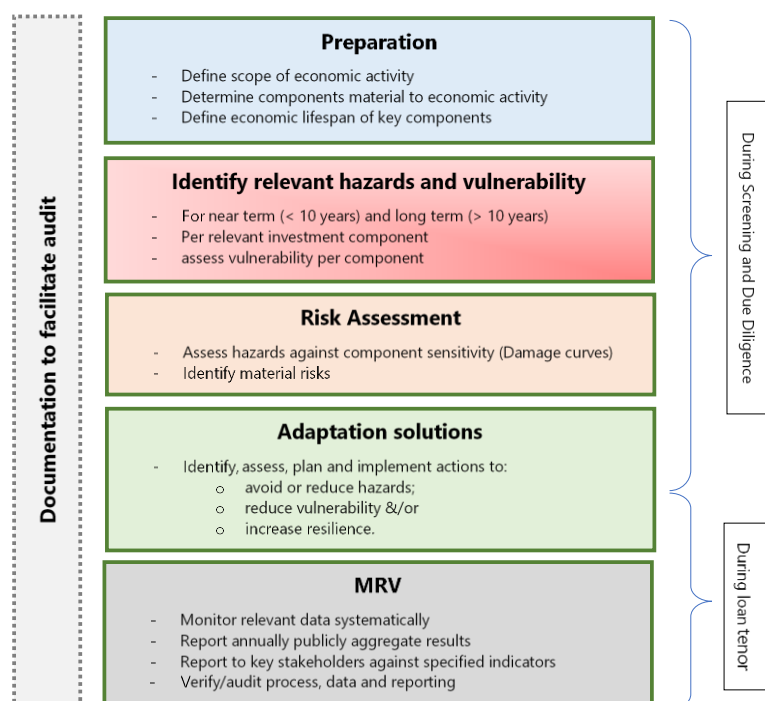
29. The process proposed by &Green Fund includes the following eight steps:

- 1) ***Define scope of assessment and economic activity*** (as of lending scope), including considerations about business (sector), geographic jurisdictions and locations included in the loan and time span (10 years as default for the investment and up to 2050 for the future climate);
- 2) ***Define relevant lifespan of the components of the economic activity***, differentiating between investments with relatively short asset lives (<10 years) that will be affected by the “current” climate and those with long asset lives (>10 years) that will be affected by the current and future climate;
- 3) ***Determine investment components*** (assets, services, functions), which are material to the relevant economic activities. These will include areas of agricultural land with intensified practices, areas of protected forest as well as farmers and communities associated with these lands. In this step it will be assessed where there is dependence on individual suppliers for which a climate risk assessment should be conducted (procurement climate risk assessment). Similarly, when transportation is relevant for the investment (e.g. between production and market sites), transportation routes will be included as part of the climate risk assessment whenever alternate routes are not viable;
- 4) ***Screen climate hazards***: identify relevant hazards from prescribed lists, which are based on the European Union taxonomy.³ This screening step will allow, for each

³ European Union taxonomy of ‘climate-related hazard’ from Delegated Regulation 2021/2139, Annex I, Appendix A, and related to the Sixth Assessment Report of the Intergovernmental Panel on Climate Change: https://www.ipcc.ch/report/ar6/wg1/downloads/report/IPCC_AR6_WGI_Chapter12.pdf.

investment, the filtering out of hazards not relevant for the country or region, hazards not relevant (i.e. no exposure) at the site, and hazards that will not affect the assets;

Figure 1: &Green's climate risk assessment process



Source: Funding proposal

- 5) **Climate risk assessment** through (a) understanding the significant relationships between climate hazards and investment components; (b) gathering information on current and future climate hazards; (c) gathering information on sensitivity and adaptive capacity of potentially affected components and assessing vulnerability; and (d) collating and presenting the analysis. The assessment will facilitate the understanding of climate impact chains (cascade effects). Climate hazard assessments are taken for < 10 years (with 'current climate' as a proxy), and for > 10 years (using representative concentration pathways (RCP) 8.5 scenarios). If country-specific, region-specific or site-specific data/models are available, these will be used. For this step, the proposal refers to the resources available at www.climateinformation.org, which is co-funded by GCF. Other available tools and sources of information are included in the full proposal as well. The annex further explains how to assess the vulnerability of the relevant assets and clarifies how sensitivity, exposure and adaptive capacity are to be included as part of this step. As outcome of this step it becomes clear which assets of the investment are under which climate risk and if this risk is low, medium or high, or if an activity becomes a maladaptation.
- 6) **Prepare adaptation solutions** based on the conclusions of the steps above a project will identify potential actions to reduce hazards and/or vulnerability, and/or increase resilience for the identified material risks; assess the feasibility of potential actions and select the most viable; and prepare a concrete adaptation plan and the corresponding monitoring plan to be included in the MRV of the whole investment;
- 7) **Documentation and verification** will be conducted along the whole process in order to facilitate the evaluation of climate change adaptation progress as well as learning within the specific project and in the whole &Green Fund community;
- 8) **Update and continuous improvement**, based on the update/repeat and reassessment of climate risk, will be conducted. Its frequency will fit the loan tenor and needs but is

expected every 3 years for <10-year hazards and at the midpoint of tenor, but not more than every 6 years (maybe <10 update at year 3 and at year 6). In response to these updates, adaptation plans will be revised when needed.

30. Steps 1, 2 and 3 will be included during the preparation phase above; step 4 will be part of the identification of relevant hazards and vulnerability; step 5 will be included as a risk assessment; step 6 will be included as adaptation solutions; step 7 will be conducted for monitoring and verification purposes along the whole process; and step 8 promotes adaptive management through a learning effect between the MRV and repeated identification of hazards and vulnerability over time.

31. The full proposal includes examples of how to operationalize the whole methodological approach for climate change adaptation using real situations from existing investments, as well as a list of input resources that can be useful when operationalizing the methodological approach.

32. The full proposal also explains how the monitoring and reporting of climate impacts and adaptation solutions is included in the overall framework for key performance indicators, in the investment process of &Green Fund and in the operational manual.

33. The iTAP considers that the methodological approach now included in this full proposal is aligned with the principles as established in decision B.33/12 and that it makes a good use of existing knowledge and available tools. As with the methodological approach for assessing, monitoring and reporting the mitigation potential, iTAP considers it extremely important to include support and capacity-building/capacity transfer for using this methodological approach as part of the activities in component 2 of the full proposal the Technical Assistance Facility (TAF).

1.3 Paradigm shift potential

Scale: Medium to high

34. The funding proposal presents a good overview of the drivers of deforestation in the selected countries: Brazil, Indonesia, Cameroon, Colombia, Côte d'Ivoire, the Democratic Republic of the Congo, Ecuador, Gabon, the Lao People's Democratic Republic, Liberia and Zambia.

35. Further, it documents scientific outputs regarding climate risks, impacts, adaptation and mitigation interventions and benefits related to seven commodities: palm oil, livestock farming/cattle, soy, rubber, coffee, cocoa and timber. The scientific references combine meta-analysis studies and case studies. Case studies refer to the selected countries as well as to other countries in the tropics.

36. This information, combined with the generic barriers presented in the funding proposal, explains the need to tackle commodity supply chains as a main driver of deforestation in the tropics and why it is so important to involve the private sector in a transformative process.

37. The funding proposal assumes that lowering the investment risks for private investors can contribute to the transformation of the commodities supply chain and, consistent with this assumption, the &Green proposal aims to establish blueprints for financing deforestation-free commodity production that is commercially viable and replicable.

38. The starting point for the investments is an assessment at the national or subnational level against five jurisdictional eligibility criteria established by &Green Fund, which allow for the identification of promising opportunities at the jurisdictional level.

39. This &Green eligibility assessment uses the following criteria:

- (a) Scope: The amount and quality of forest/peatland potential is significant and highly relevant from a global perspective;
 - (b) Ambition and strategy: There is a clear strategy with the targets tracking the reduction of deforestation against historic trends in the jurisdiction. Continued jurisdictional eligibility is dependent on subsequent biennial positive assessments of progress;
 - (c) Timely progress towards milestones indicated in the strategy of the jurisdiction on a trajectory towards the targets for reducing deforestation;
 - (d) A transparent MRV system is operational and able to monitor, measure, report and verify reduction in deforestation and, where relevant, forest and peat degradation in the jurisdiction; and
 - (e) Social and environmental safeguards: Progress shown towards the implementation of the Cancun Agreement.
40. This overall approach for identification, selection and investment support has been used by &Green Fund since its creation in 2017. Currently, &Green Fund has seven transactions in its portfolio: three in Brazil, three in Indonesia and one in Colombia. The portfolio investments account for USD 142.75 million.
 41. Currently, &Green Fund manages around USD 180 million, with key investors including Norway's International Climate and Forest Initiative (NICFI), FMO, Unilever, the United Kingdom of Great Britain and Northern Ireland (through the FMO-managed Mobilising Finance for Forests programme), the Global Environment Facility (GEF), and the reinsurer Hannover Re.
 42. The proponents expect that co-investment from the private sector will be triggered by GCF participation and will be secured from commitments made by potential investors to scale capital disbursements to borrower companies. For the funding proposal, the overall amount (GCF + co-financing) is expected to be USD 981,620,000, meaning an expected co-funding of over USD 750,000,000. This growth in co-funding will indeed mark success in terms of scalability and can be considered a good proxy for assessing paradigm shift. This approach that links continuing GCF support to demonstrated mobilization impacts is proper and better aligns GCF paradigm shift interests to the actual execution of the &Green Fund.
 43. The repeatability and scalability of the blueprints developed by &Green Fund depend upon two main factors: the extent to which the blueprints can be repeated for new commodities and in new countries and the level of success in mobilizing co-funding, especially from the private sector. In addition, national conditions and regulations for loans vary significantly among the 11 countries included in the proposal, and mobilizing private investments in zero-deforestation, resilient and inclusive agriculture has proven to be challenging.
 44. A mitigating uncertainty on this funding proposal's overall potential for paradigm change is whether this programme can lead to changing how financial markets as a whole approach agriculture and supply chain finance. The transactions in the current &Green Fund portfolio are with major agricultural market players who typically do not struggle to access finance for overall operations. It is significant that the concessionality provided here could lead these entities towards more sustainable practices, but it is not clear whether the incentives are in place for further market uptake by other sources of finance. Conversely, there may be a risk that other commercial sources of finance would begin to compete on financing terms without additional sustainability obligations being attached.

45. Thus, the paradigm shift depends upon the willingness of big players in the agro-industry to stop deforestation in areas they could use for commodity production. As most of these players have access to funding in their own countries, key questions remain open: How will this programme encourage a paradigm change in a market where finance sources are accessible for big commodity producers without considering deforestation? Why will commodity producers prefer loans from &Green? What is the expected impact on or reaction from other providers of finance? Is there some evidence of factors towards structural change in any of the countries &Green Fund has worked with since 2017?
46. The iTAP acknowledges the clarifications given by the AE during the second submission with respect to market availability of loans as offered by &Green and the attempts to collaborate with local banks to structure co-financing transactions. However, iTAP considers that the challenges remain. It does not mean that the proposal needs to change; it only implies that all participant organizations should be aware of the challenges and is a further argument supporting GCF involvement.

1.4 Sustainable development potential

Scale: High

Alignment with the Sustainable Development Goals:

47. The funding proposal contributes indirectly to almost all of the Sustainable Development Goals (SDGs), but contributes most directly to:
 - (a) Goal 8 (Decent work and economic growth) through the reduction of investment risks in sustainable commodity production in the tropics using a socially inclusive and gender-sensitive approach (SDG 5);
 - (b) Goal 12 (Responsible consumption and production) through the transformation of commodity production through scaling up the sustainable production of agricultural commodities;
 - (c) Goal 13 (Climate action) through the expected GHG emission reductions from avoided deforestation as well as carbon enhancement from restoration and the expected increase in climate resilience among the beneficiaries and ecosystems; and
 - (d) Goal 15 (Life on land): Although the proposed programme does not account for biodiversity benefits, it is well accepted that halting deforestation and reversing land degradation have a positive effect on biodiversity conservation.
48. In addition, iTAP considers that the funding proposal has high potential to contribute to SDG 6, especially target 6.6, by protecting and restoring water-related ecosystems.

Social and environmental co-benefits:

49. &Green Fund presents its approach towards social and environmental co-benefits in its investment principles and environmental and social management system (ESMS) manual. The manual provides the approach towards securing social and environmental co-benefits during the planning and implementation of projects receiving loans, as presented in the paragraphs below.
50. &Green adopts the IFC PS as its framework for managing environmental and social risks and impacts associated with the projects it seeks to finance. These include PS 1: Assessment and Management of Environmental and Social Risks and Impacts; PS 2: Labor and Working Conditions; PS 3: Resource Efficiency and Pollution Prevention; PS 4: Community Health, Safety, and Security; PS 5: Land Acquisition and Involuntary Resettlement; PS 6: Biodiversity Conservation and Sustainable Management of Living Natural Resources; PS 7: Indigenous Peoples; and PS 8: Cultural Heritage.

51. Additionally, &Green Fund requires its clients to obtain the free, prior and informed consent of all local communities (not just indigenous peoples) with customary rights to land used for both production and conservation components of projects that &Green Fund finances.
52. For the financing of small and medium-sized enterprises, including smallholders and smallholder cooperatives, other local or international standards (e.g. Roundtable on Sustainable Palm Oil – Principles and Criteria in the case of the palm oil sector), including those developed specifically for smallholders, may be used where the PS are equivalent but may be more familiar to or better adapted to the scale and intensity of management of the client.
53. The IFC PS may be used in conjunction with relevant best practice standards, guidelines and tools (such as the Voluntary Guidelines on the Responsible Governance of Tenure of Land, Fisheries and Forests in the Context of National Food Security; Sustainable Agriculture Standard; Roundtable on Sustainable Palm Oil – Principles and Criteria; Forest Stewardship Council Principles and Criteria; High Carbon Stock Approach Toolkit; Climate, Community and Biodiversity Standards; or other emerging best practice standards), where these provide additional detailed guidance or requirements that support compliance with the IFC PS.
54. Considering the importance of biodiversity-related impacts in its investments, &Green has a specific process that mainstreams biodiversity concerns into investment decision-making: the Forest & Biodiversity Framework. The framework embeds PS 6 within &Green’s ESMS and provides guidance on the biodiversity-specific studies commensurate with the level of biodiversity risk presented by the investment to provide a pragmatic approach for balancing cost-effective risk management while maintaining the integrity of the PS.
55. Moreover, &Green Fund requires clients to make an unconditional written organizational policy commitment to no deforestation, no development of peatlands, and no exploitation (NDPE). The &Green Fund monitors progress on the NDPE policy commitments throughout the tenor of its investments.
56. &Green also requires clients to translate their vision for maximizing long-term environmental impacts and social inclusion and for contributing to sector transformation into Landscape Protection Plan (LPP) and to commit to its implementation as part of its investment. The LPP describes a client’s strategy and the additionality of the strategy against sector practices in the landscape in which they operate.

Gender-related co-benefits

57. The funding proposal includes (i) a comprehensive gender assessment and gender action plan developed following the GCF manual Mainstreaming Gender in Green Climate Fund Projects; and (ii) a logical framework showing the consideration of gender aspects at the outcomes and outputs level.
58. The gender assessment and gender action plan include an assessment of the current gender situation in 17 countries,⁴ a gender-differentiated summary of pre-selected sectors in these 17 countries and a gender-differentiated short analysis of the links to four SDGs (SDG 1 on poverty, SDG 3 on health, SDG 4 on education and SDG 8 on decent work and economic growth).
59. It also presents the ‘green gender approach’, which consists of two different tracks (gender-sensitive and gender-transformative) and shows how the ‘green investment

⁴ With all 11 countries relevant for this funding proposal included.

process' uses these tracks throughout the stages of the following investment phases: investment rationale, deal note, credit application and MRV.

60. The iTAP assesses the approach of this funding proposal towards social and environmental co-benefits and the gender action plan as coherent, consistent and robust. The iTAP also highlights that achieving the expected environmental and social co-benefits depends upon the level of stringency in applying and monitoring the standards mentioned above and consequently upon the competences and capacities in-site and not only at the level of the AE and executing entity (EE).

1.5 Needs of the recipient

Scale: High

61. The Agriculture Forestry and Other Land Uses (AFOLU) sector is one of the major sources of GHG emissions in all 11 countries included in this funding proposal. In all countries, emissions related to deforestation as a result of commodity production is a major area of concern, and reducing deforestation is included in the nationally determined contributions of the participating countries.
62. Similarly, in all countries included in this funding proposal, the increasing vulnerability of ecosystems, people and agricultural activities due to increasing climate hazards has been recognized either in the nationally determined contributions and/or in the national adaptation plans (or corresponding national policies or processes).
63. It is widely recognized that transforming commodity supply chains that are causing deforestation requires not only enabling conditions but also transforming the economic rationale along the chain. That requires high investments and competences.
64. This funding proposal suggests an approach to tackle some of the important barriers to halting deforestation in tropical countries at present, while offering a comprehensive approach that can serve not only climate action but several other SDGs and respond to the needs expressed by the recipients at the national level.

1.6 Country ownership

Scale: Medium to high

65. As stated above, halting deforestation and reducing climate vulnerability in the agricultural sector is a priority in the national policies of all 11 countries included in this funding proposal.
66. The no-objection letters (NOLs) of Brazil, Cameroon, Colombia, Côte d'Ivoire, the Democratic Republic of the Congo, Indonesia, the Lao People's Democratic Republic, Liberia and Zambia were included in the submission assessed by the iTAP. Further NOLs were in preparation when conducting this assessment.
67. Overall, iTAP positively views the inclusion of the funding proposal's JECA from a country ownership standpoint. JECA provides for some level of review and evaluation as to whether a particular jurisdiction is making progress in reducing deforestation in recent years; whether systems are in place for tracking forest levels; and the effectiveness of its environmental and social safeguard framework. Building enabling environment analysis into financial decision-making around GCF-supported concessionality is important to demonstrate that supported projects are in jurisdictions that have climate interests aligned to GCF in practice and not solely on paper.
68. The iTAP also acknowledges the clarification about tailored engagement strategies as part of the activities in component 2, the Technical Assistance Facility (TAF). However, iTAP considers that the level of current engagement of subnational authorities responsible for

the production, processing and commercialization of exporting communities as well as of the subnational authorities responsible for forest conservation is still rather low.

1.7 Efficiency and effectiveness

Scale: Medium to high

69. With total financing of USD 981,620,000, this funding proposal expects to have a mitigation impact of 339,150,000 t CO_{2eq} and benefit 1,963,000 people. This corresponds to less than USD 3/t CO_{2 eq}, which is considered an efficient ratio. However, the actual figure will depend upon success in generating investments by the private sector. The expected ratio is a USD 3.75 investment by the private sector for each USD 1 invested by GCF.
70. GCF and the AE, FMO, will contractually agree that GCF will commit USD 189.35 million to the &Green Stichting⁵ for the funded activity. GCF will then be an indirect lender to the &Green Stichting (through FMO in its capacity as a GCF AE).
71. Of the total amount from GCF, USD 750,000 will be provided to &Green Stichting as a non-reimbursable grant for component 1 (lending facility) and outputs 1.1 and 1.2, and USD 180 million will be provided to &Green Stichting as a subordinate loan for output 1.3 (investment facility).⁶ For component 2 (TAF), USD 8.60 million will be provided as a non-reimbursable grant to &Green Stichting.
72. FMO will make a USD 180.75 million capital commitment to &Green Stichting in the form of a non-reimbursable grant and a subordinated loan. The Stichting can then remit the full USD 180 million investment facility to the scalable investment vehicle &Green B.V. (the "B.V.") as tranche A equity—in the form of the current portfolio assets, cash and undrawn commitments, and further capital raised by the Stichting to the extent required—for loans to project companies.
73. The funding proposal suggests three GCF disbursements to FMO (44.67 per cent, 27.66 per cent and 26.66 per cent), subject to conditions stated in the funding proposal.
74. FMO will likewise make a USD 8.6 million capital commitment in the form of a non-reimbursable grant to &Green Fund for implementing some or all of component 2's activities through its existing TAF Cooperation Agreement with IDH,⁷ the technical assistance service provider.
75. In order to mobilize further investments, &Green Stichting will incorporate a Dutch private company with limited liability (B.V.) under the laws of the Netherlands. The &Green Stichting will provide equity capital to the B.V. (and will be the only equity capital provider to the B.V.) in the form of the current portfolio assets and further capital raised

⁵ Stichting is the Dutch term for Foundation. "&Green Fund refers to the combination of Stichting andGreen.fund and the scalable investment vehicle suitable for commercial investors. Stichting andGreen.fund ("Stichting") is the existing legal entity through which investments are made currently and since inception in 2017. &Green B.V. refers to the type of entity that will be established as a scalable investment vehicle by the Stichting. Scalable investment vehicle is the financial instrument and/or legal entity which the Stichting will establish under output 1.1 to attract commercial investors, the form of which is the &Green B.V.

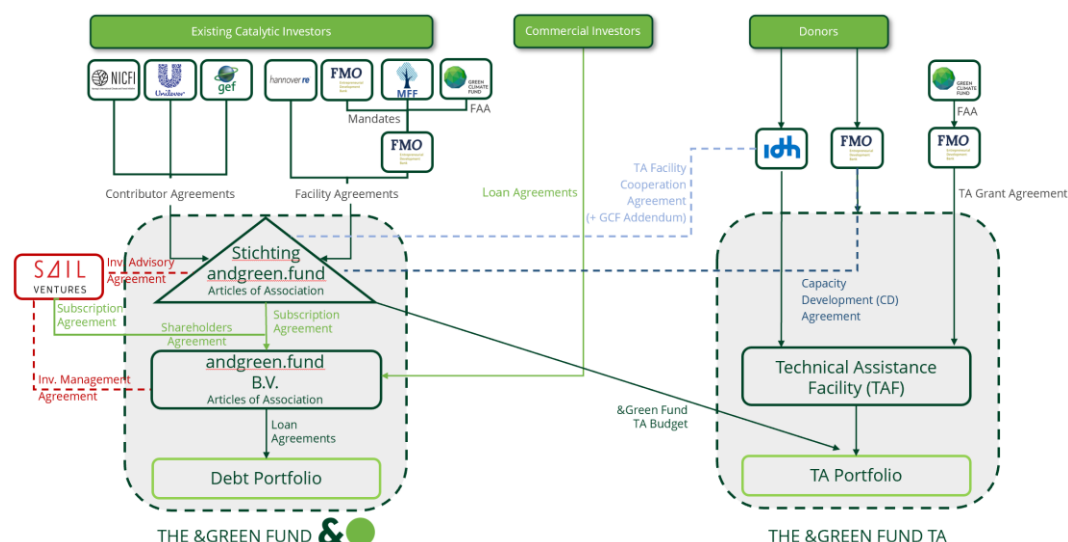
⁶ GCF proceeds will be drawn down by the &Green Fund Stichting and then, for the amounts concerning output 1.3, provided by the Stichting &Green Fund (in its capacity as Class A Shareholder) to the &Green B.V. through the contribution of additional share capital (in the form of share premium). No further tranche A shares will be issued for each drawdown as the capital will be provided as additional share premium on the tranche A shares issued upon incorporation.

⁷ IDH – The Sustainable Trade Initiative: <https://www.idhsustainabletrade.com/about-idh/>.



by &Green Stichting. The B.V. will conclude an investment management agreement with Sail Ventures B.V. ("SAIL") in addition to the investment advisory agreement between the Stichting and SAIL (see figure 2 below).

Figure 2: Scalable investment vehicle and Technical Assistance Facility structure



Source: Funding proposal

76. According to the funding proposal, the GCF investment will enable &Green Fund to attract commercial investors at scale to this new complementary scalable investment vehicle (&Green B.V.) because the concessional capital can provide risk coverage for the private sector.
77. The complementary scalable investment vehicle (&Green B.V.) will issue equity (tranche A) to the Stichting in exchange for the existing funds (in the form of grants, redeemable grants and concessional loans; see waterfall dynamics in para. 87 below) and portfolio transfer. Moreover, &Green will raise additional funds through the issue of debt instruments (tranche B) in the form of notes to the private sector.
78. GCF will disburse its subordinated loan to the Stichting, through the AE (FMO), and will therefore be part of tranche A investors and governance.
79. The Stichting (catalytic investors (tranche A)) will hold an equity position in the structure of the &Green B.V. that is junior to the tranche B debt instruments held by private sector investors in tenor and timing of reflows.
80. Tranche A will act as the principal catalyst to attract commercial capital into the structure by providing a first-loss buffer to further private sector investors in &Green B.V.
81. The catalytic investors will rank within the Stichting as follows (from junior to senior): (i) NICFI (permanent capital in form of a grant); (ii) GEF (redeemable grants); (iii) Unilever (redeemable grants); (iv) GCF and BEIS MFF (concessional loans); and (v) FMO and Hannover Re (concessional loans).⁸
82. Private sector investors (tranche B) will hold a senior position in the &Green B.V. as they will be issued debt instruments (notes) with specific terms. The notes target private sector investors seeking commercial returns at acceptable risk levels.

⁸ All of FMO's financing is loans. GCF is subordinate to FMO but senior to NICFI and Unilever.

83. Both the Stichting (tranche A) and commercial investors (tranche B) will earn returns financed by the interest income received from debt investments.
84. Income earned by the &Green B.V. includes interest income from the debt portfolio, interest income on any term deposits or other short-term savings instruments, and fee income (including upfront fees and structuring fees).
85. The iTAP values the transparent presentation of the financial structure and the efforts towards protecting the investments. &Green Fund's primary efficiency and effectiveness benefits are derived from its innovative blended financing approach.
86. There are several commendable features in this funding proposal's approach. The iTAP finds that conditional disbursements are more effective and efficient. The disbursements align GCF interests to that of AEs and EEs and also reduce the level of effective concessionality over time as the GCF tranche shrinks relative to overall financing.
87. Other appropriate and effective features include the transfer of the existing asset at an amortized par value and the use of a waterfall distribution that permits GCF to achieve improved returns in the event the programme succeeds. Concessional providers like GCF are often at risk of over-subsidizing vehicles, thus risking windfall profits for fund managers and co-investors. For that reason, it is more efficient and effective to have structures that allow GCF to claw back some additional return in the event the funded programme performs adequately.
88. The iTAP acknowledges the clarifications and the information provided in the second submission with regard to progress in securing co-funding. As some of this information is labelled as confidential, it is not summarized in this assessment. However, the additional information allows iTAP to assess this progress and therefore rate the efficiency and effectiveness of this proposal as medium to high depending on the success in finalizing the co-funding negotiations.

II. Overall remarks from the independent Technical Advisory Panel

89. The iTAP endorses this full proposal for approval by the GCF Board, with one condition
Condition precedent to second disbursement of GCF Reimbursable Funds under the FAA:
90. Disbursement of GCF's second disbursement of GCF Reimbursable Funds shall be conditioned on the Delivery by the Accredited Entity to the Fund, in form and substance satisfactory to the GCF Secretariat, of a written confirmation/ evidence from the Accredited Entity, that it shall receive from the &Green Fund BV, that the First Linked Catalyzed Tranche amounting to USD 200 million has been legally committed by the Senior Noteholders in the &Green Fund BV.

Reply to the Independent Technical Advisory Panel assessment findings

Proposal name: &Green Fund: Investing in Inclusive Agriculture and Protecting Forests

Accredited entity: Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO)

Assessment of the independent Technical Advisory Panel	
Impact potential	Scale: High
<i>AE answers to iTAP comment(s)</i>	
Thank you for this assessment, we agree that the impact potential of the &Green Fund is high. The feedback provided by iTAP in our first submission enabled us to revise existing, and create additional, documentation focused on explaining the methodological approach to both mitigation and adaptation. We appreciate the review of the revised Annex 22 and all appendices (22a, b, c, d, e and f) that presents, in detail, the method behind &Green's impact calculations. We have developed and presented additional methodology documents based upon the Panel's initial feedback to provide further clarity into adaptation potential at the project level. Further, the development of a detailed Operations Manual, which has been provided in the second submission to the iTAP, allows for additional transparency and explanation of the MRV process relating to adaptation actions. We note the Panel's request for activities within Component 2 and we share the view relating to the importance of capacity building support.	
Paradigm shift potential	Scale: Medium to high
<i>AE answers to iTAP comment(s)</i>	
Thank you. Commodity players work in very low margin markets, where any changes to sourcing are risky and find limited appetite from a commercial perspective. Working capital is always a limiting factor for commodity businesses, and therefore there is reduced appetite to deploy it to make risky changes to the status quo. &Green provides long-term funding that is adapted structurally to the nature of the paradigm shift the fund finances – therefore eliminating these risks for the commodity players. &Green's early investments have already led to increased interest in &Green in countries of operation to date (Indonesia, Brazil, Colombia), and increasingly &Green is working with local banks to structure co-financing transactions. All &Green investments must, at project level, over the duration of the transaction catalyze at least 3x &Green's funding, this project level co-financing is in place already for a number of existing investments. We believe the risk of competing funding without sustainability obligations to be low, as &Green has already, with the existing portfolio demonstrated, that no compromise on return is necessary while sustainability conditions are inherently reducing overall investment risk. The funding &Green provides is not available in the market today, and it is a key objective for &Green to demonstrate to the financial markets that adapting their funding structures could drive paradigm shift at scale; the investment process requires detailing of this logic in an increasing level of detail. Regarding paragraph 46 in ITAP's assessment relating to the market availability of loans as offered by &Green and attempts to collaborate with local banks to structure co-financing transactions - this is noted and agreed upon. It is ultimately the key challenge that this programme seeks to address, together with the structuring of the investment opportunity to be attractive to mainstream commercial investors. These two key objectives are effectively two sides of the same coin, and GCF's catalytical funding will be instrumental to establish the proof of concept at scale.	
Sustainable development potential	Scale: High

<i>AE answers to iTAP comment(s)</i>	
We thank the Panel for this assessment. We agree that the &Green Fund has high sustainable development potential. As iTAP notes, the Fund aligns directly with numerous SDGs, including 8 (Decent work and economic growth), 12 (responsible consumption and production), 13 (climate action), 15 (life on land), and indirectly with many more. The Fund's investment processes, including following the IFC Performance Standards and ensuring investees follow NDPE rules and create a Landscape Protection Plan, will yield social and environmental benefits. The detailed Gender Assessment and Action Plan outlines in detail, as acknowledged by the panel, gender considerations and the expected associated co-benefits. &Green's MRV process will enable regular and consistent tracking of progress against SDGs.	
Needs of the recipient <i>Scale: High</i>	
<i>AE answers to iTAP comment(s)</i>	
Thank you for this assessment.	
Country ownership<i>Scale: Medium to high</i>	
<i>AE answers to iTAP comment(s)</i>	
Thank you for this assessment and the acknowledgement of the JECA as a tool for country ownership. The JECA process is fundamental to the overall &Green investment process and provides detailed background on the characteristics of target geographies, including climatic, social and policy. The regular updates to the country and sub-national JECAs will enable the Fund to track progress.	
Efficiency and effectiveness<i>Scale: Medium to high</i> <i>high</i>	
<i>AE answers to iTAP comment(s)</i>	
We appreciate the acknowledgement of our clarifications and especially appreciate the Panel ensuring confidentiality of disclosed information. We are confident that the ongoing fundraising efforts (provided in the additional documents sent to the Panel) will be successful in securing and mobilising co-financing from the private sector, and therefore will achieve a high level of efficiency and effectiveness.	
<i>II. Overall remarks from the independent Technical Advisory Panel</i>	
We thank the Panel for the assessment of our updated proposal and accompanying annexes based upon iTAP's initial feedback and guidance. We appreciate the flexibility shown and are very happy to receive endorsement for the &Green Fund. Regarding paragraph 90 in iTAP's assessment relating to the condition placed upon the second disbursement of funds - this is noted. An equivalent condition is already part of the Term Sheet negotiated between the AE and the GCF Secretariat, and the Term Sheet will be aligned to incorporate the condition precedent from the iTAP.	

Annex 8: Gender Assessment and Gender Action Plan

**&Green Fund: Investing in
Inclusive Agriculture and
Protecting Forests**

Annex 8 - Gender Assessment and Gender Action Plan - The &Green Fund

This Gender Assessment and Gender Action Plan have been prepared for &Green and FMO by E Co, to inform the project design of the Green Climate Fund (GCF) Funding Proposal titled: *&Green Fund: Investing in Inclusive Agriculture and Protecting Forests*. The proposed project aims to remove deforestation from major commodity supply chains in a commercially viable and replicable manner. The aim is to create blueprints for sustainable land use and management that others in the market can adopt, replicate and scale significantly; thereby making &Green's and GCF's initial investment in the market 'transformational'.

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Glossary

Term	Definition
Gender	A culturally-defined set of economic, social, and political roles, responsibilities, rights, entitlements obligations, associated with being female and male, as well as the power relations between and among women and men, boys and girls. The definition and expectations of what it means to be a woman or girl and a man or boy, and sanctions for not adhering to those expectations, vary across cultures and over time, and often intersect with other factors such as race, class, age and sexual orientation. Transgender individuals, whether they identify as men or women, are subject to the same set of expectations and sanctions. (OHA/PEPFAR, modified from the Interagency Gender Working Group - IGWG)
Gender Equity	The process of being fair to women and men, boys and girls. To ensure fairness, measures must be taken to compensate for cumulative economic, social, and political disadvantages that prevent women and men, boys and girls from operating on a level playing field. (IGWG training resources)
Gender Equality	The state or condition that affords women and men equal enjoyment of human rights, socially valued goods, opportunities, and resources. Genuine equality means more than parity in numbers or laws on the books; it means expanded freedoms and improved overall quality of life for all people. (IGWG training resources)
Gender-blind	are project designs and activities that ignore gender factors including roles and relations and can lead to reinforcement of gender-based discrimination and existing inequities. (USAID)
Gender-balance	requires that men and women be equally represented - either in equal numbers or in proportion to their presence - in particular settings. (USAID)
Gender-sensitive	Gender-sensitive investments will acknowledge the different needs and constraints of women and men without changing the status quo. The client may, for example, realize that the work of female smallholders in the supply chain is not sufficiently recognized, which limits their access to training. When providing training to female smallholders, the client could focus on the activities they perform and attempt to limit the negative effects of a gendered distribution of responsibilities, such as a heavier workload for women, without challenging the gendered differences themselves. Gender sensitive approaches can be easily integrated into existing training structures on other topics since they don't require underlying gendered behavioral patterns to be addressed. (adapted from the IDH - Gender Guide)
Gender-transformative	Gender-transformative investments will address gender imbalances, changing gendered power relations, and actively building equitable social norms and structures. An organization is aware that women and men do not have equal opportunities in the household, at community level or at work. They may, for example, create equal working conditions for women and men, recognizing that special means may be required to increase the number of women in management positions or to achieve an environment free from gender based violence (GBV). Gender transformative approaches are characterized by explicitly centering gender norms and are thus common for interventions that have the primary goal of addressing gender issues and transforming gender relations to promote equality. (adapted from the IDH - Gender Guide).
Gender Mainstreaming	Process of incorporating a gender perspective into organizational policies, strategies, and administrative functions, as well as into the institutional culture of an organization. This process

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	at the organizational level ideally results in meaningful gender integration as outlined below. (adapted from IGWG training resources)
Gender and Socioeconomic Analysis	is the process of collecting information about gender, age and other social differences and analyzing the impacts of changing circumstances (i.e., climate change) on specific groups of people. This type of analysis provides the basis for identifying key gender considerations and designing a ‘socially inclusive approach’ that responds to the unique circumstances and needs of all project beneficiaries. (USAID)
Gender-based Violence	In the broadest terms, “gender-based violence” is violence that is directed at individuals based on their biological sex, gender identity, or perceived adherence to culturally- defined expectations of what it means to be a woman and man, girl and boy. It includes physical, sexual, and psychological abuse; threats; coercion; arbitrary deprivation of liberty; and economic deprivation, whether occurring in public or private. GBV is rooted in economic, social, and political inequalities between men and women. GBV can occur throughout the lifecycle, from infancy through childhood and adolescence, the reproductive years and into old age (Moreno 2005), and can affect women and girls, and men and boys, including transgender individuals. Specific types of GBV include (but are not limited to) female infanticide; early and forced marriage, “honor” killings, and female genital cutting/mutilation; child sexual abuse and exploitation; trafficking in persons; sexual coercion, harassment and abuse; neglect; domestic violence; economic deprivation, and elder abuse. (adapted from USG Strategy for the Prevention and Response to Gender-based Violence)
Sexual Exploitation, Sexual Abuse and Sexual Harassment - SEAH	Sexual Abuse means the actual or threatened physical intrusion of a sexual nature, whether by force or under unequal or coercive conditions. Sexual Exploitation means any actual or attempted abuse of a position of vulnerability, differential power, or trust, for sexual purposes, including, but not limited to profiting monetarily, socially, or politically from the sexual exploitation of another. Sexual Harassment means any unwelcome sexual advances, requests for sexual favours, and other verbal or physical conduct of a sexual nature, that interferes with work, is made a condition of employment, or creates an intimidating, hostile, or offensive environment in connection with a Fund-related Activity, and, for the avoidance of doubt, Sexual Harassment may occur between or amongst persons of different sexes or genders or of the same sex or gender, and may be initiated by any gender or sex. (adapted from the GCF SEAH Policy)

1. Introduction to Annex 8

1.1 Programme concept of the &Green Fund

This decade - 2021 to 2030 - marks the ambitious United Nations Decade on Ecosystem Restoration.¹ This will aim to prevent, halt and reverse the degradation of ecosystems - a key driver of which is combatting deforestation.

Through the timely *&Green Fund: Investing in Inclusive Agriculture and Protecting Forest* programme, FMO² - the Accredited Entity (AE) - along with requested GCF support - will invest in the &Green Fund³ to mobilise drivers that delink - and ultimately, remove - deforestation from major commodity supply chains in commercially viable and replicable manner.

To do so, the &Green Fund will scale up commercial investment in tropical agricultural supply chains while transforming them to be zero deforestation and socially inclusive at a landscape level. Investments, for the Fund, include those targeting forest and peat conservation and restoration embedded in landscapes of sustainable and regenerative agriculture. Target sectors, for the Fund, are the major supply chains driving deforestation, such as: livestock, palm oil, soy, rubber, cocoa and forestry.

The programme is comprised of two main components (see Section E - Funding Proposal for the Logical Framework):

Component 1 focuses on the establishment and operation of the investment vehicle (see Section C.1 - Funding Proposal for details on Fund structure), which will secure co-financing and invest directly in commodity supply chain businesses that embrace zero-deforestation production and forest protection.

Component 2 provides a technical assistance facility that overcomes the capacity and information barriers facing commodity producers and neighboring communities, while building a community of practice for replication and scale-up for producers as well as incorporating gender-responsive action in the target countries.

¹ See: <https://www.decadeonrestoration.org/>

² The Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. (FMO), is an international entity, specifically the development bank of the Netherlands, with a focus on private sector development in developing countries. It received accreditation as a large-sized entity with Category A clearance on 14 October 2016. See: <https://www.greenclimate.fund/ae/fmo>

³ &Green was established in the second half of 2017 by its incorporator, IDH - the Sustainable Trade Initiative, and an anchor donor, the Norwegian government, providing USD 100 million in permanent capital. &Green was set up as a Dutch Stichting (foundation) to allow for a simple set up suitable for the donors and concessional capital providers that were envisaged to dominate as &Green's investors in the initial years of operation. During the first two years of the Fund's incorporation, the focus was on putting &Green's governance bodies (Board of Directors, Advisory Board, independent Credit Committee) in place, hiring required service providers, and building the systems required to raise and deploy capital efficiently. This process was, and still is, run by the Investment Advisor recruited by the &Green Board of Directors, SAIL Ventures. (see Annex 4 - Funding Proposal for more information)

Information on the &Green Fund is available here: <https://www.andgreen.fund/> and also detailed in Annex 2 - Feasibility Study as well as the Funding Proposal.

The &Green Fund aims to invest in countries with significant tropical forests under threat from agricultural expansion and where the largest opportunities for transformational change exist. This includes, during the lifetime of the GCF investment: **Brazil; Colombia; Cameroon; Côte d'Ivoire; Democratic Republic of the Congo; Ecuador; Gabon; Indonesia; Lao People's Democratic Republic (PDR); Liberia; Zambia.**

1.2 Objective of the gender assessment

Given this background, this Gender Assessment and Gender Action Plan have been prepared for FMO, to inform the project design of the GCF Funding Proposal and contribute towards generation of gender outcomes. **It is the Annex 8 of the Funding Proposal and has been developed according to the guidance provided by the GCF on mobilising gender action through climate finance, notably through the *Mainstreaming Toolkit*⁴.**

The overall objective of the gender assessment will be to provide a tool to mainstream and accelerate gender-responsive and gender-transformative investment through the &Green Fund structure.

Within the overarching objective, the Gender Assessment will have two outcomes: to integrate an analysis of gender-based inequalities that exist in the countries, the context and sociocultural factors underlying gender inequality which are exacerbated by climate change and optimize the potential contributions of women and men of all ages to build both individual and collective resilience to climate change. Therefore, this assessment will be used to inform project formulation, implementation, and monitoring and evaluation.

Lastly, the assessment will inform the Gender Action Plan (GAP). The GAP has been designed to ensure, through designated actions, that the challenges faced by women and vulnerable groups in accessing and benefiting from the proposed programme, if financed by the GCF, are meaningfully addressed. The GAP will contain gender-related activities, baselines, sex-disaggregated indicators and targets, roles and responsibilities, and financial and human resources.

The &Green Fund recognizes that that gender mainstreaming⁵ is both necessary and relevant for the programme to maximise its outcomes for zero deforestation. This assessment, therefore, details &Green Fund's internal Gender Approach and how it aims to bolster gender mainstreaming within its institutional structure (**see Section 3**). The assessment will also ensure that gender-responsive processes (including robust gender analysis, including assessment of SEAH-related risks, indicator selection, outcome mapping, monitoring and evaluation) are formalized within the external investment thesis of the &Green Fund (**see Section 3**). Embedding gender into deforestation commitments offers considerable opportunities for leveraging synergies between restoration goals, climate change adaptation as well as mitigation action and global commitments to sustainable development goals - SDGs (particularly SDG 5 - Gender Equality; SDG 12 - Sustainable Production and Consumption; SDG 13 - Climate Action; and SDG 15 - Life on Land).

⁴ See: <https://www.greenclimate.fund/document/mainstreaming-gender-green-climate-fund-projects>

⁵ It is important to note that gender is socially constructed, and gender relations are contextually specific and often change in response to altering circumstances. MOSER, C. O.N. (1993): *Gender Planning and Development: Theory, Practice and Training*. New York: Routledge.

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The Fund acknowledges that gender mainstreaming **will help the &Green Fund achieve its goals identified for environmental impact and social inclusiveness**. Particularly:

- Climate adaptation and mitigation pathways are not gender-neutral⁶;
- Gendered needs and vulnerabilities of marginal groups, such as Indigenous Peoples, need to be mainstreamed into adaptation design, resilience capacity-building and mitigation services;⁷ and
- Gender-transformative impact can be driven through robust financial means, gender budgets and dedicated resources towards mainstreaming gender action in climate change and deforestation.⁸

This Gender Assessment and Gender Action Plan (Annex 8 of the Funding Proposal) pairs with the analysis and recommendations of the Environmental and Social Management Plan (Annex 6 of the Funding Proposal), to ensure that the benefits of sustainable finance for commodity chains, in tandem with capacity building, are equitable and do not simply accrue to better-off households and/or more mainstream producer groups that are able to capitalize on new opportunities and respond better to changes implemented through the programme.

1.3 COVID-19: the pandemic's gendered effect on livelihoods

During the development of this assessment, the global community continues to grapple with COVID-19, which is wreaking havoc on the lives of millions of people, both with regard to health and wellbeing, and socioeconomic indicators. Despite deforestation slowing down during the initial stage of the COVID-19 pandemic in 2020, the planet still lost around 4.2 million hectares (according to Global Forest Watch) of primary tropical forest that year, an area the size of the Netherlands. A large proportion of this loss was driven by agriculture, both smallholder and large-scale commodity cultivation. This forest loss is a major reason why agriculture accounts for one-quarter of all greenhouse gas emissions.

⁶ Current literature on climate change, and its effects and emergent risks, are predominantly produced in scientific circles. Yet, there is increasing evidence that adopting social science methods, and situating resilience and adaptation practice within a broader science-policy interface and right-based perspectives, can gear projects towards environmental and socioeconomic co-benefits. Particularly, this could better prepare communities to avoid resource strife and respond to the complexity of social arrangements, reducing far-reaching impacts of climate risks. See Butterfield, R. (2018) 'Bringing rights into resilience: revealing complexities of climate risks and social conflict' in Disasters. Journal Article.

⁷ Poor or missing gender analysis, or the lack of gender-responsive action, may lead to planners or personnel depending on women to assume a central role in their coping strategies, which may not be the practical reality for many vulnerable communities. Further, this also glosses over the existing burdens on women among such groups. See Nelson, V., Meadows, K., Cannon, T., Morton, J., & Martin, A. (2002) 'Uncertain predictions, invisible impacts and the need to mainstream gender in climate change adaptations' in Gender and Development. Journal Article.

⁸ OECD (2014). *Making climate finance work for women*. See: oecd.org/environment/making-climate-finance-work-for-women.

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Expectedly, the pandemic is also having distinctive gendered impacts around the world.⁹ Of interest to the proposed programme are, COVID-19's: impact on agroforestry-based livelihoods, effects on supply chain and pricing, as well as combination with cost-push inflation introduced by rising oil prices. &Green will use specialized consulting expertise in the implementation phase to ensure these impacts, particularly on producers and smallholders are explored and mitigated for.

1.4 The GCF's Updated Gender Policy

The analytical prerogatives of this Gender Assessment and Action Plan are informed by the stipulations of the GCF's Updated Gender Policy. The GCF adopted a revised version of its 2014 Gender Policy and Gender Action Plan on June 2018 in Korea. The revised Policy addresses pertinent issues on gender and climate change: the expansion of gender mainstreaming beyond the preserve of 'women's issues'; and the identification of synergies with the in-house Indigenous People (IP) Policy as well as the United Nations Framework Convention on Climate Change (UNFCCC)'s Gender Action Plan (GAP), Sustainable Development Goals (SDGs) and Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW). Since the adoption of the updated Gender Policy and Gender Action Plan 2020-2023 at the B.24 meetings, the Secretariat has ensured the requirement of the policy for AEs to consider and submit a gender assessment along with appropriate environmental and social assessments; and a gender action plan (programme level) for all activities of mitigation and adaptation implemented through the public and private sectors.

Lastly, the programmatic approach of this Annex 8 has been developed in line with previous gender commitments in similar GCF investments, in consultation with the GCF's Private Sector Facility, namely:

FP183¹⁰	Inclusive Green Financing Initiative (IGREENFIN I) - IFAD
FP180¹¹	Global Fund for Coral Reefs Investment Window - Pegasus Capital Advisors
FP178¹²	Desert to Power G5 Sahel Facility - African Development Bank
FP153¹³	Mongolia Green Finance Corporation - XacBank LLC
FP128¹⁴	Arbaro Fund - Sustainable Forestry Fund - MUFG Bank, Ltd.

⁹ These links provide an overview of gendered impacts of COVID-19 globally:

[https://www.thelancet.com/journals/lancet/article/PIIS0140-6736\(21\)01651-2/fulltext](https://www.thelancet.com/journals/lancet/article/PIIS0140-6736(21)01651-2/fulltext)

https://apps.who.int/iris/bitstream/handle/10665/332080/WHO-2019-nCoV-Advocacy_brief-Gender-2020.1-eng.pdf

<https://www.who.int/news/item/03-05-2021-expanding-reach-addressing-gender-barriers-in-covid-19-vaccine-rollout>

<https://www.unwomen.org/en/digital-library/publications/2020/09/gender-equality-in-the-wake-of-covid-19>

<https://www.mckinsey.com/featured-insights/future-of-work/covid-19-and-gender-equality-counteracting-the-regressive-effects>

¹⁰ See: <https://www.greenclimate.fund/project/fp183>

¹¹ See: <https://www.greenclimate.fund/project/fp180>

¹² See: <https://www.greenclimate.fund/project/fp178>

¹³ See: <https://www.greenclimate.fund/project/fp153>

¹⁴ See: <https://www.greenclimate.fund/project/fp128>

2. Methodology for Annex 8

2.1 Reviewing primary and secondary data and information

Due to pandemic-related obstacles, this gender assessment has been prepared using **primary information and data** available to &Green on the target countries, especially through the extensive Jurisdictional Eligibility Criteria Approach (JECA) process. To collect **secondary information and literature**, the gender team conducted an **in-depth desktop review**. The literature review focused on gender mainstreaming, deforestation, climate change and value chains as a broader topic, drawing from key players in this sector, such as (but not limited to):

CBD	Convention on Biodiversity
CI	Conservation International
CIAT	Centre for Tropical Agriculture
CIF	Climate Investment Funds
CIFOR	Center for International Forestry Research
CGIAR	Consultative Group on International Agricultural Research
CPF	Collaborative Partnership on Forests
GBM	Green Belt Movement
GFW	Global Forest Watch
FAO	Food and Agricultural Organization of the United Nations
ICO	International Coffee Organization
IIED	International Institute on Environment and Development
ILRI	International Livestock Research Institute
ILO	International Labour Organization
IUCN	International Union for the Conservation of Nature
REFACOF	African Women's Network for Community Management of Forests
RSPO	Roundtable on Sustainable Palm Oil
UNDP	United Nations Development Programme
UNEP	United Nations Environment
UNFF	United Nations Forum on Forests
UN REDD Programme	United Nations Programme on Reducing Emissions from Deforestation and Forest Degradation
USAID	United States Agency for International Development
WB	World Bank
WRI	World Resources Institute

Entries in peer-reviewed deforestation-, environmental and climate social sciences- and climate change-focused journals, such as (but not limited to: *Conservation and Society*, *Gender and Development*, *Human Ecology*, were also reviewed to ensure that the assessment is able to capture latest studies and research in the target 17 countries.

This assessment also presents gender and socioeconomic baselines tailored to each of the 17 countries (Section 7 - 23), and a data note is presented in Section 5 to further elaborate how the data has been organized into composite indices, Global Gender Gap Index and country-specific gender analysis of the priority supply chains.

2.2 Applying concurrent triangulation to identify gender barriers for the &Green Fund

The study employs a **concurrent triangulation methodology**, and deliberately sidesteps sequential research processes. In *sequential designs*, either the qualitative or quantitative data are collected in an initial stage, followed by the collection of the other data types during a succeeding, second stage.¹⁵ In contrast, *concurrent designs* are characterized by the collection of both types of data during the same stage (which was the case for the development of this assessment).¹⁶

Within these two categories, there can be three specific designs based on: (a) the level of emphasis given to the qualitative and quantitative data (equal or unequal), (b) the process used to analyze and integrate the data, and (c) whether or not the theoretical basis underlying the study methodology is to bring about social change or advocacy.¹⁷

Since the secondary research was formative in nature and rapid in mandate (to cover all 17 target countries), the assessment necessitated a prompt methodology to establish an inventory of information and a gender baseline that can be operationalized to cover the complex aspects of deforestation, value chains, and climate change.

Therefore, the concurrent approach is suited because of: the flexibility to use secondary quantitative and qualitative findings for the comprehension of the studied phenomenon in the primary research (mainly through existing &Green work), and the accuracy it can provide to samples of intermediate or small size. This also ensures that the assessment and action plan are able to propose measures that are relevant for the delivery of outputs identified in the results framework.

¹⁵ Creswell JW, Plano Clark VL, Gutmann ML, Hanson WE. Advances in mixed methods research designs. In: Tashakkori A, Teddlie C, editors. Handbook of mixed methods in social and behavioral research.

¹⁶ Creswell JW, Plano Clark VL, Gutmann ML, Hanson WE. - Ibid.

¹⁷ Ibid.

3. Introduction to the &Green Fund

3.1 Lending Philosophy

The &Green Fund's lending philosophy conceptualizes and demonstrates to both public and private actors on how to provide for inclusive economic growth, and forest and peat protection (and potentially restoration) when financing the production of agricultural commodities that are sourced from tropical landscapes. It does so by:

- Providing credit facilities only in jurisdictions with progressive forest and/or peat protection agendas and sustainable development strategies.
- Adding quantitative output-based environmental and social criteria and targets to the financing of commodity production.
- Improving livelihoods of smallholders by including them in high-productivity, sustainable supply chains.
- Attracting commercial investors into such projects by partly mitigating their credit risk (financial) and environmental risk (sustainability safeguarding).
- Stimulating innovation in business models and approaches to catalyse financially sustainable, deforestation free, socially inclusive, high productivity agriculture in tropical forest landscapes.
- Offering tailored debt instruments, such as: extended tenor, subordination in order to stimulate co-investment from the market, where the market does not or will not at this time invest alone.

The &Green Fund, especially on land and forest governance, supports and requires its investees to engage with communities and local, regional and national governments. These engagements are often enabled by its long-term supply chain and landscape convening partner IDH¹⁸, and its clients' partner implementing organisations on the ground in the majority of &Green target regions.

3.2 Theory of Change (ToC)

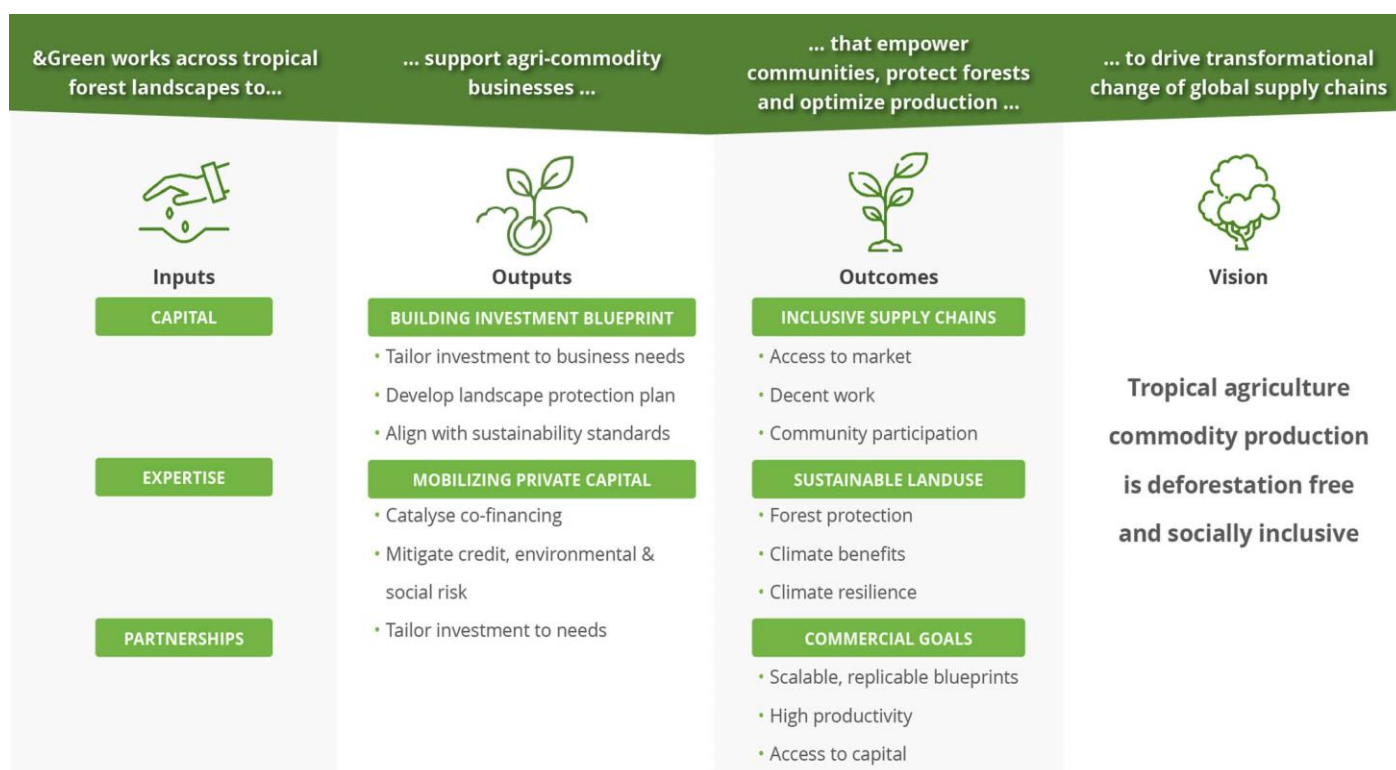
The ToC of the &Green Fund ensures there is increased gender mainstreaming and social inclusion through the fund structure. This is because &Green's financial and technical support aims to level the playing field for sustainable, climate resilient and deforestation-free agriculture. The Fund provides risk capital to new commodity production systems; incentivises the intensification of agricultural production without increasing deforestation; helps commodity producers price the externalities provided by natural forests; reinforces public policy signals and encourages improved regulation; and motivates mainstream private sector investors to provide increased capital inflows at scale for responsible producers.

¹⁸ Translated from the original Dutch: "Initiatief voor Duurzame Handel" (IDH)

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The ToC statement, as presented in diagram below is: **IF** &Green works across tropical forest landscapes to support agri-commodity businesses with capital, expertise and partnerships, **THEN** large-scale tropical agricultural commodity production will be transformed to a climate- resilient, deforestation-free and socially inclusive model because private sector investors will have a commercially profitable investment model that aligns with local and global sustainability objectives.

This will have a direct impact on improved livelihoods - which can have a positive impact on household performance. Further, by stemming deforestation, the Fund will mitigate long-term climate impacts, which will reduce the exposure of vulnerable communities (particularly in tropical contexts) - as well as marginalized groups within these communities (often, women or Indigenous Peoples).



3.3 Internal Standards

The &Green Fund provides flexible, needs-adapted structures to finance commodity supply chain investments in &Green's approved jurisdictions, all of which have progressive forest and/or peatland protection strategies & policies. Each investment must, at initial screening stage, demonstrate **transformational change** potential, and provide substantial **environmental returns**. Therefore, &Green has an internal, embedded standard of 'do no harm' which can be mobilized towards mainstreaming a gender-aware perspective throughout the Fund structure. Examples from other tools include:

3.3.1 Exclusion List

The &Green Fund's Exclusion List identifies stringent measures to preclude any business portfolios that include:

- Forced labour or child labour - as defined by International Labour Organization standards
- Activities or materials deemed illegal under host country laws or regulations or international conventions and agreements, or subject to international phase-outs or bans
- Cross-border trade in waste and waste products, unless compliant to the Basel Convention and the underlying regulations
- Destruction of High Conservation Value areas
- Radioactive materials and unbounded asbestos fibres
- Pornography and/or prostitution
- Racist and/or anti-democratic media
- In the event that any of these following products form a substantial part of a project's primary financed business activities: alcohol beverages; tobacco; weapons and munitions; and/or gambling, casinos and equivalent enterprises.

3.3.2 Jurisdictional Eligibility Criteria Assessment (JECA)

The &Green Fund catalyses investment into jurisdictions where local and host government authorities are also committed to reducing deforestation, and are actively taking steps to work with the private sector, communities and civil society to protect forest and peatland. The JECA tool assesses whether a jurisdiction has a progressive forest and peat protection agenda, and if local authorities are committed to the reduction of deforestation and the protection of valuable ecosystems. Progress on sustainable and socially inclusive intensification through &Green funding is also monitored throughout the investment period (to ensure continued sustainability of the Fund), and must adhere to strong social and environmental covenants - in particular, IFC Performance Standards. Currently, &Green has the following approved jurisdictions: Brazil (State of Mato Grosso; State of Pará) and country level jurisdictions in: Colombia, Ecuador, Gabon, Indonesia, Liberia and Peru.¹⁹

¹⁹ See: <https://www.andgreen.fund/where-we-invest/>

3.3.3 IFC Performance Standards

The &Green Fund aligns itself with IFC Performance Standards²⁰ identified in the Corporation's Sustainability Framework, which is an integral part of IFC's approach to risk management. All transactions are assessed against the IFC PS in an extensive due diligence process. Based on this assessment, a time-bound action plan is established together with the Client to work towards full compliance with the performance standards in the first years of the loan tenor.

The Policy on Environmental and Social Sustainability describes IFC's commitments, roles, and responsibilities related to environmental and social sustainability. The Performance Standards are directed towards clients, providing guidance on how to identify risks and impacts, and are designed to help avoid, mitigate, and manage risks and impacts as a way of doing business in a sustainable way, including stakeholder engagement and disclosure obligations of the client in relation to project-level activities.

By enforcing these internal standards through its own investment architecture, &Green seeks to manage environmental and social risks and impacts - within which gender dynamics are embedded - so that transformational change envisioned by the Fund is sustainable and inclusive.

3.4 IDH Technical Assistance Facility

IDH - the Sustainable Trade Initiative²¹ was the incorporator of the Stichting &Green Fund. IDH and &Green work collaboratively and have outlined their joint ambition in a Memorandum of Understanding. Through its country offices, and through the international sustainable landscapes programme, IDH works closely with public and private actors, in key jurisdictions for &Green, to develop potential projects of interest for the Fund, and to support local government in meeting the Fund's Jurisdictional Eligibility Criteria.

IDH manages the **Technical Assistance Facility (TA Facility)** of the Fund. The &Green TA Facility was formally launched in 2019, and aims to reduce risk and maximise the impact of the &Green (potential) investment projects, by supporting investment-readiness, monitoring, post-investment client support and sharing of lessons and knowledge from &Green and its investment projects with third party stakeholders.

IDH has identified that equitable and meaningful participation of women is key to driving sustainable intensification and growth in trade, although gender barriers remain rife in commodity supply chains. To address this concern, IDH has developed a Gender Toolkit, consisting of practical case examples from IDH and similar projects in congruent sectors, and a Gender Guide, where opportunities to integrate gender aspects in different programming steps of projects and interventions are explored. The &Green Fund's Gender Approach will mobilize these existing tools.

The role of the TA Facility is to both enhance understanding of gender dynamics in the early project cycle, and to maximize opportunities for enhanced gender equality and empowerment. By considering how women and men participate in interventions, the TA Facility strives to enable

²⁰ See: [IFC Performance Standards](#)

²¹ See: <https://www.idhsustainabletrade.com/>

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the &Green Fund's investments to promote and contribute to gender equality. This can include technical assistance to ensure substantial and impactful participation by women in stakeholder consultation processes, in the project implementation phase, reporting based on gender disaggregated data, and establishing a grievance mechanism to address complaints, including concerns related to gender and sexual harassment. All investments will commit to full compliance with the IFC Performance Standards.

3.4.1 IDH Gender Toolkit

The IDH Gender Toolkit²² guides program teams and partners on how to recognize opportunities related to gender in their programs. Following six programming steps, it provides tools on how to integrate gender aspects into project design, implementation, and how to develop gender-responsive indicators for M&E to support gender mainstreaming through the project cycle.

3.4.2 IDH Gender Guide

This guide, part of the IDH Gender Toolkit, presents the six in programming, during which opportunities arise to integrate gender aspects that may positively influence and leverage greater impact of a program or interventions. When planning to integrate gender in a successful investment option, the guide provides entry points for gender analysis or scoping. The &Green Fund's Gender Approach builds on the tools and guides developed by IDH. Where appropriate and necessary, the Fund will mobilise IDH's TA facility to identify opportunities and barriers that female and male workers, farmers, and managers face that may influence the success and efficacy of investment options envisioned through the proposed GCF programme. This will lead to the implementation of the &Green Fund's Gender Approach, when sub-projects/investments (Deals) are identified, should the proposed GCF programme be greenlighted.

²² See: <https://www.idhsustainabletrade.com/news/gender-toolkit-inspire-integrating-gender-aspects-supply-chain-approaches/>

4. Programmatic Gender Approach for the &Green Fund

4.1 Scope

This Gender Approach will provide a framework to accelerate gender mainstreaming investments through the &Green Fund structure. It informs this **Annex 8** and aligns itself with guidance provided by the GCF on mobilising gender action through climate finance, notably through the *Mainstreaming Toolkit*²³. The Gender Approach will also influence the overall logical framework of the proposed GCF programme (in Section E of the GCF Funding Proposal) and identify entry points for the chosen paradigm shift pathway to have gender and social co-benefits, which will be identified during the preparation stage. The &Green Fund's Gender Approach mobilizes IDH's existing gender mechanisms, including dispensing gender mainstreaming protocols through the Technical Assistance Facility, and will utilize IDH's Gender Toolkit and Gender Guide.

4.2 Two-Tracked Approach

The Green Gender Approach consists of two different tracks: **gender-sensitive** and **gender-transformative** investments:

Gender-sensitive investments acknowledge the different needs and constraints of women and men without changing the status quo. The client may, for example, realize that the work of female smallholders in the supply chain is not sufficiently recognized, which limits their access to training. When providing training to female smallholders, the client could focus on the activities they perform and attempt to limit the negative effects of a gendered distribution of responsibilities, such as a heavier workload for women, without challenging the gendered differences themselves. Gender sensitive approaches can be easily integrated into existing training structures on other topics since they don't require underlying gendered behavioral patterns to be addressed.

Gender-transformative investments will address gender imbalances, changing gendered power relations, and actively building equitable social norms and structures. An organization is aware that women and men do not have equal opportunities in the household, at community level or at work. They may, for example, create equal working conditions for women and men, recognizing that special means may be required to increase the number of women in management positions and/or to achieve an environment free from gender-based violence (GBV). Gender transformative approaches are characterized by explicitly centering gender norms and are thus common for interventions that have the primary goal of addressing gender issues and transforming gender relations to promote equality.

²³ See: <https://www.greenclimate.fund/document/mainstreaming-gender-green-climate-fund-projects>

4.3 &Green Investment Process

These tracks are built in to the investment process of the fund, which consists of several phases:

1) **Investment Rationale**; in this first phase in the investment process, &Green assesses whether there is a fit between the prospective investment and &Green's mission. This is assessed through a structured Transformational Change assessment. In this assessment, the &Green Fund team will evaluate whether the prospective investment requires a gender sensitive or a gender transformative approach. This assessment then triggers different processes in the rest of the investment process.

2) **Deal Note**; if the &Green team, including the Investment Committee, agrees that the prospective investment has a good fit with the Fund's vision of transformational change, a first screening will be initiated and presented in a Deal Note. This screening includes a gender-related screening, and informs the scope of the due diligence process.

3) **Credit Application**; upon approval of the Deal Note by the Investment Committee and Credit Committee, a thorough due diligence process is started, using external experts to establish a solid baseline for the prospective investment, including a gender baseline. With the information collected in due diligence, a Landscape Protection Plan (LPP) is developed that describes in detail the impacts of the investment at the landscape level. Attached to this LPP is an Environmental and Social Action Plan (ESAP) that lists the key milestones and deliverables in a clear, time-bound format. This also states the targets and the indicators that will be used to measure success. The LPP and ESAP include the gender outcomes envisioned for the investment. The ESAP and LPP are strict environmental and social safeguarding covenants that are conditions of the loan contracts of the &Green Fund. &Green will ensure that clients are onboarded either onto the gender-sensitive or the gender-transformative pathways. For the former, the client commits to the 'do-no-harm' principle. For the latter, the client has to commit to building capacity to deliver gender-transformative impact through the proposed investment blueprint.

4) **Monitoring, Reporting and Verification (MRV)**; for each investment, an MRV plan is designed based on the targets laid out in the LPP/ESAP. &Green implements a robust MRV framework to assess and report on progress against the various milestones and deliverables, including gender-related outcomes.

Specifically, the following indicators for social inclusion are measured by the &Green fund. Each indicators is disaggregated by gender. Note that the KPI framework has recently been revised and the indicators have not yet been retrofitted to existing portfolio companies. &Green is working to create a baseline this year to ensure continued monitoring against these indicators going forward.

ID	Indicator	Definition
6.1	People receiving community services	Number of people whose livelihoods directly benefit from services provided or made possible by the transaction.
6.2a	Jobs supported (direct)	Number of direct jobs supported in full-time equivalent (FTE)
6.2b	Jobs supported (indirect)	Number indirect jobs supported in FTE (JIM model)

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6.3	Producers receiving NDPE training	Number of producers and stakeholders that receive training to become compliant with relevant NDPE and sustainability commitments.
6.4	Producers reached	Number of direct and indirect suppliers compliant with relevant NDPE and sustainability commitments.
6.5	Land tenure	Number of people with improved land tenure security.

The &Green Gender Approach is outlined in the flowchart below, with the &Green investment process included on the left-hand side. A detailed description of the different steps in the Gender Approach follows below.



4.4 &Green Gender Approach

Investment Rationale: At the outset, a gender screening process (IDH - Gender Toolkit - Step 1) will determine whether the investment will have a **gender-sensitive** impact or **gender-transformative** impact.

Deal Note: In the following stage, whether the investment has been assessed to be gender-sensitive or gender-transformative, a **high-level gender assessment** (based on the IDH methodology) will be conducted. This will involve assessing the client's fit into the &Green transformational change narrative, and will be primarily through secondary research (desktop/online scoping, client's document screening, and literature review). This assessments includes a high-level check on SEAH-related risks, derived from the jurisdictional assessments (see included in this Annex), as well as an assessment of media publications related to SEAH for the investee and affiliated companies, and an initial check of the policy framework in place to address SEAH-related risks. Additionally, the country profiles developed for this Assessment (Section 8) includes available literature on GbV in the different supply chains - and will be a point of departure for further investigation in the implementation stage.

Due Diligence: In the case of a gender-sensitive project, the high-level gender assessment will inform the scope of the **Environmental and Social Impact Assessment (ESIA)** that is a standard part of &Green's Environmental & Social due diligence process. The ESIA standardized Terms of Reference will include a focus on gender risks, including SEAH-related risks, and how to mitigate these during the investment lifetime. In the case of a gender-transformative investment, in the due diligence stage, the high-level gender assessment will be used as a background to set up **in-depth gender analysis** conducted by technical experts, using the IDH methodology as an entry point).

Credit Application: In both gender-sensitive and gender-transformative investments, a gender baseline will be included in the Client's **Landscape Protection Plan (LPP)**. For gender-transformative investments, this will include an in-depth analysis of gender barriers of the context (and chronology) of the investment, which will lead to the development of **gender-specific outputs, outcomes and activities, including SEAH-relation actions**. These will be mainstreamed into the investment's **Environmental and Social Action Plan (ESAP)**. These targets will be matched with a realistic timeline, and include a buy-in period, to ensure all stakeholders are gender-sensitized and are included (to the extent possible) in gender mainstreaming processes, to ensure both replicability and sustainability.

Deal Approval: After the approval of the credit application, responsibilities of the client relating to gender mainstreaming (including implementing actions laid out in the ESAP) to remove gender barriers and improve upon gender baseline at the investment site/through the project will be codified into the contracts and covenants. Through &Green's robust **monitoring, reporting and verification (MRV) framework**, the gender outputs and outcomes, including SEAH-related outputs, will be tracked and evaluated (see investment Principles and ESMS Manual section

Monitoring, Reporting and Verification Framework: In this stage, when appropriate, the Fund will **conduct deep dives/case studies** into the efficacy of the gender mainstreaming steps taken through particular deals and lessons learnt/best practices garnered by stakeholders (and the client) in the process. These studies will complement the Fund's MRV framework (see Investment

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Principles & ESMS, section 8 Monitoring, Reporting and Verification), and will be used to improve internal capacity on gender mainstreaming (by finetuning the Fund's Gender Approach) and externalize improved processes of gender mainstreaming by providing investment examples that can be evaluated, scaled up, replicated in other contexts - as appropriate, and sustained for a greater social inclusion impact.

4.4.1 Examples of &Green Gender Approach Applications

Examples of the application of the &Green Gender Approach to the fund portfolio could include the following:

- **Affirmative sourcing policies towards women producers:** the gender assessment for the 17 countries conducted during the preparation of the programme revealed that women (in most contexts) are marginalised or side-lined in the different value chains. To ensure that women get equal benefits from &Green's supply chain transformation, through improved market access, better working conditions, bolstered technical assistance and capacity and inclusive stakeholder engagement, the fund will ensure affirmative sourcing policies towards women producers.
- **Training and capacity building to improve gender policies and other conducive factors within client companies:** where capacity is lacking on the operationalisation of gender equality goals within client companies, &Green can require that the client company conducts a gender training for their teams, to enable them to implement the gender-related requirements in the ESAP/LPP.

Revising policies and practices such as improving grievance processes and discussing harassment during employee gatherings: as part of the IFC PS compliance process (see sub-section 3.3.3), &Green requires each client company to have a policy framework in place that promotes gender equality. However, the efficacy of these policies can vary, depending on cultural, operational and governance factors. Involvement of women - and other marginalised social groups - in this process has been recognized as critical, and can be a requirement in the ESAP/LPP. This will be an entry point to engage potential client companies on SEAH, and to ensure SEAH concerns are mainstreamed as part of company policies and addressed through grievance processes.

- **Targeting for equitable representation of women within the company, also at senior management level:** enhanced involvement in decision-making by women supports an inclusive approach to commodity production. Active promotion of women leadership can accelerate a company's journey towards equitable representation, fairer implementational and commercial policies, as well as improved outcomes, which &Green will promote among client companies
- **Proactively training both female and male smallholders on cultivation, processing, and marketing:** through this, &Green will ensure access to training through culturally sensitive interventions and assist in providing equal access to the extension services provided by clients.
- **Community awareness and sensitization for generating consensus on &Green principles:** through this step, &Green will introduce an advocacy rubric within its gender approach, particularly by ensuring that women and men participate in workshops on land tenure and financial access, including joint management of assets and incomes. This is because building awareness in communities is critical to ensure gender mainstreaming and social inclusion in a company's (future) supply base.

4.4.2 Capacity for Implementation of the &Green Gender Approach

The partners in this facility will draw on both in-house and external expertise for the implementation of this Gender Approach. This section outlines the various sources of expertise that are available to the facility, and, where applicable, plans to strengthen this capacity.

The &Green Fund

SAIL Ventures, Investment Advisor to the &Green Fund, has a team of specialists (50% women) that manages the investment processes. More than one-third of the team is dedicated to Environmental and Social management, including the implementation of the Gender Approach across the portfolio. Between the team members, there is a combined experience implementing a suite of sustainability frameworks across different agricultural sectors globally. This ranges from certified oil palm, with a focus on gender opportunities for pregnant women in Sierra Leone, to cotton farming in South Asia, where gender inequality remains a pressing issue.

Michael Schlup, head of Impact & ESG, worked in sustainable cocoa supply chains to implement sustainability standards for smallholder farmers, impacting women in the sector.

Natalia Pasishnyk, E&S Director, lived and worked in Brazil for 15 years, where she worked to establish and test the economic and technical feasibility of business models for women cooperatives of babassu nut breakers in the Brazilian Amazon.

Marthe Tollenaar, also an E&S Director, has been active in the gender space throughout her career, implementing gender trainings and youth inclusion programs across forestry portfolios in Africa and Southeast Asia.

The team adopts a flat management structure where we believe that the team as a whole is responsible for the success of the Fund. Therefore, the SAIL Ventures team will ensure capacity building on gender-related topics for the whole team. The team is working with IDH to create a public training that is suited to &Green's needs, and publicly available to benefit other funds as well.

IDH - Sustainable Trade Initiative

IDH has established a Global Gender Unit, led by a full-time Senior Manager, to ensure gender being mainstreamed across all projects. To drive gender organization-wide, IDH has set up an internal gender champions structure and all IDH staff compulsory must follow a training on gender equality and all program teams - this includes &Green TAF members - are trained in the use of the IDH Gender Tool kit. Gender champions, gender Business Units experts and the Global Gender Unit are available to providing technical support to the program teams to complete the gender tool and on the interventions design. When needed for specific projects, IDH is also working with a pool of extern gender experts.

IDH currently is working on making gender/gender tool kit trainings available for external partner organizations, like &Green. To ensure the applicability of the training to further build gender capacity in the &Green team, the IDH training has already been reviewed by the &Green ESG team and feedback will be incorporated in the training that will be made available to &Green.

Client companies

&Green requires that its investee companies have the capacity and the resources to implement the gender outcomes laid out in the LPP and ESAP. All client companies will have in-house E&S resources that typically oversee the implementation of ESAP/LPP and facilitate the progress

reporting to the Fund. If this capacity is deemed insufficient upon investment, &Green will include requirements for capacity building and recruitment of additional resources as appropriate.

External expertise

Both &Green and IDH have an international network of expert consultants and partners that can be engaged to support gender-related investment outcomes, both during JECA assessments, prior to and during due diligence, and post investment. Where possible, we ensure that these experts disseminate their knowledge to our portfolio companies, to strengthen their in-house capacity on gender.

5. Sectoral information for the programme paradigm

5.1 Gender in &Green commodity value chains

- **Participation of men and women in forestry management is inextricably tied to the social, cultural, historical, and political contexts of communities where forest management efforts take place.** Gender plays a key role in shaping environmental rights of control, access, and responsibility that interact with class, race, caste, culture, or ethnicity to shape ecological change and sustainable livelihoods. (Peach Brown)²⁴
- **Women, more so than men - in the &Green target countries - face a number of gendered and social barriers and constraints when working in agricultural production and processing.** These include: limited equal opportunity to acquire the factors of production such as land, credit, networks, infrastructure and education; limited time to take advantage of economic incentives (e.g. by participating in agricultural development projects) due to women's existing roles and responsibilities to carry out non-salaried tasks (e.g. child care, housework), also referred to as the **unpaid care economy**; discriminatory gender norms prevalent in communities, markets and institutional structures which favour male participation and prevent women from having an equal voice in decision-making. (ProForest)²⁵
- **The supply chains that &Green seeks to transform will not only provide improved economic opportunities for women but can also provide benefits to youth (17 - 25) by improving livelihoods and skill base in the target countries.** Evaluative research on integrated skill training programmes in Ghana, for example, has revealed that despite being a leading producer of **cocoa** and having a burgeoning youth population, it is estimated that the average age of a cocoa farmer in the country is greater than 50 years.²⁶ The study revealed that to introduce young people to cocoa farming and address the potential barriers they face in order to do that; a multi-faceted skills training programme was designed with the ultimate aim of improving and diversifying youth livelihoods. The training had three key components: i) cocoa academies (which includes agricultural practices; life skills and financial literacy); ii) business incubators (including entrepreneurial training, networks, mentoring) and iii) supporting enabling environment (access to land and finance). These findings reflect the theory of change being proposed by &Green, and shows the gender-transformative impact the programme can posit to have on youth in several of the target countries.

²⁴ <https://bioone.org/journals/International-Forestry-Review/volume-13/issue-2/146554811797406651/Gender-Climate-Change-and-REDD--in-the-Congo-Basin/10.1505/146554811797406651.short>

²⁵ <https://static1.squarespace.com/static/5b48c2572487fdd7f1f29d1c/t/5cb0af939b747a28939007f2/155508315>

²⁶ Unnikrishnan, V. et al (2022) Impact of youth skilled training programme on youth livelihoods in Ghana in World Development (Volume 151). Available at: <https://www.sciencedirect.com/science/article/abs/pii/S0305750X21003478>

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- The **cattle** value chain displays complex gendered factors: some estimate show that women make up about two-thirds of the 600 million subsistence livestock keepers worldwide, however, men are the primary workers in industrialized cattle value chains. Women's livelihood activities, through the livestock chain, are and can be influenced by the mutually constructed intra- and inter-relationships among household members, intermediaries, cooperatives and private sector companies. &Green, therefore, will aim to accelerate funding towards client companies that can demonstrate driving positive impact on and gender-responsive resilient livelihoods. (ILRI)²⁷
- In terms of **cocoa**, women play a key role as producers, particularly in West Africa. In Ghana it has been observed that: gender inequalities in the cocoa sector constrain growth and development. This includes: women's access to land for cocoa production; women's rights/tenure to land; women's access to markets and financial services; women's access to inputs for cocoa production; women's access to training and extension education; women in leadership positions; women's access to producer groups or cooperatives; and, women's disproportionate burden of household chores and limited time. These considerations will feature in the &Green investment process through this programme, with backstopping from IDH on technical assistance to drive impact on for meaningful gender inclusion in commodity supply chains. (Oxfam)²⁸
- Globally, in the **coffee** sector and smallholder agriculture in developing countries, there is a distinct gender gap in key factors that enable women's active participation in and contribution to the coffee value chain and in farm and domestic decisions, such as decisions over credit, agricultural inputs, and training opportunities and division of labour and time. As with the cocoa supply chain, &Green has taken cognizance of these gendered barriers, which it will aim to remove by seeking out client companies with gender track record as well as providing technical assistance, when necessary. (CGIAR, 2017)²⁹
- In terms of **palm oil**: in Indonesia, research revealed that women and children are often forced to work for free to help men meet the production targets that the company sets as condition for them to receive the full wage for the day. Women, often, tend to be restricted to low-paying, arduous and demeaning tasks, including the spraying of pesticides. These are tasks that are extremely dangerous for women and their reproductive health. **Gender-based violence in the palm oil supply chain has remained insidious**: women have reported rape and torture in or around the plantation fields, with the perpetrators usually going unpunished. In addition, violent arrests or searches have been conducted by private sector entities arguing that palm nuts or palm oil have been stolen from the company plantations. This comes with women having their traditional oil production taken away or destroyed, in many cases. &Green will meet IFC Performance Standards to prevent SEAH and other forms of GbV in the prioritized commodity supply chains, as well as design screening tools embedded in the ESMS process. (WRM)³⁰

²⁷ <https://www.ilri.org/research/themes/gender>

²⁸ <https://oxfamlibrary.openrepository.com/bitstream/handle/10546/621352/rr-gender-inequality-cocoa-supply-chain-110222-en.pdf?sequence=1&isAllowed=y>

²⁹ <https://gender.cgiar.org/publications-data/coffee-and-cocoa-value-chains-gender-dynamics-peru-and-nicaragua>

³⁰ <https://www.wrm.org.uy/bulletin-articles/gender-in-the-palm-oil-industry-and-its-rspo-label>

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- **Plantation forests** require intensive management, but they grow faster than natural forests: in 2011, FAO reported that although they accounted only for 5% of the total wood forest area, it produced 35% of all the world's wood product. Forestry and forest management, however, is not gender neutral: socio-cultural and economic reasons, including land ownership and political underrepresentation, result in women having less access and control over forest resources and economic opportunities.³¹ However, women are powerful agents of forests conservation and management, which &Green recognizes, as they are in charge with the wellbeing of the household, and tend to adopt a different approach to forestry than men: less focused on income (timber, mining, mono-cultures) and more on agroecology, including food security, medicinal plants, and transmission of invaluable knowledge to future generations. (UN-REDD)³²
- This is also the case for **soy**: In Brazil, one the largest soy producing countries, women make up 10% of the labour force in the national soy sector, but continue to earn approximately one quarter less of what men earn and dedicate close to 75% more time to domestic and care work than men. &Green will ensure that covenants around equal pay in client companies are in place before finalizing Deal Notes. (ProForest)³³
- **Strategies for increased participation of women in commercialized and well-developed supply chains (particularly export-facing ones) require upgrading based on the typology of the women - as well as the social group they are in - in question.** While women in female headed households may require limited efforts such as tailoring financial products to their needs or providing interlinked services coupled with prompt payment for their produce to allow them to produce quality fruits and access lucrative markets, women in male-headed households need institutionalization of gender-sensitive policies in the governance of producer groups to enable them to upgrade as value chain integrators and value chain owners. For gender-transformative investments, &Green will hire external expertise on gender (if needed) and rely on existing capacities in-house as well as IDH to assess gender dynamics - as they relate to intersectionalities - and mainstream the findings into the investment structuring. (CGIAR, 2017)³⁴
- Informal economies and markets are the dominant source of livelihoods in rural areas - and the engagement in forestry value chains is often crucial for rural women's livelihoods and the well-being of their household. (IIED, 2015)³⁵ **Women's use of forest resources tends to center on low-return products and activities, while men control the production and commercialization of more profitable forest resources.** Women are the main caregivers of children and ill family members and are responsible for providing food, fuel and fodder. Given their care work responsibilities of cooking for the household, women's tree selection is based on their use and relevance for subsistence. Women prefer trees that provide fruits, firewood, fodder and increase soil, while men may prefer for commercial species. This disparity needs to be managed through project design, to ensure benefits of the project

³¹ <https://www.un-redd.org/news/women-and-forests-mainstreaming-gender-community-forestry-colombia>

³² UN-REDD, 2020, Ibid.

³³ <https://static1.squarespace.com/static/5b48c2572487dd7f1f29d1c/t/5cb0af939b747a28939007f2/155508315>

³⁴ <https://gender.cgiar.org/publications-data/womens-participation-high-value-agricultural-commodity-chains-kenya>

³⁵ <https://pubs.iied.org/sites/default/files/pdfs/migrate/16590IIED.pdf?>

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accrue equitably, which &Green has recognized and will do so through targeted technical assistance. (CIF, 2017)³⁶

- **Women's time poverty and physical safety concerns limit their access to and use of forest resources and related activities.** Time poverty is used in a very particular sense in relation to poverty: as working long hours and having no choice to do otherwise. An individual is time poor if he/she is working long hours and is also monetary poor, or would fall into monetary poverty if he/she were to reduce his/her working hours below a given time poverty line. Thus, being time poor results from the combination of two conditions. First, the individual does not have enough time for rest and leisure once all working hours (whether spent in the labour market or doing household chores such as cooking, and fetching water and wood) are accounted for. Second, the individual cannot reduce his/her working time without either increasing the level of poverty of his/her household (if the household is already poor) or leading his/her household to fall into monetary poverty due to the loss in income or consumption associated with the reduction in working time (if the household is not originally poor). (CIF, 2017)³⁷
- **Invisible labour in the value chain needs to be recognized and accounted for: The Food and Agricultural Organization (FAO) finds that women / vulnerable sections from marginalized groups are frequently engaged in activities that are undervalued, including unpaid family labour and work in the men's fields or in post-harvest tasks for different value chains.** Inclusive project design needs to, therefore, ensure women's time burden are not exacerbated by proposed investments, and their participation is not stymied by existing sociocultural norms, which &Green will aim to assuage through its Gender Framework.
- **Women and members of indigenous communities need to be recognized as important stakeholders in forest governance, production chains and project design:** The International Union for the Conservation of Nature (IUCN) has piloted the Environment and Gender Index (EGI), which showed that women as well as Indigenous Peoples who rely on forests are often underrepresented in forest governance at the local, national and international levels. This is despite women's key role as primary users of forest resources, and specific importance in non-timber forest products, in several tropical, forested landscapes. Neglecting women's role in forest decision-making, therefore, can jeopardize project outcomes, as women's specific livelihood needs and preferences can be overlooked (this is further reiterated through United Nations Programme on Reducing Emissions from Deforestation and Forest Degradation (UN-REDD)'s evaluations). (IUCN)³⁸
- **Tools and methods related to gender, agriculture, and value chains exist but need to be reinforced:** The Consultative Group on International Agricultural Research (CGIAR)

³⁶ CIF (2017). Gender and Sustainable Forest Management: entry points for design and implementation. See: https://www.climateinvestmentfunds.org/sites/cif_enc/files/knowledge-documents/gender_and_sustainable_forest_management.pdf

³⁷ Ibid.

³⁸ IUCN (2013). The Environment and Gender Index. See: <https://genderandenvironment.org/wp-content/uploads/2014/12/The-Environment-and-Gender-Index-2013-Pilot.pdf>

recently published a working paper³⁹ that demonstrated the available repertoire of tools and frameworks for value chain analysis in agroforestry and forest sectors provide frameworks and instruments for collecting data relevant for gender analysis in the context of value-chain projects. However, most of these continue to primarily focus on farm-level production. Furthermore, few of the tools and methods are able to consider diverse livelihood strategies, which is often important in the context of tropical forests and investments in deforestation.

5.2 SEAH and GbV in the &Green programme

In 1993, the Declaration on the Elimination of Violence against Women (A/RES/48/104) defines violence against women as “any act of gender-based violence that results in, or is likely to result in, physical, sexual or psychological harm or suffering to women, including threats of such acts, coercion or arbitrary deprivation of liberty, whether occurring in public or in private life.”

More recently, as both theoretical and practical work on GbV evolved and became enshrined in numerous conventions and declarations, article 3 of the Council of Europe’s Convention on Preventing and Combating Violence Against Women and Domestic Violence (Istanbul Convention) offered the following definition: “gender-based violence against women shall mean violence that is directed against a woman because she is a woman or that affects women disproportionately.”

A critical issue identified in this assessment is Sexual Exploitation, Abuse and Sexual Harassment (SEAH)⁴⁰ - as part of the overall incidence of gender-based violence (GbV) - that is prevalent in different measures in the commodity supply chains &Green is prioritizing in the target 17 countries. Rooted in structural gender inequality and power imbalances, the prevalence of SEAH and broader GbV is both caused and exacerbated by exploiting societal gender norms and roles. These are symptomatic of gender inequality and a tool to reinforce this inequality, including maintaining or restricting control over natural resources, further entrenching gender inequality in a cyclical manner.⁴¹

Communities and indigenous people in rural areas- where many of the commodity supply chains will be localised - often face GbV without access to the redress mechanisms that may be available/or more accessible in urban locations. Many aspects of rural life, including fetching water and fuel, travelling to remote locations, lack of reliable energy sources, traditional harmful practices and negative coping mechanisms, all contribute to increase the vulnerability of rural women and girls, adding to their exposure to the risk of GbV.⁴² In addition, the potential for violence related to natural resources is particularly augmented in the face of environmental stressors and threats. These conditions create situations in which the control over increasingly scarce or degraded resources is increasingly fraught, resulting in higher tension, increased

³⁹ Twyman, Jenifer and Ambler, Kate. 2021. Tools and Methods for Gender Research and Integration in Agricultural Value Chain, Market and Entrepreneurship Projects. CGIAR GENDER Platform Working Paper #004. See: <https://gender.cgiar.org/publications-data/tools-and-methods-gender-research-and-integration-agricultural-value-chain-market>

⁴⁰ Definition based on: https://safeguardingsupporthub.org/sites/default/files/2021-06/RSH_BiteSize_Understanding%20SEAH%20and%20GBV_final.pdf

⁴¹ Castañeda Camey, I., Sabater, L., Owren, C. and Boyer, A.E. (2020). Gender-based violence and environment linkages: The violence of inequality. Wen, J. (ed.). Gland, Switzerland: IUCN. 272pp.

⁴² IFAD, 2021, Putting an end to violence against women in rural communities, available at: <https://www.ifad.org/en/web/latest/-/story/putting-an-end-to-violence-against-women-in-rural-communities>

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negative coping strategies and reduced resilience for families and communities - thus affecting lives and livelihoods.⁴³

SEAH and GbV, therefore, is widespread in the agribusiness sector. The IFC⁴⁴ has broken down how it can be found at all levels of the value chain:

- **In farming and primary production:** women experience high levels of abuse in the fields. Asymmetrical power relationships increase the risk of GbV and SEAH. As stated by ILO⁴⁵, non-standard forms of work, including temporary work and informal work, are key factors in creating power differentials for perpetrators to carry out sexual violence and harassment against women workers. For instance, almost 9 out of 10 horticultural workers in Ethiopia reported personally experiencing some form of sexual harassment on the farm.⁴⁶
- **In processing and packaging:** similarly, GbV and SEAH are common at the processing and packaging stage, as women are mostly concentrated in low-income, often informal roles, and are pressured into accepting abuse by their male supervisors in order not to lose their remuneration
- **In logistics and distribution:** male drivers transporting agricultural goods over remote roads and long distances can perpetrate GbV and SEAH. Research in Brazil⁴⁷ found that one in five truck drivers admitting to having had sex with a child under the age of 18 while they were transporting goods.
- **At home:** domestic violence is widespread at the global level, but the risk is exacerbated in the agricultural sector. In Europe, women working in agriculture and fisheries have the highest rates of partner violence of any occupational group: 14% compared with 4% across all industries.⁴⁸ Violence in family farms is therefore of particular concern.

&Green recognizes that this is a crucial issue for the implementation of the programme, and is committed to understanding how SEAH and GBV are entrenched into the overall society and specifically the selected value chains of the 17 target countries, to be able to address it with specific actions.

&Green will meet the IFC Performance standards. These were updated in 2012 to strengthen gender considerations. Most importantly, &Green will comply with:

- Performance Standard 2, paragraph 15 on Non-discrimination and Equal opportunity, therefore committing to take measures to prevent and address harassment, intimidation, and/or exploitation, especially in regard to women

⁴³ Castañeda Camey, I, et al., Ibid.

⁴⁴ IFC, EBRD, CDC, 2020, Addressing Gender-Based Violence and Harassment (GBVH) in the Agribusiness Sector, available at: https://www.ifc.org/wps/wcm/connect/52400b74-552f-4ddd-bc86-0f8722f512a3/SectorBrief_AddressingGBVH_Agribusiness.pdf?MOD=AJPERES&CVID=ns6YoIJ

⁴⁵ Henry, C., Adams, J., 2018, Spotlight on sexual violence and harassment in commercial agriculture: Lower and middle income countries, ILO,

⁴⁶ Jacobs S, Brahic B, Olaiya MM. Sexual harassment in an east African agribusiness supply chain. The Economic and Labour Relations Review. 2015;26(3):393-410. doi:10.1177/1035304615595604

⁴⁷ EBRD, IFC, CDC, 2018, Ibid.

⁴⁸ European Union Agency for Fundamental Rights, 2015, Violence Against Women: A EU Wide Survey, available at: https://fra.europa.eu/sites/default/files/fra_uploads/fra-2014-vaw-survey-main-results-apr14_en.pdf

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- Performance Standard 4, paragraph 1, committing to avoid or minimise the risks and impacts to community health, safety, and security that may arise from project related-activities, with particular attention to vulnerable groups

&Green is aware that GbV and SEAH are global phenomena but that each country has its specificities, linked with wider conditions of women, gender norms, intersectionalities, and more. The gender assessments included in this Annex include specific cases of GbV. For instance, Colombia has high levels of GbV related to the environments, with a streak of attacks against environmental human rights activists, particularly women, ongoing since the peace agreements were signed in 2016. On the other hand, in Liberia, the 2019-2020 Demographic and Health Survey found that 60% of women age 15-49 have experienced physical violence and 9% have experienced sexual violence. Less than half (42%) of women who have experienced physical or sexual violence have ever sought help. Rape is one of the most frequently reported crimes in Liberia, and the rate of sexual violence against women is among the highest in the world.

&Green acknowledges these are starting points that will be used to inform the assessment phasis of each investment in the implementation countries, so that a full picture of SEAH and GbV can be drawn and addressed appropriately, both generally and at the level of specific value chains.

Additionally, IDH has been working extensively on integrating gender in its programmes, and on reducing GbV specifically. The guiding approach is not merely reputational: by supporting workers to empower themselves, and by training producers on gender-balanced practices, it is possible to create safer, happier, and therefore more productive, working environments. By training farming families on household (financial) decision-making, for example, and the division of roles and responsibilities in the household, it is possible to promote improvements to the livelihood of the farmer that also have gender-positive effects.

Two example of this holistic approach include (and that can be both best practices and lessons learned guide for &Green investments that require IDH technical assistance):

- In the tea sector in Kenya, IDH started work on gender in 2012 through its partnership with the Ethical Tea Partnership and the Kenya Tea Development Agency, focusing on gender discrimination and harassment through a social issues program reaching over 1,000 managers, supervisors, and staff members. This led to the following concrete achievements:
 - 50% of women in supervisor positions and 33% of women in management positions;
 - More equal employment opportunities - women taking on more roles that were traditionally reserved for men (e.g. truck driver);
 - All factories have sexual harassment and discrimination policies in place; grievance complaints and disciplinary procedures are included in induction training for new employees.
- In 2016, IDH convened a platform in Kenya with several tea companies to create a joint agenda for action to address gender-based violence (GBV) in the sector and share best practices. IDH will also publish a common training manual on addressing GBV in the Kenyan tea industry, and is developing a roadmap for plantation management on addressing GBV alongside field-level projects to implement the roadmap.

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- In the flowers sector in Ethiopia, through the Floriculture Sustainability Initiative, IDH has carried out a gender program with EPHEA in partnership with BSR HER project, reaching 7,000 workers and 400 peer educators trained on hygiene, nutrition, family planning, and gender-based violence. This has led to:
 - 59% of women in the targeted farms (7,000) increased their level of awareness of their rights regarding protection from sexual harassment and were better informed about hygiene, nutrition, family planning, and reproductive health;
 - 46% of the pilot project farms (12) developed and started implementing a gender policy; and,
 - 62% of the pilot project farms (16) had active gender committees and an effective reporting system.

6. Gender and socioeconomic baselines for the target 11 countries

6.1 Composite indices, presented in tables

Gender-transformative climate adaptation and mitigation action requires a thorough and context-driven gender baseline with appropriate data and indicators. Since this will be a funding facility and specific projects have not been identified, this study develops a derivative baseline.

Gender assessments will be carried out in the JECA process as needed to add to the country profiles included in this document, as well as at the investment level. As described in section 3.4, a gender assessment will be carried out for each investment. This can be an integrated assessment as part of the ESIA, where we adopt a gender sensitive approach, or a separate more detailed assessment where we consider a gender transformative approach.

At the outset, composite indices are used as indicative (and not conclusive) measures of current levels of development and gender equality. As Booyesen's research⁴⁹ shows, these indices present challenges as well as advantages. For example, numerous fallacies have been identified in the methodologies employed in composite indexing. The indices are quantitative, and present empirical and aggregate measures of complex phenomena - making values apparently objective, at the cost of subjective nuances. Yet, these also remain invaluable as useful supplements to income-based development indicators - to understand relative degrees of development. Section 6 presents each index as a table, citing the relevant information for all 11 target countries.

6.2 National aggregate statistics: Poverty, Education, Labour and Health, presented per country

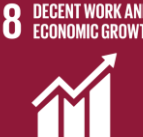
For these indicators, the data is presented in each country profile to ensure coherence and capture the full socioeconomic landscape where GCF, FMO and &Green investments may be directed. Each country profile includes short interpretation of the data, to contextualise the investment landscape for particular commodities and if applicable, particular regions of the country. For example, for Brazil (see Section 7), the country profile includes available information on gender in Mato Grosso and Pará, where the &Green Fund has active JECAs currently. The country profile also includes brief gender analysis for the priority agro-commodity, such as cattle and soy in Brazil. The GCF, in its *Mainstreaming Gender* toolkit for climate change interventions and climate finance (developed with UN Women), also spotlights the chosen indices as well as the above indicators

⁴⁹ Booyesen, F. (2002). "An Overview and Evaluation of Composite Indices of Development" in Social Indicators Research, (Vol. 59, No. 2). Journal article.

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under SDGs 1, 4, 8, and 3, and their relevance for preparation-level Annex 8s, i.e. Gender Assessments and Action Plans.⁵⁰

This data collation exercise sifts through national aggregate statistics from each country, documenting indicators which pertain to gender issues and four primary SDGs - poverty, education, labour and health. These data points add nuance to the baseline established by composite indices and elaborate the different aspects of gender inequality in each of the target 17 countries. Drawn from each, distinct national statistical system (NSS) in the four countries, these broadly speak to the issues identified by the GCF in its *Mainstreaming Gender* toolkit as crucial in the project design stage.

			
POVERTY	EDUCATION	LABOUR	HEALTH
• % of population below international poverty line (US\$ 1.90 / day) • % of population below national poverty line (varies) • % of population in severe multidimensional poverty • % of population vulnerable to multidimensional poverty • % of female-headed households • % of male-headed households	• % literacy rate, adult female (f) • % literacy rate, adult male (m) • % literacy rate, youth f • % literacy rate, youth m • # children out of school, f • # children out of school, m • % progression to secondary, f • % progression to secondary, m • weighted average, school enrollment (primary and secondary - gross)	• % female (f) labour force participation rate, • % male (m) labour force participation rate • % vulnerable employment, f • % vulnerable employment, m • % wage and salaried workers, f • % wage and salaried workers, m • % employment in agriculture, f • % employment in agriculture, m • % of time, unpaid care work, f • % of time, unpaid care work, m	• % exposure to gender-based violence (lifetime probability) • # adolescent fertility rate, (modeled estimate, births per 1000 women, aged 15 - 19) • # maternal mortality ratio (modeled estimate, per 100,000 live births) • # children under five mortality (modeled estimate, per 1000 live births)

⁵⁰ Green Climate Fund - GCF (2017). *Mainstreaming Gender in Green Climate Fund Projects*. Ibid.

7. Composite Indices

7.1 HDI - UNDP (2019)

The HDI scores presented here is from the 2020 Human Development Report. The Human Development Index (HDI) is a summary measure of achievements in three key dimensions of human development: a long and healthy life, access to knowledge and a decent standard of living. The HDI is the geometric mean of normalized indices for each of the three dimensions. This technical note describes the data sources, steps to calculating the HDI, and the methodology used to estimate missing values.⁵¹

The HDI data presented here should be treated as indicative, not conclusive. It provides an overview of relative degree of development in a particular country but remains a ‘synthetic indicator’. Recent research has shown the need to supplement the HDI with other indicators associated with economic and social cohesion, sound development strategies, and sustainability in growth models.⁵²

COUNTRY	LATEST HDI SCORE (2019)	RANK	TIER
Brazil	<u>0.765</u>	84	High Human Development
Cameroon	<u>0.563</u>	153	Medium Human Development
Colombia	<u>0.767</u>	83	High Human Development
Cote d'Ivoire	<u>0.538</u>	162	Low Human Development
Democratic Republic of Congo	<u>0.480</u>	175	Low Human Development
Ecuador	<u>0.759</u>	86	High Human Development
Gabon	<u>0.703</u>	119	High Human Development
Indonesia	<u>0.718</u>	107	High Human Development
Lao PDR	<u>0.613</u>	137	Medium Human Development
Liberia	<u>0.480</u>	175	Low Human Development
Zambia	<u>0.584</u>	146	Medium Human Development

⁵¹ UNDP (2020). HDR - Technical Notes. Available here: https://hdr.undp.org/sites/default/files/hdr2020_technical_notes.pdf

⁵² See Bilbao-Ubillos, J (2011). “The Limits of HDI” in Sustainable Development, (Vol. 21, No. 6). Journal Article. United Nations Development Programme - UNDP (2018). Human Development Reports, ‘Table I: HDI and its Components’. Website. Accessed online: <http://hdr.undp.org/en/composite/HDI>.

7.2 Gender Inequality Index (GII)

The Gender Inequality Index (GII) reflects gender-based disadvantage in three dimensions—reproductive health, empowerment and the labour market—for as many countries as data of reasonable quality allow. It shows the loss in potential human development due to inequality between female and male achievements in these dimensions. It ranges from 0, where women and men fare equally, to 1, where one gender fares as poorly as possible in all measured dimensions. GII values are computed using the association-sensitive inequality measure suggested by Seth (2009), which implies that the index is based on the general mean of general means of different orders—the first aggregation is by a geometric mean across dimensions; these means, calculated separately for women and men, are then aggregated using a harmonic mean across genders.

GII, however, should be treated as indicative, not conclusive. Pernmayer finds that the functional form of the index could be unclear, particularly the inclusion of indicators of relative performance of women vis-à-vis men, along with absolute women-specific indicators.⁵³

COUNTRY	LATEST GII SCORE (2019)
Brazil	0.408
Cameroon	0.560
Colombia	0.428
Cote d'Ivoire	0.638
Democratic Republic of Congo	0.617
Ecuador	0.384
Gabon	0.525
Indonesia	0.480
Lao PDR	0.459
Liberia	0.650
Zambia	0.539

7.3 Gender Development Index (GDI)

The Gender Development Index (GDI) measures gender inequalities in achievement in three basic dimensions of human development: health, measured by female and male life expectancy at birth; education, measured by female and male expected years of schooling for children and female and male mean years of schooling for adults ages 25 years and older; and command over economic resources, measured by female and male estimated earned income. This further reiterates the results of the HDI and GII (also by UNDP), and shows the real gender gap in human development achievements. Geske Dijkstra and Hanmer find that although gender-related development indices have increased attention towards ‘feminization of poverty and underdevelopment’, more robust

⁵³ See Pernmayer, I. (2013). “A Critical Assessment of UNDP’s Gender Inequality Index” in *Feminist Economics*, (Vol. 19, No. 2). Journal article. UNDP (2018). Human Development Reports, ‘Table V: Gender Inequality Index’. Website. Accessed online: <http://hdr.undp.org/en/composite/GII>

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data needs and indicators are required to create aggregate indices that are sensitive to contemporary trends in gendered privation, particularly with the categorization of 'women'.⁵⁴

COUNTRY	LATEST GDI SCORE (2019)
Brazil	0.993
Cameroon	0.864
Colombia	0.989
Cote d'Ivoire	0.811
Democratic Republic of Congo	0.845
Ecuador	0.967
Gabon	0.916
Indonesia	0.940
Lao PDR	0.927
Liberia	0.890
Zambia	0.958

⁵⁴ See Geske Dijkstra, A. & Hanmer, L. C. (2000). "Measuring Socio-Economic Gender Inequality: Towards an Alternative to the UNDP Gender Index" in Feminist Economics, (Vol. 6, No. 2). Journal article.
 UNDP (2018). Human Development Reports, 'Table IV: Gender Development Index'. Website. Accessed online: <http://hdr.undp.org/en/composite/GDI>

8. Country Profiles

8.1 Brazil

Brazil is widely recognized as a key player in sustaining global food security, with the capacity to increase production of important agricultural commodities - such as soybean, sugar, cattle, and coffee - to meet surging international demand. In terms of gender, Brazil has taken concrete actions to integrate gender equality into the broader policy-making agenda in a participatory manner and has achieved advances in women's education and health and equality before the law. Given that Brazil is a geographically vast and a diverse country, intersections of gender, ethnicity, and location of residence are associated with systematic welfare disparities across groups, which has a cascading effect on agro-commodities and value chains.

A key gender barrier in Brazil is limited ownership and lack of control over land exercised by women and girls.⁵⁵ The magnitude of the gender asset gap in Brazil, at the national level, is unknown. This is because agricultural censuses do not adequately cover these issues, despite consistent advocacy from feminist organizations, such as *Espaço Feminista*⁵⁶. Municipal-level studies⁵⁷ in Brazil have assessed gender-disaggregation of land ownership and found that only 12% of total registered land was under women's names. Moreover, only 5.5% of total agricultural land was found to be registered under women's names. This implies, when women own land, their plots are smaller than men's plots. From prior available data (2000), the *Censo Comunitario Rural*, it was found that only 11% of female respondents were landowners as compared to 89% of male respondents. Entrenched gender inequality in land ownership can be posited to relate to male preference in inheritance, male privilege in marriage, and male bias in community.

For the &Green Fund, particularly in the context of priority value chains: cattle and soy, these issues are relevant. Further, the Fund has two active JECAs in:

Mato Grosso

Mato Grosso⁵⁸ is Brazil's third largest state by area and the leading producer of soy, corn, cotton and cattle. The state is the main grain producer in the country and is expected to contribute with 30% of the national harvest in 2021. In a 2022 study, on federative analysis of gender gaps in Brazilian states⁵⁹, using the Global Gender Gap Index methodology (see section 6.4 for GGGI scores of the target countries), Mato Grosso fared in the bottom quintiles for economic participation and

⁵⁵ World Bank (2018). "What do land rights mean to the women of Brazil?", available at: <https://blogs.worldbank.org/latinamerica/what-do-land-rights-mean-women-five-insights-brazil>

⁵⁶ See: <https://espacofeminista.org/en/>

⁵⁷ This data is from Agreste Central, and is the latest available data with gender disaggregation on land ownership.

⁵⁸ The &Green Fund JECA can be found here: https://www.andgreen.fund/wp-content/uploads/2022/02/JECA-Mato-Grosso-Full_compressed.pdf

⁵⁹ Oliveira Loiola Benigno, G. et al. (2022). Gender Gap in Brazilian states and stakeholder analysis of the National Council for Women's Rights (NCRW). This paper aims to analyze the gender gap in Brazilian states and the actions of stakeholders of the NCRW. In the first step, a gender gap index in Brazilian states was calculated based on the Global Gender Gap Report (GGGR) methodology, prepared by the World Economic Forum (WEF). In the second, the NCWR stakeholders were mapped, and their performance was analyzed, considering the gender gap indexes obtained in the first step and the theoretical framework supported by stakeholder analysis models.

opportunity⁶⁰ and political empowerment⁶¹. Further, Mato Grosso reports high level of gender-based violence in Brazil: over 60% of homicides in the state are, in fact, femicides.⁶²

Pará

Pará⁶³ is Brazil's second largest state by area and has the ignoble rank of highest deforestation rates within the country. Pará leads in the production of cassava, açaí, pineapple and cocoa nationally - alongside significant contribution to black pepper, coconut and banana value chains. Gender studies catering to Pará are limited currently.

8.1.1 Supply chain sectors

Soy

The importance of the soy value chain to Brazil is demonstrated through a variety of data points: Since 2000, Brazil has doubled its total area of soy plantation to 36 million hectares and is the reigning largest producer in the world. In Brazil, the 2014 exports of soy products, which include beans, animal feed and oil, generated a revenue of approximately 30 billion dollars, which was equivalent to 13% of the total annual export revenue. At the outset of the pandemic, demand for soy remained high and soybean production in Brazil hit 133 million metric tons in the crop year of 2020/2021.

Demonstrably, soy is a crucial agro-commodity for the 250,000 soy producers in the country (as estimated by the *Associação dos Produtores de Soja* or APROSOJA in 2017), who are distributed across 1500 municipalities. Federal, state and municipal governments benefit from soy revenues through different taxes, and soy is an important contributor to the Brazilian economy. Socioeconomic research conducted in soy-producing municipalities revealed that soy could be considered a precursor of socioeconomic development under certain conditions; however, it also tends to be associated with an increase in income inequality, especially in the agricultural frontier.⁶⁴

⁶⁰ In the sub-index “economic participation and opportunity”, three variables were adjusted because there is no data available regarding the performance of the federation units. Instead of the survey used by the WEF to measure the salary gap between women and men within the same position, the average female salary divided by the male one was used. Another variable that needed to be adjusted was the female monetary gains over the male ones, which include income in addition to the salary - for the states, the female salary gain in all jobs was considered divided by the male counterpart. Finally, the total number of women in employment or self-employment divided by the total number of men in the same position replaced the number of female legislators, officials and managers divided by the male counterpart.

⁶¹ In the fourth sub-index, “political empowerment”, the variable of women with seats in parliament over male parliamentarians was divided into three new variables, which represent the legislative power in Brazil: female federal deputies on male federal deputies, female state/district deputies on the male counterpart and female senators on male senators. This same sub-index also included the presence or absence of a secretariat dedicated exclusively to gender, taking a value of 1 (parity) for units with a dedicated secretariat, 0.5 for units with a secretariat that divides the gender issue with other guidelines and 0 (disparity) for units that do not include the gender issue in any Secretary, variable based on the importance of female representation in senior government officials

⁶² See: <https://www.wilsoncenter.org/article/fighting-gender-based-violence-brazil>

⁶³ The &Green Fund JECA can be found here: https://www.andgreen.fund/wp-content/uploads/2022/02/Para-Re-assessment-2020-FULL-report-final_compressed.pdf

⁶⁴ Martinelli, L.A., et al (2017). “Soy expansion and socioeconomic development in municipalities of Brazil” in *Land* (MDPI). Available at: <https://www.mdpi.com/2073-445X/6/3/62/pdf>

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In Brazil, the soy value chain and the accrual of its benefits are gendered: men and women do not participate equitably, and women are more likely to do unpaid care work that support men's participation (as indicated under SDG 8). Women are underrepresented and make up 10% of the labour force in the national soy sector - continuing to earn approximately a quarter less of men's earnings. Women dedicate close to 75% more time to domestic and care work than men.⁶⁵ Furthermore, less than 15% of all land in Brazil is registered to women and women make up the majority of the 15 million landless people in Brazil.⁶⁶

The growth rate of the Brazilian soy value chain in the next decade is expected to continue higher than the nation's main competitors, such as the United States and Argentina.⁶⁷ Therefore, it will be crucial for programmes like the &Green Fund, to not only delink deforestation from this value chain, but also to improve gender outcomes: by improving internal operations and by engaging (and empowering) clients through fund mechanisms and technical assistance to tackle gender inequality in the soy value chain in Brazil. This will have a gender-transformative outcome by improving both sustainability and social inclusion in this crucial supply chain for Brazil's economy and for global food security.

Cattle

Brazil is the world's largest beef exporter, exporting approximately one-fifth of its production, and the sector has a notable environmental footprint, linked to one-fifth of all commodity-driven deforestation across the tropics.⁶⁸ Brazil is also the world's second largest producer of beef, with 2.5 million farmers operating mostly pasture-based production systems where 87 to 90% of cattle are finished on pasture and approximately 10 to 13% finished in feedlots.⁶⁹ Although the cattle value chain has been one of the key drivers of improving local livelihoods and developments, it is also associated with profound social and environmental challenges.

With some estimates showing that women make up about two-thirds of the 600 million subsistence livestock keepers worldwide, women's roles in livestock production and the cattle value chain are critical. Women's livelihood activities are and can be influenced by the mutually constructed intra- and inter-relationships among household members, intermediaries, cooperatives, and private sector companies. In Brazil, the cattle value chain is traditionally male-dominated and patriarchal (*machista* culture), as industrial agribusinesses tend to employ men as skilled

⁶⁵ WWF, GEF and Good Growth Partnership (Discussion Paper). "Addressing gender considerations in the soy supply chain: tackling gender inequality through responsible sourcing". Available at: https://www.soytoolkit.net/s/ENG_Gender_DisP_Final_V11_Oct8.pdf

⁶⁶ WWF, GEF and Good Growth Partnership (Discussion Paper). Ibid.

⁶⁷ Colussi, J. & Schnitkey, G. (2021). "Brazil likely to remain world leader in soybean production", published by the Department of Agrifutural and Consumer Economics, University of Illinois at Urbana-Champaign. Available at: <https://farmdocdaily.illinois.edu/2021/07/brazil-likely-to-remain-world-leader-in-soybean-production.html#:~:text=In%20the%202020%2F21%20season,up%204.2%25%20from%20last%20season.>

It is important to note that the growth will affect areas which are not being targeted by the &Green Fund. Farmers will expand mostly in the North and Northeast, especially in the Matopiba, region formed by the Brazilian state of Tocantins and some parts of the states of Maranhão, Piauí and Bahia. Instead, the Fund will invest and delink deforestation from established value chains in Pará and Mato Grosso.

⁶⁸ zu Emgassen, E. H. J. K. et al (2020). "The origin, supply chain, and deforestation risk of Brazil's beef exports" in PNAS. Available at: <https://www.pnas.org/doi/pdf/10.1073/pnas.2003270117>

⁶⁹ Ibid.

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agricultural producers more than women. Women, particularly in rural settings, are more active as homestead farmers, which has an annual turnover of 55.2 billion USD per year in Brazil.⁷⁰

Recently, the cattle (and soy) industry has experienced shifts in gender dynamics: women have increased their participation. Known as cattle queens, about 31% of farms are now managed and led by women in the country, according to the Brazilian Agribusinesses' Association.⁷¹ Female farmers continue to report hurdles as compared to male competitors in accessing training and credit. High rates of gender-based violence and discrimination are rife in the sector as well.

Therefore, it will be crucial for programmes like the &Green Fund, to not only delink deforestation from this value chain, but also to improve gender outcomes: there can be, for example, three pathways through which interventions may influence the livelihoods of women livestock keepers and their families, according to the International Livestock Research Institute (ILRI). This can include: ensuring affirmative action through inclusion of women producers in the supply chain; and, securing current and future assets for women by improving their financial and technical capacities through the programme. Further, the &Green Fund can use its programmatic investment tools towards sustaining and improving the productivity of agricultural systems while facilitating greater market access for marginalized gender groups.

8.1.2 Latest Global Gender Gap Index score

Brazil has closed 69.5% of its overall gender gap, achieving a rank of 93rd globally. Only 13.8% of the Political Empowerment gender gap has been closed to date, ranking Brazil 108th on this edition's index, with a 4-rank drop since last year. There are very few women parliamentarians (15.2%, 17.9% gap closed so far) and ministers (10.5%, 11.7% gap closed so far), and a woman has been in a head-of-state role for only five years of the last 50 (12% gap closed so far).

Brazil's GGGI score in 2021 was 0.695, which means it ranks 25th at the regional level and 93rd globally. Sub-scores are as follows:

Sub-index	Score	Ranking
Economic Participation and Opportunity	0.665	89
Educational Attainment	1.000	37
Health and Survival	0.980	1
Political Empowerment	0.138	108

⁷⁰ Details about the *Cardentas Agroecológicas* programme is available at: <https://www.unwomen.org/en/news/stories/2019/6/feature-story-of-change-revolution-for-brazil-family-farmers>

⁷¹ See: https://www.washingtonpost.com/world/the_americas/brazils-female-farmers-join-to-fight-attacks-discrimination-lack-of-opportunity/2019/10/18/3da9aa16-eac3-11e9-a329-7378fbfa1b63_story.html

8.1.3 Country-level gender data indicators

SDG 1	CHOSEN INDICATORS	VALUES
	• % of population below international poverty line	• 3.9% (2021) ⁷²
	• % of population below national poverty line	• n/a
	• % of population below lower middle income poverty line	• 9.2% (2018) ⁷³
	• % of population in severe multidimensional poverty	• 0.9% (2015) ⁷⁴
	• % of population vulnerable to multidimensional poverty	• 6.2% (2015) ⁷⁵
	• % of male-headed households (HHs)	• 59,5% (2015) ⁷⁶
	• % of female-headed households	• 40,5% (2015) ⁷⁷

The World Bank⁷⁸ finds that Brazil's 2014 - 2016 recession ended an eleven-year streak of poverty reduction. Recent socioeconomic data show that it has disproportionately affected the poorest Brazilians, and an uneven recovery means that millions of Brazilians remain worse off than they were before the crisis. Between 2014 and 2016, over 5.6 million Brazilians fell into poverty (defined as living on less than \$5.50 per day in 2011 PPP terms) as poverty increased from 17.7% to 20.1%. These figures are reflected in the analysis conducted for multidimensional poverty⁷⁹ in Brazil as well, which reveals the incidence and intensity of poverty in the country.⁸⁰

- Inequality is pervasive in Brazil, as indicated by the GINI coefficient⁸¹: Between 2010 and 2018, Brazil's data on the degree of inequality in wealth distribution (based on the Gini coefficient reached 53.9), which is currently the highest in Latin America. Prior to 2010,

⁷² Refers to the 1.90 USD per day (or 4.8 Brazilian real) international poverty line. Sustainable Development Report, Brazil, 2021. Accessible at: <https://dashboards.sdgindex.org/profiles/brazil>

⁷³ The World Bank (2020). Poverty & Equity Brief, Latin America & the Caribbean (Brazil). Accessible at: https://databank.worldbank.org/data/download/poverty/33EF03BB-9722-4AE2-ABC7-AA2972D68AFE/Global_POVEQ_BRA.pdf

⁷⁴ "Unmasking disparities by ethnicity, caste and gender" in the Briefing note for countries on the 2021 Multidimensional Poverty Index, UNDP Brazil (2021). Accessible at: <https://hdr.undp.org/sites/default/files/Country-Profiles/MPI/BRA.pdf>

⁷⁵ UNDP, 2021, Ibid.

⁷⁶ S. Cavenaghi, J.E. Diniz Alves, Mulheres Chefes de Familia No Brasil: Avanços e Desafios, ENS-CPES, 2018.

120 p. ; 21 cm (Estudos sobre Seguro, nº 32), accesible at: https://www.ens.edu.br/arquivos/mulheres-chefes-de-familia-no-brasil-estudo-sobre-seguro-edicao-32_1.pdf

⁷⁷ S. Cavenaghi, J.E. Diniz Alves, Ibid.

⁷⁸ The World Bank (2020). Poverty & Equity Brief, Latin America & the Caribbean (Brazil). Ibid.

⁷⁹ Multidimensional poverty: In the post-2015 SDG and Agenda 2030 Framework, SDG 1 targets poverty elimination - in all forms and dimensions. This mandate requires tools to enumerate (quantitatively) and assess (qualitatively) poverty levels in different countries. The Multidimensional Poverty Index, calculated by UNDP and Oxford Poverty and Human Development Initiative (OPHI), is an important tool as it complements the international poverty line statistics by showing the nature and extent of overlapping deprivations for each person.

⁸⁰ OPHI and UNDP. Global MPI Country Briefing 2019: Brazil. Available at: https://ophi.org.uk/wp-content/uploads/CB_BRA_2019_2.pdf

⁸¹ The Gini coefficient measures the deviation of the distribution of income (or consumption) among individuals or households in a given country from a perfectly equal distribution. A value of 0 represents absolute equality, whereas 100 would be the highest possible degree of inequality.

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wealth distribution in Brazil had shown signs of improvement, with the Gini coefficient decreasing in the previous three reporting periods.

- Income inequality is gendered and racialized in Brazil: Poverty in Brazil is driven by extreme inequalities in income, which has many facets. While there is stratification of income groups, within these, women, particularly Afro-Brazilian women, experience gendered and racialized wage gaps. In 1981, women were paid 55.7% of men's wages, which has steadily climbed up to 71% in 2010, according to the World Bank.
- Female-headed households in rural settings continue to face poverty: Data analysis from 2009 reveals that female-headed households account for roughly 27% of poor rural people in Brazil, against 13% in 1970.⁸² This spike can be termed the feminization of rural poverty: which may be caused by male outmigration, or because women may be single parents, while having to manage family farms as well as their household.

SDG 4	CHOSEN INDICATORS	VALUES
	• % literacy rate, adult female	• 93.4% (2018) ⁸³
	• % literacy rate, adult male	• 93% (2018) ⁸⁴
	• % literacy rate, youth female	• 99.4% (2018) ⁸⁵
	• % literacy rate, youth male	• 98.9% (2018) ⁸⁶
	• # children out of school, primary, female	• 40,566 (2015) ⁸⁷
	• # children out of school, male	• 62,777 (2015) ⁸⁸
	• % progression to secondary, female	• n/a
	• % progression to secondary, male	• n/a

The OECD⁸⁹ finds that Brazil invests a relatively high share of its gross domestic product (GDP) in education, however, **expenditure per student remains below the OECD average**. Education and literacy in Brazil have notable gendered dynamics, as OECD data below reveals.

- Although women in Brazil are more likely to have attained tertiary education and vocational training than men, they are less likely to be employed: In most OECD countries, men are more likely than women to pursue a vocational track. This is not the case in Brazil, where 56% of upper secondary vocational graduates in 2019 were women (compared to the OECD average of 45%). Women were also overrepresented in upper secondary general programmes in Brazil, where they made up 54% of graduates (compared to 55% on average across OECD countries). In 2020, 25 - 34-year-old women were more likely than men to achieve tertiary education in all OECD countries. In Brazil, 27% of 25 - 34 year-old women had a tertiary qualification in 2018 compared to 20% of their male peers in the same age

⁸² van Klaveren, Marten et al. (2009). "An overview of work and employment in Brazil", published within *Millenium Development Goal Report 3*. Available at: https://www.ituc-csi.org/IMG/pdf/Country_Report_No12-Brazil_EN.pdf

⁸³ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=BR>

⁸⁴ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SE.ADT.LITR.MA.ZS?locations=BR>

⁸⁵ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.FE.ZS?locations=BR>

⁸⁶ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.MA.ZS?locations=BR>

⁸⁷ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SE.PRM.UNER.FE?locations=BR>

⁸⁸ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SE.PRM.UNER.MA?locations=BR>

⁸⁹ See: <https://www.oecd-ilibrary.org/sites/d8d547f5-en/index.html?itemId=/content/component/d8d547f5-en>

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group, while on average across OECD countries the shares were 52% among young women and 39% among young men.

- Education outcomes tend to vary significantly depending on students' socio-economic background: In Brazil, there are only about 5 socio-economically disadvantaged students scoring above PISA level 2 in reading for every 10 advantaged students scoring above this level.
- The COVID-19 pandemic has raised concerns about young adults' employment prospects, especially at lower levels of educational attainment: In Brazil, the unemployment rate among young adults with below upper secondary education was 17.8% in 2020, 3 percentage points higher than the previous year.

SDG 3	CHOSEN INDICATORS	VALUES
	• % exposure to gender-based violence (lifetime probability)	• n/a
	• # adolescent fertility rate, (modeled estimate, births per 1000 women)	• 57.9 births (2018) ⁹⁰
	• # maternal mortality ratio (modeled estimate, per 100,000 live births)	• 60 deaths (2017) ⁹¹
	• # infant mortality rate (modeled estimate, per 1000 live births)	• 7.9 deaths (2019) ⁹²
	• # children under five mortality (modeled estimate, per 1000 births)	• 13.9 deaths (2019) ⁹³

In Brazil, the establishment and roll-out of the *Sistema Único de Saúde* - SUS is considered a success story in extending health care coverage to disadvantaged population groups. In principle, the SUS ensures that the entire population is formally covered by the public health sector, with equal benefits and equal financial protection. However, mobilising sufficient financing for the universal health coverage mandate of SUS has been a constant challenge in the country, the OECD finds, not helped by persistent inefficiencies in the use of resources in the Brazilian health system. Further, despite this history of progressive legislation as well as protections focused on women's maternal health, Brazilian women continue to face significant challenges to their health, safety, and rights.

- Maternal mortality rates or MMRs: MMRs, depending on the region of Brazil, remain five to ten times higher than in countries with similar economies.⁹⁴ Brazil's MMR is 60 deaths per

⁹⁰ Sustainable Development Report, *ibid.*

⁹¹ Sustainable Development Report, *Ibid.*

⁹² Sustainable Development Report, *Ibid.*

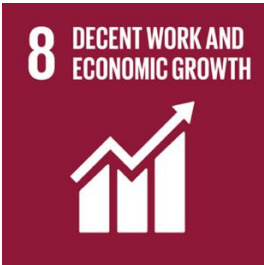
⁹³ Sustainable Development Report, *Ibid.*

⁹⁴ Maria do Carmo Leal, et al., "Reproductive, Maternal, neonatal and Child health in the 30 Years Since the Creation of the Unified health System (SUS)," *Ciência & Saúde Coletiva* 23, no. 6 (June 2018): 1915-1928, <http://dx.doi.org/10.1590/1413-81232018236.03942018>.

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100,000 live births, far above the rate of twenty maternal deaths per 100,000 live births that the WHO deems acceptable.

- Abortions and reproductive rights: Brazil's strict anti-abortion laws allow abortions in only certain cases of rape, fetal abnormality, or life-threatening pregnancy. Illegal abortions, which tend to be unsafe, accounted for the majority of the over 200,000 hospitalizations that were due to abortion-related complications in 2015.⁹⁵
- COVID-19 and other disease outbreaks: Brazilian women have faced compounded risks during the COVID-19 outbreak.⁹⁶ These include difficulties with childcare, poverty, domestic violence, and inefficient distribution of contraceptives. Women in the health workforce are particularly made vulnerable, as the majority of workers in the front line of the public health system are female. Intersectionalities of class, race and ethnic inequalities add to structural gender inequality already present in the country, and the COVID-19 pandemic has reproduced these dynamics. Additionally, Brazil has ongoing and multiple epidemics such as dengue, zika, measles and others, which continue to increase health burden and unpaid care work in a gendered and unequal fashion.

SDG 8	CHOSEN INDICATORS	VALUES
	• % labour force participation rate, female	• 49.55% (2020) ⁹⁷
	• # labour force, total	• 96,539,743 (2020) ⁹⁸
	• % vulnerable employment, female	• 24.08% (2019) ⁹⁹
	• % vulnerable employment, male	• 31.47% (2019) ¹⁰⁰
	• % wage and salaried workers, female	• 72.54% (2019) ¹⁰¹
	• % wage and salaried workers, male	• 62.76% (2019) ¹⁰²
	• % employment in agriculture, female	• 4.02% (2019) ¹⁰³
	• % employment in agriculture, male	• 12,8% (2019) ¹⁰⁴
	• % of time, unpaid care work, female	• 11.6% (2017) ¹⁰⁵
	• % of time, unpaid care work, male	• 5.1% (2017) ¹⁰⁶

⁹⁵ Rebecca Slutsky, "Brazil: the Challenge of Maternal healthcare," *Yale Global Review*, May 9, 2016, <https://yaleglobalhealthreview.com/2016/05/09/brazil-the-challenge-of-maternal-healthcare/>

⁹⁶ See: <https://www.genderandcovid-19.org/brazil/>

⁹⁷ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SL.TLF.CACT.FE.NE.ZS?locations=BR>

⁹⁸ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SL.TLF.TOTL.IN?locations=BR>

⁹⁹ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SL.EMP.VULN.FE.ZS?locations=BR>

¹⁰⁰ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SL.EMP.VULN.MA.ZS?locations=BR>

¹⁰¹ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SL.EMP.WORK.FE.ZS?locations=BR>

¹⁰² World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SL.EMP.WORK.MA.ZS?locations=BR>

¹⁰³ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SL.AGR.EMPL.FE.ZS?locations=BR>

¹⁰⁴ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SL.AGR.EMPL.MA.ZS?locations=BR>

¹⁰⁵ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SG.TIM.UWRK.FE?locations=BR>

¹⁰⁶ World Bank Data Bank, Brazil: <https://data.worldbank.org/indicator/SG.TIM.UWRK.MA?locations=BR>

Given the breadth of the Brazilian economy and geography, the labour market exhibits complex dynamics. The World Bank finds that the over-all gender gap in labour force participation and employment has not changed substantially over the last decade, but there are important differences in participation rates and employment situation across geographic areas. By region, for example, labour force participation rates for women are highest in the South (60.7 percent) and lowest in the Northeast (53.7 percent). In 2008, a CEPAL (*Comisión Económica para América Latina y el Caribe*) review found that discrimination against gender wage gap in Brazil is wide - and is linked to worsened poverty in the country. Additionally, the gender wage gap is racialized - Afro-Brazilian women are consistently discriminated through lowest pay for the same work.

- Linkage of household wealth and women's income: Women's lower incomes impacts the performance of socioeconomic indicators at the household level, while introducing limits to decision-making and power within these contexts. For example, women make up 10% of the labour force in the national soy sector of Brazil - but continue to earn approximately a quarter less than men's earnings, and dedicate close to 75% more time to domestic and care work than men.
- Unpaid care work and invisible work: The sexual division of labour is also reflected in differences between men and women in the number of hours worked in paid work and domestic tasks. In Brazil, women tend to spend an average of 22.7 hours per week on domestic work, which is four times as much as that reported by men (~5.5 hours per week). In a time use study, the World Bank pegged unpaid care work at 11.6% of total time use for women as compared to 5.1% that men reportedly spend. This gendered division drives down women's earnings by limiting the time they spend on paid activities, and (often) by leading women to seek employment that has flexible or shorter hours (which, in turn, is likely to be found in the informal sector or in low-growth entrepreneurship). Further, employment of women in agriculture is ostensibly lower than men (4.02% as compared to 12.8%), IFAD finds¹⁰⁷, in tandem with the fact that rural women's labour is often invisible. Therefore, women's contributions to their households - in terms of both housework and raising children as well as their work in agriculture and other economic sectors - are immense, but often invisibilised and not remunerated.

¹⁰⁷ See: <https://www.ifad.org/en/web/latest/-/story/in-brazil-a-quiet-revolution-for-rural-women-makes-the-invisible-visible>

8.2 Cameroon

Cameroon is a major exporter of several agricultural commodities, which account for 34% of its total exports including cocoa beans, sawn wood, rubber, palm oil, tobacco, cotton, bananas, maize and cassava. The primary sector contributes to approximately 17.4% of the country's GDP and employs close to 43% of the country's active population.¹⁰⁸ **For the &Green Fund, palm oil, rubber and plantation forests are priority value chains in Cameroon, where the fund aims at establishing a JECA agreement.**

According to the *National Gender Policy Document 2011-2020* by the Ministry of Women's Empowerment and Family (Ministère de la Promotion de la Femme et de la Famille: MINPROFF), regional, ethnic and religious factors dominate and introduce variations in the gender status quo in Cameroon. There is, however, a persistent value of gender division of labour in which men take the productive and public roles and women take reproductive and domestic roles.¹⁰⁹ In Cameroon, women's labour force participation rate is high and they contribute to household income.¹¹⁰ However, women's work tends to be undervalued as it is perceived as supplementing income of the husband/male head of the family, regardless of actual content of the task or income.¹¹¹ Land and tenure rights also remain a challenge - despite the role women play in ensuring national food security in the country.¹¹² This is an important factor to consider, when mainstreaming gender into established commodity supply chains in the country.¹¹³

The &Green Fund will address women's specific challenges in palm oil, rubber and plantation forestry sector, including access to land, access to finance and to labour and non-labour inputs, to ensure smallholder women farmers can contribute to and benefit from sustainable intensification within these supply chains through its investment thesis.

8.2.1 Supply chain sectors

Palm oil

Cameroon is the largest producer of palm oil in Central Africa yielding over 450,000 tons in 2020 with over 170,000 ha of land dedicated to this activity. The expansion of production in recent years has accelerated deforestation with a recent study showing that 67% of oil palm expansion from 2000-2015 occurred at the expense of the forest in Southwest Cameroon. While Cameroon is a significant producer of palm oil, producing more than 2.6 million tonnes in 2020, it cannot keep

¹⁰⁸ Government of Cameroon - National Institute of Statistics. Available at: [https://www.objectif-import-export.fr/en/international-marketplaces/country/cameroon/market-sectors#:~:text=Due%20to%20its%20abundant%20natural,active%20population%20\(World%20Bank\).](https://www.objectif-import-export.fr/en/international-marketplaces/country/cameroon/market-sectors#:~:text=Due%20to%20its%20abundant%20natural,active%20population%20(World%20Bank).)

¹⁰⁹ Japan International Cooperation Agency (2016). Country Gender Report: Cameroon. Available at: <https://openjicareport.jica.go.jp/pdf/1000026850.pdf>

¹¹⁰ Ibid.

¹¹¹ Ibid.

¹¹² Bachanga, E. and Tchawa, P. (2020). "Gender-insensitive land tenure reforms" in the African Journal of Land Policy and Geospatial Sciences. Available at:

https://genderandsecurity.org/sites/default/files/Bachange_-_G_Insensitive_Land_Tenure_Reforms_Food_Insecurity_Cameroon.pdf

¹¹³ Ibid.

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up with domestic demand. This means the country both earns limited export revenue from the commodity (USD 2.2 million) and is a net importer of palm oil.

CIFOR finds that women workers' contributions to large and smallholder oil palm production are either less visible, rendering them as shadow workers, or women are overrepresented in the 'casual worker' category, with limited entitlement to decent working conditions.¹¹⁴ Traditional palm oil processing have given way to industrial, foreign direct investment-led palm plantations - which have reified exploitative socioeconomic structures and have not led to targeted empowerment of women.

The expansion of industrial plantations, such as palm oil in Cameroon, require large areas of land, which consequently diminishes the ecosystem goods and services that local communities— and in particular, women — previously used and often, subsisted on.¹¹⁵ Women living in and around agro-industrial plantations in Cameroon are also exposed to increased levels of gender-based violence: they have suffered physical and psychological violence, mainly when seeking their livelihoods — which have become scarce due to the presence of these industries.

Rubber

Rubber exports account for around USD 38 million of Cameroonian exports (USD 28 million from natural dry rubber and USD 10 million from natural rubber). The main private agro-industrial entities contributing to Cameroon's rubber production are Hevecam (54,000 ha) and Sudcam (45,000 ha), both owned by Halcyon Agri. Taking together, these represent the largest rubber plantation in the world.

Major exports destinations are Europe and the U.S - and as production has expanded in recent years, so too has deforestation to clear the way for new plantations. In 2021, the national government started a programme aiming to develop palm oil and rubber tree plantations in the country by providing support to small farmers and restoring and redeveloping existing plantations to boost yields per hectare. This programme is expected to yield an additional 6,667 tonnes in 2022 and bolster farmers' revenues.

Although specific case studies/reports on rubber and gender dynamics in Cameroon are not currently available, the evidence on women's participation and eventual benefits depending on diverse factors including: intra-household power dynamics, cultural norms, laws, policies and regulations - has been mounting.¹¹⁶ The differences in gender roles/responsibilities of men and women coupled with the power relations in terms of access to and control over resources, pose a major challenge for Cameroonian women in the production of and benefits from cocoa, palm oil, rubber and timber.

¹¹⁴ CIFOR (2016). Transforming the Roundtable on Sustainable Palm Oil for greater gender equality and women's empowerment. Available at: <https://www.cifor.org/knowledge/publication/6383/>

¹¹⁵ World Rainforest Movement (2018). "Covered under the shade of oil palm companies in Cameroon" in WRM Bulletin. Available at: <https://www.wrm.org.uy/bulletin-articles/covered-under-the-shade-of-oil-palm-companies-in-cameroon-a-recount-of-the-abuses-that-women-suffer>

¹¹⁶ Proforest (2019). Gender analysis of the laws and policies that govern the cocoa, palm oil, rubber and timber supply chains in Cameroon. Available at: https://www.researchgate.net/publication/341787157_Gender_analysis_of_the_laws_and_policies_that_govern_the_cocoa_palm_oil_rubber_and_timber_supply_chains_in_Cameroon#pf3

Plantation forestry

Cameroon has about 22 million hectares of dense rainforests, i.e. 46.25% of the national territory.¹¹⁷ With this potential, Cameroon is one of the four main countries with forests in the Congo Basin. However, mining, agro-industries and other supply chains have affected extensive damage on these ecosystems, resulting in deforestation and degradation of forests. The Ministry of Forestry and Wildlife (Ministère des Forêts et de la Faune: MINFOF) recognizes that - to stem the above predicament - there is a crucial need for more innovative measures that will likely enable plantation forests to effectively play their role of increasing production per unit area, and delinking deforestation from supply chains important for the Cameroonian economy. For example, the two main forestry exports in Cameroon are sawn wood and rough wood. In 2020, Cameroon exported USD 400 million in sawn wood, mainly going to China (USD 76 million, Belgium (USD 61 million) and Viet Nam (USD 56 million).¹¹⁸ To that effect, the *National Plantation Forests Development Programme 2020 - 2045* has been designed and is currently in implementation.¹¹⁹

Research conducted by Perez et al. (2002) presents a gender analysis of forest product markets in the Humid Forest Zone of Cameroon, which demonstrate that communities benefit from a range of non-timber forest products as well. The study describes the functioning of the market and analyzing male-female differences and confirmed that gender is the main basis for differentiating size of business, product specialization, and market strategies among traders.¹²⁰ Priorities to improve trade also show some male-female differences.¹²¹ At the same time, there are no consistent differences in profit margins between genders, indicating that trading efficiency is similar, and that, given the right conditions, women entrepreneurs can be as successful as men. The results also indicate that the gender gap could be closing among the younger generation entering the market - which is an important dividend for improving supply chains in the country.

8.2.2 Latest Global Gender Gap Index score

Cameroon has closed 69.2% of its overall gender gap, achieving a rank of 96th globally. Only 20.2% of the Political Empowerment gender gap has been closed to date, ranking Cameroon 74th on this edition's index, with a slight improvement since last year's classification. While women parliamentarians represent 33.9% of parliamentarians (51.3% of the gap closed), there are only 14.9% of women in ministerial positions (17.5% of the gap closed) and no woman has been in a head-of-state role in the last 50 years.

¹¹⁷ According to FAO data available.

¹¹⁸ OEC (2022). Cameroon. Available at:

<https://oec.world/en/profile/bilateral-product/sawn-wood/reporter/cmr>

¹¹⁹ See details about the programme here: http://foretcommunale-cameroun.org/download/reboisement-1400/PROGRAMME_PAPER_NPFDP_Final_Version_English_Final.pdf (MINFOF, Government of Cameroon).

¹²⁰ Perez, M. R., Ndoeye, O., et al. (2002). "A Gender Analysis of Forest Product Markets in Cameroon" in Africa Today, available at:

<https://www.jstor.org/stable/4187518>

¹²¹ Perez, M. R., Ndoeye, O., et al. (2002). "A Gender Analysis of Forest Product Markets in Cameroon" in Africa Today, available at:

<https://www.jstor.org/stable/4187518>

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Cameroon's GGGI score in 2021 was 0.692, which means it ranks 17th at the regional level and 96th globally. Sub-scores are as follows:

Sub-index	Score	Ranking
Economic Participation and Opportunity	0.706	61
Educational Attainment	0.885	137
Health and Survival	0.973	67
Political Empowerment	0.202	74

8.2.3 Country-level gender data indicators

SDG 1	CHOSEN INDICATORS	VALUES
	• % of population below international poverty line	• 23.7% (2021) ¹²³
	• % of population below national poverty line	• 37.5% (2014) ¹²⁴
	• % of population below lower middle income poverty line	• 42.6% (2021) ¹²⁵
	• % of population in severe multidimensional poverty ¹²²	• 25.6% (2014) ¹²⁶
	• % of population vulnerable to multidimensional poverty	• 17.3% (2014) ¹²⁷
	• % of male-headed households (HHs)	• n.a. (2015)
	• % of female-headed households	• 26% (2018) ¹²⁸

The World Bank finds that the pace of progress on poverty reduction in Cameroon between 2001 and 2014 is slow largely due to the high rate of population growth.¹²⁹ Poverty incidence is a largely rural phenomenon with a high degree of regional differences. While poverty incidence in the

¹²² Multidimensional poverty: In the post-2015 SDG and Agenda 2030 Framework, SDG 1 targets poverty elimination - in all forms and dimensions. This mandate requires tools to enumerate (quantitatively) and assess (qualitatively) poverty levels in different countries. The Multidimensional Poverty Index, calculated by UNDP and Oxford Poverty and Human Development Initiative (OPHI), is an important tool as it complements the international poverty line statistics by showing the nature and extent of overlapping deprivations for each person.

¹²³ Refers to the 1.90 USD per day international poverty line. Sustainable Development Report, Cameroon, 2021. Accessible at: <https://dashboards.sdindex.org/static/profiles/pdfs/SDR-2021-cameroon.pdf>

¹²⁴ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SI.POV.NAHC?locations=CM>

¹²⁵ Sustainable Development Report, Cameroon, 2021, Ibid.

¹²⁶ UNDP, Human Development Report 2020, Briefing note for countries on the 2020 Human Development Report, Cameroon, accessible at: <https://hdr.undp.org/sites/default/files/Country-Profiles/CMR.pdf>

¹²⁷ UNDP, Ibid.

¹²⁸ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SP.HOU.FEMA.ZS?locations=CM>

¹²⁹ World Bank, Poverty & Equity Brief: Cameroon, https://databank.worldbank.org/data/download/poverty/33EF03BB-9722-4AE2-ABC7-AA2972D68AFE/Global_POVEQ_CM.pdf

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North, North West and South West conflict-affected regions has slowly risen, it has largely stagnated in other areas of the country.¹³⁰ An influx of shocks, domestic and international crises, including those caused by COVID-19, inflation, the Ukraine crisis and conflict (Boko Haram in the North and with separatists in the Southwest) are likely to further affect livelihoods and the economy. Multidimensional poverty remains high in Cameroon with 38.9% of the population having limited access to standard sanitation and 23.2% having limited access to standard drinking water.¹³¹ Other features of poverty in Cameroon include:

- Inequality in Cameroon is high as indicated by the increase in the Gini index between 2007 (42.8) and 2014 (46.6).
- Women's poverty is largely confined to rural areas where they are smallholders and may find it difficult to improve their level of income because of being disadvantaged in terms of 'educational attainment, skills, knowledge, and access to lands and mean of production'.¹³² In addition, many of the crops these women grow are for self-consumption, they often lack autonomy to make decisions independently from their male family members and are burdened by time poverty (i.e. they have to cover agricultural work and domestic responsibilities).¹³³

SDG 3	CHOSEN INDICATORS	VALUES
	• % exposure to gender-based violence (lifetime probability)	• 51% ¹³⁴
	• # adolescent fertility rate, (modeled estimate, births per 1000 women)	• 103.49 births (2018) ¹³⁵
	• # maternal mortality ratio (modeled estimate, per 100,000 live births)	• 529 deaths (2017) ¹³⁶
	• # infant mortality rate modeled estimate, per 1000 live births)	• 26.1 deaths (2019) ¹³⁷
	• # children under five mortality (modeled estimate, per 1000 births)	• 74.8 deaths (2019) ¹³⁸

¹³⁰ World Bank, Poverty & Equity Brief: Cameroon, Ibid.

¹³¹ World Bank, Poverty & Equity Brief: Cameroon, Ibid.

¹³² JICA, 2015 Country Report of Gender Profile (Cameroon), p. 11.
<https://openjicareport.jica.go.jp/pdf/1000026850.pdf>

¹³³ Ibid.

¹³⁴ This data has been taken from: <https://evaw-global-database.unwomen.org/fr/countries/africa/cameroon?formofviolence=fac5fe48636e4d3882bbd2ebbf29bd60>

¹³⁵ Sustainable Development Report, Cameroon, 2021, Ibid.

¹³⁶ Sustainable Development Report, Cameroon, 2021, Ibid.

¹³⁷ Sustainable Development Report, Cameroon, 2021, Ibid.

¹³⁸ Sustainable Development Report, Cameroon, 2021, Ibid.

A World Bank study on Cameroon's health care system shows that public spending on health in Cameroon is low (1.5% of GDP) which is below the average for countries in sub-Saharan Africa.¹³⁹ As a result, many of the health care costs are borne by households out-of-pocket with high regional disparities in terms of public investment in health, health insurance coverage and health staff distribution. These regional disparities broadly reflect the poverty profile of the country and have distinct effects on the health of women:

- Gender-based violence is widespread with an estimated 34% of Cameroonian women between the ages of 15 and 49 having experienced physical violence while 21% have experienced sexual and physical violence.¹⁴⁰
- Maternal mortality ratios remain high in Cameroon at 529 deaths for 100,000 live births, which is above the 20 which the WHO uses as a threshold. There are also important differences with the North of the country hosting several displaced populations (who usually have worse maternal health). A study finds that in the North, 'any level of education and being Muslim were protective against maternal mortality' while 'domestic violence and ethnicity were associated with maternal death in the South' (increasing age and education also decreased maternal mortality in the South).¹⁴¹
- Under-five mortality is largely driven by diseases such as malaria, pneumonia and diarrhoea.¹⁴²

SDG 4	CHOSEN INDICATORS	VALUES
	• % literacy rate, adult female	• 71.5% (2018) ¹⁴³
	• % literacy rate, adult male	• 82.6% (2018) ¹⁴⁴
	• % literacy rate, youth female	• 82.4% (2018)
	• % literacy rate, youth male	• 87.7% (2018)
	• # children out of school, primary, female	• 262,532 (2019)
	• # children out of school, male	• 83,981 (2019)

¹³⁹ World Bank, Cameroon Economic Update Towards Greater Equity: A Special Focus on Health (2013), p. 20. <https://documents1.worldbank.org/curated/en/439211468224677542/pdf/806710WP0ENGLIOBox0379812B00PUBLICO.pdf>

¹⁴⁰ JICA, 2015 Country Report of Gender Profile (Cameroon), p. 19. <https://openjicareport.jica.go.jp/pdf/1000026850.pdf>

¹⁴¹ Catherine Meh, Amardeep Thind & Amanda L. Terry, 'Ratios and determinants of maternal mortality: a comparison of geographic difference in the northern and southern regions of Cameroon', *BMC Pregnancy and Childbirth* 20:194 (2020). <https://bmcpregnancychildbirth.biomedcentral.com/articles/10.1186/s12884-020-02879-y>

¹⁴² World Bank, Cameroon Economic Update Towards Greater Equity: A Special Focus on Health (2013), p. 16. <https://documents1.worldbank.org/curated/en/439211468224677542/pdf/806710WP0ENGLIOBox0379812B00PUBLICO.pdf>

¹⁴³ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=CM>

¹⁴⁴ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SE.ADT.LITR.MA.ZS?locations=CM>

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- % progression to secondary, female ● 69.3% (2015)¹⁴⁵
- % progression to secondary, male ● 63.9% (2015)¹⁴⁶

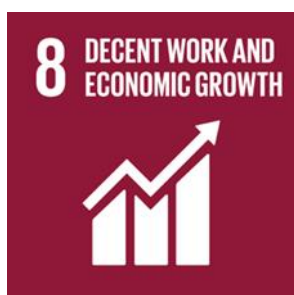
Cameroon spent 14.4% of its total government expenditures on education in 2020¹⁴⁷ with progress occurring regarding decreasing illiteracy over the last decade. Despite these changes, an education gender gap persists with women and girls encountering numerous challenges along their education pathway:

- Gross enrolment rates are highly gender-differentiated with 80% of girls between 6 and 14 attending schools against 94% of boys.¹⁴⁸ This can be attributed to a number of factors including poverty, which leads to women leaving school earlier in order to join the labour force, high rates of youth pregnancy and child marriage as well as traditional values which generally lead parents to first un-enrol girls as opposed to boys.¹⁴⁹ Poverty and lack of schooling are intimately linked with data by UNFPA showing that 71% of child brides come from poor households while UNICEF shows that 31% of teenage girls are married before the age of 18.¹⁵⁰
- Gaps in enrolment rates between the genders are still large for secondary education (64.6% for boys versus 55.4% for girls in 2016) but decrease when looking at tertiary education (15.1% for men versus 13.4% for women).¹⁵¹

SDG 8

CHOSEN INDICATORS

VALUES



- % labour force participation rate, female ● 67.19% (2014)¹⁵²
- # labour force, total ● 11,575,786 (2020)¹⁵³
- % vulnerable employment, female ● 80.83% (2019)¹⁵⁴
- % vulnerable employment, male ● 62.9% (2019)¹⁵⁵
- % wage and salaried workers, female ● 16.83% (2019)¹⁵⁶
- % wage and salaried workers, male ● 33.34% (2019)¹⁵⁷
- % employment in agriculture, female ● 10.98% (2019)¹⁵⁸
- % employment in agriculture, male ● 39.7% (2019)¹⁵⁹
- % of time, unpaid care work, female ● 15.82% (2014)¹⁶⁰
- % of time, unpaid care work, male ● 4.57% (2014)¹⁶¹

¹⁴⁵ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SE.SEC.PROG.FE.ZS?locations=CM>

¹⁴⁶ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SE.SEC.PROG.MA.ZS?locations=CM>

¹⁵² World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SL.TLF.CACT.FE.NE.ZS?locations=CM>

¹⁵³ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SL.TLF.TOTL.IN?locations=CM>

Access to employment particularly in the formal sector whether public or private remains challenging for Cameroonian women:

- In 2010-2011, the informal sector represented approximately 90% of jobs followed by the public sector (5.8%) and private formal sector (3.7%).¹⁶² Women tend to be overrepresented in the informal sector (93.8% against 87.5% for men) particularly in the agricultural sector where wages and crop yields are lower.
- Men's wages are between 1.5 and 2 times higher than those of women. Gender wage gaps are less pronounced in the formal sector than in the informal sector.¹⁶³ However, women tend to be under-represented in the formal private sector where there are twice as many men as women that are employed.¹⁶⁴ In the public sector, another source of formal employment, there were only 11.6% of women in 2012.¹⁶⁵
- Unemployment as a percentage of the labour force is also higher for women (4.5%)¹⁶⁶ than for men (3.3%).¹⁶⁷
- Results from a 2014 survey show that women spend 212 minutes a day on unpaid care work as opposed to 74 minutes for men with a large portion of this spent on unpaid domestic services for their own final use within the household.¹⁶⁸

¹⁴⁹ The Borgen Project, 'Girls' Education in Cameroon', <https://borgenproject.org/improving-girls-education-in-cameroon/>

¹⁵⁰ IPS, 'Cameroonian Women and Girls Saying No to Child Marriage', <http://www.ipsnews.net/2015/06/cameroonian-women-and-girls-saying-no-to-child-marriage/>

¹⁵¹ UNESCO, Institute for Statistics: Cameroon, <http://uis.unesco.org/en/country/cm>

¹⁵² World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SL.TLF.CACT.FE.NE.ZS?locations=CM>

¹⁵³ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SL.TLF.TOTL.IN?locations=CM>

¹⁵⁴ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SL.EMP.VULN.FE.ZS?locations=CM>

¹⁵⁵ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SL.EMP.VULN.MA.ZS?locations=CM>

¹⁵⁶ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SL.EMP.WORK.FE.ZS?locations=CM>

¹⁵⁷ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SL.EMP.WORK.MA.ZS?locations=CM>

¹⁵⁸ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SL.IND.EMPL.FE.ZS?locations=CM>

¹⁵⁹ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SL.AGR.EMPL.MA.ZS?locations=CM>

¹⁶⁰ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SG.TIM.UWRK.FE?locations=CM>

¹⁶¹ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SG.TIM.UWRK.MA?locations=CM>

¹⁶² Sabine Nadine Ekamena Ntsama, 'Les écarts salariaux de genre au Cameroun', *Revue multidisciplinaire sur l'emploi, le syndicalisme et le travail* Vol 9:2, 2014. <https://www.erudit.org/en/journals/remest/2014-v9-n2-remest02486/1036261ar/#:~:text=Depuis%20les%20ann%C3%A9es%201990%2C%20le,%C3%A0%2064%2C%20%25>.

¹⁶³ Ibid.

¹⁶⁴ Ibid.

¹⁶⁵ Ibid.

¹⁶⁶ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SL.UEM.TOTL.FE.ZS?locations=CM>

¹⁶⁷ World Bank Data Bank, Cameroon: <https://data.worldbank.org/indicator/SL.UEM.TOTL.MA.ZS?locations=CM>

¹⁶⁸ ILO, *The Unpaid Care Work and the Labour Market. An analysis of time use data based on the latest World Compilation of Time-use Surveys*, https://www.ilo.org/wcmsp5/groups/public/---dgreports/---gender/documents/publication/wcms_732791.pdf

8.3 Colombia

Colombia has the third largest economy in Latin America, and 80% of its 50 million inhabitants live in urban areas. In addition to deep-rooted social, economic and gender disparities, Colombia is currently the most unequal country in Latin America in terms of land distribution: 1% of landowners possess 80% of the territory.¹⁶⁹ Colombia has high levels of gender-based violence in relation to the environment: particularly, a track record of attacks against and murders of environmental human rights defenders, particularly women, which continues to increase since the peace agreement was signed in 2016.¹⁷⁰

Women defenders are socially active in the country, and they often tend to be small farmers, indigenous or Afro-Colombian. They are concentrated in rural areas where households are under the poverty line, affected by the long conflict that has lasted for more than five decades. Gender identities in Colombia are intersectional - which is an important factor to consider during gender assessments at localised programme and investment sites.¹⁷¹

It is estimated that 70% of the food eaten in the country is produced by small farmers, who can play a key role in the food security and climate adaptation as well as mitigation efforts of the country.¹⁷² Key value chains include plantain, banana, rice, maize, cattle, coffee, cocoa, palm oil and plantation forestry. **For the &Green Fund, cattle, coffee, cocoa, palm oil and forestry are priority value chains in the country, where the Fund has an active JECA.**

8.3.1 Supply chain sectors

Cattle

Colombia's cattle sector is very broad, with a cattle inventory of approximately 28 million heads, distributed across 623,792 farms¹⁷³, the fourth largest herd in Latin America. In 2017, livestock raising contributed to 1.4% of the country's GNP, generating 6% of national employment and 19% of agricultural employment.¹⁷⁴ In 2014, Colombia reported having 34M ha² of pasture, of which 27.9% were classified as unmanaged.¹⁷⁵ While the sector holds a great economic value, studies suggest that expansion of cattle represents one of the biggest drivers of deforestation in the

¹⁶⁹ San Pedro, P., (2010), "Women defenders of agricultural, territorial, and environmental rights in Colombia. Risking their life for peace", Oxfam Briefing Paper

¹⁷⁰ San Pedro, P., (2010), Ibid.

¹⁷¹ San Pedro, P., (2010), Ibid.

¹⁷² "Colombia as an agricultural powerhouse: The unfulfilled promise", Andrés Santana, <https://www.agroberichtenbuitenland.nl/landeninformatie/colombia/achtergrond/agro-logistics>, visited on 21/04/2022

¹⁷³ Instituto Colombiano Agropecuario (2021), "Censo Pecuario 2022". Available at: <https://www.ica.gov.co/areas/pecuaria/servicios/epidemiologia-veterinaria/censos-2016/censo-2018.aspx>

¹⁷⁴ Tapasco J, LeCoq JF, Ruden A, Rivas JS and Ortiz J (2019) The Livestock Sector in Colombia: Toward a Program to Facilitate Large-Scale Adoption of Mitigation and Adaptation Practices. *Front. Sustain. Food Syst.* 3:61. doi: 10.3389/fsufs.2019.00061

¹⁷⁵ DANE [Departamento Nacional de Estadística] (2014). Censo Nacional Agropecuario 2014. Bogotá: Departamento Administrativo Nacional de Estadística

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country:¹⁷⁶ in 2019, approximately 89% of the total farmland was devoted to cattle (on average, 0.7 head of cattle per hectare¹⁷⁷). Cattle (as well as palm oil and illicit cultivations, such as coca) is also tightly linked with the land grabbing phenomenon, as reported by a recent investigation led by WWF and InSight Crime, funded by USAID.¹⁷⁸ According to the Colombia's Institute of Hydrology, Meteorology and Environmental Studies (IDEAM), in the Northern departments of Guaviare, Caquetá and Meta, up to 64,000 hectares have been destroyed between January and March 2020, an 80% increase compared with the same period in 2019.¹⁷⁹ Moreover, Tapasco et al. (2019) note that the livestock sector produced 26% of Colombia's total GHG emissions, with cattle amounting to 95% of the sector's emissions.¹⁸⁰

There is also a key gender dimension to the cattle and livestock sector in Colombia: there seems to be a general gendered pattern of labour allocation in the country, due to which men are responsible for farm and livestock activities, and women are assigned to household and care work.¹⁸¹ A study conducted in the livestock intensive region of Cauca, in fact, found that only 13% of women reported livestock as their principal activity, indicating care work as their principal occupation instead. About 70% of them, indicated some kind of agricultural activity as their secondary occupation, 43% of which is livestock rearing.¹⁸² The study analyses the effect of extreme weather events on livestock production, focusing on the prolonged drought that hit the Cauca region in 2015-2016.

The impact on labour allocation was not gender neutral, with 80% of men reporting a negative trade-off between work and leisure time, against 60% of women reporting a negative trade-off between housework and farm work, therefore juggling between different responsibilities. However, sustainable livestock programmes, such as the World Bank-supported *Mainstreaming Sustainable Cattle Ranching* project, have shown promising results of how the silvopastoral approach can advance rights and wellbeing of small farmers, including women and internally displaced people, while also improving the sustainability of cattle practices.¹⁸³

It is, therefore, essential that investment and reforestation programmes engaged in this value chain, such as the &Green Fund, consider the gender disparities that affect the sector. This includes addressing the significant disparity in terms of time poverty, and by enhancing awareness and equal access to technical knowledge of sustainable cattle practices, to improve environmental as well as gender outcomes.

¹⁷⁶ Fundacion Natura Colombia, CDP (2018), Policy Brief "Challenges in reducing livestock farming-related deforestation in Colombia - Recommendations for Colombia's new government and the 2018 - 2022 National Development Plan"

¹⁷⁷ World Bank (2019), "Trees and cows offer path to recovery in Colombia", Feature Story, available at: <https://www.worldbank.org/en/news/feature/2019/07/08/trees-and-cows-offer-path-to-recovery-in-colombia>

¹⁷⁸ WWF (2021), "Corruption and criminality behind biodiversity loss in Colombia's forests: Land grabbing", Available at: <https://www.worldwildlife.org/pages/tnrc-partner-resource-tgnr-corruption-and-criminality-behind-biodiversity-loss-in-colombia-s-forests-land-grabbing>

¹⁷⁹ InSight Crime (2021), "Land Grabbing: Tracing and Targeting the 'Invisible' Threat Destroying Colombia's Forests", available at: <https://insightcrime.org/news/land-grabbing-tracing-targeting-invisible-threat-destroying-colombia-forests/>

¹⁸⁰ Tapasco et al., Ibid,

¹⁸¹ Arora, A. (2019). Extreme weather events (drought) and its impact on assets, livelihoods and gender roles. Case study of small-scale livestock herders in Cauca, Colombia.

¹⁸² Arora (2019), ibid.

¹⁸³ World Bank (2019), Ibid.

Palm oil

Colombia is the largest producer of palm oil in Latin America, as well as the fourth largest¹⁸⁴ and fastest¹⁸⁵ growing producer in the world. According to the National Federation of Oil Palm Growers of Colombia (FEDEPALMA), palm oil is the fourth largest export in the agricultural sector and created 177,400 jobs¹⁸⁶ in 2019. These data points underscore the importance of this value chain for the Colombia economy.

The palm oil value chain is, apparently, less responsible for deforestation in Colombia as in other countries (notably, Indonesia and Malaysia): according to the Colombia's Institute of Hydrology, Meteorology and Environmental Studies (IDEAM), only 0.25% of deforestation between 2011 and 2017 is related to palm oil production, and overall share of certified palm oil increased from 5% in 2014 to 20% in 2018.¹⁸⁷ Moreover, after a complex tripartite labour deal supported by ILO¹⁸⁸, there has been a significant improvement in labour condition, wages and job formalization in the sector.

However, palm oil companies have been accused water and air contamination¹⁸⁹, with severe negative effects on the health of nearby communities. Contamination has a significant, negative cascading effect on women, generally tasked with collection of water and household care, increasing their workload.

In addition, women are generally discriminated against in the palm oil sector at the global level: they have fewer or no opportunities on and around plantations compared with men, they usually work in lower status and lower paid positions, and are much more likely to be employed informally, limiting their access to social security and basic services. The limited, informal status of women in the sector also causes them to undertake dangerous tasks with little or no protection, exposing them to risks and harm.¹⁹⁰

Considering these factors, the &Green Fund will activate solutions to address these disparities and gaps, to increase social inclusion in the palm oil value chain. This will ensure that current inequality is not further exacerbated, and, in fact, will be combated to advance the human rights of all workers and communities involved in the palm oil value chain. In particular, clients of the Fund

¹⁸⁴ US Department of Agriculture, available at: <https://ipad.fas.usda.gov/cropexplorer/cropview/commodityView.aspx?cropid=4243000>

¹⁸⁵ CIFOR (2013) "Colombia's palm oil boost must account for environment and human rights concerns", available at: <https://forestsnews.cifor.org/14267/colombias-palm-oil-boost-must-account-for-environment-and-human-rights-concerns?fnl=>

¹⁸⁶ FEDEPALMA, available at: <http://web.fedepalma.org/>

¹⁸⁷ Solidaridad Network (2019), "Palm Oil producers in Colombia share sustainability success with Dutch parliamentarians", available at: <https://www.solidaridadnetwork.org/news/palm-oil-producers-in-colombia-share-sustainability-successes-with-dutch-parliamentarians/>

¹⁸⁸ ILO, "Direct hiring opens up new horizons in Colombia's palm oil sector", available at: <https://www.ilo.org/global/about-the-ilo/multimedia/features/colombia/lang--en/index.htm>

¹⁸⁹ See: Business & Human Rights Resource Centre (2022) "Colombia: Palm oil company Oro Rojo's environmental permits under investigation for alleged pollution of waterways", available at: <https://www.business-humanrights.org/en/latest-news/colombia-palm-oil-company-oro-rojos-environmental-permits-under-investigation-for-alleged-pollution-of-waterways/> and World Rainforest Movement (2018) "Guatemala and Colombia: Women facing oil palm plantations", available at: <https://www.wrm.org.uy/bulletin-articles/guatemala-and-colombia-women-facing-oil-palm-plantations>. In the interviews, local Afro-Colombian farmers initially displaced by the ongoing conflict, state that upon their return the land had been transformed into Palm Oil plantation.

¹⁹⁰ Quiroz, D., Achterberg, E., Arnould, J. (2021, May), Sector Analysis: Latin American Palm Oil, Amsterdam, The Netherlands: CNV Internationaal and Profundo

will work towards increasing access to resources, application of labour rights and formalization of labour, as well as access to training to empower women in the palm oil sector.

Coffee

Colombia is the third largest coffee producer in the world, behind Brazil and Viet Nam. Around 86% of the coffee is exported as green coffee, while the remaining product is roasted and consumed locally. Colombia is also an important producer of certified coffees, with 7 certification programmes, among which Colombia is the second-largest producer of Rainforest Alliance-certified coffee and the largest producer of Fairtrade-certified coffee.¹⁹¹ While coffee is a key value chain for the Colombian economy, it has been facing increasing climatic and economic challenges: between 2017 and 2019, Colombia lost nearly 100,000 acres of coffee plantations (more than 4% of the land under coffee cultivation), according to the Colombia's National Federation of Coffee Growers. The decreasing sunlight time, extreme weather events and spread of fungal diseases and insects have hit the sector. Out of approximately 500,000 farms, 95% are smaller than 12 acres.¹⁹²

A study conducted on gender relations in the coffee value chain highlights strong perception of gender roles, with ingrained conceptions about femininity and masculinity, identified by respondents as sound reasoning to assign “lighter” tasks to women and to justify “belonging” of women to the home realm.¹⁹³ These perceptions of gender roles influence the tasks that women carry out in coffee production. Such tasks tend to include those relegated to the household space, so they can simultaneously do care work and farm work (drying, processing, vegetable garden, preparation of meals for workers, small livestock breeding. Other tasks include: coffee bean selection; record-keeping, with the perception of women being more organized and having more time.

In other words, the roles in the farm mirror the roles in the household as well as within the community. It is also reported that, while the farm is considered family property, the formal owner is almost exclusively a man, unless the women received inheritance or were specifically assigned a plot. This is an active discriminatory practice, which also affects the possibility of women to access resources and income generated by the production, as well as their involvement in decision-making. As a result of these practices, women are also less involved in technical and training activities and opportunities.¹⁹⁴

However, there is evidence that women-centred projects linked with coffee production (such as the positive case of the *Asociacion de Mujeres Cafeteras del Occidente del Huila*, or the Association of Rural Women *Almaguereñas*, supported by UN Women) have a positive impact on

¹⁹¹ Ferro, G., UNCTAD (2021), “National Workshop on Fostering Integration of the Ethiopian Roasted Coffee Value Chain into Regional Value Chains, 11 March 2021, Addis Ababa, Ethiopia. Colombia case study: Roasted Coffee”, https://unctad.org/system/files/information-document/THAN_ETH_Gustavo_Ferro_Colombia_110321.pdf

¹⁹² Schiffman, R., Yale Environment 360, 2019, “As Climate Changes, Colombia’s Small Coffee Farmers Pay the Price”, available at: [https://e360.yale.edu/features/as-climate-changes-colombias-small-coffee-farmers-pay-the-price#:~:text=In%20the%20last%2018%20months,of%20Coffee%20Growers%20\(Fedecaf%C3%A9\).](https://e360.yale.edu/features/as-climate-changes-colombias-small-coffee-farmers-pay-the-price#:~:text=In%20the%20last%2018%20months,of%20Coffee%20Growers%20(Fedecaf%C3%A9).)

¹⁹³ Cardona Torres C., Global Coffee Platform, Sustainable Trade Platform, (2018) Gender Equality Analysis in Colombia’s Coffee Sector, available at: <https://www.solidaridadnetwork.org/wp-content/uploads/migrated-files/uploads/Colombia%20coffee%20report%20resized.pdf>

¹⁹⁴ Ibid.

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women, empowering them as producers and contributing to combat gender inequality both in the coffee sector and within their families and communities.¹⁹⁵

Through its investments, the &Green Fund will leverage these experiences, and work towards actively involving women in the production of coffee, increasing access to training and technical knowledge, and improving the division of labour, to ensure a sustainable income from and social inclusion in the coffee supply chain.

Cocoa

While cocoa has long been cultivated and consumed domestically, Colombia is the 10th largest producer globally, with just 1% market share.¹⁹⁶ In 2020, there were 52,000 producer families, 11,148 tons exported and 63,416 produced, with 165,000 jobs created.¹⁹⁷

In 2018 Colombia signed up for the Cocoa and Forest Initiative, with the commitment of ending deforestation in the cacao supply chain by 2020. A recent baseline study¹⁹⁸ conducted by the International Centre for Tropical Agriculture (CIAT) found that cocoa cultivation is not linked with deforestation, but that its production is, in many cases, associated with areas affected by conflict and presence of illegal crops, which also happen to be areas with high rate of deforestation. Cocoa could be an agent of forest conservation, as well as driving peace as an alternative income from illicit cultivations. However, most cocoa farms in Colombia have low productivity and are smaller than needed to produce sufficient income: the value chain needs to be developed and made profitable in order to exploit its environmental and social benefits.¹⁹⁹

As in all the other value chains analysed, the strong perception of gender roles defines the participation of women in the cocoa sector. The association of women and reproductive work excludes them from productive and community spaces²⁰⁰, causing an imbalance: participation in the productive space is only 22% for women, compared to 58.6% for men, while men participation in the reproductive space is only 6%, compared with 86.3% for women. Community space seems to be less imbalanced, with an almost equal representation, which might be a way to reduce gender gaps. The role of women in the cocoa sector has proven to be essential for advancing sustainability, as:

- they consistently and creatively adopt technical recommendations to improve crop productivity and sustainability;
- they pass on the knowledge acquired in training sessions on the technical, environmental and social aspects of cultivation to their families and the wider community; and,

¹⁹⁵ UNWomen, (2017), “Colombian women growing coffee, brewing peace”, available at: <https://www.unwomen.org/en/news/stories/2017/10/feature-colombian-women-growing-coffee-brewing-peace>

¹⁹⁶ Requejo M, Parizat R, World Bank Blogs “The future of Colombian cocoa is sustainable, climate-smart, and oh so sweet”, available at: <https://blogs.worldbank.org/climatechange/future-colombian-cocoa-sustainable-climate-smart-and-oh-so-sweet>

¹⁹⁷ Cardona, C, Nieto, M, Ramirez, M, (2020), Analysis of gender equity in the cocoa sector in Colombia, available at: https://www.solidaridadnetwork.org/wp-content/uploads/2021/08/SOL_AnalysisGenderEquity_CocoaColombia_small.pdf

¹⁹⁸ CIAT (2019), “New study: In Colombia, cacao isn’t causing significant deforestation but could help reduce forest loss and conflict”, Available at: <https://blog.ciat.cgiar.org/new-study-in-colombia-cacao-isnt-causing-significant-deforestation-but-could-help-reduce-forest-loss-and-conflict/>

¹⁹⁹ CIAT (2020), “Can cocoa save Colombia’s forests?”, Available at: <https://alliancebioiversityciat.org/stories/can-cocoa-save-colombias-forests>

²⁰⁰ Cardona, Nieto, Ramirez, Ibid.

- they go beyond the boundaries of their own farms and participate in solidarity and associative activities within the community.²⁰¹

Women are, therefore, important agents of change to reduce deforestation and increase resilience of and peace among their families and communities. The &Green Fund will work towards addressing the gap in terms of access to decision-making and resources through its programme framework, leveraging instead on their capacity to advance the environmental objectives and reduce the gender gaps at the same time.

Plantation forestry

A study conducted by IDEAM in 2017²⁰² found that almost 50% of all timber produced in Colombia is illegally sourced. Colombia holds the potential to plant 24 million hectares of forests, against the 511,000 that have currently been planted²⁰³: there is therefore considerable growth potential in this area. In 2008, Colombia was the first Latin American country to introduce an Intersectoral Pact for Legal Timber (PIML), which was supported by FAO-EU Forest Law Enforcement, Governance and Trade (FLEGT) programme and involved the Colombian Ministry for Environment (MADS), communities, producers, civil society and law enforcement agencies. It now includes 70 public and private sector organizations, and has become a model for sustainable forestry in the region.

Plantation forests require intensive management, but they grow faster than natural forests: in 2011 FAO reported that although they accounted only for 5% of the total wood forest area, it produced 35% of all the world's wood product.²⁰⁴ Forestry and forest management, however, is not gender neutral: socio-cultural and economic reasons, including land ownership and political underrepresentation, result in women having less access and control over forest resources and economic opportunities.²⁰⁵ However, women are powerful agents of forests conservation and management, as they are in charge with the wellbeing of the household, and tend to adopt a different approach to forestry than men: less focused on income (timber, mining, mono-cultures) and more on agroecology, including food security, medicinal plants, and transmission of invaluable knowledge to future generations.²⁰⁶

The &Green Fund will therefore mainstream gender into the forestry value chain, maximising the impact women can have on conservation and sustainable exploitation of plantation forests, as well as advancing their participation to decision-making, access to resources and efforts for land ownership.

²⁰¹ Cardona, Nieto, Ramirez, Ibid.

²⁰² IDEAM, 2017, Resultados Monitoreo de la Deforestacion: http://documentacion.ideam.gov.co/openbiblio/bvirtual/023835/Resultados_Monitoreo_Deforestacion_2017.pdf

²⁰³ FAO, 2017, "Colombia: Country unites to build a legal timber culture", available at: <https://www.fao.org/in-action/eu-fao-flegt-programme/from-the-field/stories-details/zh/c/1036489/>

²⁰⁴ Definition taken from the Encyclopedia of Ecology.

²⁰⁵ UN-REDD, 2020, "Women and forests: mainstreaming gender into community forestry in Colombia", available at: <https://www.un-redd.org/news/women-and-forests-mainstreaming-gender-community-forestry-colombia>

²⁰⁶ UN-REDD, 2020, Ibid.

8.3.2 Latest Global Gender Gap Index score

Colombia's GGGI score in 2021 was 0.725, which means it ranks 15th at the regional level and 59th globally. Sub-scores are as follows:

Sub-index	Score	Ranking
Economic Participation and Opportunity	0.708	60
Educational Attainment	1.000	1
Health and Survival	0.975	56
Political Empowerment	0.216	67

8.3.3 Country-level gender data indicators

SDG 1	CHOSEN INDICATORS	VALUES
	• % of population below international poverty line	• 4.74% (2021) ²⁰⁸
	• % of population below national poverty line	• 42.5% (2019) ²⁰⁹
	• % of population below lower middle income poverty line	• 12.7% (2021) ²¹⁰
	• % of population in severe multidimensional poverty ²⁰⁷	• 0.8% (2015) ²¹¹
	• % of population vulnerable to multidimensional poverty	• 6.2% (2015) ²¹²
	• % of male-headed households (HHs)	• n/a
	• % of female-headed households	• 30.3% (2005)

²⁰⁷ Multidimensional poverty: In the post-2015 SDG and Agenda 2030 Framework, SDG 1 targets poverty elimination - in all forms and dimensions. This mandate requires tools to enumerate (quantitatively) and assess (qualitatively) poverty levels in different countries. The Multidimensional Poverty Index, calculated by UNDP and Oxford Poverty and Human Development Initiative (OPHI), is an important tool as it complements the international poverty line statistics by showing the nature and extent of overlapping deprivations for each person.

²⁰⁸ Refers to the 1.90 USD per day international poverty line. Sustainable Development Report, Colombia, 2021. Accessible at: <https://dashboards.sdgindex.org/profiles/colombia>

²⁰⁹ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SI.POV.NAHC?locations=CO>

²¹⁰ World Bank, Poverty & Equity Brief, Latin America & the Caribbean, Colombia, April 2021

²¹¹ UNDP, Briefing note for countries on the 2020 Human Development Report, Colombia, 2021

²¹² UNDP, 2021, Ibid.

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The World Bank²¹³ finds that monetary poverty increased in Colombia from 34.7% in 2018 to 35.7% in 2019, with an additional 662,000 thousand people falling into poverty. Inequality continued to increase, as the GINI index²¹⁴ reached 52.7 in 2019: among the highest in Latin America.

- Colombia is one of the most unequal countries in the world, with a GINI Index of 52.7 and inequality increasing both in urban and rural areas.
- Income inequality is historically very high in Colombia. According to the World Bank, in 2017, 10% of the population received 39% of the total income. In 2019 Households in the bottom 40 percent of Colombia's income distribution experienced little income growth, yet still positive compared to the reduction in average income per capita growth. In rural areas, while the economic effects of the COVID-19 pandemic were less devastating than in urban centres, female poverty remains higher: 49.4% compared with 44.6%.
- Income inequality causes significant social and economic hurdles, and it can impede upward social mobility by diminishing opportunities for marginalized groups, including women, the poor, indigenous groups and children.²¹⁵ It is important to remember how in the case of Colombia, as indicated at the beginning, intersectionalities can aggravate inequality. While Colombia has made progress in advancing women's rights in the last decade, the gender gap in employment remains a challenge, with higher unemployment rates and a significant wage gap.²¹⁶
- Female-headed households have historically experienced increased levels of poverty compared to male-headed households, especially in rural areas.²¹⁷ The situation has been aggravated by the pandemic: poverty in FHH was 38.2% in 2019, and it rose to 46.7% in 2020. In comparison, in the same period, poverty among male-headed households increased by 5.7%.²¹⁸

²¹³ World Bank, 2021, Poverty and Equity Brief, Latin America and the Caribbean, available at: https://databank.worldbank.org/data/download/poverty/987B9C90-CB9F-4D93-AE8C-750588BF00QA/AM2020/Global_POVEQ_COL.pdf

²¹⁴ The Gini coefficient measures the deviation of the distribution of income (or consumption) among individuals or households in a given country from a perfectly equal distribution. A value of 0 represents absolute equality, whereas 100 would be the highest possible degree of inequality.

²¹⁵ OECD (2017), Economic Surveys - Colombia

²¹⁶ OECD (2017), Ibid.

²¹⁷ UN Women (2016), La Implementación del Sistema de Cuotas Electorales y Su Impacto en la Participación Política de las Mujeres en las Elecciones Locales de 2015, http://masmujeresmasdemocracia.mininterior.gov.co/sites/default/files/Implementaci%C3%B3n_Sistema%20de%20Cuotas%20y%20participacion%20P_elecciones%20locales%202015.pdf

²¹⁸ DANE (2021), Pobreza Monetaria en Colombia: https://www.dane.gov.co/files/investigaciones/condiciones_vida/pobreza/2020/Presentacion-pobreza-monetaria_2020.pdf

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SDG 4	CHOSEN INDICATORS	VALUES
	• % literacy rate, adult female	• 95.8% (2020) ²¹⁹
	• % literacy rate, adult male	• 95.3% (2020) ²²⁰
	• % literacy rate, youth female	• 99.2% (2020) ²²¹
	• % literacy rate, youth male	• 98.7% (2020) ²²²
	• # children out of school, primary, female	• 5,760 (2019) ²²³
	• # children out of school, male	• 29,320 (2019) ²²⁴
	• % progression to secondary, female	• 94.7 (2012) ²²⁵
	• % progression to secondary, male	• 98.4 (2012) ²²⁶

Colombia has made significant progress in the field of education, as observed by the World Bank: the literacy gender gap has been negligible in the last two decades, and women now outnumber men in the enrolment rate for secondary and tertiary education.²²⁷ The OECD²²⁸ finds that Colombia invests a share of its Gross Domestic Product (GDP) on education which is in line with the OECD average (4.9% in 2018). However, expenditure per student remains significantly lower among all educational levels compared with OECD average. Gender dynamics can be observed in the education sector in Colombia, as identified by the report:

- In Colombia, the proportion of children from the bottom quartile of the PISA index of economic, social and cultural status (ESCS) achieving at least PISA level 2 in reading in 2018 was 56% lower than that of children from the top ESCS quartile, a larger share than the OECD average of 29%.
- In Colombia, Young women are less likely to be employed than young men, particularly those with lower levels of education. Only 37% of 25 - 34-year-olds women with below upper secondary attainment were employed in 2020 compared to 82% of men in Colombia. This gender difference is larger than the average across OECD countries, where 43% of women and 69% of men with below upper secondary attainment are employed.

²¹⁹ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=CO>

²²⁰ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SE.ADT.LITR.MA.ZS?locations=CO>

²²¹ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.FE.ZS?locations=CO>

²²² World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.MA.ZS?locations=CO>

²²³ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SE.PRM.UNER.FE?locations=CO>

²²⁴ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SE.PRM.UNER.MA?locations=CO>

²²⁵ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SE.SEC.PROG.FE.ZS?locations=CO>

²²⁶ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SE.SEC.PROG.MA.ZS?locations=CO>

²²⁷ World Bank, Colombia Gender Assessment: <https://documents1.worldbank.org/curated/en/665381560750095549/pdf/Gender-Equality-in-Colombia-Country-Gender-Assessment.pdf>

²²⁸ OECD (2021), Education at a Glance, Colombia, available at: <https://www.oecd-ilibrary.org/sites/d796f59e-en/index.html?itemId=/content/component/d796f59e-en>

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- Compared to other education levels, women with tertiary education in Colombia have the lowest earnings relative to men with a similar education level, earning 80% as much, while those with below upper secondary education earn 87% as much.
- The impact of the pandemic on the economy has raised concerns about the prospects of young adults, especially those leaving education earlier than others. In Colombia, the unemployment rate among 25 - 34-year-olds with below upper secondary attainment was 15.5% in 2020, an increase of 5 percentage points from the previous year. In comparison, the average youth unemployment rate of 15.1% in 2020 across OECD countries represented an increase of 2 percentage points from 2019.

SDG 3

CHOSEN INDICATORS

VALUES



- | | |
|--|--------------------------------------|
| • % exposure to gender-based violence (lifetime probability) | • n/a |
| • # adolescent fertility rate, (modeled estimate, births per 1000 women) | • 65.48 births (2018) ²²⁹ |
| • # maternal mortality ratio (modeled estimate, per 100,000 live births) | • 83 deaths (2017) ²³⁰ |
| • # infant mortality rate (modeled estimate, per 1000 live births) | • 7.5 deaths (2019) ²³¹ |
| • # children under five mortality (modeled estimate, per 1000 births) | • 13.8 deaths (2019) ²³² |

Colombia adopted a healthcare system based on universality in 1993.²³³ Since then, citizens are obliged to join one of two possible insurance schemes: a contributory plan for employees and self-employed workers with contributory capacity or a subsidized (non-contributory) scheme for informal workers and low-income self-employed workers. Members of the two schemes are entitled to the same benefits, with a single service package available. The system had a positive impact on access to healthcare for rural and poor communities and since its adoption, maternal and neonatal mortality rate has fallen by 40%. However, there are significant challenges and risk for women and girls in Colombia:

- Maternal mortality rates or MMRs: MMRs in Colombia has declined in the last decades, but at 65.48 remains much higher than the acceptable rate of twenty maternal deaths per 100,000 live births that the WHO deems acceptable. In addition, economic inequality has

²²⁹ Sustainable Development Report, Ibid.

²³⁰ Sustainable Development Report, Ibid.

²³¹ Sustainable Development Report, Ibid.

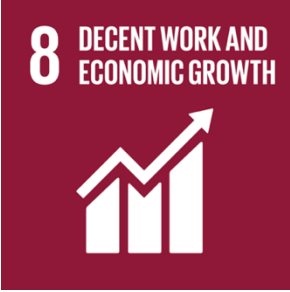
²³² Sustainable Development Report, Ibid.

²³³ ILO, Universalizing Health Protection, Colombia, available at: <https://www.social-protection.org/gimi/RessourcePDF.action;jsessionid=UbvthQhd61MEJEPXsuCPOqVBUsAF0SUZDqnVP-40zIPlyn3Jcc10!539423187?id=48019>

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a direct effect on high level of mortality rates: 20% of territories with the lowest health spending per capita have reached 35% of maternal mortality.²³⁴

- Abortion has only very recently become legal in Colombia. Prior to that, according to local reproductive healthcare providers, up to 400,000 abortions were carried out annually, but only 10% of those legally. Only in 2020, 26,223 unsafe abortions were carried out.²³⁵ A lack of knowledge about sexual and reproductive rights, in particular among migrant women, also hampers a full access to SRHR. Lack of coordination among health and territorial systems and a difficult access to contraceptives are also reported,²³⁶ while the adolescent fertility rate is very high and a significant challenge.
- COVID-19: Gender-Based Violence (GBV) is already prevalent in Colombia, and as in many conflict and post-conflict countries - underreported. The COVID-19 outbreak has worsened this phenomenon, and also increased risk of human trafficking and sexual exploitation.²³⁷
- Adolescent fertility rate has decreased significantly over the last two decades, but it is still very high and above average for Upper Middle Income Countries. Teenage pregnancies expose girls to higher risks of eclampsia, puerperal endometritis, systemic infections, low birth weight, preterm delivery, and severe neonatal conditions. Moreover, almost 7% of girls who were not attending school in 2015 indicated pregnancy as the main cause, especially those who completed primary and secondary education.²³⁸

SDG	CHOSEN INDICATORS	VALUES
 8 DECENT WORK AND ECONOMIC GROWTH	• % labour force participation rate, female	• 50.28% (2020) ²³⁹
	• # labour force, total	• 24,826,218 (2020) ²⁴⁰
	• % vulnerable employment, female	• 46.08% (2019) ²⁴¹
	• % vulnerable employment, male	• 45.81% (2019) ²⁴²
	• % wage and salaried workers, female	• 51.53% (2019) ²⁴³
	• % wage and salaried workers, male	• 49.66% (2019) ²⁴⁴

²³⁴ Rivillas et al., Measuring socioeconomic and health financing inequality in maternal mortality in Colombia: a mixed methods approach, International Journal for Equity in Health (2020) 19:98 <https://doi.org/10.1186/s12939-020-01219-y>

²³⁵ The Guardian, 2022, "Colombia legalises abortion in move celebrated as 'historic victory' by campaigners", available at: <https://www.theguardian.com/global-development/2022/feb/22/colombia-legalises-abortion-in-move-celebrated-as-historic-victory-by-campaigners>

²³⁶ USAID, 2021, Gender and Social Inclusion Analysis in Colombia.

²³⁷ Gaps UK, CARE International, GENFAMI (2021), Now and the future: gender equality, peace and security in a COVID-19 world, Colombia

²³⁸ World Bank, Colombia Gender Assessment: <https://openknowledge.worldbank.org/handle/10986/32006>.

²³⁹ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SL.TLF.CACT.FE.NE.ZS?locations=CO>

²⁴⁰ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SL.TLF.TOTL.IN?locations=CO>

²⁴¹ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SL.EMP.VULN.FE.ZS?locations=CO>

²⁴² World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SL.EMP.VULN.MA.ZS?locations=CO>

²⁴³ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SL.EMP.WORK.FE.ZS?locations=CO>

²⁴⁴ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SL.EMP.WORK.MA.ZS?locations=CO>

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• % employment in agriculture, female	• 6.6% (2019) ²⁴⁵
• % employment in agriculture, male	• 22.31% (2019) ²⁴⁶
• % of time, unpaid care work, female	• 5.021% (2017) ²⁴⁷
• % of time, unpaid care work, male	• 2.92% (2017) ²⁴⁸

Colombian labour market was hit harshly by the pandemic, and its effect were felt in particular in the urban centres, where is concentrated 80% of the overall country population. While some of the damages were absorbed and the economy adjusted in 2021, the country has not yet returned to the pre-pandemic employment levels.²⁴⁹ Employment remains gendered and women are both burdened by unpaid care work and discriminated in terms of wage, social security, formalization of labour and access to training:

- Women's unemployment has historically been higher in Colombia, and women were particularly affected by the pandemic shock to the labour market: in March 2022, unemployment rate was 16.5% for women, compared with 10.3% for men.²⁵⁰
- The World Bank²⁵¹ finds that civil status, children, education and economic background are all factors determining women participation in the labour market: women who were in a union (divorced, widowed or separated) are most likely to be working (75.6% of all women workers), followed by women in a union (57.8%) and by single women (38.5%). Women without children are found to be working less frequently, but among mothers participation decreases with number of children. Women who have completed tertiary or primary education are much more likely to find work than women who complete the secondary cycle (44%) who are even less likely to work than those with no education at all (49%). Women from the highest income quintile (61.2%) are also found to be working more frequently than those from the lowest quintile (39.1%).
- According to the National Survey on Time Use²⁵², women spent on average 7 hours and 46 minutes to unpaid work, compared with 3 hours and 6 minutes for men. The World Bank, in 2017, estimated women dedicate approximately 5% of their time to unpaid care work, compared with 2.9% for men. IN 2017, It was estimated that unpaid care work amounted to as much as 20% of GDP. As indicated above, the conflict and added burden of unpaid care work influences the level of participation to work and community life, access to economic

²⁴⁵ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SL.AGR.EMPL.FE.ZS?locations=CO>

²⁴⁶ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SL.AGR.EMPL.MA.ZS?locations=CO>

²⁴⁷ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SG.TIM.UWRK.FE?locations=CO>

²⁴⁸ World Bank Data Bank, Colombia: <https://data.worldbank.org/indicator/SG.TIM.UWRK.MA?locations=CO>

²⁴⁹ Llanes, M (2020), "Los efectos de la pandemia sobre el mercado laboral fueron fuertes, a pesar de la recuperación que se dio desde finales del segundo trimestre",

²⁵⁰ DANE (2022), Indicadores de Mercado Laboral: <https://www.dane.gov.co/index.php/estadisticas-por-tema/mercado-laboral/empleo-y-desempleo>

²⁵¹ World Bank, Colombia Gender Assessment.

²⁵² DANE (2021), Encuesta Nacional de Uso del Tiempo (ENUT): <https://www.dane.gov.co/index.php/estadisticas-por-tema/pobreza-y-condiciones-de-vida/encuesta-nacional-del-uso-del-tiempo-enut>

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resources and decision-making, assignment of tasks and possibility to access training - de facto hampering possibilities of upward social mobility. Women are also more likely to be in informal labour than men (49% compared with 44%²⁵³), in which case they earn less than 70% of minimum wage, and yet most respondents indicated they would not switch to formal labour: this might be related to their need to provide care and domestic work.

See next page for Section 8.4 on Côte d'Ivoire.

²⁵³ Cossio Tellez M (2021), "Women have more disadvantages than men in informal work scenarios", Universidad Nacional de Colombia, Periodico UNAL: <https://unperiodico.unal.edu.co/pages/detail/women-have-more-disadvantages-than-men-in-informal-work-scenarios/>

8.4 Côte d'Ivoire

Côte d'Ivoire is the world's largest producer and exporter of cocoa (30% of the world production), one of the three bigger producer and exporter of cashew, and a major exporter of palm oil, coffee and oil. The country's economy is mainly based on agriculture. The primary sector contributes USD 13.12 billion to GDP, or 21.4%, and employs 40% of the country's active population. **For the &Green Fund, oil palm and cocoa are priority value chains in Cote d'Ivoire, where the fund aims at establishing a JECA agreement.**

8.4.1 Supply chain sectors

Palm Oil

Côte d'Ivoire is West Africa's second-largest palm oil producer after Nigeria and eighth largest overall. After annual production fell from 415,900 tonnes in 2010 to 360,000 in 2012, the country has successfully stabilised its annual production at around 400,000 tonnes per year, with local news reporting that the industry is worth CFA550bn (€825m) and affects upwards of 2m Ivorians. The government intends to further boost this industry, largely dominated by small village plantations responsible for up to 60% of the country's production, through the National Agricultural Investment Programme (*Programme National d'Investissement Agricole*, PNIA). Launched in 2016 for the 2016-20 period, the PNIA aims to increase production from around 400,000 tonnes per year to 600,000 tonnes.

As the fourth-highest income generator in the Ivorian economy, the palm oil industry is poised for growth over the next few years, thanks in large part to the government's 2016-20 PNIA. Home to Africa's largest palm oil refinery, Côte d'Ivoire's palm oil industry is primarily driven by small producers located in villages as opposed to Indonesia or Malaysia, where large-scale industrial plantations are common. Through investments from the government, Côte d'Ivoire's palm oil industry will be able to significantly expand production and continue exporting to neighbouring countries, a market very much in demand given oilseed shortages.

Approximately 85% of palm oil plantations are between one to five hectares, highlighting the importance of smallholders in this subsector.²⁵⁴ Around 60% of Côte d'Ivoire's palm oil comes from small village plantations. Ranging in size from 3-5 ha, small plantations are a strong source of sustainable employment for Ivorians. The remaining 40% of production is handled by large-scale industrial groups, which are able to produce almost double the tonnage per ha than small producers. Such industrial groups include Dekeoil and SIFCA. SIFCA is one of the largest producers of palm oil in West Africa. Its local subsidiary, PALMCI, holds 39,000 ha of land for industrial palm oil production and oversees and supports another 27,000 cultivators across 133,000 ha of small village plantations, enabling it to account for the production of up to 300,000 tonnes of palm oil per year.

Palm oil is a key commodity for women in Cote d'Ivoire: traditionally, it is them who manually produce it, with some growers selling part of their produce to artisanal women processors.²⁵⁵ A

²⁵⁴ <https://www.earthworm.org/news-stories/protecting-forests-developing-responsible-products-ivory-coast>

²⁵⁵ Carrere, R., World Rainforest Movement, 2010 (updated 2013), Oil Palm in Africa: Past, Present and Future Scenarios, p. 37

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recent study²⁵⁶ found that the productivity gender gap related to export crops, including palm oil, has reduced significantly between 2008 and 2016, to the point of being nearly closed. While this gain is partly driven by specific efforts by the Government to include women in agricultural production, and is evident in the high use of non-labour inputs (pesticide and fertilizers) used by female-headed households, the gender gap reduced also due to lower landholdings by female headed households. Women are also exponentially less likely to access export crops and face challenges in land tenure: the 2015/1016 census showed that only 8% of women hold a land title, compared with 22% of men. Moreover, while widows' right to inherit land is protected by law, actual inheritance practice varies geographically.²⁵⁷

Cocoa

As the world's largest cocoa grower, Côte d'Ivoire relies heavily on the commodity as a key economic export and major contributor to GDP. In 2020, cocoa accounted for nearly USD 4 billion export revenue. Recent research from UNEP found that the introduction and expansion of agroforestry throughout Côte d'Ivoire could help increase forest cover and reach the goal of doubling it to 20% by 2030.²⁵⁸ Moreover, the World Cocoa Foundation found that agroforestry measures such as introduction or increase of forest trees on 1.8 million hectares of low shade cocoa could meet the agroforestry definition of 30% shade, well exceeding the national goal of one million hectares across cocoa, oil palm and rubber combined.²⁵⁹

The cocoa value chain is gendered in Cote d'Ivoire: an assessment led by Fair Labour Association on women's role in Nestle's cocoa supply chain²⁶⁰ found that women face a number of risks and challenges. Women have a crucial role throughout the production chain, from field creation up to the drying process, which goes largely unrecognised in the Ivorian society. In fact, women have considerably less access to land, labour and non-labour inputs, education and capital. Women are also undercompensated, lack adequate access to representation and collective bargain, as well as to proper health and safety equipment. This is compounded by risks posed to health by hard physical work (which in the case of women is exacerbated by their double burden of unpaid care work: most women interviewed reported working on average 16 hours a day) and insufficient access to quality basic services in rural areas. Women in cocoa-producing household have a high illiteracy rate (60%), and that, plus traditional gender norms identifying the woman as inferior to her husband, does not contribute to women's access to technical and educational opportunities, as well as to decision-making processes.

The &Green Fund will take these barriers and challenges into account, to fully acknowledge women's role in the cocoa supply chain, supporting efforts to increase access to land, training and inputs, supporting a safe and equal division of labour. Community-based initiatives to raise awareness of women's rights, equal decision-making and fair participation will also be explored.

256 Donald A, Lawin G, Rouanet L, 2020, Gender Differences in Agricultural Productivity in Côte d'Ivoire - Changes in Determinants and Distributional Composition over the Past Decade, World Bank Group

257 Kalsi K., Memon, F., 2020, Women's Economic Empowerment in Cote d'Ivoire, WOW helpdesk query 55, available at: file:///G:/shortcut-targets-by-id/1IWoeCsPsRomlN5qc36XeCKyKIMZygG87/&Green%20-%20Annex%208%20-%20Gender%20Assessment%20and%20Action%20Plan/literature%20review/4%20Cote%20d'Ivoire/Query-55-WEE-in-Cote-D_Ivoire.pdf

258 UNEP. 2022. Cocoa agroforestry could help Cote d'Ivoire achieve 20% forest cover target. Available at

<https://www.unep-wcmc.org/en/news/cocoa-agroforestry-could-help-cote-divoire-achieve-20-forest-cover-target>

259 World Cocoa Foundation. 2022. Research shows Cote d'Ivoire can restore 20% of its forest cover by 2030. Available at <https://www.worldcocoaoundation.org/blog/research-shows-cote-divoire-can-restore-20-of-its-forest-cover-by-2030/>

260 Fair Labor Association, 2014, Assessing Women's Role in Nestle's Ivory Coast Cocoa Supply Chain

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Cocoa is considered to be the first driver of deforestation in Cote d'Ivoire, meaning acting is imperative and that an upscale of sustainable cultivation is a great opportunity to advance both environmental and gender outcomes.

8.4.2 Latest Global Gender Gap Index score

Cote d'Ivoire's GGGI score in 2021 was 0.637, which means it ranks 30th at the regional level and 134th globally. Sub-scores are as follows:

Sub-index	Score	Ranking
Economic Participation and Opportunity	0.664	90
Educational Attainment	0.828	143
Health and Survival	0.979	36
Political Empowerment	0.076	139

8.4.3 Country level gender data indicators

SDG 1	CHOSEN INDICATORS	VALUES
	• % of population below international poverty line	• 20.2%(2021) ²⁶²
	• % of population below national poverty line	• 39.50%(2018) ²⁶³
	• % of population below lower middle income poverty line	• 43.6% (2021) ²⁶⁴
	• % of population in severe multidimensional poverty ²⁶¹	• 24.5%(2016) ²⁶⁵
	• % of population vulnerable to multidimensional poverty	• 17.6% (2016) ²⁶⁶
	• % of male-headed households (HHs)	• n/a
	• % of female-headed households	• 18% (2012) ²⁶⁷

261 Multidimensional poverty: In the post-2015 SDG and Agenda 2030 Framework, SDG 1 targets poverty elimination - in all forms and dimensions. This mandate requires tools to enumerate (quantitatively) and assess (qualitatively) poverty levels in different countries. The Multidimensional Poverty Index, calculated by UNDP and Oxford Poverty and Human Development Initiative (OPHI), is an important tool as it complements the international poverty line statistics by showing the nature and extent of overlapping deprivations for each person.

262 Refers to the 1.90 USD per day international poverty line. Sustainable Development Report, Cote d'Ivoire, 2021. Accessible at: <https://dashboards.sdindex.org/static/profiles/pdfs/SDR-2021-cote-d-ivoire.pdf>

263 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SI.POV.NAHC?locations=CI>

264 Sustainable Development Report, Cote d'Ivoire, 2021, Ibid.

265 UNDP, Human Development Report 2020, Briefing note for countries on the 2020 Human Development Report, Cote d'Ivoire, accessible at: <https://hdr.undp.org/sites/default/files/Country-Profiles/CIV.pdf>

266 UNDP, Ibid.

267 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SP.HOU.FEMA.ZS?locations=CI>

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Cote d'Ivoire has experienced sustained economic growth in the last decade, which has been linked to considerable poverty and inequality reduction. Poverty (at national poverty level) went from 44.4 in 2015 to 39.5 in 2018. Similarly, inequality has also decreased, with the Gini Index²⁶⁸ going from 41.5 in 2015 to 37.2 in 2018. However, as reported by the World Bank, GDP growth is mostly driven by retails and construction, while employment remains concentrated in agriculture and non-agriculture self-employed occupations, mostly taken by women with no formal occupation.²⁶⁹

- In 2013, the World Bank reported²⁷⁰ official statistics data which indicated 75% of rural women lived in poverty. Gender inequalities, including lack of or insufficient access to land, education and basic services, as well as the application of traditional gender norms and roles, all contribute to prevent women from escaping poverty.
- As observed in a recent study on agricultural gender gap for the World Bank, “households headed by women use less hired labour and substantially less male household labour, though they use more female and child household labourers. The dependency ratio in female-headed households is approximately 39 percent higher; they also use less fertilizer and pesticide and are 38 percentage points less likely to be engaged in export crop cultivation”²⁷¹

SDG 4	CHOSEN INDICATORS	VALUES
	• % literacy rate, adult female	• 86.74% (2019) ²⁷²
	• % literacy rate, adult male	• 93.14% (2019) ²⁷³
	• % literacy rate, youth female	• 76.41% (2019) ²⁷⁴
	• % literacy rate, youth male	• 92.82% (2019) ²⁷⁵
	• # children out of school, primary, female	• 142,545 (2020) ²⁷⁶
	• # children out of school, male	• 5,796 (2020) ²⁷⁷
	• % progression to secondary, female	• 92.50 (2016) ²⁷⁸

268 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SI.POV.GINI?locations=CI>

269 World Bank, 2020, Poverty and Equity Brief, Sub-Saharan Africa, Cote d'Ivoire, available at:

https://databank.worldbank.org/data/download/poverty/33EF03BB-9722-4AE2-ABC7-AA2972D68AFE/Global_POVEQ_CIV.pdf

270 World Bank, 2013, Being a Woman in Cote d'Ivoire, Empowerment Challenges, available at:

<https://openknowledge.worldbank.org/bitstream/handle/10986/23696/797440WP0Cote00Box0379789B00PUBLIC0.pdf?sequence=1&isAllowed=y>

271 Donald A, et al, 2020, ibid.

272 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=CI>

273 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SE.ADT.LITR.MA.ZS?locations=CI>

274 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.FE.ZS?locations=CI>

275 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.MA.ZS?locations=CI>

276 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SE.PRM.UNER.FE?locations=CI>

277 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SE.PRM.UNER.MA?locations=CI>

278 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SE.SEC.PROG.FE.ZS?locations=CI>

● % progression to secondary, male

● 91.49 (2016)²⁷⁹

Cote d'Ivoire has invested in education, and has witnessed improved outcomes in the last decade. However, the education gender gap persists, and women and girls encounter numerous challenges in their educational pathway:

- According to official government data, while progress has been made since 2011, data in 2018 still showed a considerable gap in terms of enrolment and completion throughout the school cycles, and with particular emphasis on secondary education. The completion rate for girls in primary education in 2018 was 82.2%, compared with only 34.6% for the first cycle of secondary school, where girls represent 44% of students, for a gender parity gap of 0.86.²⁸⁰
- Quality of education is also a key concern, and tightly linked with poor performance: in 2021 the achievement rate of girls at the primary cycle exam (CEPE) was 53.13%, whereas at the Junior Secondary School Certificate (BEPC) it was 41.25%. In the same year, only 29.61% of girls managed to obtain their Baccalaureat certificate (high school diploma).²⁸¹
- While access to education for girls increases, the choice of educational and career paths is still skewed towards jobs and topics that are perceived “feminine”. According to UNESCO, only 16% female students in Cote d'Ivoire are enrolled in STEM faculties, and boys perform better than girls in math both in early and in late primary.²⁸² Financial literacy is also a key obstacle: 46% of women are numerate, compared with 62% of men.²⁸³

SDG 3	CHOSEN INDICATORS	VALUES
	● % exposure to gender-based violence (lifetime probability)	● n/a
	● # adolescent fertility rate, (modeled estimate, births per 1000 women)	● 116.2 births (2018) ²⁸⁴

279 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SE.SEC.PROG.MA.ZS?locations=CI>

280 Government du Cote d'Ivoire, 2021 “Scolarisation de la jeune fille: les indicateurs en nette evolution”, available at: <https://www.gouv.ci/actualite-article.php?recordID=12747>

281 Government du Cote d'Ivoire, 2021, *ibid.*

282 UNESCO, 2017, Cracking the Code: Girls' and women's education in science, technology, engineering and mathematics (STEM)

283 Riquet, C., Bin-Humam, Y., 2018, “Understanding Côte d'Ivoire's Financially Excluded Women”, available at: <https://www.cgap.org/blog/understanding-cote-divoires-financially-excluded-women>

284 Sustainable Development Report, Cote d'Ivoire, 2021, *ibid.*

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● # maternal mortality ratio (modeled estimate, per 100,000 live births)	● 617 deaths (2017) ²⁸⁵
● # infant mortality rate (modeled estimate, per 1000 live births)	● 33 deaths (2019) ²⁸⁶
● # children under five mortality (modeled estimate, per 1000 births)	● 79.3 deaths (2019) ²⁸⁷

The healthcare system in Cote d'Ivoire has suffered from years of conflict and political instability, which destroyed 42% of health facility. While it was on the mend, then, the country was also significantly affected by the COVID-19 pandemic. However, improving health outcomes is one of the focuses of the government since the end of the conflict in 2011, with a public expenditure increase from 1.8 billion USD in 2016 to 2.3 billion USD in 2021.²⁸⁸ Constraints and challenges remain for women and girls:

- Maternal mortality rates or MMRs: MMR in Cote d'Ivoire is 617 deaths per 100,000 live births, which is among the highest in the world: only 74% of births are attended by skilled medical personnel²⁸⁹, and this ratio is remarkably higher in rural areas compared with urban areas. In 2014, in fact, UNFPA reported 278,801 unattended births in rural areas, compared with 32,538 in urban areas.²⁹⁰
- Abortion and SRHR: Abortion is illegal in Cote d'Ivoire, except to save a woman's life. Unsafe abortions are common and seem to contribute to the very high MMR in the country. A recent study²⁹¹ found that the average one-year likely-abortion incidence in Cote d'Ivoire was 27.9 per 1,000 women of reproductive age for respondents and 40.7 per 1,000 based on confidante data. The majority of abortions in the last five years could be classified as most unsafe: 71.5% for respondents and 79.9% for confidantes. Among both groups, women living in rural areas, women with lower levels of education and poorest women all reported higher rates of unsafe abortions. The modern contraceptive prevalence for all women aged 15-49 is 22.50%, and the adolescent fertility rate is very high: between 2012 and 2013 UNFPA reports 5,076 students becoming pregnant while in primary or secondary school, a significant increase from the previous monitoring (2007/2008), when 1,292 became pregnant.²⁹²
- OECD SIGI report²⁹³ on Cote d'Ivoire reports that 75% of the legal framework on violence against women is in place. 48% of female population justifies domestic violence, which

285 Sustainable Development Report, Cote d'Ivoire, 2021, Ibid.

286 Sustainable Development Report, Cote d'Ivoire, 2021, Ibid.

287 Sustainable Development Report, Cote d'Ivoire, 2021, Ibid.

288 Oxford Business Group, 2020, "How Côte d'Ivoire is improving access and quality of health care", available at: <https://oxfordbusinessgroup.com/overview/doctor%E2%80%99s-orders-higher-levels-investment-improve-access-and-quality-care>

289 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SH.STA.BRTC.ZS?locations=CI>

290 UNFPA, 2014, State of Midwifery in Cote d'Ivoire, available at: <https://www.unfpa.org/data/sowmy/CI>

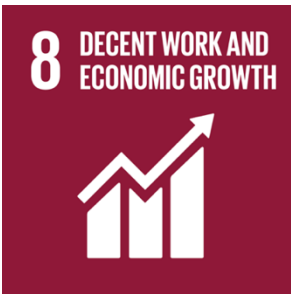
291 Bell SO, Sheehy G, Hyacinthe AK, Guiella G, Moreau C (2020) Induced abortion incidence and safety in Côte d'Ivoire. PLoS ONE 15(5): e0232364. <https://doi.org/10.1371/journal.pone.0232364>

292 UNFPA, 2014, "Côte d'Ivoire rolls out campaign to reduce adolescent pregnancies", available at: <https://www.unfpa.org/news/c%C3%B4te-d%E2%80%99Ivoire-rolls-out-campaign-reduce-adolescent-pregnancies>

293 OECD, 2019, SIGI Cote d'Ivoire, available at: <https://www.genderindex.org/wp-content/uploads/files/datasheets/2019/CI.pdf>

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has a lifetime prevalence of 26%. Only 25% of legal framework on Female Genital Mutilation (FGM) is in place, with 37% of the population reported as having undergone FGM and 14% of women stating they think the practice should continue.

SDG 8	CHOSEN INDICATORS	VALUES
	●% labour force participation rate, female	●45.90% (2020) ²⁹⁴
	●# labour force, total	●8,549,394(2020) ²⁹⁵
	●% vulnerable employment, female	●80.35% (2019) ²⁹⁶
	●% vulnerable employment, male	●61.47% (2019) ²⁹⁷
	●% wage and salaried workers, female	●18.92% (2019) ²⁹⁸
	●% wage and salaried workers, male	●36.28% (2019) ²⁹⁹
	●% employment in agriculture, female	●31.04% (2019) ³⁰⁰
	●% employment in agriculture, male	●46.62% (2019) ³⁰¹
	●% of time, unpaid care work, female	●n/a
	●% of time, unpaid care work, male	●n/a

Access to employment, and economic empowerment, is challenging for Ivorian women. They face discrimination and a number of obstacles in all productive sectors:

- According to official data, in 2014 women's salaries were on average 125 USD, compared with 240 USD for men - a 50% wage gap.³⁰² Participation is also a key issue, as women represented less than 50% of the labour force in 2020. Ivorian working women tend to reside in urban areas, with a net economic activity rate of 44.2% compared with 38.7% in rural areas.³⁰³
- Agriculture is the sector in which women tend to be employed the most (42.9%), followed by retail (31.6%) and domestic work (9.6%). Access to land, training and education, as well as male dominance in the cultivation of cash crops are key obstacles to full economic empowerment for Ivorian women. Social norms and beliefs, and again specific training and

294 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SL.TLF.CACT.FE.ZS?locations=CI>

295 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SL.TLF.TOTL.IN?locations=CI>

296 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SL.EMP.VULN.FE.ZS?locations=CI>

297 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SL.EMP.VULN.MA.ZS?locations=CI>

298 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SL.EMP.WORK.FE.ZS?locations=CI>

299 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SL.EMP.WORK.MA.ZS?locations=CI>

300 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SL.AGR.EMPL.FE.ZS?locations=CI>

301 World Bank Data Bank, Cote d'Ivoire: <https://data.worldbank.org/indicator/SL.AGR.EMPL.MA.ZS?locations=CI>

302 World Bank, 2017, Et si l'Emergence était une Femme?

303 Institut National de la Statistique, 2014

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education, are some of the challenges women face when they try to enter the industrial sector, which is a key driver of the country's economic growth and yet still employs a very small percentage of the population.³⁰⁴

- Women make up to 62% of self-employed individuals in Cote d'Ivoire: the vast majority of these enterprises are micro-businesses, with limited potential for growth. Access to financial services is however very limited, both in general and specifically for women. Men are twice as likely to have an account in a bank or a formal non-bank institution, and 4 times more likely to be an active user of a bank account. On the other hand, women are 50% more likely to have never used a formal financial institution and 2.5 times more likely to use an informal non-bank institution.³⁰⁵ Moreover, while mobile banking drove an increase in financially involved adults (from 34% in 2014 to 41% in 2017), women are 45% less likely to own a mobile account and three times more likely to be unaware of mobile money providers.³⁰⁶ This is reflected in a gender gap in mobile ownership, which is 15% at the national level and 23% in rural areas.³⁰⁷

See next page for Section 8.5 on the Democratic Republic of Congo.

³⁰⁴ Kalsi K., et al, 2020, *ibid.*

³⁰⁵ GCAP, 2018, *Financial Inclusion Insights* - adapted in Kalsi, K, 2020, *ibid.*

³⁰⁶ GCAP, 2018, *ibid.*

³⁰⁷ Riquet, C., Bin-Humam, Y., 2018. *Ibid.*

8.5 Democratic Republic of Congo

The Democratic Republic of Congo (henceforth DRC) is the largest country in Sub-Saharan Africa, and it is estimated it has the third largest population of poor people globally. The country is rich in resources, including minerals, metals and agriculture commodity. Agriculture, forestry and fisheries accounts for approximately 20% of GDP and employ 64% of the population. Key value chains include cocoa, coffee, rice, maize, cassava, bran, tobacco and palm oil. **For the &Green Fund, plantation forestry and grains staples are priority value chains in DRC, where the fund aims at establishing a JECA agreement.**

8.5.1 Supply chain sectors

Plantation Forestry

60% of the Congo Basin, Africa's most important rainforest, is located in DRC. While it is mostly untouched, exploitation of forestry resources is often the only source of livelihood for many of the 45 million poor people (2019) who live in the country. DRC is one of the least electrified countries in the world, and it is estimated³⁰⁸ that 84% of all harvested wood in the country is used for domestic energy consumption. The need for plantation forestry, which can provide wood for biomass projects, as well as create livelihoods and jobs opportunities for local populations, is therefore very clear. Since 2018, the *Forêts* project, implemented by CIFOR³⁰⁹ and funded by European Union in the Yangambi Biosphere Reserve, achieved the plantation of 1 million tree in 2021, with a goal of restoring 2000 hectares of land by 2022. Since the beginning of the project, more than 1,800 direct jobs have been created.³¹⁰

Forestry, as in many other countries, is gendered in DRC. Access to and ownership of land is severely restricted to women: formal land titles giving access to individual ownership are rare, and procedures are very costly and complex. Most families only have "receipts", which are issued to the head of household, who are stipulated as having to be a male. In the case of customary systems, land is usually attributed through belonging to a clan or lineage, which is established by men, as it is them who inherit and succeed to their elders in positions of power. In addition to that, the inter-generational transfer of land takes place through patrilineal inheritance: women who go and live with the husband's family cultivate their land, but they do not inherit or acquire the rights of his clan for themselves. Single women remain under guardianship of their parents or family members, and widows do not have a right to inherit. Land-use rights for agriculture are entitled through land-clearing, which clearly advantages men over women, as well as over other forests groups who do not cultivate the land.³¹¹

Division of labour and allocation of time is also influenced by gender norms, with women confined to subsistence crops, while men monopolise cash crops, and the income they produce. Women are also tasked with chores that are considered physically lighter, but more constant and time-

308 World Bank, 2018, "A Recipe for Protecting the Democratic Republic of Congo's Rainforest", available at: <https://www.worldbank.org/en/news/feature/2018/01/24/a-recipe-for-protecting-the-democratic-republic-of-congos-tropical-forests>

309 CIFOR, 2019, "DRC landscape restoration is electrifying!", available at: <https://forestsnews.cifor.org/60863/drc-landscape-restoration-is-electrifying?fnl=en>

310 CIFOR, 2021, "1 million trees (and growing) to electrify Yangambi", available at: https://www.cifor.org/publications/pdf_files/posters/7986-Infographic.pdf

311 Rainforest Foundation UK, 2019, Women's Participation in Community Forestry, available at: <https://www.rainforestfoundationuk.org/media/e2f37b75-08e4-4eb5-8dc1-448cb698d8c5>

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consuming (weeding, sowing, seed selection and preparation). Women are recognised as being more knowledgeable than men in non-timber forest products, as is the case in many other countries, but have less time than men to organize gathering expeditions. Household work, in fact, is exclusively a burden of women, which are however excluded from decision making and control over resources, despite the fact that they play a large and essential role in agricultural labour. To compound time poverty, men have a right to retire, whereas women continue to work in their old age.³¹²

Grains and staples

As one of the largest countries in the world by area, including the second largest in Africa, it produces an enormous volume of agricultural commodities, with much of it consumed domestically. For example, more than 41 million tonnes of cassava across 5 million hectares of land were produced in 2020 and 2.3 million tonnes of rice across 1.3 million hectares, yet neither commodity is an export revenue generator.

In spite of the significant production, the sector fails to ensure food security and generate sufficient revenues. With 80 million hectares of arable land, 4 million hectares of irrigated land, and many rivers with important fishery resources, the DRC has the potential to become a global agricultural power. For the moment, though, the sector lacks commercial agriculture at scale with most being either smallholders or subsistence farming.

A large proportion of Congolese women are involved in agricultural activity (more than 70% at the national level), but they are significantly discriminated within the sector. As discussed above, women experience extreme challenges in accessing and owning land (less than 10% of women are landowners in DRC), as well as accessing financial services: only 2% of women manage to access credit, which leaves 42% of women taking loans from friends and family, to be refunded with exorbitant interest rates. As seen above, women are also discriminated in terms of allocation of labour, and are systematically excluded from cash crops - they might play a role in the production chain, but have no access to the income generated.³¹³

Several projects and programmes have focused in the last few years on improving the living conditions and livelihoods opportunities of women farmers in DRC, such as the UNWOMEN flagship programme “Women’s Empowerment through Climate-Smart Agriculture”. The programme was launched in 2016 focusing on four key areas: access to land, access to climate-smart information, increase women farmers’ access to finance, increase women farmers’ access to higher value markets.³¹⁴ The &Green Fund will leverage on the progress achieved so far, and will continue to work on the issues and challenges that women farmers face on a daily basis in DRC, with a focus on those four areas.

312 Rainforest Foundation UK, 2019, Ibid.

313 UNWOMEN, 2016, “Empowering women through climate-smart agriculture in the DRC”, available at: <https://africa.unwomen.org/en/news-and-events/stories/2016/11/empowering-women-through-climate-smart-agriculture-in-the-drc#:~:text=The%20Democratic%20Republic%20of%20Congo's,per%20cent%20of%20all%20farmers.>

314 UNWOMEN, 2016, Women’s Empowerment Through Climate-Smart Agriculture, brief, available at: <https://www2.unwomen.org/-/media/headquarters/attachments/sections/library/publications/2015/fpi%20briefagri%20localusweb.pdf?v=1&d=20161031T213547>

8.5.2 Latest Global Gender Gap Index score

DRC's GGGI score³¹⁵ in 2021 was 0.576, which means it ranks 35th and last at the regional level and 151st globally. Sub-scores are as follows:

Sub-index	Score	Ranking
Economic Participation and Opportunity	0.571	126
Educational Attainment	0.658	154
Health and Survival	0.976	51
Political Empowerment	0.099	130

8.5.3 Country-level gender data indicators

SDG 1	CHOSEN INDICATORS	VALUES
	• % of population below international poverty line	• 73.95%(2021) ³¹⁷
	• % of population below national poverty line	• 63.90%(2012) ³¹⁸
	• % of population below lower middle income poverty line	• 91.5%(2021) ³¹⁹
	• % of population in severe multidimensional poverty ³¹⁶	• 36.8 (2017) ³²⁰
	• % of population vulnerable to multidimensional poverty	• 17.5 (2017) ³²¹
	• % of male-headed households (HHs)	• n/a
	• % of female-headed households	• 24.90(2014) ³²²

Poverty remains widespread and pervasive in DRC. The World Bank estimates that, while strong economic growth led to a poverty decline between 2005 and 2012, high rate of population growth and marked regional disparities indicate poverty incidence is still very high: one in six poor persons in Sub-Saharan Africa live in DRC. Inequality is also very high, and virtually unchanged over time,

³¹⁵ World Economic Forum, 2021, Global Gender Gap Report 2021, available at: https://www3.weforum.org/docs/WEF_GGGR_2021.pdf

³¹⁶ Multidimensional poverty: In the post-2015 SDG and Agenda 2030 Framework, SDG 1 targets poverty elimination - in all forms and dimensions. This mandate requires tools to enumerate (quantitatively) and assess (qualitatively) poverty levels in different countries. The Multidimensional Poverty Index, calculated by UNDP and Oxford Poverty and Human Development Initiative (OPHI), is an important tool as it complements the international poverty line statistics by showing the nature and extent of overlapping deprivations for each person.

³¹⁷ Refers to the 1.90 USD per day international poverty line. Sustainable Development Report, DRC, 2021. Accessible at: <https://dashboards.sdgindex.org/static/profiles/pdfs/SDR-2021-congo-dem-rep.pdf>

³¹⁸ World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SI.POV.NAHC?locations=CD>

³¹⁹ Sustainable Development Report, DRC, 2021, Ibid.

³²⁰ UNDP, Human Development Report 2020, Briefing note for countries on the 2020 Human Development Report, DRC, accessible at: <https://hdr.undp.org/sites/default/files/Country-Profiles/BRA.pdf>

³²¹ UNDP, Ibid.

³²² World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SP.HOU.FEMA.ZS?locations=CD>

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with a GINI Index of 42.1 in 2012 (latest available data)³²³. Many challenges still affect the lives of Congolese people, and Congolese women in particular:

- The economy, already affected by the Ebola Virus Disease (EVD) epidemic, was further hit by the COVID-19 pandemic. According to surveys, in Kinshasa 10% of households have seen members losing jobs, and 20% of the respondents reported reducing their food consumption due to increased prices.³²⁴
- There is a direct correlation between poverty and female-headed households, 61.5% of which live under the poverty line, as opposed to 54.32% of male-headed households. Moreover, while only 3.7% of Congolese have a bank account (much below the Sub-Saharan Africa average of 24%), by disaggregating the data it can be found that men have almost twice the access to a bank and financial systems than women (4.7% against 2.8%).³²⁵

SDG 4	CHOSEN INDICATORS	VALUES
	• % literacy rate, adult female	• 66.50% (2016) ³²⁶
	• % literacy rate, adult male	• 88.52% (2016) ³²⁷
	• % literacy rate, youth female	• 79.71% (2016) ³²⁸
	• % literacy rate, youth male	• 90.96% (2016) ³²⁹
	• # children out of school, primary, female	• n/a
	• # children out of school, male	• n/a
	• % progression to secondary, female	• 71.08% (2012) ³³⁰
	• % progression to secondary, male	• 73.20% (2012) ³³¹

DRC has made significant progress towards access to universal primary education, increasing the net attendance rate from 52% in 2001 to 78% in 2018. However, 7.6 million children aged 5-17 are still out of school³³², and there are significant gender inequalities for adolescent girls. In addition, social norms shape the society in DRC, as in the rest of the world. The concept that women's main duty is to the household is ingrained: a study conducted in Lusaka found that 91.4% of women and

323 World Bank, 2021, Poverty and Equity Brief, Sub-Saharan Africa, DRC, available at: https://databank.worldbank.org/data/download/poverty/987B9C90-CB9F-4D93-AE8C-750588BF00QA/AM2020/Global_POVEQ_COD.pdf

324 World Bank, 2021, Ibid.

325 JICA, 2017, Country Gender Profile, available at:

https://www.jica.go.jp/english/our_work/thematic_issues/gender/background/c8h0vm0000anj6-att/drc_2017.pdf

326 World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=CD>

327 World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SE.ADT.LITR.MA.ZS?locations=CD>

328 World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.FE.ZS?locations=CD>

329 World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.MA.ZS?locations=CD>

330 World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SE.SEC.PROG.FE.ZS?locations=CD>

331 World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SE.SEC.PROG.MA.ZS?locations=CD>

332 UNICEF, DRC, available at: <https://www.unicef.org/drcongo/en/what-we-do/education#:~:text=The%20Democratic%20Republic%20of%20Congo,are%20still%20out%20of%20school.>

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83% of men agreed that a woman's most important commitment is to take care of the house and the family³³³:

- DRC was found to be one of the thirteen countries in the world with the worst gender disparity at secondary level³³⁴, with a drop in attendance from 80% to 42%, and marked disparities among regions. In North Kivu, adolescents were found to be twice as likely to have less than two years in school, and the data increases to three times as likely for poor females.³³⁵ A policy note focused on problems of adolescent girls found that the most disadvantaged adolescent girls in terms of access to education include those with disabilities, ethnic minorities, those living in remote areas, and those in conflict-affected settings.³³⁶
- When finance is a key constraint parents may choose to prioritise boys' education over girls, so that girls can support with income and with running the house. Girls are also reported as receiving less textbooks and school materials than their male peers.³³⁷
- Safety is also a key concern of parents: in conflict-affected countries, girls are 2.5 times more likely to not attend school.³³⁸ Girls in DRC can easily become target of sexual and physical abuse, including from military personnel, on their way to and back from school. Parents may therefore choose to not let them attend school in order to avoid the threat.³³⁹

SDG 3	CHOSEN INDICATORS	VALUES
	• % exposure to gender-based violence (lifetime probability)	• n/a
	• # adolescent fertility rate, (modeled estimate, births per 1000 women)	• 122.6 (2018) ³⁴⁰
	• # maternal mortality ratio (modeled estimate, per 100,000 live births)	• 473 (2017) ³⁴¹
	• # infant mortality rate (modeled estimate, per 1000 live births)	• 27.4 (2019) ³⁴²
	• # children under five mortality (modeled estimate, per 1000 births)	• 84.8 (2019) ³⁴³

333 Bolton, L., 2020, Barriers to education for girls in the Democratic Republic of Congo. K4D Helpdesk Report 750. Brighton, UK: Institute of Development Studies.

334 Ackerman, X. (2015) Innovation and action in funding girls' education. Brookings Institute. <https://www.brookings.edu/wp-content/uploads/2016/07/Ackerman-Girls-Education-v2.pdf>

335 Bolton, L., 2020, Ibid.

336 GAGE (2017). Accelerating adolescent girls' education and empowerment: a call for action to the G7. Gender & Adolescence Global Evidence Policy Note. https://www.gage.odg.org/wp-content/uploads/2019/01/Accelerating-adolescentgirls%E2%80%99education-and-empowerment_a-call-to-action-to-the-G7.pdf

337 Bolton, L., 2020, Ibid.

338 UNICEF, 2017, "27 million children out of school in conflict zones", available at: <https://www.unicef.org/press-releases/27-million-children-out-school-conflict-zones>

339 Bolton, L., 2020, Ibid.

340 Sustainable Development Report, DRC, Ibid.

341 Sustainable Development Report, DRC, 2021, Ibid.

342 Sustainable Development Report, DRC, 2021, Ibid.

343 Sustainable Development Report, DRC, 2021, Ibid.

The healthcare system in DRC has been under long-term pressure due to conflict, limited resources, insufficient skilled medical personnel and medical facilities and equipment. While improvements have been noted in the last few years, thanks to a higher level of stability, many constraints remain, in particular for women and girls:

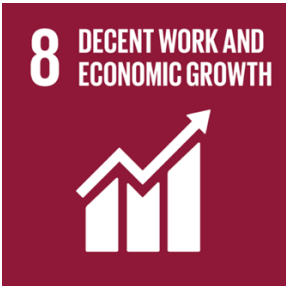
- Maternal mortality rates or MMRs: MMR in DRC is 473 per 100,000 live births, which is lower than the Sub-Saharan Africa average of 534 but still much higher than the WHO target to reduce MMR to less than 70 deaths for every 100,000 live births. Under-5 mortality rate is also higher than the SSA average, at 85 deaths for 1,000 live births against 76. A study reports how conflict-affected areas of the country have seen a continuous decline in maternal healthcare coverage, particularly among the poorest women.³⁴⁴
- Abortion and SRHR: Abortion is illegal in DRC under almost all circumstances. This means safe termination is largely inaccessible throughout the country. A study estimated that in 2016 146,700 abortions took place in Kinshasa. In the same year, 33,870 women received treatment for post-abortion complications. 93% of post-abortion services were provided in private facilities. Poor women were found to be twice as likely to develop moderate and serious complications than better-off women.³⁴⁵ USAID estimates that in 2019 approximately 40.6% of women had an unmet need for family planning, meaning they wanted to avoid pregnancy but were not using modern contraception methods.³⁴⁶
- Adolescent fertility rate is also very high in DRC: according to the National Institute of Statistics, the country has more than 21 million adolescents between 10 and 19 years old, and the median age at first sexual intercourse is 16. Almost 27% of women aged 20 to 24 have given birth by age 18, and almost 5% by age 15, according to the Demographic and Health Survey 2013-2014.

344 Guo, F., Qi, X., Xiong, H. et al., 2021, Trends of maternal health service coverage in the Democratic Republic of the Congo: a pooled cross-sectional study of MICS 2010 to 2018. *BMC Pregnancy Childbirth* 21, 748 (2021). <https://doi.org/10.1186/s12884-021-04220-7>

345 Lince-Deroche N et al., Unintended Pregnancy and Abortion in Kinshasa, Democratic Republic of Congo: Challenges and Progress, New York: Guttmacher Institute, 2019, <https://www.guttmacher.org/report/unintendedpregnancy-abortion-in-kinshasa-drc>. <https://doi.org/10.1363/2019.30887>

346 USAID, 2020, Impact Brief, available at: https://www.usaid.gov/sites/default/files/documents/DRCImpactBrief_03-04-21.pdf

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SDG 8	CHOSEN INDICATORS	VALUES
	• % labour force participation rate, female	• 60.87% (2020) ³⁴⁷
	• # labour force, total	• 31,465,473 (2020) ³⁴⁸
	• % vulnerable employment, female	• 88.25% (2019) ³⁴⁹
	• % vulnerable employment, male	• 66.90% (2019) ³⁵⁰
	• % wage and salaried workers, female	• 10.54% (2019) ³⁵¹
	• % wage and salaried workers, male	• 30.02% (2019) ³⁵²
	• % employment in agriculture, female	• 71.51% (2019) ³⁵³
	• % employment in agriculture, male	• 57.43% (2019) ³⁵⁴
	• % of time, unpaid care work, female	• n/a
	• % of time, unpaid care work, male	• n/a

Women in DRC experience a significant gender gap in accessing economic opportunities, economic independence and empowerment. Nationally, women are 6.2% to 8.2% less likely to work than their male counterparts, partly because of the higher number of dependants and, therefore, of unpaid care work performed.³⁵⁵ Some key elements of disparity include:

- Women employed in agriculture are more than half of the workforce, and yet men own three quarters of the plots. Women also tend to own smaller plots, which contributes to lower agricultural productivity, estimated to 11% lower than men, for an overall level of production 18% lower compared with male-owned land. Drivers of this gap could include higher dependency ratio, lower ownership of land and cell phones, lower number of workers and lower likelihood to cultivate rice.³⁵⁶
- In the private sector, women's business profits are 67% lower than men's, and women's business have 70% fewer paid workers. Lower number of workers and low level of capital emerged as key reasons to explain the gap.³⁵⁷
- Less than 10% of women are waged and salaried, compared with 25% of men. In terms of wage gap, the national average gap in earning is 77%, and even more pronounced in the private sector, where it reaches 80%. This can be partly explained by lower level of educational attainment, skills and concentration in lower paying sectors.³⁵⁸

³⁴⁷ World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SL.TLF.CACT.FE.ZS?locations=CD>

³⁴⁸ World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SL.TLF.TOTL.IN?locations=CD>

³⁴⁹ World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SL.EMP.VULN.FE.ZS?locations=CD>

³⁵⁰ World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SL.EMP.VULN.MA.ZS?locations=CD>

³⁵¹ World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SL.EMP.WORK.FE.ZS?locations=CD>

³⁵² World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SL.EMP.WORK.MA.ZS?locations=CD>

³⁵³ World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SL.AGR.EMPL.FE.ZS?locations=CD>

³⁵⁴ World Bank Data Bank, DRC: <https://data.worldbank.org/indicator/SL.AGR.EMPL.MA.ZS?locations=CD>

³⁵⁵ World Bank, 2021, Women's Economic Empowerment in the Democratic Republic of the Congo : Obstacles and Opportunities. World Bank, Washington, DC. © World Bank.

<https://openknowledge.worldbank.org/handle/10986/36703> License: CC BY 3.0 IGO

³⁵⁶ World Bank, 2021, Ibid.

³⁵⁷ World Bank, 2021, Ibid.

³⁵⁸ World Bank, 2021, Ibid.

8.6 Ecuador

Ecuador is a middle-income country, which has made significant progress to reduce poverty and inequality reduction: the GDP grew on average by 4.3% between 2006 and 2014, poverty went from 37.6% to 22.5%, and the GINI coefficient decreased from 0.54 to 0.47. However, the COVID-19 pandemic and the fluctuation of oil price, of which Ecuador is an exporter (the fifth largest in Latin America in 2020³⁵⁹), have caused poverty to increase again in 2020, reaching 33%.³⁶⁰

IFAD estimates³⁶¹ that rural population still accounts to approximately 36.5% of the total, and that 61% of rural women works in agriculture and livestock. Agriculture, forestry and fishing represented 9.8% of GDP in 2020³⁶²: key value chains include bananas and white shrimps, of which Ecuador is the largest exporter in the world, as well as maize, manioc, potato, soybean, coffee, palm oil, cocoa and more. **For the &Green Fund, forestry is a priority value chain in the country, where the Fund has an active JECA.**

8.6.1 Supply chain sectors

Plantation forestry

Ecuador is one of the 17 megadiverse countries of the world, and its rainforest cover almost 13 million hectares - by comparison, an area larger than Greece.³⁶³ Forests can be divided into 4 main groups: Amazon rainforest (approximately 80% of the total), mountainous forests, tropical coastal rainforest and mangrove forest.³⁶⁴

Out of the total forest coverage, 11.5 million hectares constitute natural forest and 78,000 hectares plantations, representing 42% of the total national surface area.³⁶⁵ Despite its rich biodiversity, deforestation rate in Ecuador was 1.5% between 1990 and 2000, and increased to 1.9% between 2005 and 2010, for a variety of drivers, including: illegal logging, extractive industries, cattle ranching and agricultural expansion. Approximately 2 million m³ of industrial wood consumption (out of a total 3.7 million) are plantation grown.³⁶⁶ The timber industry amounted, in 2019, to 304 million USD of exportations.³⁶⁷

The main activity of women in rural areas, and in particular in the Amazon, is agriculture and livestock; they maintain a tight link with their territory and, as observed in other countries, they lead conservation efforts. Nevertheless, there is an evident gender imbalance: in 2019, the UN estimated that rural women poverty rate was 35.5%, against the 15.5% national average, and while they are present in productive processes, they are excluded from decision-making and access to

³⁵⁹ EIA, 2021, Country Analysis Executive Summary - Ecuador:

https://www.eia.gov/international/content/analysis/countries_long/Ecuador/ecuador.pdf

³⁶⁰ World Bank, 2021, Ecuador Overview, available at: <https://www.worldbank.org/en/country/ecuador/overview#1>

³⁶¹ IFAD, available at: https://www.ifad.org/en/web/operations/w/country/ecuador#anchor-country_documents

³⁶² World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/NV.AGR.TOTL.ZS?locations=EC>

³⁶³ Norway's International Climate and Forest Initiative, available at: <https://www.nicfi.no/partner-countries/ecuador/>

³⁶⁴ Tommaselli, I., 2019, Country Report - Ecuador, document produced for the Japan Forestry Agency, available at: https://www.rinya.maff.go.jp/j/riyou/goho/jouhou/pdf/h30/H30report_nettaib_9.pdf

³⁶⁵ Convention on Biological Diversity, Ecuador, available at: <https://www.cbd.int/countries/profile/?country=ec>

³⁶⁶ Tommaselli, I, *ibid.*

³⁶⁷ Timber Trade Portal, Ecuador, available at: <https://www.timbertradeportal.com/en/ecuador/43/timber-sector>

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resources³⁶⁸: the national agricultural census in 2000, highlighted that 88.2% of producers are male owners.³⁶⁹ Gender norms shape the labour division and roles, including for forestry activities, and as in many other countries analysed, women are found to be playing a double productive and reproductive role.³⁷⁰

However, the inclusion of gender mainstreaming component in forestry-focused programmes, such as Pro-Amazonia, led by the UN Women, have brought notable success and progress. For instance, under Pro-Amazonia, since 2019, indigenous women access the *Antisuyu Warmikuna* School, where they learn about gender, women's and human rights, climate change, financial and business skills and more. Almost 100 women have enrolled in the programme, committing to protect their territory and advance their rights and those of their communities.³⁷¹ The project also promotes bio-entrepreneurship with a sustainable gender approach for use of Non-Timber Forest Products (NTFPs).³⁷²

8.6.2 Latest Gender Gap Index score

Ecuador's GGGI score in 2021 was 0.739, which means it ranks 9th at the regional level and 42nd globally. Sub-scores are as follows:

Sub-index	Score	Ranking
Economic Participation and Opportunity	0.675	81
Educational Attainment	0.997	58
Health and Survival	0.968	92
Political Empowerment	0.318	40

³⁶⁸ UNWOMEN, 2022, "Mujeres amazónicas, liderazgo y autonomía ante la crisis climática en Ecuador", available at: <https://lac.unwomen.org/es/stories/noticia/2022/03/mujeres-amazonicas-liderazgo-y-autonomia-ante-la-crisis-climatica-en-ecuador>

³⁶⁹ UNWOMEN, 2022, "Gender approach and bioentrepreneurships for inclusive and sustainable economic development", available at: <https://www.proamazonia.org/en/enfoque-de-genero-y-bioemprendimientos-para-un-desarrollo-economico-inclusivo-y-sostenible/>

³⁷⁰ CIFOR, 2014, "The invisible workforce: gender myth-busting in Ecuador", available at: <https://forestsnews.cifor.org/17331/the-invisible-workforce-gender-myth-busting-in-ecuador?fnl=>

³⁷¹ UNWOMEN, 2022, "Casi 100 mujeres amazónicas se comprometen a defender su territorio a través del empoderamiento y el liderazgo", available at: <https://lac.unwomen.org/es/stories/noticia/2022/04/casi-100-mujeres-amazonicas-se-comprometen-a-defender-su-territorio-a-traves-del-empoderamiento-y-el-liderazgo>

³⁷² ProAmazonia, UNWOMEN, 2021, "Gender approach and bioentrepreneurships for inclusive and sustainable economic development", available at: <https://www.proamazonia.org/en/enfoque-de-genero-y-bioemprendimientos-para-un-desarrollo-economico-inclusivo-y-sostenible/>

8.6.3 Country-level gender data indicators

SDG 1	CHOSEN INDICATORS	VALUES
	• % of population below international poverty line	• 3.8% (2021) ³⁷⁴
	• % of population below national poverty line	• 33% (2020) ³⁷⁵
	• % of population below lower middle income poverty line	• 12.7% (2021) ³⁷⁶
	• % of population in severe multidimensional poverty ³⁷³	• 0.8% (2013) ³⁷⁷
	• % of population vulnerable to multidimensional poverty	• 7.6% (2013) ³⁷⁸
	• % of male-headed households (HHs)	• 80% (2018) ³⁷⁹
	• % of female-headed households	• 20% (2018) ³⁸⁰

The World Bank³⁸¹ finds that the combination of three crises (COVID-19, a fall in oil prices and constraints in accessing international financing) caused Ecuador to lose on the last decades gains in terms of poverty and inequality. The report shows that preliminary results of economic analysis indicated poverty would return to 2010 levels, and GINI co-efficient was expected to rise from 47.3 to 50:

- The COVID-19 pandemic had catastrophic consequences on the labour market and on access to social services, with unemployment going from 3.8% in December 2018 to 13.3% in May/June 2020, and three quarters of families reporting a fall in their income.

³⁷³ Multidimensional poverty: In the post-2015 SDG and Agenda 2030 Framework, SDG 1 targets poverty elimination - in all forms and dimensions. This mandate requires tools to enumerate (quantitatively) and assess (qualitatively) poverty levels in different countries. The Multidimensional Poverty Index, calculated by UNDP and Oxford Poverty and Human Development Initiative (OPHI), is an important tool as it complements the international poverty line statistics by showing the nature and extent of overlapping deprivations for each person.

³⁷⁴ Refers to the 1.90 USD per day international poverty line. Sustainable Development Report, Ecuador, 2021. Accessible at: <https://dashboards.sdindex.org/static/profiles/pdfs/SDR-2021-ecuador.pdf>

³⁷⁵ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SI.POV.NAHC?locations=EC>

³⁷⁶ Sustainable Development Report, Ecuador, 2021, Ibid.

³⁷⁷ UNDP, Human Development Report 2020, Briefing note for countries on the 2020 Human Development Report, Ecuador, accessible at: <https://hdr.undp.org/sites/default/files/Country-Profiles/MPI/ECU.pdf>

³⁷⁸ UNDP, Ibid.

³⁷⁹ Tinisaray D, Castro Quezada L, Verdú Delgado A., Jefatura de hogar femenina y mercado laboral ecuatoriano, Revista Economía, Vol. 71 Núm. 113 (2019): Entre el capital y la vida: más allá del homo economicus, el racionalismo económico y el utilitarismo, DOI: <https://doi.org/10.29166/economia.v71i113.2088>

³⁸⁰ Tinisaray D et al, Ibid.

³⁸¹ World Bank, 2021, Poverty and Equity Brief, 2021, Ecuador, available at: https://databank.worldbank.org/data/download/poverty/987B9C90-CB9F-4D93-AE8C-750588BF00QA/AM2020/Global_POVEQ_LAC.pdf

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- According to IFAD, the poverty rate in rural areas in 2018 stood at 43%, almost triple than in urban areas (15.9%). This is attributable to high unemployment and underemployment, low salaries, limited access to productive assets such as land, water, credit and technology, and deficient market linkages.³⁸²
- There is a direct correlation between female-headed households and poverty, as female participation in the labour force is usually less stable, informal, less paid and with less access to associative practice. In addition, FHH is usually associated with single mothers with no additional income from their partners or former partners, leading to employment to seek subsistence.³⁸³ A recent survey³⁸⁴ led by the Latin American Centre for Rural Development (RIMISP) in the provinces of Guayas and Los Ríos, found that in total, 69% of female-headed households suffered a decrease in their income. 72% of rural female-headed households reported losing their income, against 67% in urban areas.

SDG 4	CHOSEN INDICATORS	VALUES
	•% literacy rate, adult female	•92.49% (2020) ³⁸⁵
	•% literacy rate, adult male	•94.81% (2020) ³⁸⁶
	•% literacy rate, youth female	•99.09% (2020) ³⁸⁷
	•% literacy rate, youth male	•98.49% (2020) ³⁸⁸
	•# children out of school, primary, female	•35,869 (2008) ³⁸⁹
	•# children out of school, male	•66,172 (2008) ³⁹⁰
	•% progression to secondary, female	•100% (2017) ³⁹¹
	•% progression to secondary, male	•99.20% (2017) ³⁹²

³⁸² IFAD, *ibid.*

³⁸³ Tinisaray D et al, *Ibid.*

³⁸⁴ RIMISP, 2021, "Ecuador: jefas de hogar sufren mayores impactos por la pandemia", available at:

<https://www.rimisp.org/noticia/ecuador-jefas-de-hogar-sufren-mayores-impactos-por-la-pandemia/>

³⁸⁵ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=EC>

³⁸⁶ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SE.ADT.LITR.MA.ZS?locations=EC>

³⁸⁷ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.FE.ZS?locations=EC>

³⁸⁸ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.MA.ZS?locations=EC>

³⁸⁹ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SE.PRM.UNER.FE?locations=EC>

³⁹⁰ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SE.PRM.UNER.MA?locations=EC>

³⁹¹ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SE.SEC.PROG.FE.ZS?locations=EC>

³⁹² World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SE.SEC.PROG.MA.ZS?locations=EC>

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Gender gaps in terms of enrolment and attainment are very small in Ecuador, but there are still challenges for women and girls, especially indigenous women and women living in rural areas, to access and complete their education:

- The World Bank reports³⁹³ that reverse gender gaps exist favouring girls in primary and secondary education, while slightly more men enrol in tertiary education than women. The gap is reversed, however, at attainment level, where 14.2% of women compared with 12% of men had post-secondary education.
- Up to 51% of indigenous girls are not enrolled in secondary education, and there is a large disparity that favours men in secondary enrolment rates.³⁹⁴
- Women still tend to specialize in traditional female fields (education, social work, health, economy and finance), whereas three quarters of science and engineering students are men. Moreover, reasons to not be in school are very different between boys and girls: while the former report work and economic problems as main constraints, the latter also report dedication to household chores as equally important. Girls also indicate family prohibition as a reason, which boys do not report³⁹⁵.

SDG 3	CHOSEN INDICATORS	VALUES
	• % exposure to gender-based violence (lifetime probability)	• n/a ³⁹⁶
	• # adolescent fertility rate, (modeled estimate, births per 1000 women)	• 78.8 births (2018) ³⁹⁷
	• # maternal mortality ratio (modeled estimate, per 100,000 live births)	• 57 deaths (2018) ³⁹⁸
	• # infant mortality rate (modeled estimate, per 1000 live births)	• 7.1 deaths (2019) ³⁹⁹
	• children under five mortality (modeled estimate, per 1000 births)	• 14 deaths (2019)

³⁹³ World Bank, 2018, Gender Gaps in Ecuador - An Overview, available at: <https://openknowledge.worldbank.org/bitstream/handle/10986/31821/Gender-Gaps-in-Ecuador-An-Overview.pdf?sequence=1&isAllowed=y>

³⁹⁴ World Bank, 2018, Ibid.

³⁹⁵ World Bank, 2018, Ibid.

³⁹⁶ While aggregated data on probability are not available, a national study carried out in 2019 found that nearly two-thirds (64.86%) of the participating women had experienced some form of violence during their lifetime, mainly psychological violence (56.92%). The second most prevalent type of violence was physical (35.44%) closely followed by sexual (32.67%). Almost one-fifth (16.38%) stated to have experienced some form of economic violence. Source: Edeby, A., San Sebastián, M. Prevalence and sociogeographical inequalities of violence against women in Ecuador: a cross-sectional study. Int J Equity Health 20, 130 (2021). <https://doi.org/10.1186/s12939-021-01456-9>

³⁹⁷ Sustainable Development Report, Ecuador, 2021, Ibid.

³⁹⁸ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SH.STA.MMRT.NE?locations=EC>

³⁹⁹ Sustainable Development Report, Ecuador, 2021, Ibid.

Between 2007 and 2017 Ecuador initiated an ambitious healthcare reform, introducing comprehensive insurance policies, gradually making all Ministry of Health services free of charge.⁴⁰⁰ Health coverage was expanded, especially in rural areas, and health inequality reduction could be observed.⁴⁰¹ However, critics notice that the cost recovery mechanisms established between the public and private sector mainly benefited large private sector hospitals, and that the opportunity to establish a single health system was gradually fading.⁴⁰² There is a clear gendered dimension to access to health, despite significant gains in the last two decades:

- Maternal mortality rates or MMRs: Ecuador has been very successful in lowering maternal mortality from 96 deaths per 100,000 births to 57 in 2018. Access to antenatal care and presence of a skilled healthcare professional have increased, however the data shows inequalities between indigenous and non-indigenous women. In 2018, MMR for indigenous women was 117 deaths per 100,000 births, due to a variety of reasons, including that indigenous women feel discriminated against, and feel a lack of respect for their traditional birthing practices.⁴⁰³ In 2014, only 14% of indigenous women received the appropriate minimum five ante-natal check-ups.⁴⁰⁴
- Abortion: Abortion is illegal in Ecuador, except when the life of the mother is in danger. Very recently, following a constitutional court ruling, Ecuadorian legislators voted to decriminalise abortions in case of rape. Following the vote, and pending approval from the President, the Law would allow women above 18 years old to terminate pregnancies in case of rape up to 12 weeks, whereas girls under 18, as well as indigenous and rural women, would have up to 16 weeks to terminate their pregnancy.⁴⁰⁵
- Reproductive health: approximately 79.4% of women's demand for modern family planning methods is satisfied, according to WHO. The report indicates some critical gaps for the fulfilment of SRHR, including stock-out of male condoms in the last 12 months and 41.7% availability of essential medicines and commodities in Public Health facilities - this reflects the lack of pharmacists among the healthcare professionals, who are 0.42 per 10,000 population.⁴⁰⁶

⁴⁰⁰ Quizhpe et al., 2020, Socioeconomic inequalities in women's access to health care: has Ecuadorian health reform been successful?, *International Journal for Equity in Health* (2020) 19:178, DOI <https://doi.org/10.1186/s12939-020-01294-1>

⁴⁰¹ Granda M, Jimenez W. The evolution of socioeconomic health inequalities in Ecuador during a public health system reform (2006-2014). *Int J Equity Health*. 2019;18:31.

⁴⁰² Quizhpe et al., 2020, *Ibid*.

⁴⁰³ Llamas A, Mayhew S., 2018, "Five hundred years of medicine gone to waste"? Negotiating the implementation of an intercultural health policy in the Ecuadorian Andes. *BMC Public Health*. 2018;18:686.

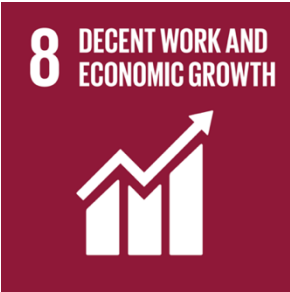
⁴⁰⁴ World Bank, 2018, *Ibid*.

⁴⁰⁵ The Guardian, 2022, "Ecuador legislators approve regulations allowing abortion in cases of rape", available at: <https://www.theguardian.com/world/2022/feb/17/ecuador-abortion-rape-cases-legal>

⁴⁰⁶ WHO, 2021, Sexual and Reproductive Health and Rights Infographic Snapshot, Ecuador, available at: <https://apps.who.int/iris/bitstream/handle/10665/349432/WHO-SRH-21.73-eng.pdf>

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- Adolescent fertility rate: 22.2% of girls are married before 18, according to WHO.⁴⁰⁷ Adolescent fertility remains very high (the highest among Andean countries in 2014⁴⁰⁸), with almost 79 births per 1,000 women. Terre des Hommes⁴⁰⁹, using data from the national census, reported in 2015 that 1 teenager in 5 (15-19 years old) and 1 girl in 20 (12-14 years old) was pregnant. According to the census, 78% of teenage mothers drop out of school definitely when pregnant.

SDG 8	CHOSEN INDICATORS	VALUES
	• % labour force participation rate, female	• 48.43% (2020) ⁴¹⁰
	• # labour force, total	• 7,697,701 (2020) ⁴¹¹
	• % vulnerable employment, female	• 58.35% (2019) ⁴¹²
	• % vulnerable employment, male	• 41.61% (2019) ⁴¹³
	• % wage and salaried workers, female	• 39.88% (2019) ⁴¹⁴
	• % wage and salaried workers, male	• 54.83% (2019) ⁴¹⁵
	• % employment in agriculture, female	• 27.14% (2019) ⁴¹⁶
	• % employment in agriculture, male	• 31.52% (2019) ⁴¹⁷
	• % of time, unpaid care work, female	• 19.75% (2012) ⁴¹⁸
	• % of time, unpaid care work, male	• 4.72% (2012) ⁴¹⁹

There are clear gender inequalities in the Ecuadorian labour market. As other countries analysed, Ecuador's economy was significantly hit by the COVID-19 pandemic, which generated a recession

⁴⁰⁷ WHO, 2021, Ibid.

⁴⁰⁸ World Bank, 2018, Ibid.

⁴⁰⁹ TdH, 2015, "Ecuador: the fight against teenage pregnancy", available at: <https://www.tdh.ch/en/news/ecuador-fight-against-teenage-pregnancy#:~:text=According%20to%20the%20state%20census,of%20school%20definitively%20when%20pregnant.>

⁴¹⁰ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SL.TLF.CACT.FE.NE.ZS?locations=EC>

⁴¹¹ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SL.TLF.TOTL.IN?locations=EC>

⁴¹² World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SL.EMP.VULN.FE.ZS?locations=EC>

⁴¹³ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SL.EMP.VULN.MA.ZS?locations=EC>

⁴¹⁴ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SL.EMP.WORK.FE.ZS?locations=EC>

⁴¹⁵ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SL.EMP.WORK.MA.ZS?locations=EC>

⁴¹⁶ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SL.AGR.EMPL.FE.ZS?locations=EC>

⁴¹⁷ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SL.AGR.EMPL.MA.ZS?locations=EC>

⁴¹⁸ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SG.TIM.UWRK.FE?locations=EC>

⁴¹⁹ World Bank Data Bank, Ecuador: <https://data.worldbank.org/indicator/SG.TIM.UWRK.MA?locations=EC>

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leading to a significant poverty increase. The GDP contracted in 2020 by 7.8%, after registering no growth in 2019.⁴²⁰ Confirming a regional trend⁴²¹, Ecuadorian women were affected the most:

- According to the National Annual Survey on Employment, Unemployment and Sub-Employment⁴²², female unemployment rate is 6.7%, compared with 4.2% for male unemployment, both in urban and rural area. In addition, only 25.5% of women were found to have adequate employment, compared with 37.8% of men.
- The gender pay gap remains in Ecuador both in urban and rural areas. INEC census found that the average income of men in 2021 was 476 USD against 391 USD for women. Median income for men was 355 USD, compared with 251 USD for women. Salaried women in 2021 were only 37.5%, against 53.2% of men. In comparison, among the independent workers the gap was irrelevant: 39.9% of women against 37.8% of men.⁴²³
- INEC also found that 22.6% of unpaid workers were women, against 9.1% of men. A 2012 survey showed that Ecuadorian women devoted 273 minutes, or 19% of every day, to unpaid care work.⁴²⁴ On average, this means women spend 15 hours and 47 minutes every week on unpaid care work more than men, and this figure goes up to 23 hours a week in rural areas.⁴²⁵ Economic inactivity among women responds largely to unpaid care work and child-rearing activities, whereas 77% of men report education as main reason for inactivity. Women's labour force participation is also directly impacted by the number and age of children: as the number increases, participation decreases. As the age increases, so does participation. On the other hand, men's participation is unaffected by children in the household.⁴²⁶

420 CEPAL, 2021, Economic Survey of Latin America and the Caribbean, Ecuador, available at: https://repositorio.cepal.org/bitstream/handle/11362/47193/77/EI2021_Ecuador_en.pdf

421 World Bank, 2021, "COVID-19: The Costly Setback in Latin American Women's Progress", available at: <https://www.worldbank.org/en/news/feature/2021/03/04/la-covid19-costoso-retroceso-en-los-avances-de-la-mujer-latinoamericana>

422 Instituto Nacional de Estadística y Censos, 2021, Principales resultados de la Encuesta Nacional de Empleo, Desempleo y Subempleo - Anual, available at: https://www.ecuadorencifras.gob.ec/documentos/web-inec/EMPLEO/2021/Anual-2021/Anual_2021_Mercado%20Laboral%20y%20Pobreza%20v1.pdf

423 Instituto Nacional de Estadística y Censos, 2021, Ibid.

424 Jacques Charmes, 2019, The Unpaid Care Work and the Labour Market. An analysis of time use data based on the latest WorldCompilation of Time-use Surveys; International Labour Office - Geneva: ILO, 2019. ISBN: 978-92-2-133516-0 (print); 978-92-2-133517-7 (web pdf)

425 UNWomen, Ecuador, available at: <https://lac.unwomen.org/en/donde-estamos/ecuador>

426 World Bank, 2018, Ibid.

8.7 Gabon

Gabon is an upper-middle-income country in Africa. The fifth largest oil producer in the continent, it has had strong economic growth over the past decade, driven by its production of oil and manganese.⁴²⁷ Gabon is a highly-forested nation, with 85 - 88% forest cover, and houses approximately 18% of the Congo-Ogooué Basin's forest.⁴²⁸ These forests remain relatively intact and are globally important as a reservoir for biodiversity and a sink for atmospheric CO₂. Employment in agriculture remains high in Gabon - about 30% of the working population, and attracts 46% of the total female labour force participation, despite entrenched industries and satellite services around extractives in the country. Gabon has adopted a series of reforms to its civil and penal codes designed to give women more rights in the home and at work. Among other things, the reforms make it possible for any woman to open a bank account and go to work without the permission of her husband. As a result, Gabon's score on the *Women, Business and the Law 2022* index rose to 82.5, a substantial increase from 57.5 two years prior. **The &Green Fund has an active JECA in Gabon, and will work towards addressing gender barriers identified in the local contexts through its investments.**

8.7.1 Supply chain sectors

Plantation forestry

The forestry sector is a significant contributor to Gabon's economy.⁴²⁹ In 2016, GDP for forest exploitation was CFAF 91.1 billion (+21.5%), or 1.1% (0.9%) of national GDP at current prices.⁴³⁰ GDP linked to wood-related industries was CFAF 149 billion (+6.6%), or 1.8% (1.6%) of the national GDP.⁴³¹ The entire sector represents CFAF 240.1 billion, or 2.9 percent of national GDP.⁴³²

Timber exports are Gabon's second main export after oil and manganese, accounting for roughly nine percent of the country's total value of exports. Gabon exports USD 248 million in sawn wood annually, making it the third largest export revenue generator behind petroleum and manganese ore.⁴³³ The main destinations for sawn wood are China (USD 218 million), Belgium (USD 16.8 million), Italy (USD 7.6 million) and France (USD 7.3 million).⁴³⁴ Approximately 10.7 million hectares of Gabon's 21 million hectares of rainforest are allocated as concessions for commercial timber production.

⁴²⁷ World Bank (2021). Gabon: Overview. Available at:

<https://www.worldbank.org/en/country/gabon/overview#1>

⁴²⁸ World Bank (2019). Gabon: REDD+ Readiness. Available at:

<https://documents1.worldbank.org/curated/en/149011569269725956/pdf/Assessment-Note.pdf>

⁴²⁹ Ibid.

⁴³⁰ Ibid.

⁴³¹ Ibid.

⁴³² Ibid.

⁴³³ OEC. 2022. Gabon. Available at:

<https://oec.world/en/profile/bilateral-product/sawn-wood/reporter/gab>

⁴³⁴ Ibid.

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Currently, Gabon-specific gender studies on plantation and agroforestry is limited, although the Congo Basin Forest Partnership⁴³⁵ has recently launched gender consultations on women's rights in the forestry sectors of Gabon and Congo. Research is currently underway (conducted around three provinces of Gabon - Estuaire, Ngounié, and Nyanga) into the bush mango value chain - which reveal that women-headed household rely on this as an important source of revenue.⁴³⁶

Kiptot and Franzel (2012) explore these issues broadly in Africa from a gender perspective, examining women's participation relative to men and the challenges and successes they experience.⁴³⁷

Particular agroforestry practices examined include fodder production and utilization, soil fertility management, woodlots and indigenous fruit and vegetable production and processing. The review shows that agroforestry has the potential to offer substantial benefits to women; however, their participation is low in enterprises that are considered men's domain, such as timber and high in enterprises that have little or no commercial value, such as collection of indigenous fruits and vegetables.⁴³⁸

Furthermore, the degree of women's involvement relative to men in technologies such as soil fertility management, fodder production and woodlots is fairly high in terms of proportion of female-headed households participating but is low as measured by the area they allocate to these activities and the number of trees they plant. Data on whether women are able to manage agroforestry practices as well as men are mixed, although it is clear that women do most of the work but are not remunerated adequately.⁴³⁹ In cases where they do not perform well, the reasons are mostly due to scarcity of resources. In marketing, women are also confined to the lower end of the value chain (retailing), which limits their control over and returns from the productive process.

8.7.2 Latest Global Gender Gap Index score

The GGGI scores are not available for Gabon in the latest report (2021).

8.7.3 Country-level gender data indicators

⁴³⁵ See: <https://pfbc-cbfp.org/news-partner/Women-ATIBT.html>

Article I.⁴³⁶ Mikolo Yobo et al. (2020) "Exploring gender dynamics, economics and perceptions of the vulnerability of the bush mango value chain in three provinces of Gabon" in International Forestry Review. Available at:

https://www.researchgate.net/publication/344439234_Exploring_gender_dynamics_economics_and_perceptions_of_the_vulnerability_of_the_bush_mango_value_chain_in_three_provinces_of_Gabon

⁴³⁷ Kiptot, E. & Franzel, S. (2012) "Gender and forestry in Africa: a review of women's participation" in Agroforestry Systems. Available at: <https://link.springer.com/article/10.1007/s10457-011-9419-y>

⁴³⁸ Ibid.

⁴³⁹ Ibid.

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SDG 1	CHOSEN INDICATORS	VALUES
	•% of population below international poverty line	•3.60% (2021) ⁴⁴¹
	•% of population below national poverty line	•33.40% (2017) ⁴⁴²
	•% of population below lower middle income poverty line	•14.7% (2021) ⁴⁴³
	•% of population in severe multidimensional poverty ⁴⁴⁴	•4.7% (2012) ⁴⁴⁴
	•% of population vulnerable to multidimensional poverty	•17.5% (2012) ⁴⁴⁵
	•% of male-headed households (HHs)	•n/a
	•% of female-headed households	•30% (2012) ⁴⁴⁶

As the World Bank highlights, Gabon stands out as having a relatively low percentage of the population under the international poverty line in comparison to other sub-Saharan African countries largely due to its endowment in natural resources (especially oil).⁴⁴⁷ Inequalities of income are relatively high (Gini Index of 38) and are compounded by a large urban-rural divide which exists despite the fact that 89% of the population lives in urban areas.⁴⁴⁸ With regard to the feminization of poverty, there are a number of important facets to highlight:

- Gender plays a limited contribution to urban inequality but plays an important role in shaping opportunities in rural areas.⁴⁴⁹

⁴⁴⁰ Multidimensional poverty: In the post-2015 SDG and Agenda 2030 Framework, SDG 1 targets poverty elimination - in all forms and dimensions. This mandate requires tools to enumerate (quantitatively) and assess (qualitatively) poverty levels in different countries. The Multidimensional Poverty Index, calculated by UNDP and Oxford Poverty and Human Development Initiative (OPHI), is an important tool as it complements the international poverty line statistics by showing the nature and extent of overlapping deprivations for each person.

⁴⁴¹ Refers to the 1.90 USD per day international poverty line. Sustainable Development Report, Gabon, 2021. Accessible at: <https://dashboards.sdindex.org/static/profiles/pdfs/SDR-2021-gabon.pdf>

⁴⁴² World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SI.POV.NAHC?locations=GA>

⁴⁴³ Sustainable Development Report, Gabon, 2021, Ibid.

⁴⁴⁴ UNDP, Human Development Report 2020, Briefing note for countries on the 2020 Human Development Report, Gabon, accessible at: <https://hdr.undp.org/sites/default/files/Country-Profiles/GAB.pdf>

⁴⁴⁵ UNDP, Ibid.

⁴⁴⁶ World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SP.HOU.FEMA.ZS?locations=GA>

⁴⁴⁷ https://databank.worldbank.org/data/download/poverty/987B9C90-CB9F-4D93-AE8C-750588BF00QA/current/Global_POVEQ_GAB.pdf

⁴⁴⁸ Ibid.

⁴⁴⁹ <https://openknowledge.worldbank.org/bitstream/handle/10986/33429/138955.pdf?sequence=4&isAllowed=y> (page 47)

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SDG 3	CHOSEN INDICATORS	VALUES
	• % exposure to gender-based violence (lifetime probability)	• n/a
	• # adolescent fertility rate, (modeled estimate, births per 1000 women)	• 93.6 births (2018) ⁴⁵⁰
	• # maternal mortality ratio (modeled estimate, per 100,000 live births)	• 252 deaths (2017) ⁴⁵¹
	• # infant mortality rate (modeled estimate, per 1000 live births)	• 20.2 deaths (2019) ⁴⁵²
	• # children under five mortality (modeled estimate, per 1000 births)	• 42.5 deaths (2019) ⁴⁵³

Gabon spends approximately 3.44% of its GDP on health care (2014) which is comparatively less than neighboring countries.⁴⁵⁴ Despite this level of spending, Gabon has managed to expand its health coverage through the national healthcare system (the *Caisse Nationale d'Assurance Maladie et de Garantie Sociale*) by levying taxes on mobile phone companies and money transfers coming from abroad.⁴⁵⁵ Despite this social protection system, Gabonese women continue facing significant challenges to their health that include:

- A high rate of maternal mortality (252 in 2017) which is far higher than the rate of 20 maternal deaths per 100,000 live births that the WHO deems acceptable. Here again, there are large rural-urban difference with respect to coverage with 94% of urban women delivering in a health structure compared to 70% of rural women.⁴⁵⁶ Prior data from 1998 on MMR suggests that most hospitalisations occurred due to malaria which is endemic in Gabon.⁴⁵⁷

⁴⁵⁰ Sustainable Development Report, Gabon, 2021, Ibid.

⁴⁵¹ Sustainable Development Report, Gabon, 2021, Ibid.

⁴⁵² Sustainable Development Report, Gabon, 2021, Ibid.

⁴⁵³ Sustainable Development Report, Gabon, 2021, Ibid.

⁴⁵⁴ Brice Wilfried Obiang Obounou, 'Gabon health care system: a 20 year analysis', *International Journal of Community Medicine and Public Health* (2017) 4:7.
<https://www.ijcmph.com/index.php/ijcmph/article/view/1457/1231>

⁴⁵⁵ Borgen Project, 'What to know about healthcare in Gabon', <https://borgenproject.org/healthcare-in-gabon/#:~:text=Although%20Gabon%20has%20the%20classification,affected%20country%20in%20the%20world.>

⁴⁵⁶ World Bank, Gabon Poverty Assessment, p. 92.
<https://openknowledge.worldbank.org/bitstream/handle/10986/33429/138955.pdf?sequence=4&isAllowed=y>

⁴⁵⁷ J.L. Roudiere, Precarious situation of obstetric practice in Gabon (1998):
<https://pubmed.ncbi.nlm.nih.gov/9854007/#:~:text=The%20maternal%20mortality%20rate%20was,died%20had%20undergone%20cesarean%20section.>

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- The infant mortality rate is similarly high which many be explained by the fact that many 'poor children under 5 suffer from acute malnutrition manifested by high stunting, particularly in rural areas'.⁴⁵⁸
- In Gabon, women represent an overwhelming proportion of victims of sexual violence (90%) and economic violence (83%).⁴⁵⁹ Covid-19 is likely to act as a threat multiplier given that many of the women are burdened by unpaid care work and work in the informal economy.

SDG 4	CHOSEN INDICATORS	VALUES
	• % literacy rate, adult female	• 83.42%(2018) ⁴⁶⁰
	• % literacy rate, adult male	• 85.85% (2018) ⁴⁶¹
	• % literacy rate, youth female	• 91.44% (2018) ⁴⁶²
	• % literacy rate, youth male	• 88.14% (2018) ⁴⁶³
	• # children out of school, primary, female	• n/a
	• # children out of school, male	• n/a
	• % progression to secondary, female	• n/a
	• % progression to secondary, male	• n/a

Gabon spends 2.8% of its GDP on education expenditures (among the lowest when compared to other countries in Sub-Saharan Africa) with compulsory education lasting from the ages of 6 to 15.⁴⁶⁴ The following characteristics are noteworthy features with regard to gender and education in Gabon:

- The literacy rate remains lower for women and rural populations with overall low post-secondary enrolment.⁴⁶⁵ While female illiteracy is higher overall, the number of women who are illiterate has largely stagnated or decreased in the past decade while the number of illiterate men has continuously increased in the past two decades.⁴⁶⁶
- Education attainments show discrepancies based on gender and geographic areas. For instance, 24% of women have not received any formal education and 12% have never

⁴⁵⁸ World Bank, Gabon Poverty Assessment, p. 20.

<https://openknowledge.worldbank.org/bitstream/handle/10986/33429/138955.pdf?sequence=4&isAllowed=y>

⁴⁵⁹ Gabon: Egalité: <https://gabon-egalite.com/violences-faites-aux-femmes/>

⁴⁶⁰ World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=GA>

⁴⁶¹ World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SE.ADT.LITR.MA.ZS?locations=GA>

⁴⁶² World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.FE.ZS?locations=GA>

⁴⁶³ World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.MA.ZS?locations=GA>

⁴⁶⁴ Unesco, Institute for Statistics: Gabon: <http://uis.unesco.org/en/country/ga>

⁴⁶⁵ World Bank, Gabon Poverty Assessment, p.89.

<https://openknowledge.worldbank.org/bitstream/handle/10986/33429/138955.pdf?sequence=4&isAllowed=y>

⁴⁶⁶ Unesco, Institute for Statistics: Gabon: <http://uis.unesco.org/en/country/ga>

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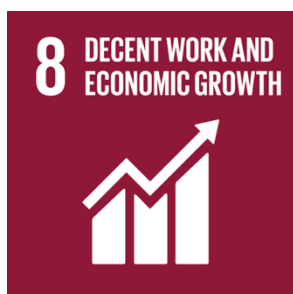
completed the primary cycle (against 20% of men having never completed formal education with gender parity on completion of the primary cycle).⁴⁶⁷

- Interestingly, completion rates for upper secondary education are extremely similar between men (13.75%) and women in Gabon (13.88%) suggesting that the gap might recede for higher education levels.⁴⁶⁸

SDG 8

CHOSEN INDICATORS

VALUES



• % labour force participation rate, female	• 39% (2020) ⁴⁶⁹
• # labour force, total	• 673,089 (2020) ⁴⁷⁰
• % vulnerable employment, female	• 34.95% (2019) ⁴⁷¹
• % vulnerable employment, male	• 27.61% (2019) ⁴⁷²
• % wage and salaried workers, female	• 63.58% (2019) ⁴⁷³
• % wage and salaried workers, male	• 68.75% (2019) ⁴⁷⁴
• % employment in agriculture, female	• 45.76% (2019) ⁴⁷⁵
• % employment in agriculture, male	• 20.99% (2019) ⁴⁷⁶
• % of time, unpaid care work, female	• n/a
• % of time, unpaid care work, male	• n/a ⁴⁷⁷

⁴⁶⁷ World Bank, Gabon Poverty Assessment, p.88.

<https://openknowledge.worldbank.org/bitstream/handle/10986/33429/138955.pdf?sequence=4&isAllowed=y>

⁴⁶⁸ USAID: <https://idea.usaid.gov/cd/gabon/gender>

⁴⁶⁹ World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SL.TLF.CACT.FE.ZS?locations=GA>

⁴⁷⁰ World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SL.TLF.TOTL.IN?locations=GA>

⁴⁷¹ World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SL.EMP.VULN.FE.ZS?locations=GA>

⁴⁷² World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SL.EMP.VULN.MA.ZS?locations=GA>

⁴⁷³ World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SL.EMP.WORK.FE.ZS?locations=GA>

⁴⁷⁴ World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SL.EMP.WORK.MA.ZS?locations=GA>

⁴⁷⁵ World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SL.AGR.EMPL.FE.ZS?locations=GA>

⁴⁷⁶ World Bank Data Bank, Gabon: <https://data.worldbank.org/indicator/SL.AGR.EMPL.MA.ZS?locations=GA>

⁴⁷⁷ As of december 2020, only 27.9% of indicators needed to monitor the SDGs from a gender perspective were available, with gaps in key areas, in particular: unpaid care and domestic work, key labour market indicators, such as the gender pay gap and information and communications technology skills. In addition, many areas - such as gender and poverty, physical and sexual harassment, women's access to assets (including land), and gender and the environment - lack comparable methodologies for regular monitoring. Source: UN Women, Country Factsheets, Gabon: <https://data.unwomen.org/country/gabon>

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The Gabonese economy is characterized by a high rate of informality, unemployment and labour shortages with notable gendered characteristics:

- ‘Gender employment gaps are high everywhere but seem to be slightly higher in areas with a high concentration of poverty’.⁴⁷⁸ Labour force participation gaps are even more pronounced in industry with employment in industry standing at 2.72% for women against 14.1% for men.⁴⁷⁹
- Unemployment is double the rate for women (28%)⁴⁸⁰ as compared to men (15%).⁴⁸¹
- Self-employment and informality are the most common forms of employment especially for women (43% against 26% for men) and rural residents.⁴⁸²
- Gender-based inequalities also exist with regard to female financial inclusion with only 30% of women having access to a bank account⁴⁸³

⁴⁷⁸ World Bank, Gabon Poverty Assessment, p. 13.

<https://openknowledge.worldbank.org/bitstream/handle/10986/33429/138955.pdf?sequence=4&isAllowed=y>

⁴⁷⁹ World Bank Data Portal, Gabon: <https://data.worldbank.org/indicator/SL.IND.EMPL.MA.ZS?locations=GA>

⁴⁸⁰ World Bank Data Portal, Gabon: <https://data.worldbank.org/indicator/SL.UEM.TOTL.FE.ZS?locations=GA>

⁴⁸¹ World Bank Data Portal, Gabon: <https://data.worldbank.org/indicator/SL.UEM.TOTL.MA.ZS?locations=GA>

⁴⁸² World Bank, Gabon Poverty Assessment, p. 16-17.

<https://openknowledge.worldbank.org/bitstream/handle/10986/33429/138955.pdf?sequence=4&isAllowed=y>

⁴⁸³ World Bank, ‘The Global Findex Database 2017’ https://globalfindex.worldbank.org/index.php/#data_sec_focus

8.8 Indonesia

Indonesia is a developing economy with abundant natural resources, and has employed its endowments, including forests - as a means towards development and improved economic benefits. This is reflected in Global Forest Watch's forest change data: in 2001, Indonesia had 93.8Mha of primary forest, extending over 50% of its land area. In 2021, it lost 203Kha of primary forest, equivalent to 157Mt of CO₂. Activities that contribute to deforestation include unplanned felling of natural forest timber at concessions; the conversion of forested areas due to agricultural expansion (estate crops), mining, plantations and transmigration, unsustainable forest management, illegal logging, encroachment and illegal land occupation in forested areas. Deforestation and forest degradation in Indonesia, therefore, are inseparable from Indonesia's political economy.⁴⁸⁴

The Indonesian government's commitment to include gender mainstreaming in national development was sealed in 2000 through a mandate designed to trickle down into all policies and programs in all ministries. Even before it merged with the Ministry of Environment, the Ministry of Forestry embraced gender mainstreaming, also weaving it throughout policies and programs, a practice that has since continued. Women are encouraged to participate in projects through the Pangarusutamaan Gender (PUG) program, designed to mainstream gender into forest and environmental policies, including those targeting forest tenure.

The country's political economy, however, continues to experience gender barriers: Indonesia has made significant progress on several dimensions of gender equality, including achieving gender parity in net enrollment rates, and expanding basic health services. However, these improvements have not yet translated into increased economic participation of women. Indonesia's female labour force participation rates have remained low and stubbornly stagnant over the last two decades, at around 52% (against labour force participation rates of men around 85%).⁴⁸⁵ Indonesia is also the world's largest archipelago - approximately 6,000 islands are populated among the total 17,000: making it a geographically vast and a diverse country, with intersections of gender, ethnicity, and religion. These diverse social markers combine with systematic welfare as well as disparities across groups, which has a cascading effect on agrocommodities and value chains.

For the &Green Fund, particularly in the context of priority value chains: palm oil, rubber and plantation forestry, these issues are relevant. The Fund has a country-level JECA active in Indonesia since November 8, 2021.⁴⁸⁶

8.8.1 Supply chain sectors

Palm oil

Indonesia is the world's number one producer of palm oil - and has witnessed zero-deforestation commitments in this particular supply chain, although implementation problems remain rife. For example, in 2014, two groups or coalitions of major palm oil producers with overlapping memberships emerged - the Indonesian Palm Oil Pledge (IPOP) and the Sustainable Palm Oil

⁴⁸⁴ Indrarto, G. B., et al (2012). Drivers, agents and institutions - the context of REDD+ in Indonesia. CIFOR.

⁴⁸⁵ World Bank (2020). Indonesia: Country Gender Assessment: Investing in Opportunities for Women. Available at: <https://openknowledge.worldbank.org/handle/10986/35310>

⁴⁸⁶ See: https://www.andgreen.fund/wp-content/uploads/2022/02/JECA-Indonesia-Full_compressed.pdf

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Manifesto (SPOM).⁴⁸⁷ Aside from deforestation, they have attempted to address social issues explicitly as well as land rights, conflicts and smallholder issues - which indirectly impact forest loss in Indonesia. Research undertaken by World Rainforest Movement has revealed that gendered exploitation and discrimination in the palm oil industry is an ongoing phenomenon, although the extent is difficult to estimate. These dynamics can range from lower/no pay for the same work, sexual harassment and gender-based violence at the workplace, and spillover effects of environmental impacts of palm oil plantations.

In Indonesia, women and children are often forced to work for free to help men meet the production targets that the company sets as condition for them to receive the full wage for the day, WRM finds.⁴⁸⁸ Women, often, tend to be restricted to low-paying, arduous and demeaning tasks, including the spraying of pesticides. These are tasks that are extremely dangerous for women and their reproductive health.⁴⁸⁹ Gender-based violence in the palm oil supply chain has remained insidious:⁴⁹⁰ women have reported **rape and torture** in or around the plantation fields, with the perpetrators usually going unpunished. In addition, **violent arrests or searches** have been conducted by private sector entities arguing that palm nuts or palm oil have been stolen from the company plantations. This comes with women having their traditional oil production taken away or destroyed, in many cases.

Research conducted by Stockholm Environment Institute in the Central Kalimantan Province has revealed that local communities have severe grievances about the impacts of oil palm plantations on water resources.⁴⁹¹ Plantations affect both water quality and quantity - for example by polluting drinking water and drying community wells. Women are often responsible for household water provision, and strain on water resources often force them (and girls) to travel long distances to access water. This has the dual impact of increasing their drudgery, as well as higher exposure to the risk of sexual assault or violently searched.

Rubber

Indonesia is the world's second-largest producer of rubber, and has the highest acreage under rubber cultivation globally. The land-use change that has fueled this expansion has had significant impacts on Indonesian forests (particularly in Jambi and other parts of Sumatra, Kalimantan of the Borneo region) as well as socioeconomic features.

When rubber was recognized as an increasingly lucrative commodity, the division of labour in agricultural land between women and men were sedimented. Women were generally responsible for subsistence agriculture in rice fields and homesteads, while men were responsible for rubber production and marketing.⁴⁹² Rubber trees are usually tapped every day, so labour input is constantly required. Male and female household members are both involved in rubber cultivation

⁴⁸⁷ Pirard, R., Gnych, S., Pacheco, P., and Lawry, S. (2015). Zero-deforestation commitments in Indonesia: Governance challenges. CIFOR (infobriends).

⁴⁸⁸ See: <https://www.wrm.org.uy/bulletin-articles/gender-in-the-palm-oil-industry-and-its-rspo-label>

⁴⁸⁹ Ibid.

⁴⁹⁰ Ibid.

⁴⁹¹ Stockholm Environment Institute (2012). The Oil Palm Sector: Community Grievances and Water Governance in Central Kalimantan, Indonesia.

⁴⁹² See: <http://wca2014.org/abstract/from-rubber-agroforestry-to-oil-palm-plantations-in-sumatra-indonesia-shifting-gender-roles/>

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and tapping.⁴⁹³ Women were also more active in more invisible tasks such as crop care and harvesting and hauling, as research on labour use for rubber production revealed.⁴⁹⁴

Through its programming, the &Green Fund will ensure marginalized producers within the rubber supply chains are included in target companies, and such actions are reviewed and approved in the due diligence stage. Where possible, the Fund will work with IDH to increase technical support to companies to increase social inclusion as well as capacity.

Plantation forestry

Plantation forests require intensive management, but they grow faster than natural forests: in 2011 FAO reported that although they accounted only for 5% of the total wood forest area, it produced 35% of all the world's wood product.⁴⁹⁵ Indonesia has made several attempts to promote sustainable management and commercialisation of forests, and currently it is one of several countries in the world leading the way in the design and implementation of REDD+ (Reducing Emission from Deforestation and Forest Degradation). Indonesia is in the second phase of implementing policy reforms and REDD+ pilots and transitioning towards the third phase of performance-based payments.⁴⁹⁶ Indonesia has also established the community plantation forests (CPF) programme in 2007 by the Ministry of Forestry with the aim of increasing community involvement in forest utilisation.⁴⁹⁷

8.8.2 Latest Global Gender Gap Index score

Indonesia has closed 68.8% of its overall gender gap, corresponding to a rank of 101st globally, although the gap this year is 1.3 percentage points larger than in the previous edition. This decline has resulted mainly from wider Economic Participation and Opportunity gaps where the country has lost 4 percentage points since last year, regressing to a gap currently closed of 64.7%. This can be explained almost exclusively by a sharp drop in the share of women in senior roles, which halved from 54.9% to 29.8% in just one year. Beyond the performance of this indicator, women participate in the labour market significantly less than men (55.9% of women and 84% of men) and wage and income gaps remain large (69.7% and 51.7%, respectively). In addition, 81.8% of the women's employment is in the informal sector (compared to 79.4% of men).

Indonesia's GGGI score in 2021 was 0.688, which means it ranks 10th at the regional level and 101 globally. Sub-scores are as follows:

⁴⁹³ Chrisendo, D., et al. (2020) "Land-use change, nutrition and gender roles in Indonesian farm households" in *Forest Policy and Economics* (v. 118). Available at: <https://www.sciencedirect.com/science/article/pii/S1389934119305532>

⁴⁹⁴ CGIAR (n.a.). Land tenure and farm management efficiency: the case of smallholder rubber production in customary land areas of Sumatra.

⁴⁹⁵ Definition taken from the Encyclopedia of Ecology.

⁴⁹⁶ Arwida, S. (et al.). (2016) CIFOR - Gender in Forestry and REDD+ in Indonesia. Available at: <https://www.cifor.org/knowledge/publication/6010/>

⁴⁹⁷ Kartodiharjo, H. (et al.). (2011) CIFOR - Community Plantation Forests in Indonesia. Available at: <https://www.cifor.org/knowledge/publication/3666/>

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Sub-index	Score	Ranking
Economic Participation and Opportunity	0.647	99
Educational Attainment	0.970	107
Health and Survival	0.971	76
Political Empowerment	0.164	92

8.8.3 Country-level gender data indicators

SDG 1	CHOSEN INDICATORS	VALUES
	• % of population below international poverty line	• 2.4% (2021) ⁴⁹⁹
	• % of population below national poverty line	• 9.8% (2020) ⁵⁰⁰
	• % of population below lower middle income poverty line	• 19.9% (2021) ⁵⁰¹
	• % of population in severe multidimensional poverty ⁴⁹⁸	• 0.4% (2017) ⁵⁰²
	• % of population vulnerable to multidimensional poverty	• 4.7% (2017) ⁵⁰³
	• % of male-headed households (HHs)	• n.a.
	• % of female-headed households	• 14.8% (2017) ⁵⁰⁴

The World Bank⁵⁰⁵ finds that poverty and unemployment declined in Indonesia as the economy recovered from the COVID-19 pandemic, nearly returning to pre-pandemic levels. On the other hand, inequality did not seem affected by the crisis, although the effects of a prolonged pandemic might be seen and felt in the longer term. Some constraints remain:

⁴⁹⁸ Multidimensional poverty: In the post-2015 SDG and Agenda 2030 Framework, SDG 1 targets poverty elimination - in all forms and dimensions. This mandate requires tools to enumerate (quantitatively) and assess (qualitatively) poverty levels in different countries. The Multidimensional Poverty Index, calculated by UNDP and Oxford Poverty and Human Development Initiative (OPHI), is an important tool as it complements the international poverty line statistics by showing the nature and extent of overlapping deprivations for each person.

⁴⁹⁹ Refers to the 1.90 USD per day international poverty line. Sustainable Development Report, Indonesia, 2021. Accessible at: <https://dashboards.sdindex.org/static/profiles/pdfs/SDR-2021-indonesia.pdf>

⁵⁰⁰ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SI.POV.NAHC?locations=ID>

⁵⁰¹ Sustainable Development Report, Indonesia, 2021, Ibid.

⁵⁰² UNDP, Human Development Report 2020, Briefing note for countries on the 2020 Human Development Report, Indonesia, accessible at: <https://hdr.undp.org/sites/default/files/Country-Profiles/IDN.pdf>

⁵⁰³ UNDP, Human Development Report 2020, Ibid.

⁵⁰⁴ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SP.HOU.FEMA.ZS?locations=ID>

⁵⁰⁵ The World Bank (2020). Poverty & Equity Brief, East Asia and Pacific, Indonesia

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- The World Bank High Frequency survey, rolled out in October 2021, found that work stoppages among bread winners were higher among female headed households and people with lower levels of education.⁵⁰⁶
- Female-headed households increased from 13.26% in 2000 to 15.02% in 2016. Research shows that poverty rate among female headed households is 12.20%, against 10.93% for male-headed households. Data also indicates that female heads of household are more vulnerable than their male counterparts, with less dependency and a lower education level, which directly influences their ability to obtain decent employment in the labour market. Marital status and location also heavily influence poverty status.⁵⁰⁷

SDG 4	CHOSEN INDICATORS	VALUES
	• % literacy rate, adult female	• 94.5% (2020) ⁵⁰⁸
	• % literacy rate, adult male	• 97.4% (2020) ⁵⁰⁹
	• % literacy rate, youth female	• 99.7% (2020) ⁵¹⁰
	• % literacy rate, youth male	• 99.7% (2020) ⁵¹¹
	• # children out of school, primary, female	• 1,073,003 (2018) ⁵¹²
	• # children out of school, male	• 482,011 (2018) ⁵¹³
	• % progression to secondary, female	• 87.3% (2016) ⁵¹⁴
	• % progression to secondary, male	• 95.3% (2016) ⁵¹⁵

The OECD⁵¹⁶ finds that:

- In Indonesia, 2.3% of students in lower secondary initial education repeated a grade in 2018, compared to 1.9% on average across OECD countries. Boys are more likely to repeat a grade at lower secondary initial education than girls. In Indonesia, 65% of repeaters at lower secondary level were boys, higher than the OECD average of 61%.

⁵⁰⁶ The World Bank (2020). Poverty & Equity Brief, East Asia and Pacific, Indonesia

⁵⁰⁷ Pukuh N., Widyasthika H, 2018, Women Left Behind? Findings from Female Headed Households in Indonesia, Conference: INTERNATIONAL CONFERENCE AND WORKSHOP ON GENDER (ICWGLIPI 2018)

⁵⁰⁸ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=ID>

⁵⁰⁹ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SE.ADT.LITR.MA.ZS?locations=ID>

⁵¹⁰ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.FE.ZS?locations=ID>

⁵¹¹ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.MA.ZS?locations=ID>

⁵¹² World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SE.PRM.UNER.FE?locations=ID>

⁵¹³ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SE.PRM.UNER.MA?locations=ID>

⁵¹⁴ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SE.SEC.PROG.FE.ZS?locations=ID>

⁵¹⁵ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SE.SEC.PROG.MA.ZS?locations=ID>

⁵¹⁶ See: <https://www.oecd-ilibrary.org/sites/5d666303-en/index.html?itemId=/content/component/5d666303-en>

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- Tertiary education has been expanding in the last decades, and, in 2020, 25-34 year-old women were more likely than men to achieve tertiary education in all OECD countries. In Indonesia, 21% of 25-34 year-old women had a tertiary qualification in 2020 compared to 16% of their male peers, while on average across OECD countries the shares were 52% among young women and 39% among young men. UNESCO found that, despite the fact that women in Indonesia are well represented in STEM disciplines, women tend to concentrate in specific fields, including pharmacy and biology, and be underrepresented in others, such as physics and chemical engineering.
- Young women are less likely to be employed than young men, particularly those with lower levels of education. Only 47% of 25-34 year-old women with below upper secondary attainment were employed in 2020 compared to 89% of men in Indonesia. This gender difference is larger than the average across OECD countries, where 43% of women and 69% of men with below upper secondary attainment are employed.
- The World Bank indicates that, according to projections, there might be large losses in lifetime earnings due to learning losses during widespread school closures in 2020 and 2021.⁵¹⁷

SDG 3	CHOSEN INDICATORS	VALUES
	• % exposure to gender-based violence (lifetime probability)	• 33.4% (2016) ⁵¹⁸
	• # adolescent fertility rate, (modeled estimate, births per 1000 women)	• 46.9 births (2018) ⁵¹⁹
	• # maternal mortality ratio (modeled estimate, per 100,000 live births)	• 177 deaths (2017) ⁵²⁰
	• # infant mortality rate modeled estimate, per 1000 live births)	• 12.4 deaths (2019) ⁵²¹
	• # children under five mortality (modeled estimate, per 1000 births)	• 23.9 deaths (2019) ⁵²²

Indonesia has achieved remarkable progress in health in the last 25 years, increasing the life expectancy, and reducing both infant and under-5 mortality. However, women and girls still experience constraints and challenges in accessing quality healthcare:

- **Maternal Mortality Rate (MMR):** MMR remains high in Indonesia, at 177 deaths per 100,000 live births. This is high both compared with regional neighbours and considering that the

⁵¹⁷ World Bank, 2021, Ibid.

⁵¹⁸ Statistics Indonesia (2016), 2016 Indonesian National Women's Life Experience Survey (Survei Pengalaman Hidup Perempuan Nasional). The survey was joint work with the Ministry of Women Empowerment and Child Protection and UNFPA.

⁵¹⁹ Sustainable Development Report, Indonesia, 2021, Ibid.

⁵²⁰ Sustainable Development Report, Indonesia, 2021, Ibid.

⁵²¹ Sustainable Development Report, Indonesia, 2021, Ibid.

⁵²² Sustainable Development Report, Indonesia, 2021, Ibid.

country has graduated to middle-income status. MMR varies significantly from one region to another, with the risk of dying in childbirth 6 times higher in Papua than in West Java.⁵²³ A recent survey (2019)⁵²⁴ indicates that 90% of maternal deaths are preventable. High levels of adolescent fertility also influence the high mortality rate, with a recent survey showing 10% of girls 15-19 have begun childbearing, with rates higher among rural girls and girls who completed primary education or less.⁵²⁵

- **Abortion:** abortion is allowed in Indonesia only in case of medical emergency, or severe anomaly of the foetus (for which, however, consent from both husband and wife is required). In 2009 the law was expanded to allow abortion after rape, but only within 6 weeks of gestation. The Guttmacher Institute reports that most abortion take place outside of these strict conditions, and the majority are unsafe. The Institute also reports that in the Java Province, in 2018, 73% of women seeking an abortion self-managed.⁵²⁶
- **SRHR:** It should be noted that from 1970 to 2002 Indonesia experienced significant gains in access to modern contraception. However, contraception prevalence has been stagnant since then, and remains low in specific regions (such as Papua) and social groups, including adolescents and unmarried couples, to whom the law forbids the purchase of contraceptives. In addition, religious and traditional stigma associated with premarital sex contributes to hamper contraceptive use and access, with only 45% of married or sexually active adolescents reported as using contraception. Child marriage is also widespread, with one in nine women been married before age 18: the eighth highest number of child marriages in the world.⁵²⁷
- **Gender-Based Violence:** violence against women is prevalent in Indonesia, at home, in school, on public transport and in the workplace. According to the 2016 Indonesian National Women's Life Experience Survey, one in three Indonesian women (15-64) have experienced violence in their lifetime, inflicted mostly by their spouses and those who are closest to them.⁵²⁸ The survey also found that 9 percent of respondents had experienced violence in the last 12 months. Women are also 13 times more likely than men to be abused in public transport than men⁵²⁹, and there is emerging evidence of women not reporting harassment on the workplace, due to fear of potential repercussions.⁵³⁰

⁵²³ World Bank, 2020, Indonesia Country Gender Assessment: Investing in Opportunities for Women

⁵²⁴ Baharuddin, M., Amelia, D., Suhowsky, S., Kusuma, A., Suhargono, M. H., and Eng, B. (2019). Maternal death reviews: A retrospective case series of 90 hospital-based maternal deaths in 11 hospitals in Indonesia. *International Journal of Gynecology & Obstetrics*. 144, 59-64.

⁵²⁵ Cain, J., Tandon, A., Yap, W., Pambudi, E., and Marzoeke, P. (2017). Revealing the missing link: private sector supply-side readiness for primary maternal health services in Indonesia - maternal health report (English). Washington, D.C. World Bank. <http://documents.worldbank.org/curated/en/418491498057482805/Revealing-the-missing-link-private-sector-supply-side-readiness-for-primary-maternal-health-services-in-Indonesia-maternal-health-report>

⁵²⁶ Guttmacher Institute, 2020, Indonesia Factsheet, available at: <https://www.guttmacher.org/fact-sheet/induced-abortion-indonesia#:~:text=Indonesian%20law%20allows%20abortion%20in,up%20to%20six%20weeks%20gestation>

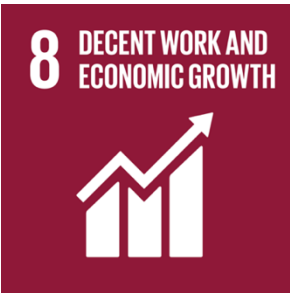
⁵²⁷ World Bank, 2020, Ibid.

⁵²⁸ Ministry of Women's Empowerment and Child Protection. (2017). Indonesian National Women's Life Experience Survey. Jakarta, Indonesia.

⁵²⁹ National Commission on Violence Against Women (Komnas Perempuan). (2019). National Human Rights Institution Independent Report on 25 Years of Implementing the Beijing Platform for Action (BPfA+25) in Indonesia. <https://en.komnasperempuan.go.id/read-news-komnas-perempuan-independent-report-on-25-years-of-implementing-the-beijing-platform-for-action-bpfa25-in-indonesia>

⁵³⁰ Connell, T. (2019). Taking on Gender-Based Violence at Work in Indonesia. Solidarity Center. <https://www.solidaritycenter.org/taking-on-gender-based-violence-at-work-in-indonesia/>

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SDG 8	CHOSEN INDICATORS	VALUES
	• % labour force participation rate, female	• 53.17% (2020) ⁵³¹
	• # labour force, total	• 136,459,585 (2020) ⁵³²
	• % vulnerable employment, female	• 57.08% (2019) ⁵³³
	• % vulnerable employment, male	• 42.5% (2019) ⁵³⁴
	• % wage and salaried workers, female	• 41.04% (2019) ⁵³⁵
	• % wage and salaried workers, male	• 52.95% (2019) ⁵³⁶
	• % employment in agriculture, female	• 26.36% (2019) ⁵³⁷
	• % employment in agriculture, male	• 29.88% (2019) ⁵³⁸

The labour force participation rate for women has remained stagnant, despite improvements in education, decline in fertility rate and changes to the economy.⁵³⁹ Participation rate to the workforce in Indonesia is lower compared with the average Asia and Pacific rate (66%), with more women in the workforce in Viet Nam, Cambodia, China and Thailand. Younger cohorts, however, report a decisive increase in participation, both in rural and urban areas. Marriage and childbearing are critical factors in female labour participation, with 40% in wage employment no longer working after marrying and having children.⁵⁴⁰ The gender gap is greater during childbearing years (25-40), and then declines at age 50⁵⁴¹, highlighting the burden of care on Indonesian women.

Occupation segregation by gender is prevalent in Indonesia, with women concentrated in low productivity jobs, in services (where women represent 52% of the workers) and in agriculture.. Women represent 47% of entry-level professionals, but only 13% of senior management positions, 5% of board members, and only 2% of CEOs.⁵⁴² UNWOMEN and ILO estimate a 23% gender pay gap.⁵⁴³

⁵³¹ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SL.TLF.CACT.FE.ZS?locations=ID>

⁵³² World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SL.TLF.TOTL.IN?locations=ID>

⁵³³ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SL.EMP.VULN.FE.ZS?locations=ID>

⁵³⁴ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SL.EMP.VULN.MA.ZS?locations=ID>

⁵³⁵ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SL.EMP.WORK.FE.ZS?locations=ID>

⁵³⁶ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SL.EMP.WORK.MA.ZS?locations=ID>

⁵³⁷ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SL.AGR.EMPL.FE.ZS?locations=ID>

⁵³⁸ World Bank Data Bank, Indonesia: <https://data.worldbank.org/indicator/SL.AGR.EMPL.MA.ZS?locations=ID>

⁵³⁹ World Bank, 2020, Ibid.

⁵⁴⁰ Cameron, L., Contreras Suárez, D., and Rowell, W. (2018). Female Labour Force Participation in Indonesia: Why Has It Stalled. Bulletin of Indonesian Economic Studies. 55(2): 157 - 192.

⁵⁴¹ World Bank, 2020, Ibid.

⁵⁴² McKinsey and Company. (2018). The Power of Parity: Advancing Women's Equality in Asia Pacific. McKinsey Global Institute. <https://www.mckinsey.com/-/media/McKinsey/Featured%20Insights/Gender%20Equality/The%20power%20of%20parity%20Advancing%20womens%20equality%20in%20Asia%20Pacific/MGI-The-power-of-parity-Advancing-womensequality-in-Asia-pacific-Full-report.pdf>

⁵⁴³ UNWOMEN, 2020, Gender Pay Gap in Indonesia, available at: <https://asiapacific.unwomen.org/en/digital-library/publications/2020/09/infographic-gender-pay-gaps-in-indonesia#view>

8.9 Lao PDR

The Lao People's Democratic Republic (henceforth, Lao) has obtained significant development progress between 2000 and 2010, halving poverty, reducing malnutrition, and improving health and educational outcomes. However, since 2013 economic growth has slowed, and the effects of the COVID-19 pandemic might reverse some of the gains achieved so far.

Agriculture is a key part of Laos' economy, accounting for 16.2% of GDP in 2020. Approximately two-thirds of the population live in rural areas, most of which are employed in agriculture. The main sources of agricultural export revenue are bananas, cassava and coffee beans. **For the &Green Fund, coffee and plantation forestry are a priority value chain in Lao, where the fund aims at establishing a JECA agreement.**

8.9.1 Supply chain sectors

Coffee

Coffee has become one Laos' three main agricultural exports and has contributed to reducing poverty in parts of the country⁵⁴⁴. The Ministry of Agriculture and Forestry has set a goal of increasing coffee production to 1 million tons by 2025.

There is a promising market opportunity for the Lao coffee sector, as the local and regional demand for coffee are increasing. Viet Nam imports on average 50% of Lao's total Arabica coffee beans every year, and China and India have also come on board as new potential market opportunities. Domestic demand for coffee has been increasing as well. The launch of many new coffee shops /cafés as well as small-scale roasters in recent years is an indicator of the increasing popularity of Lao coffee among locals. Some established coffee brands such as Sinouk Coffee, Lao Mountain Coffee, Saffron Coffee, Le Trio Coffee, Meuang Xieng Coffee, Yumi Coffee, and Dao Coffee are marketed locally, hoping that the booming tourism can boost their sales⁵⁴⁵.

The quality of Lao's coffee has been improving and is slowly gaining market recognition. This has been aided in part by technical support from development partners such as the Agence Française de Développement (AFD) and GIZ. The private sector is also playing an important role in introducing and developing clean agriculture to be able to export Lao coffee through large retail networks across the globe⁵⁴⁶. There are more than 20,000 smallholder families making a living from selling coffee beans, and more than 300,000 people (or about 6 per cent of the total working age population) engaged in jobs linked to the coffee industry.

Coffee value chain actors in Laos include:

- Agricultural input providers: supply the main agricultural inputs (machinery, equipment, fertilizers and seedlings). They also perform other roles, including collecting, trading and exporting coffee and other crops.

⁵⁴⁴ <https://www.afd.fr/en/actualites/laos-increasingly-sustainable-coffee-production>

⁵⁴⁵ UNCTAD (2020)

⁵⁴⁶

- Coffee producers can be divided into two groups: i) independent or individual smallholder farmers, groups and cooperatives; and ii) large-scale commercial coffee producers (many of which were established by foreign investors).
- Coffee traders: Small-scale coffee traders play an important role in collecting and selling coffee to big companies like Dao Hueang Group, Thin Nghia, Cat Que, and Pakse. It has been reported that Viet Nameese companies are being increasingly active in coffee trading in the province.

Coffee production is gendered in Lao, as observed in similar countries: a study⁵⁴⁷ focusing on Arabica coffee production and women's decision-making highlights that, while women are included in the production chain, the division of labour is shaped by gender norms. Men tend to focus on pruning and on other tasks involving machines, while women on picking and sorting, which is physically lighter but also more time-consuming.

The study examines how the introduction of the New Economic Mechanism (NEM - which started the economic liberalisation process) in 1986 drove a shift in agricultural production, which in turn had the effect of engaging women more in farming work. While economic growth has brought gains in terms of decision-making and empowerment, the study finds that men hold more decision-making power on land acquisition, technology use, fertiliser application, labour hiring, harvesting, and borrowing of money from a bank or money lender. Importantly, though, the analysis shows that women and men have equal decision-making power in the household on selling farm products and education of children.

The &Green Fund will focus on expanding the role of women in coffee production, strengthening their decision-making and increasing access to training and resources to avoid a perpetration of gendered division of labour. It will be important also to acknowledge and address the dual burden of women in the fields and in the household, decreasing the time poverty of women farmers in order to give more relevance to their role in the community and in the production chain.

Plantation forestry

Lao has a policy target of reaching 70% of forest cover by 2020. In 2018, the cover stood at 58%⁵⁴⁸, and plantation forests, which have considerably expanded in the last few years, represented 1.7% of the overall forest coverage.⁵⁴⁹ Plantation forests are mostly made of teak, rubber, eucalypt and acacia trees. The ownership rates vary significantly based on the type of trees: teak plantations are 99% owned by smallholder farmers, whereas 48.7% of rubber plantations are owned through company concessions, 24.7% through contract farming and the remaining 28.5% by smallholder farmers. Finally, 88.3% of eucalypt and acacia plantations are owned through company concessions, 10.4% through contract farming and only 1.3% by smallholder farmers.⁵⁵⁰

⁵⁴⁷ Douangphachanh, M.; Idrus, R.B.; Phommavong, S.; Jaquet, S. (2021) Agriculture transition and women's decision-making power in coffee-farming households in Lao PDR. *Journal of Southeast Asian Studies* 26(1) p. 49-71. ISSN: 1823-4127

⁵⁴⁸ Smith, H.; Kanowski, P.; Keenan, R.J.; Phimmavong, S., 2021, Lao Plantation Policy: Prospects for Change. *Forests* 2021, 12, 1132. <https://doi.org/10.3390/f12081132>

⁵⁴⁹ Department of Forestry, Lao PDR, 2020, National Forest Monitoring System Roadmap, available at: https://redd.unfccc.int/uploads/697_3_nfms_roadmap_final_2021_oct_2020.pdf

⁵⁵⁰ Smith, H. et al, 2021, *ibid*.

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Gender norms shaping the Laotian society are diverse, and vary depending on the main ethnic groups (Lao-Tai, Mon-Khmer, Hmon Lu-Mien, Chine-Tibetan). Non Lao-Tai women seem to experience additional challenges compared with Lao-Tai women, which are the predominant group in the country (67%) and are reported as having more equal gender norms compared with the other three main groups.⁵⁵¹ When it comes to access to land, cultural norms are key as customary law will be enforced differently whether a village or a community is matrilineal (ensuring protection of women to inherit and own land) or patrilineal (which only transfers land to men, meaning women can only access it through marriage, and only sons can inherit it). Lao-Tai and to some extent Mon-Khmer communities appear to be mostly matrilineal, and to sustain customary law, empowering women to negotiate and to uphold their rights.⁵⁵²

Among other key barriers preventing women from participating equally and fully to forestry community life, the following can be listed: i) women are reported as having limited representation in community forestry initiatives, meaning forestry decision-making is made without consideration of women's needs; ii) although in 2021 Lao, with support from SIDA, unveiled a strategy to strengthen gender mainstreaming in forestry⁵⁵³, female forest officials are still very uncommon, including due to security risks for crossing long distances; iii) Social and linguistic barriers, especially for women of non Lao-Tai ethnic groups, can hamper participation. Also, unpaid care work is a significant obstacle for women to participate actively in activities out of the household; iv) Access to capital and resources is limited for women, and men dominate the value chain, highlighting a lack of power and knowledge of women in terms of pricing, negotiation and types of timber.⁵⁵⁴

On the other hand, women's involvement in forestry has been linked with: i) a decrease in illegal activity; ii) increased representation in decision-making, as well as a tendency to sanction and exclude less, reducing conflict and increasing effective forest management; iii) mobilization of people for collective action, and better access to information from external agents; iv) increased commitment and interest to protect the forest.⁵⁵⁵

The &Green Fund will strive to acknowledge these barriers, and to work on sustainable forestry increasing agency, decision-making power and knowledge of women, leveraging on their specific skills and awareness of non-timber forest products and sustainable use of forestry environments.

8.9.2 Global Gender Gap Index score

Lao's GGGI score⁵⁵⁶ in 2021 was 0.750, which means it ranks 3rd at the regional level and 37th globally. Sub-scores are as follows, introduced by an explanation provided in the GGG Report 2021:

⁵⁵¹ Rural Research & Development Promoting Knowledge Association (RRDPA), 2021, Women involvement in village forest management Recommendations for the VPA negotiations, available at: <https://loggingoff.info/wp-content/uploads/2021/12/Women-involvement-in-Village-Forest-Management.pdf>

⁵⁵² Rural Research & Development Promoting Knowledge Association (RRDPA), 2021, Ibid.

⁵⁵³ RECOFT, "Lao uplifts strategy to build gender inclusion in forestry", available at: <https://www.recoftc.org/en/lao-pdr/stories/lao-uplifts-strategy-build-gender-inclusion-forestry>

⁵⁵⁴ Rural Research & Development Promoting Knowledge Association (RRDPA), 2021, Ibid.

⁵⁵⁵ Rural Research & Development Promoting Knowledge Association (RRDPA), 2021, Ibid.

⁵⁵⁶ 556 World Economic Forum, 2021, Global Gender Gap Report 2021, available at: https://www3.weforum.org/docs/WEF_GGGR_2021.pdf

Sub-index	Score	Ranking
Economic Participation and Opportunity	0.915	1
Educational Attainment	0.965	112
Health and Survival	0.975	57
Political Empowerment	0.146	104

8.9.3 Country-level gender data indicator

SDG 1	CHOSEN INDICATORS	VALUES
	• % of population below international poverty line	• 10.6%(2021) ⁵⁵⁸
	• % of population below national poverty line	• 18.30%(2018) ⁵⁵⁹
	• % of population below lower middle income poverty line	• 39% (2021) ⁵⁶⁰
	• % of population in severe multidimensional poverty ⁵⁵⁷	• 9.6% (2017) ⁵⁶¹
	• % of population vulnerable to multidimensional poverty	• 21.2% (2017) ⁵⁶²
	• % of male-headed households (HHs)	• n/a
	• % of female-headed households	• 10% (2012) ⁵⁶³

The poverty profile⁵⁶⁴ published by the World Bank and the Lao Statistics Bureau in 2020 shows how the country has achieved remarkable progress towards reducing poverty, which has more than

⁵⁵⁷ Multidimensional poverty: In the post-2015 SDG and Agenda 2030 Framework, SDG 1 targets poverty elimination - in all forms and dimensions. This mandate requires tools to enumerate (quantitatively) and assess (qualitatively) poverty levels in different countries. The Multidimensional Poverty Index, calculated by UNDP and Oxford Poverty and Human Development Initiative (OPHI), is an important tool as it complements the international poverty line statistics by showing the nature and extent of overlapping deprivations for each person.

⁵⁵⁸ Refers to the 1.90 USD per day international poverty line. Sustainable Development Report, Lao PDR, 2021. Accessible at: <https://dashboards.sdgindex.org/static/profiles/pdfs/SDR-2021-lao-pdr.pdf>

⁵⁵⁹ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SI.POV.NAHC?locations=LA>

⁵⁶⁰ Sustainable Development Report, Lao PDR, 2021, Ibid.

⁵⁶¹ UNDP, Human Development Report 2020, Briefing note for countries on the 2020 Human Development Report, Lao PDR, accessible at: <https://hdr.undp.org/sites/default/files/Country-Profiles/LAO.pdf>

⁵⁶² UNDP, Ibid.

⁵⁶³ World Bank, ADB, 2012, Country Gender Assessment, Lao PDR: <https://www.adb.org/sites/default/files/institutional-document/33755/files/cag-lao-pdr.pdf>

⁵⁶⁴ World Bank, Lao Statistics Bureau, 2020, Poverty Assessment 2020: Catching Up and Falling Behind

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halved between 1993 and 2019. However, since 2013 poverty reduction has slowed, and in certain cases stagnated, due to a sensible reduction of off-farm jobs:

- Inequality remains high and has risen in the last few years: the GINI index went from 35.4 in 2007, to 36 in 2016 and reached 38.8 in 2018.⁵⁶⁵ Inequality is driven by a high concentration of consumption at the top of the distribution. The impact of COVID-19 on tourism, remittances and the labour market has further exacerbated the challenges experienced by the economy in previous years.⁵⁶⁶
- Poverty remains remarkably higher in the rural areas, the share of urban poor is rising, and the geography of poverty has changed in the last decade: the central region, historically the wealthiest, is now home to a much larger share of the poor, from 34% in 2012/2013 to 42% in 2018/2019. Poverty is higher among ethnic minority groups, and the Hmon Lu-Mien group is lagging significantly behind the others: poverty declined by 15% since 2012/2013, compared with a reduction by one third for the other groups.⁵⁶⁷
- Poverty is higher among male-headed households, however while the gap was almost 10% in 2012/2013, with 16% of female-headed households in poverty compared with 25% of male-headed households, that gap is now only 0.9%, which shows a much faster pace of poverty reduction among male-headed households. That can be explained by change in the average household size and the primary economic activity: 60% of male-headed household are engaged in farming activities, as opposed to 45% of female-headed households.⁵⁶⁸

SDG 4	CHOSEN INDICATORS	VALUES
	• % literacy rate, adult female	• 79.39% (2015) ⁵⁶⁹
	• % literacy rate, adult male	• 89.96% (2015) ⁵⁷⁰
	• % literacy rate, youth female	• 90.50% (2015) ⁵⁷¹
	• % literacy rate, youth male	• 94.40% (2015) ⁵⁷²
	• # children out of school, primary, female	• 33,973 (2020) ⁵⁷³
	• # children out of school, male	• 29,449 (2020) ⁵⁷⁴

⁵⁶⁵ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SI.POV.GINI?locations=LA>

⁵⁶⁶ World Bank, Lao Statistics Bureau, 2020, Ibid.

⁵⁶⁷ World Bank, Lao Statistics Bureau, 2020, Ibid.

⁵⁶⁸ World Bank, Lao Statistics Bureau, 2020, Ibid.

⁵⁶⁹ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=LA>

⁵⁷⁰ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SE.ADT.LITR.MA.ZS?locations=LA>

⁵⁷¹ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.FE.ZS?locations=LA>

⁵⁷² World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.MA.ZS?locations=LA>

⁵⁷³ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SE.PRM.UNER.FE?locations=LA>

⁵⁷⁴ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SE.PRM.UNER.MA?locations=LA>

• % progression to secondary, female	• 84.74% (2017) ⁵⁷⁵
• % progression to secondary, male	• 87.56% (2017) ⁵⁷⁶

Lao has made some remarkable progress in educational attainment and performance in the last two decades, achieving universal access to primary education. However, in 2015 the public spending on education was 2.6% of GDP, considerably lower than the 4.7% global median, and below regional neighbours like Viet Nam and Malaysia.⁵⁷⁷ Specific constraints and disparities remain:

- While universal access to primary education has been achieved, completion rate for basic education remains low. A 2017 student learning assessment showed that 1 in 3 students in grade 3 met the literacy standards for promotion to grade 4, and only 1 in 5 met the standards in math. Similarly, an assessment in 2019 found that students at the lower level of secondary school (grade 9) do not master literacy and math skills. Few students are reaching upper secondary. For every 100 students that start Grade 1, only 83 reach Grade 5, 51 reach Grade 9/Mathayom 4, and 33 reach Grade 12/Mathayom 7.⁵⁷⁸ However, Lao has nearly achieved gender parity at primary level.⁵⁷⁹
- Only 60% of children of lower secondary age attend school, and at least 1 in 6 children (17%) are out of school. The gap is wider in remote and marginalised communities, including ethnic minorities, households where mothers have low or no educational levels, and the poorest quintile. In all these communities less than half the children between 11 and 14 attend school, and one quarter are out of school.⁵⁸⁰
- At secondary level gender parity has not been achieved, and fewer girls than boys are enrolled. In vulnerable groups, with the exception of Chinese-Tibetan, boys attend school proportionally more than girls.⁵⁸¹ While girls represent now 46% of TVET students, the selection of subjects is still skewed towards occupations traditionally considered more “feminine”, such as tailoring, basic business administration and hospitality.⁵⁸²

⁵⁷⁵ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SE.SEC.PROG.FE.ZS?locations=LA>

⁵⁷⁶ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SE.SEC.PROG.MA.ZS?locations=LA>

⁵⁷⁷ UNICEF, 2020, Investing More in Education to Boost the Economy, Graduate from Least Developed Country and Mitigate COVID-19 Impact, available at: https://www.unicef.org/laos/media/3921/file/Public%20Investment%20in%20Education_Advocacy%20Brief.pdf

⁵⁷⁸ Draft 9th ESSDP 2021-25, MoES. Data based on school year 2018/19., data in UNICEF, 2020, Ibid.

⁵⁷⁹ UNICEF, 2019, The situation of Children and Women, Lao PDR

⁵⁸⁰ Lao Statistics Bureau, 2018. LSIS 2017

⁵⁸¹ Lao Statistics Bureau, 2018. LSIS 2017

⁵⁸² LuxDev, Gender Equality in Lao PDR, available at: https://luxdev.lu/files/documents/Genre_LAO_vF.pdf

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SDG 3	CHOSEN INDICATORS	VALUES
	• % exposure to gender-based violence (lifetime probability)	• n/a ⁵⁸³
	• # adolescent fertility rate, (modeled estimate, births per 1000 women)	• 64.9 births (2018) ⁵⁸⁴
	• # maternal mortality ratio (modeled estimate, per 100,000 live births)	• 185 deaths (2017) ⁵⁸⁵
	• # infant mortality rate (modeled estimate, per 1000 live births)	• 22 deaths (2019) ⁵⁸⁶
	• # children under five mortality (modeled estimate, per 1000 births)	• 45.5 deaths (2019) ⁵⁸⁷

Lao has made some remarkable progress in health in the last fifteen years. Life expectancy continuously increased until reaching 66 in 2015, maternal mortality was decreased by 75%, therefore meeting the MDG target, immunization rate has increased, and the Health Sector Reform (HSR) saw the introduction of the national health insurance, the reform of the health information system and the introduction of an essential service package. However, women and girls still face challenges and constraints:

- Maternal mortality rates or MMRs: although MMR decreased to 185 deaths per 100,000 live births in 2017, compared with 905 in 1990, it is still above the regional average and far from the WHO and SDG goal of less than 70 per 100,000 births. Only two thirds of births are delivered in a health facility and attended by a skill medical professional.⁵⁸⁸ The World Bank reports that the proportion decreases significantly in rural villages without road access (38%), among the poorest wealth quintile (34%) and ethnic minority groups (43% for Chine-Tibetan women). Likewise, while at the national level 44% of mothers and newborns receive post-natal care, the proportion is lower in the aforementioned groups: 24%, 27% and 23%, respectively.⁵⁸⁹

583 Aggregate data on lifetime probability are not available for Lao, however the Lao PDR Violence Against Women Prevalence Study, conducted by the Lao Statistics Bureau and the National Commission for the Advancement of Women in 2015 found that 11.6% of ever partnered women experience physical violence in their lifetime, and 4% of them in the past 12 months. Overlap of physical, psychological and emotional violence was 30.2%, and 34.8% of ever-partnered women experienced controlling behaviours by their partners in their lifetime, and 6.8 percent of them experienced economic abuse in their lifetime. Summary of findings available in Hyun, M., World Bank, 2019, Lao PDR Gender-Based Violence Institutional Mapping Report, available at:

[https://documents1.worldbank.org/curated/en/300891594091530233/pdf/Lao-PDR-Gender-Based-Violence-Institutional-Mapping-Report.pdf?fbclid=IwAR3yLCpqLfsLrevmDoGeVJHLkAbwtsrLU0ufbAyOgBE8-3sDE8TIJCMv7bw#:~:text=Addressing%20Gender%2DBased%20Violence%20\(GBV,in%20Lao%20PDR%202014%2D2020.](https://documents1.worldbank.org/curated/en/300891594091530233/pdf/Lao-PDR-Gender-Based-Violence-Institutional-Mapping-Report.pdf?fbclid=IwAR3yLCpqLfsLrevmDoGeVJHLkAbwtsrLU0ufbAyOgBE8-3sDE8TIJCMv7bw#:~:text=Addressing%20Gender%2DBased%20Violence%20(GBV,in%20Lao%20PDR%202014%2D2020.)

584 Sustainable Development Report, Lao PDR, 2021, Ibid.

585 Sustainable Development Report, Lao PDR, 2021, Ibid.

586 Sustainable Development Report, Lao PDR, 2021, Ibid.

587 Sustainable Development Report, Lao PDR, 2021, Ibid.

588 Lao Statistics Bureau, 2018

589 World Bank, Lao Statistics Bureau, 2020, Ibid.

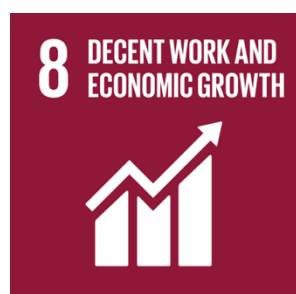
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- Abortion and SRHR: Abortion is illegal in Lao, unless it is performed to save the woman's life. Illegal abortions are, however quite widespread, to the point that it was estimated that between 20 and 50% of women admitted to public hospitals sought care after unsafe abortions. As a result, the Ministry of Health developed the first guidelines for unsafe abortion for health workers, in 2016.⁵⁹⁰ According to UNFPA, unmet need for contraceptive for women 14-49 who want to stop or delay pregnancy, is 14.3% (data collected over 262,000 women). Moreover, adolescent fertility rate is the highest of the region, with approximately 83 girls every 1,000 aged 15-19 who started childbearing.⁵⁹¹

SDG 8

CHOSEN INDICATORS

VALUES



• % labour force participation rate, female	• 36.54% (2017) ⁵⁹²
• # labour force, total	• 3,787,334 (2020) ⁵⁹³
• % vulnerable employment, female	• 81.28% (2019) ⁵⁹⁴
• % vulnerable employment, male	• 67.54% (2019) ⁵⁹⁵
• % wage and salaried workers, female	• 18.50% (2019) ⁵⁹⁶
• % wage and salaried workers, male	• 31.82% (2019) ⁵⁹⁷
• % employment in agriculture, female	• 63.54% (2019) ⁵⁹⁸
• % employment in agriculture, male	• 59.42% (2019) ⁵⁹⁹
• % of time, unpaid care work, female	• 13.60% (2017) ⁶⁰⁰
• % of time, unpaid care work, male	• 10.06% (2017) ⁶⁰¹

Access to economic opportunities and employment has increased in the last two decades, along with the strong economic growth of the country. However, women continue to face challenges,

⁵⁹⁰ OECD, 2019, SIGI Report, Lao

⁵⁹¹ UNFPA, Sexual and Reproductive Health Brief, available at: https://lao.unfpa.org/sites/default/files/pub-pdf/srh_overview_brochure-eng.pdf

⁵⁹² World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SL.TLF.CACT.FE.NE.ZS?locations=LA>

⁵⁹³ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SL.TLF.TOTL.IN?locations=LA>

⁵⁹⁴ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SL.EMP.VULN.FE.ZS?locations=LA>

⁵⁹⁵ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SL.EMP.VULN.MA.ZS?locations=LA>

⁵⁹⁶ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SL.EMP.WORK.FE.ZS?locations=LA>

⁵⁹⁷ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SL.EMP.WORK.MA.ZS?locations=LA>

⁵⁹⁸ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SL.AGR.EMPL.FE.ZS?locations=LA>

⁵⁹⁹ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SL.AGR.EMPL.MA.ZS?locations=LA>

⁶⁰⁰ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SG.TIM.UWRK.FE?locations=LA>

⁶⁰¹ World Bank Data Bank, Lao PDR: <https://data.worldbank.org/indicator/SG.TIM.UWRK.MA?locations=LA>

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and as they are predominantly employed in the informal sector, they are more easily exposed to shocks (such as the COVID-19 pandemic):

- The reduction in off-farm jobs had devastating effects on youth unemployment (21.8% in 2018/2019, high regardless of education level) and on women, who saw both gender opportunity and pay gap increase. Female participation to the labour force dropped by 15.8%, reaching 66% in 2018/2019⁶⁰²
- According to Lao's population and housing census, in 2015 61% of women in the labour force worked as unpaid family workers, as opposed to 26% of men. In 2018, an Asian Development Bank study found that time spent by women on unpaid care work is five times higher than time spent by men. Moreover, women are tasked with heavy work, including fetching water, collecting water and, in some villages, pounding rice.⁶⁰³

See next page for Section 8.11 on Liberia.

⁶⁰² World Bank, Lao Statistics Bureau, 2020, Ibid.

⁶⁰³ ADB Brief, 2020, Exploring the Gender Dimensions of Unpaid Care Work in the Lao People's Democratic Republic, available at: <https://www.adb.org/sites/default/files/publication/662361/adb-brief-163-gender-dimensions-unpaid-care-work-lao-pdr.pdf>

8.10 Liberia

Liberia is rich in natural resources, which include: iron ore, diamonds, gold, fertile soil, fishery, and forestry. About 50% of Liberians live within 2.5 kilometres of a forest - and each day, these households spend over three hours collecting forest products for subsistence and for sale, earning about 35% of their income.⁶⁰⁴ In case of crisis such as droughts, fires, floods or pandemics, forests provide a safety net, offering resources to recover from the shocks. Informal and largely unmeasured, forest activities provide an important source of jobs, income and food security. Despite the crucial role forests play in sustaining livelihoods, 12.2% of Liberia's forest cover was lost from 1990 to 2010.

Women - and men - in Liberia are employed primarily within the agriculture and service sector.⁶⁰⁵ In some areas such as food crops, female participation exceeds male participation. However, women in agriculture are largely considered to be unempowered because of key constraints like: limited autonomy in production. Insecure land ownership and land tenure continue to limit women's access to credit, inputs, and, ultimately, productivity and financial empowerment. The Ebola epidemic (followed by COVID-19 pandemic), the drop in global commodity prices crisis, and increases in the cost of living that occurred from 2014 to 2015 have had a lingering impact on the Liberian economy - and particularly on women's economic empowerment.⁶⁰⁶ **The &Green Fund has an active JECA in Liberia and will be ensuring that gender issues identified in this assessment are addressed within the ambit of the investments proposed in the country.**

8.10.1 Supply chain sectors

Cocoa

Cocoa is the second largest agricultural revenue generator accounting for more than USD 33 million in 2020. Liberia has a favourable climate and fertile soil for cocoa production. There has been substantial investment in the rehabilitation of cooperative and smallholder cocoa farms. The country's international partners, such as IFAD, continue to invest in cocoa smallholder producers to improve livelihoods and raise incomes by modernizing cocoa farming, increasing production, and developing market access.

Research by Soliridad West Africa⁶⁰⁷ has revealed the need mainstream gender equality issues in the cocoa sub-sector across the entire value chain. However, the challenge is to ensure that the major players in the cocoa sector, that is investors and private companies, are willing to implement measures towards gender inclusiveness to overcome the status quo. According to a gender assessment conducted by them, huge gender inequality (especially against women) exists in the sector. The study revealed that an estimated 75% of the tasks in cocoa cultivation are

⁶⁰⁴ World Bank (2020). Liberia: Understanding People's Dependence on Forests. Available at: <https://blogs.worldbank.org/african/liberia-understanding-peoples-dependence-forests>

⁶⁰⁵ USAID (2018). USAID: Country Gender Assessment. Available at: https://pdf.usaid.gov/pdf_docs/PA00WB3Z.pdf

⁶⁰⁶ Ibid.

⁶⁰⁷ ProForest (2020). Gender assessment of the policy chain in relation to the cocoa, oil palm, rubber and timber value chains in Liberia. Available at: https://moa.gov.lr/sites/default/files/documents/genderassessment_liberia.pdf

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performed by women, but the significant contributions of women along the cocoa value chain are not recognised and duly rewarded.

Specific efforts to target women cocoa farmers are needed, in order to support these farmers' essential role in boosting cocoa quality to the levels required on the premium market.⁶⁰⁸ Cocoa businesses (including cooperatives, traders, exporters and farmers) are recognizing the mounting evidence that female farmers are important for cocoa bean quality—in particular because of their essential roles in post-harvesting activities, such as breaking pods and drying and fermenting cocoa beans. It is also widely recognized that female farmers tend to have higher training needs than their male counterparts. Yet, numerous interventions implemented to promote cocoa sustainability continue to be gender blind, and limit opportunities for women working effectively and benefitting equitably from this value chain in Liberia.

Palm oil

Palm oil is another significant cash crop in Liberia. Traditionally, it is a domestically consumed product but there has been some export development with smallholders and large investors expressing interest in expanding cash crop production. Nevertheless, the Central Bank of Liberia's 2020 report showed a slight decline in palm oil production (from 22,465 metric tons to 22,200 metric tons) due to limited labour mobility because of COVID-19 related restrictions.

The Government of Liberia developed a National Oil Palm Export Strategy (2014-2018) aimed at enhancing the productive capacity in the palm oil sector, particularly at the smallholder level through the outgrowers' scheme.⁶⁰⁹ The strategy proposes the establishment of an integrated research programme and to augment the availability of quality skilled and semi-skilled labour to improve business services and extension services support.⁶¹⁰

An important issue that needs to be addressed to mobilise this strategy relates to gender equity and inclusion - the roles and responsibilities that men, women and youth play in every aspect of the oil palm value chain.

Both men and women play critical roles in the oil palm value chain. However, women contribute more to processing and marketing, while men do the harvest at the smallholder level. One of the strategies for achieving the objectives of the Oil Palm Export Strategy that the government is to ensure that the outgrower schemes allocate land to women. The strategy should address appropriate land rights and utilisation mechanisms to reduce land conflicts between concessionaires and local communities that cut across gender as men, women and youth aspire to protect their land. There is an urgent need to develop gender-sensitive indicators that specifically identify, document and close the data gap on women's activities along the palm oil value chain.

⁶⁰⁸ GROW - Sida and Adam Smith International (2020). Boosting Yields and Income: the Business Case for Supporting Female Cocoa Farmers in Liberia. Available at: <https://static1.squarespace.com/static/5afe8501aa49a1c2cb2fab10/t/5f6a686660c8ce7110c358e6/1600809063456/The+Business+Case+for+Supporting+Female+Cocoa+Farmers+in+Liberia.pdf>

⁶⁰⁹ ProForest (2020). Ibid.

⁶¹⁰ Ibid.

Rubber

Rubber is a dominant revenue generator, accounting for 13.5 percent of total export receipts in 2020. Liberia is the largest producer of natural rubber in Africa, accounting for USD 102 million in 2020 and producing nearly 65,000 tonnes on 87,000 hectares. Various estimates put the number of people employed by commercial rubber farms at 22,000 and the number of smallholder households involved in growing rubber trees at 38,000.

Women and youth constitute a significantly proportion of the labour force on the rubber plantations and private rubber farms across the country.⁶¹¹ They provide labour for clearing, planting, crop maintenance as well as harvest to some extent. The policy framework for natural rubber is embedded in the concession agreements with large producers which do not clearly address gender issues. Generally, gender equality issues in the rubber sector are based the labour laws of Liberia such as the Decent Work Bill, National Social Protection Policy, and other policies for gender inclusion. Concessions are expected to adhere to Liberia gender policies. However, there are no clear indicators to be used as yardsticks for monitoring gender inclusiveness and empowerment in the rubber sector.

8.10.2 Latest Global Gender Gap Index score

Liberia has closed 69.3% of its overall gender gap, achieving a rank of 94th globally. Only 54.4% of Liberia's literacy gender gap has been bridged with a literacy rate of 34.1% for women against 62.7% for men explaining its low ranking with regard to the overarching Educational Attainment gender gap category (83.9% of the gap has been bridged).

Liberia's GGGI score in 2021 was 0.693, which means it ranks 15th at the regional level and 94th globally. Sub-scores are as follows:

Sub-index	Score	Ranking
Economic Participation and Opportunity	0.717	53
Educational Attainment	0.839	142
Health and Survival	0.962	136
Political Empowerment	0.255	55

8.10.3 Country-level gender data indicators

Gender disparities in Liberia span political participation, personal autonomy, and access to and control over assets, resources, and finances. Liberia has a GII value of 0.650, ranking it 156 out of 162 countries in the 2019 index. In Liberia, 11.7 percent of parliamentary seats are held by women, and 18.5 percent of adult women have reached at least a secondary level of education compared to 40.1 percent of their male counterparts. For every 100,000 live births, 661.0 women die from

⁶¹¹ Ibid.

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pregnancy related causes; and the adolescent birth rate is 128 births per 1,000 women of ages 15-19. Female participation in the labour market is 72.1 percent compared to 80.6 for men.⁶¹²

Data availability is a challenge in Liberia. As of December 2020, only 41% of indicators needed to monitor the SDGs from a gender perspective were available, with gaps in key areas, in particular: key labour market indicators, such as the gender pay gap and information and communications technology skills. In addition, many areas - such as gender and poverty, physical and sexual harassment, women's access to assets (including land), and gender and the environment - lack comparable methodologies for regular monitoring.⁶¹³

SDG 1	CHOSEN INDICATORS	VALUES
	• % of population below international poverty line	• 43.5% (2021) ⁶¹⁵
	• % of population below national poverty line	• 50.9% (2016) ⁶¹⁶
	• % of population below lower middle income poverty line	• 74.7% (2021) ⁶¹⁷
	• % of population in severe multidimensional poverty ⁶¹⁴	• 32.1% (2013) ⁶¹⁸
	• % of population vulnerable to multidimensional poverty	• 21.4% (2013) ⁶¹⁹
	• % of male-headed households (HHs)	• n/a
	• % of female-headed households	• 33.7% (2020) ⁶²⁰

Despite being one of the countries hardest hit by the Ebola outbreak (2013 - 2016), Liberia has made significant strides in its economic growth over the past decade, exceeding the regional average for Sub-Saharan Africa. Between 2002 and 2020, Gross National Income (GNI) per capita

⁶¹² UNDP, Human Development Report, Liberia (2020): <https://hdr.undp.org/sites/default/files/Country-Profiles/LBR.pdf>

⁶¹³ UN Women, Liberia Country Factsheet: <https://data.unwomen.org/country/liberia>

⁶¹⁴ Multidimensional poverty: In the post-2015 SDG and Agenda 2030 Framework, SDG 1 targets poverty elimination - in all forms and dimensions. This mandate requires tools to enumerate (quantitatively) and assess (qualitatively) poverty levels in different countries. The Multidimensional Poverty Index, calculated by UNDP and Oxford Poverty and Human Development Initiative (OPHI), is an important tool as it complements the international poverty line statistics by showing the nature and extent of overlapping deprivations for each person.

⁶¹⁵ Refers to the 1.90 USD per day international poverty line. Sustainable Development Report, Liberia, 2021. Accessible at: <https://dashboards.sdgindex.org/static/profiles/pdfs/SDR-2021-liberia.pdf>

⁶¹⁶ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SI.POV.NAHC?locations=LR>

⁶¹⁷ Sustainable Development Report, Liberia, 2021, Ibid.

⁶¹⁸ UNDP, Human Development Report 2020, Briefing note for countries on the 2020 Human Development Report, Liberia, accessible at: <https://hdr.undp.org/sites/default/files/Country-Profiles/LBR.pdf>

⁶¹⁹ UNDP, Ibid.

⁶²⁰ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SP.HOU.FEMA.ZS?locations=LR>

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in Liberia grew from USD 250 to USD 570, peaking at USD 650 in 2013⁶²¹. Poverty levels have also decreased over the last decade, with the percentage of Liberians at or below the national poverty line falling from 63.8% in 2007, to 50.9% in 2016. Inequality has decreased marginally, with the GINI index falling from 36.5% in 2007 to 35.3% in 2016.

Despite this most Liberians remain poor, face some form of income and/ or food insecurity and vulnerability. In 5 of the 6 statistical regions of the country, absolute poverty levels started to decline at the end of the conflict in 2005. However, since 2014 absolute poverty is on the rise.

After two consecutive years of contraction (resulting from the COVID-19 pandemic), Liberia's economy is rebounding, with economic growth of 4.9% projected for 2022-23. Per capita GDP is expected to return to pre-COVID-19 levels by 2023. Despite this, poverty levels are expected to increase slightly as per capita consumption continues to contract. The majority of growth will be driven by the export of commodities, particularly from the mining sector.

The following data indicates a gender disparity in Liberia's progress towards achieving SDG1:

- In Liberia, women and girls (aged 15+) spend 6.7% of their time on unpaid care and domestic work, compared to 2.6% spent by men.
- 47.3% of Liberian women are below the international poverty line, compared to 43.1% of men
- In the World Economic Forum Global Gender Gap Index (2021) - Liberia ranked 94th / 156 states.

SDG 3	CHOSEN INDICATORS	VALUES
	• % exposure to gender-based violence (lifetime probability)	• n/a
	• # adolescent fertility rate, (modeled estimate, births per 1000 women)	• 135.6 births (2018) ⁶²²
	• # maternal mortality ratio (modeled estimate, per 100,000 live births)	• 661 deaths (2017) ⁶²³
	• # infant mortality rate (modeled estimate, 1000 live births)	• 32.4 deaths (2019) ⁶²⁴
	• # children under five mortality (modeled estimate, per 1000 births)	• 84.6 deaths (2019) ⁶²⁵

⁶²¹ World Bank Data, Liberia: <https://data.worldbank.org/indicator/NY.GNP.PCAP.CD?locations=LR>

⁶²² Sustainable Development Report, Liberia, 2021, Ibid.

⁶²³ Sustainable Development Report, Liberia, 2021, Ibid.

⁶²⁴ Sustainable Development Report, Liberia, 2021, Ibid.

⁶²⁵ Sustainable Development Report, Liberia, 2021, Ibid.

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In the last two decades Liberia has made progress in improving the health and quality of life prospects for its citizens. Life expectancy at birth has risen from 52 years in 2000 to 64 years in 2020⁶²⁶.

- Between 2000 and 2019, Liberia's Human Development Index value increased from 0.435 to 0.480, an increase of 10.3 percent. Despite this increase, Liberia still only ranks 175 / 189 countries. In the World Economic Forum's Global Gender Gap (2021) Liberia ranked 136 / 156 countries for Health and Survival.
- While the adolescent birth rate (for women between 15 - 19) decreased from 150 women per 1,000 in 2015 to 128 per 1,000 women aged 15-19 as of 2018⁶²⁷ maternal mortality and women's access to quality care remains a major issue. This is particularly acute for rural women, who are far from health facilities. Although more than 50% of births take place in a healthcare facility, children born in rural settings are twice as likely to be delivered by a relative or friend, rather than a skilled provider, as compared to in the greater Monrovia area.
- The issue of sexual and gender-based violence is attracting growing attention both internationally and within Liberian society. GbV is widespread and often seen as a private, family matter. According to the 2019-2020 Liberia Demographic and Health Survey, 60% of women age 15-49 have experienced physical violence and 9% have experienced sexual violence. Less than half (42%) of women who have experienced physical or sexual violence have ever sought help. Rape is one of the most frequently reported crimes in Liberia, and the rate of sexual violence against women in Liberia is among the highest in the world. Female Genital Cutting, which is also considered gender-based violence (GBV), is widely accepted and practiced in Liberia. This remains controversial because it is practiced by Liberia's Traditional Sande School and highlights the lack of harmonization between Liberia's traditional and national laws and the impact that has on gender roles and women's rights⁶²⁸.

SDG 4	CHOSEN INDICATORS	VALUES
	• % literacy rate, adult female	• 34.09% (2017) ⁶²⁹
	• % literacy rate, adult male	• 62.69% (2017) ⁶³⁰
	• % literacy rate, youth female	• 45.63% (2017) ⁶³¹

⁶²⁶ World Bank Data: <https://data.worldbank.org/indicator/SP.DYN.LE00.IN?locations=LR>

⁶²⁷ UN Women: <https://data.unwomen.org/country/liberia>

⁶²⁸ USAID, Liberia Gender Assessment (2018)

⁶²⁹ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=LR>

⁶³⁰ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SE.ADT.LITR.MA.ZS?locations=LR>

⁶³¹ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.FE.ZS?locations=LR>

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• % literacy rate, youth male	• 64.96% (2017) ⁶³²
• # children out of school, primary, female	• 77,218 (2017) ⁶³³
• # children out of school, male	• 82,261 (2017) ⁶³⁴
• % progression to secondary, female	• 81.36% (2016) ⁶³⁵
• % progression to secondary, male	• 78.06% (2016) ⁶³⁶

Liberia is still in the process of rebuilding its education system after 14 years of civil war, which resulted in the destruction of much of country's trained workforce and 60% of school buildings⁶³⁷. The 2014 school closure due to the Ebola Viral Disease (EVD) outbreak, has further inhibited the recovery of the country's fragile education system.

It has one of the world's highest levels of out-school children, with an estimated 15 to 20 per cent of 6-14 year-olds who are not in class. Just over a third of pre-schoolers have access to early childhood learning programmes and only 54 per cent of children complete primary education. For those children who are enrolled in primary and secondary school, many are overage. In fact, the vast majority of Liberia's students are older than the appropriate age for their grade and are therefore at high risk of dropping out. At present, overage enrollment is a consequence of late entry into grade one and lack of enforcement of the age appropriate enrolment policy⁶³⁸.

In Liberia there are substantial educational disparities due to gender, rural-urban locality, and income inequality - with poor rural girls and women being at the greatest disadvantage. Poverty, discriminatory social and gender norms, lack of sexual health and reproductive rights, and high levels of sexual and gender-based violence negatively affect girls' access, retention, and completion of secondary school in Liberia. In the World Economic Forum's Global Gender Gap (2021) Liberia ranked 142 / 156 countries for Educational Attainment⁶³⁹.

⁶³² World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.MA.ZS?locations=LR>

⁶³³ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SE.PRM.UNER.FE?locations=LR>

⁶³⁴ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SE.PRM.UNER.MA?locations=LR>

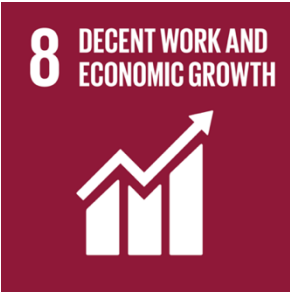
⁶³⁵ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SE.SEC.PROG.MA.ZS?locations=LR>

⁶³⁶ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SL.TLF.CACT.FE.NE.ZS?locations=LR>

⁶³⁷ UNICEF: <https://www.unicef.org/liberia/basic-education#:~:text=Yet%2C%20Liberia%20is%20significantly%20behind,who%20are%20not%20in%20class.>

⁶³⁸ Ibid

⁶³⁹ World Economic Forum (2021), Global Gender Gap Report 2021

SDG 8	CHOSEN INDICATORS	VALUES
	• % labour force participation rate, female	• 68.78% (2020) ⁶⁴⁰
	• # labour force, total	• 2,230,924 (2020) ⁶⁴¹
	• % vulnerable employment, female	• 90.72% (2019) ⁶⁴²
	• % vulnerable employment, male	• 65.08% (2019) ⁶⁴³
	• % wage and salaried workers, female	• 8.41% (2019) ⁶⁴⁴
	• % wage and salaried workers, male	• 33% (2019) ⁶⁴⁵
	• % employment in agriculture, female	• 40.33% (2019) ⁶⁴⁶
	• % employment in agriculture, male	• 44.72% (2019) ⁶⁴⁷
	• % of time, unpaid care work, female	• 6.29% (2010) ⁶⁴⁸
	• % of time, unpaid care work, male	• 2.58% (2010) ⁶⁴⁹

The majority of Liberian women are employed informally and in low-productivity sectors, particularly the agriculture (40% of female employment in 2019) and service sectors. Very few Liberian women hold position within the professional, managerial, technical or skilled labour sectors, limiting potential for economic growth.

Despite recent improvements, Liberia's investment climate still ranks fairly low by international standards and was ranked 175 / 190 countries in the World Bank's Ease of Doing Business Report in 2019. Women in particular encounter several obstacles to doing business in Liberia, including:

- **Education** – As a result of conflict (see SDG 4), a high proportion of women lack the basic skills to conduct business successfully and often find themselves in low-productivity jobs. The prolonged years of conflict led to high rates of illiteracy, particularly among women. The current generation of women entrepreneurs lacks many of the basic skills needed to successfully operate a business. Also, lack of technical skills due to the breakdown of the

⁶⁴⁰ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SL.EMP.WORK.MA.ZS?locations=LR>

⁶⁴¹ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SL.TLF.TOTL.IN?locations=LR>

⁶⁴² World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SL.EMP.VULN.FE.ZS?locations=LR>

⁶⁴³ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SL.EMP.VULN.MA.ZS?locations=LR>

⁶⁴⁴ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SL.EMP.WORK.FE.ZS?locations=LR>

⁶⁴⁵ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SL.EMP.WORK.MA.ZS?locations=LR>

⁶⁴⁶ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SL.AGR.EMPL.FE.ZS?locations=LR>

⁶⁴⁷ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SL.AGR.EMPL.MA.ZS?locations=LR>

⁶⁴⁸ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SG.TIM.UWRK.FE?locations=LR>

⁶⁴⁹ World Bank Data Bank, Liberia: <https://data.worldbank.org/indicator/SG.TIM.UWRK.MA?locations=LR>

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education system during the conflict has constrained women's opportunities to develop their businesses in higher productivity areas. Gender gaps in vocational and professional training are particularly wide, and gender segregation remains high, leading women into low-productivity jobs.

- Limited access to credit and low levels of financial inclusion - Despite recent improvements, women continue to find it problematic to access credit in Liberia. Supply and demand factors compound women's difficulty in accessing credit in the post-conflict economic environment. Lack of a credit culture and overall repayment rates make it difficult for financial institutions to lend to SMEs, let alone to women, who they consider as higher risk. In addition, limited vision and skills among entrepreneurs and issues with inadequate (or sometimes non-existent) financial skills and lack of collateral (partly as a result of land disputes) are some of the factors limiting women's access to credit. Overall rates of financial inclusion in Liberia are low - particularly for women - with only 28.16% of women have an account at a financial institution or mobile-money-service provide, compared with 43.66% of men⁶⁵⁰;
- Limited financial literacy and business training; and limited social protections or childcare options.

⁶⁵⁰ UN Women

8.11 Zambia

Zambia is a large, land-locked and resource-rich country, with a sparse and mostly urban population. While poverty data are not recent, and only available until 2015, the World Bank recorded a significant contraction of the economy by 2.8% in 2020, with recovery expectation of 3.3% growth in 2021 and 3.8% between 2022 and 2025. However, as a result of the COVID-19 crisis, the World Bank expected poverty to increase slightly in 2020, reaching 60.8%.⁶⁵¹ Agriculture accounts for approximately 19% of the GDP and employs roughly three quarters of the population. Main value chains include: maize, sorghum, millet, and cassava while exports are driven by sugar, soybeans, coffee, groundnuts, rice, and cotton as well as horticultural produce. **For the &Green Fund, grains and staples are a priority value chain in Zambia, where the fund aims at establishing a JECA agreement.**

8.11.1 Supply chain sectors

Grains, staples

Maize is the main staple cultivated in Zambia, with approximately 3,387,470 tonnes produced in 2020 and almost 39 million USD export revenue. According to FAO⁶⁵², supplies for 2021/22 marketing year are satisfactory: to give an example, in this period, Zambia recorded its largest corn crop: 3.4 million tonnes, in line with the very good performance of the region, which was also the main cause for lower export demand from neighbouring countries.⁶⁵³ However, FAO also flags that poorer rains than expected are hampering 2022 crop prospects, and that while food insecurity has reduced slightly since the same period last year, 1.6 million people are still in need of assistance.

While agriculture accounts for a smaller percentage of GDP compared to other similar countries, mostly due to the relevance of mining, it is the main source of livelihood for 60% of households, with women providing 70% of agricultural labour.⁶⁵⁴ It is also a driver of deforestation, especially in the Eastern Province.⁶⁵⁵

Farming is gendered in Zambia, with female farmers encountering a number of challenges. Women suffer from insecure land tenure, both in customary and statutory systems.⁶⁵⁶ Studies show that land tenure insecurity translates into reduction of climate smart agriculture practices: in Zambian households where women have less tenure security, they apply 13-18% less fertilizer, fallow 4-5% less land area, and use intensive tillage techniques on 3-5% fewer acres.⁶⁵⁷ There is also evidence

⁶⁵¹ World Bank, Zambia Overview, available at: <https://www.worldbank.org/en/country/zambia/overview#1>

⁶⁵² FAO GIEWS, Zambia, available at: <https://www.fao.org/giews/countrybrief/country.jsp?code=ZMB&lang=ar>

⁶⁵³ United States Department of Agriculture, 2022, Zambia Grains and Feed Report, available at: https://apps.fas.usda.gov/newgainapi/api/Report/DownloadReportByFileName?fileName=Zambia%20Grain%20and%20Feed_Pretoria_Zambia_08-11-2021.pdf

⁶⁵⁴ CIAT-World Bank, 2017, Climate-Smart Agriculture in Zambia. CSA Country Profiles for Africa Series, available at <http://sdwebx.worldbank.org/climateportal/doc/agricultureProfiles/CSA-in-Zambia.pdf>

⁶⁵⁵ World Bank, 2018, "Zambia takes the Keys Away from 'Drivers' of Deforestation", available at: <https://www.worldbank.org/en/news/feature/2018/03/02/zambia-takes-the-keys-away-from-drivers-of-deforestation>

⁶⁵⁶ USAID, 2018, Female Farmers in Zambia, Positive Prospects for Productivity, available at: https://www.land-links.org/wp-content/uploads/2016/09/TGCC-Gender-Brief_FINAL_topostclean_7.5.2018.pdf

⁶⁵⁷ Dillon, B., & Voena, A., 2017, Inheritance customs and agricultural investment, SSRN Electronic Journal

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that women's insecurity over land and tree resources reduces agroforestry adoption.⁶⁵⁸ The state now prioritises issuance of land to women by law.

Moreover, while representing the majority of the labour force, women farmers in Zambia work with little reward or income, and have traditionally less access than men to productive resources, services and opportunities, including land, financial services and education.⁶⁵⁹

However, programmes which integrated a gender perspective in their design and implementation led to promising outcomes. For instance, the FAO-led and EU-supported "Conservation Agriculture Scaling Up Project" benefitted 229,000 Zambian farmers, 40% of which were women. The project recognised the challenges and inequalities faced by women, and provided access to support and education, on both conservation agriculture and ICT techniques.

The &Green fund will assess the specific needs of women farmers, aiming at addressing them and leverage on progress and successes obtained by similar programmes and projects. A specific emphasis will be provided on access to land, resources and education.

8.11.2 Latest Global Gender Gap Index score

Zambia's GGGI score in 2021 was 0.726, which means it ranks 8th at the regional level and 56th globally. Sub-scores are as follows:

Sub-index	Score	Ranking
Economic Participation and Opportunity	0.804	14
Educational Attainment	0.938	125
Health and Survival	0.980	1
Political Empowerment	0.180	84

⁶⁵⁸ Kiptot, E., Franzel, S., & Degrande, A., 2014, Gender, agroforestry and food security in Africa. Current Opinion in Environmental Sustainability, 6, 104-109

⁶⁵⁹ FAO, 2019, "Women farmers taking the lead in Zambia", available at: <https://www.fao.org/partnerships/resource-partners/stories/story/en/c/1184600/#:~:text=As%20is%20the%20case%20in,land%2C%20financial%20services%20and%20education.>

8.11.3 Country-level gender data indicators

SDG 1	CHOSEN INDICATORS	VALUES
	• % of population below international poverty line	• 59.1%(2021) ⁶⁶¹
	• % of population below national poverty line	• 54.4%(2015) ⁶⁶²
	• % of population below lower middle income poverty line	• 77% (2021) ⁶⁶³
	• % of population in severe multidimensional poverty ⁶⁶⁰	• 21% (2018) ⁶⁶⁴
	• % of population vulnerable to multidimensional poverty	• 23.9%(2013) ⁶⁶⁵
	• % of male-headed households (HHs)	• n/a
	• % of female-headed households	• 26.8%(2018) ⁶⁶⁶

The World Bank expects poverty level to increase up to 60.8% after the pandemic. Poverty remains highest among rural population, where reside 82% of the poor in the country, while the slight decrease in urban areas is mostly due to improvements in the mining, financial and construction sectors⁶⁶⁷:

- The COVID-19 pandemic hit the Zambian economy hard, and increased inequalities and hardships already present for women and girls, by further increasing unpaid care work and exposure to gender-based violence. The pandemic shrunk the informal economy sector and reduced the income of its labour force, of which 74% are women in Sub-Saharan Africa.⁶⁶⁸

⁶⁶⁰ Multidimensional poverty: In the post-2015 SDG and Agenda 2030 Framework, SDG 1 targets poverty elimination - in all forms and dimensions. This mandate requires tools to enumerate (quantitatively) and assess (qualitatively) poverty levels in different countries. The Multidimensional Poverty Index, calculated by UNDP and Oxford Poverty and Human Development Initiative (OPHI), is an important tool as it complements the international poverty line statistics by showing the nature and extent of overlapping deprivations for each person.

⁶⁶¹ Refers to the 1.90 USD per day international poverty line. Sustainable Development Report, Zambia, 2021. Accessible at: <https://dashboards.sdindex.org/static/profiles/pdfs/SDR-2021-zambia.pdf>

⁶⁶² World Bank, 2020, Poverty and Equity Brief, Sub-Saharan Africa, Zambia. Accessible at: https://databank.worldbank.org/data/download/poverty/33EF03BB-9722-4AE2-ABC7-AA2972D68AFE/Global_POVEQ_ZMB.pdf

⁶⁶³ Sustainable Development Report, Viet Nam, 2021, Ibid.

⁶⁶⁴ UNDP, Human Development Report 2020, Briefing note for countries on the 2020 Human Development Report, Zambia, accessible at: <https://hdr.undp.org/sites/default/files/Country-Profiles/ZMB.pdf>

⁶⁶⁵ UNDP, Ibid.

⁶⁶⁶ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SP.HOU.FEMA.ZS?locations=ZM>

⁶⁶⁷ World Bank, Poverty and Equity Brief Sub-Saharan Africa, Zambia, available at: https://databank.worldbank.org/data/download/poverty/33EF03BB-9722-4AE2-ABC7-AA2972D68AFE/Global_POVEQ_ZMB.pdf

⁶⁶⁸ UNWOMEN, Women in Informal Economies, available at: <https://www.unwomen.org/en/news/in-focus/csw61/women-in-informal-eco>

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- According to official national statistics⁶⁶⁹, 31% of women have control over economic resources, in comparison with 34% of men. This figure has decreased by 10% between 2001 and 2019. In addition, 18% of women with access to an income have their husband determine how the money is used, compared to 8.4 per cent of men whose income use is determined by their wives.
- Income inequality is evident both between rural and urban population and between men and women. According to the latest available official statistics (2015), monthly average in urban areas was 810 Zambian Kwacha (K), compared with 3,152.40 K in urban areas and a national average of 1,801.30 K. Average monthly household income in male-headed households was 1,928 K, while average income for female-headed households was 1,377.66 K. Even more significant, the decile distribution of income shows that the bottom 50% accounted for 7.3% of the total income, whereas the top 10% accounted for 56% of the total income.⁶⁷⁰

SDG 4	CHOSEN INDICATORS	VALUES
	• % literacy rate, adult female	• 83% (2018) ⁶⁷¹
	• % literacy rate, adult male	• 91% (2018) ⁶⁷²
	• % literacy rate, youth female	• 92% (2018) ⁶⁷³
	• % literacy rate, youth male	• 93% (2018) ⁶⁷⁴
	• # children out of school, primary, female	• 214,262 (2017) ⁶⁷⁵
	• # children out of school, male	• 281,430 (2017) ⁶⁷⁶
	• % progression to secondary, female	• 62% (2012) ⁶⁷⁷
	• % progression to secondary, male	• 66% (2012) ⁶⁷⁸

⁶⁶⁹ Republic of Zambia, Ministry of Gender, Gender Status Report 2017-2019, available at: https://www.giz.de/en/downloads/giz2021_en_Zambia_Gender_Report_2017-2019.pdf

⁶⁷⁰ Republic of Zambia, Central Statistical Office, 2015 Living Conditions Monitoring, Key Findings, available at: <https://prais.unccd.int/sites/default/files/2018-08/LCMS%202015%20Summary%20Report.pdf>

⁶⁷¹ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=ZM>

⁶⁷² World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SE.ADT.LITR.MA.ZS?locations=ZM>

⁶⁷³ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.FE.ZS?locations=ZM>

⁶⁷⁴ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SE.ADT.1524.LT.MA.ZS?locations=ZM>

⁶⁷⁵ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SE.PRM.UNER.FE?locations=ZM>

⁶⁷⁶ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SE.PRM.UNER.MA?locations=ZM>

⁶⁷⁷ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SE.SEC.PROG.FE.ZS?locations=ZM>

⁶⁷⁸ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SE.SEC.PROG.MA.ZS?locations=ZM>

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The Government has identified education as a key priority for development, and included it in the 7th National Development Plan. However, expenditure on education has reduced to financial constraints, and the country has experiences gains as well as steps back:

- While the secondary net enrolment rate increased from 25.4% in 2016 to 42.9% in 2017, the primary net enrolment rate declined from 90.4% in 2016 to 87.9% in 2017. The proportion of Grade 1 entrants with pre-school experience also declined from 29.8% in 2016 to 26.1%.⁶⁷⁹
- Transition from primary to secondary school is still difficult, due to geographical disparities and also availability of educational facilities: at the moment, there are only 1,009 secondary schools across the country, against 8,843 primary schools. Gender parity has been achieved for primary education, but inequalities reappear in grade 12, with a parity index of 0.89, and with very significant geographical disparities, with Eastern and Southern Provinces recording the widest gap. Among the numerous reasons for this gap there are social norms around puberty and menstruation, associated with the need of isolation and with stigma. This is reflected also in the out-of-school population, 55% of which was female in 2017. Girls drop out due to having to walk long distances to reach the schools, posing a significant protection risk, as well as lack of support from family, lack of a girl-friendly environment, low quality of education and teenage pregnancy. Only 50% of the 13,640 girls who dropped out of school due to pregnancy returned to school in 2017.⁶⁸⁰
- PISA-D scores from 2017 indicate that in Zambia: 5% of students achieve the minimum level of proficiency in reading and 2% in mathematics; Girls outperform boys in reading by 14 points and in mathematics by 6 points; Students of urban schools outperform students of rural schools in reading with a performance difference of 56 score points, the equivalent of more than a year of schooling; Advantaged students are 14.4 times more likely than disadvantaged students to attain the baseline level of proficiency in mathematics; The percentage of the Zambian population that has attained at least grade 7 by age 15 in 2017 was 36%. The remaining 64% of 15-year-olds in 2017 were either in grades below 7 or out of school.⁶⁸¹

⁶⁷⁹ UNICEF, 2018, Zambia Basic Education and Gender Equality Thematic Report January to December 2018, available at: <https://open.unicef.org/sites/transparency/files/2020-06/Zambia-TP4-2018.pdf>

⁶⁸⁰ UNICEF, 2018, Ibid.

⁶⁸¹ OECD, 2018, Education in Zambia, available at: https://www.oecd.org/pisa/pisa-for-development/Zambia_PISA_D_national_report.pdf

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SDG 3	CHOSEN INDICATORS	VALUES
	• % exposure to gender-based violence (lifetime probability)	• n/a ⁶⁸²
	• # adolescent fertility rate, (modeled estimate, births per 1000 women)	• 118.3 births (2018) ⁶⁸³
	• # maternal mortality ratio (modeled estimate, per 100,000 live births)	• 213 deaths (2017) ⁶⁸⁴
	• # infant mortality rate modeled estimate, per 1000 live births)	• 23.3 deaths (2019) ⁶⁸⁵
	• # children under five mortality (modeled estimate, per 1000 births)	• 61.7 deaths (2019) ⁶⁸⁶

Zambia's healthcare system is based on universal access, although there are significant constraints to funding and availability of care. The system is decentralised, and broken down in three levels: hospitals, health centres and health posts. Hospitals are further disaggregated into primary (district), secondary (provincial) and tertiary (central). There is a clear gendered dimension to access to health, despite significant gains in the last two decades:

- Maternal mortality rates or MMRs: Zambia has decreased MMR by 300% in 16 years, going from 729 deaths every 100,000 live births in 2002 to 278 in 2018. This has been mainly possible by increasing attendance at birth of skilled medical staff, which has gone from 42% in 2002 to 80% in 2018.⁶⁸⁷ This is however still far from the target of reducing deaths to 70 every 100,000 births, as enshrined in target 3.1 of SDG 3. Early marriage decreased from 42% in 2002 to 31.4% in 2014, which shows progress, but still a significant incidence. Adolescent pregnancy is also high, and significantly higher in rural area compared with urban area (37% vs 20% in 2014) leading to school drop-out and exposure to health risks. Moreover, 86% of girls who become pregnant while in school are between 10 and 14 years old.⁶⁸⁸

⁶⁸² Aggregate data for lifetime probability are not available in Zambia, however the 2018 Zambia Demographic and Health Survey found that 47% of women between 15 and 49 years old have experienced some form of physical violence in their lifetime.

⁶⁸³ Sustainable Development Report, Zambia, 2021, Ibid.

⁶⁸⁴ Sustainable Development Report, Zambia, 2021, Ibid.

⁶⁸⁵ Sustainable Development Report, Zambia, 2021, Ibid.

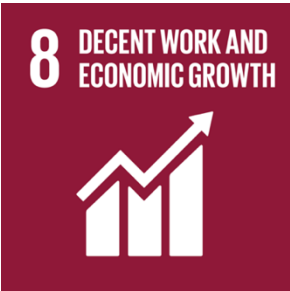
⁶⁸⁶ Sustainable Development Report, Zambia, 2021, Ibid.

⁶⁸⁷ Reliefweb, 2022, "How Zambia has reduced maternal deaths by 300 per cent in 16 years", available at: <https://reliefweb.int/report/zambia/how-zambia-has-reduced-maternal-deaths-300-cent-16-years>

⁶⁸⁸ UNFPA, 2014, Status of Sexual and Reproductive Health and Rights in Zambia, Policy Brief, available at: https://zambia.unfpa.org/sites/default/files/pub-pdf/SRH%26R%20in%20Zambia%20-%20Part%202_1.pdf

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- Abortion and SRHR: Abortion is legal in Zambia since 1972, and is considered amongst the most liberal countries in the region. The country is also progressing towards full attainment of Sexual and Reproductive Health and Rights, however constraints remain: Comprehensive Sexuality Education at school focuses more on abstinence than on actual use of protection and contraceptive. There is also a missing link between provision of information and access to sexual and reproductive services.

SDG 8	CHOSEN INDICATORS	VALUES
	• % labour force participation rate, female	• 26.9 (2019) ⁶⁸⁹
	• # labour force, total	• 7,839,814 (2021) ⁶⁹⁰
	• % vulnerable employment, female	• 82% (2019) ⁶⁹¹
	• % vulnerable employment, male	• 65% (2019) ⁶⁹²
	• % wage and salaried workers, female	• 17.8% (2019) ⁶⁹³
	• % wage and salaried workers, male	• 34.5% (2019) ⁶⁹⁴
	• % employment in agriculture, female	• 55% (2019) ⁶⁹⁵
	• % employment in agriculture, male	• 45% (2019) ⁶⁹⁶
	• % of time, unpaid care work, female	• n/a
	• % of time, unpaid care work, male	• n/a

The Zambian labour market is gendered and shaped by gender norms and values:

- According to the Ministry of Gender, participation of women to the labour force was still lower than men between 2017 and 2019: 26.7% against 44.8%. An analysis of participation by sector highlights how women are excluded from sectors that are considered male-dominated, such as constructions, mining, energy, water and sanitation, while they outnumber men in services and sales work. The report notes how women are often

⁶⁸⁹ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SL.TLF.CACT.FE.NE.ZS?locations=ZM>

⁶⁹⁰ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SL.TLF.TOTL.IN?locations=ZM>

⁶⁹¹ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SL.EMP.VULN.FE.ZS?locations=ZM>

⁶⁹² World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SL.EMP.VULN.MA.ZS?locations=ZM>

⁶⁹³ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SL.EMP.WORK.FE.ZS?locations=ZM>

⁶⁹⁴ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SL.EMP.WORK.MA.ZS?locations=ZM>

⁶⁹⁵ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SL.AGR.EMPL.FE.ZS?locations=ZM>

⁶⁹⁶ World Bank Data Bank, Zambia: <https://data.worldbank.org/indicator/SL.AGR.EMPL.MA.ZS?locations=ZM>

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considered for low-income positions, trapping them in position of social and economic disadvantage

- More men than women were formally employed in 2019 (70% against 30%), which exposes women to higher risks of employment shocks - as for example the COVID-19 pandemic. Moreover, women unemployment is historically higher than male unemployment, which is also true for youth unemployment.⁶⁹⁷

⁶⁹⁷ Republic of Zambia, Ministry of Gender, Ibid.

9. National policy environment and legal framework for gender-transformative investments

Around the world, gender and social inequalities impede women, girls, and other marginalized social groups in terms of economic opportunities, endowments, and access to assets - limiting their development pathways. In the &Green target countries, gender relations are varied - women are taking the lead in certain value chains (such as the niche sustainable coffee value chain in Peru), and play limited roles in certain value chains (such as cattle in Mexico). Men - particularly indigenous men in Latin America - are agricultural workers, and are faced with complex gendered realities as well.

In terms of national policy and legal frameworks, although most countries have progressive or gender-neutral laws - there is still a trend to reify discrimination against women and girls in respect to men and boys and unequal power relations. The formalization in laws and replication in practices and traditions perpetuates the cycle of discrimination, which becomes cemented into social institutions that are transmitted from generation to generation.

Decades of research have proven that promoting gender equality in education, employment and health not only delivers benefits for women but for whole communities and economies. The lever for improving outcomes is improved legal and policy frameworks at national levels - as well as their percolation to devolved levels of governance.

This section uses the OECD Development Centre's Social Institutions and Gender Index (SIGI) research. The SIGI is an innovative measure of discriminatory social institutions.⁶⁹⁸ The SIGI's indicators address the de jure and de facto situations of discriminatory social institutions across five sub-indices: discriminatory family code, restricted physical integrity, son bias, restricted resources and assets and restricted civil liberties. Since existing gender indicators commonly focus on key economic and social indicators, like employment or education, the SIGI focuses on social norms, offering an analytical lens to explain persistent gaps in these outcomes between women and men.

This section also tabulates when the 17 target countries ratified the:

CEDAW: Convention on the Elimination of All Forms of Discrimination against Women; and the CERD: International Convention on the Elimination of All Forms of Racial Discrimination, which remain milestone international commitments towards improved gender and racial equality globally. Further information can be found on the [UN Treaty Body Database](#).

⁶⁹⁸ Methodology note on the SIGI: https://www.oecd.org/dev/development-gender/Backgroundpaper_cover.pdf

Developed by the Organization for Economic Cooperation and Development

Brazil

Key institution	Ministry of Women, Family and Human Rights
Land rights	Brazil's Civil Code determines that women and men have the same rights regarding land and resources. The presidential decree No. 759, which complements the Land Statute (Lei 4.504-64) and the Agrarian Law (Lei 8629-93), establishes that women and families headed by women should be given priority in receiving land titles. Notwithstanding the provisions protecting women's land ownership rights, local customs commonly infringe the enjoyment of women's land rights over inheritance or after divorce (UN Women Brazil, 2015). An agricultural census research from the government on land property in 2006 found that women represented only 13% of farm and agricultural establishment owners (UN Women Brazil, 2015).
Financial rights	Women have the same rights as men to open a bank account and obtain credit at a financial institution (Federal Constitution, Article 5). This article takes precedence before every legislation in the country. Any discrimination in matters related to access to credit, opening banking accounts or access to formal financial institution are thus excluded and unconstitutional.
CEDAW	The CEDAW was ratified on 01 February 1984.
CERD	The CERD was ratified on 27 March 1968.

Cameroon

Key institution	Cameroon Ministry of Women's Empowerment and the Family
Land rights	In principle, the state's Constitution affords each citizen the right to own property individually or jointly with other (Art. 17, 1992). Moreover, the law states that no one shall be arbitrarily deprived of their property (Ibid). However, these rights are hindered by other discriminatory laws, both in civil and customary legal regimes that do not allow married women to own or manage land and assets. Namely, under civil law, marital property is under the authority of the husband who may manage and make decisions on without the consent of his spouse (Ordinance 81-02, 1981). In the case of divorce, marital assets are divided in accordance with the property regime chosen at time of marriage - separate or co-owned property - which is the default regime (Emery, 2013).

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	Under customary law, only men have the right to own the land, women are often regarded as the property of the husband, and thus are excluded from land ownership (US Department of State, 2017); FAO). In the case of polygamous households, women marrying the same man are required to cultivate land belonging to their husband (Ibid). Rural women and indigenous women particularly vulnerable and are disproportionately affected with regards to discriminatory laws and practices.
Financial rights	Women and men have equal access to formal financial resources, including opening a bank account and accessing credit (World Bank, 2016). These rights are entitled to each citizen under the state's Constitution, which stipulates those women and men have equal rights to and may freely pursue their economic development (Art 20, 22, 1996). In practice, women often experience difficulties in accessing microcredit to engage in income-generating activities (CEDAW, 2014).
CEDAW	The CEDAW was ratified on 23 August 1994.
CERD	The CERD was ratified on 24 June 1971.

Colombia

Key institution	Presidential Council for the Equality of Women Additionally, other ministries have gender cells - for example the Ministry of Agriculture has the Directorate for Rural Women.
Land rights	Women have the same legal right as men to own, use and make decisions over their land and non-land assets (Civil Code, art. 181), irrespective of marital status. The right to private property is guaranteed by the Constitution (art. 58) and the Civil Code (art. 669). The law 1496/2011 (art. 8- 5) further guarantees rural women access to property and ownership over land, as well as access to agrarian credits and technical support for their production. After divorce, men and women have the same rights over their collective property, and in case of conflict, the allocation of assets is to be decided upon by the judge (Civil Code, art. 1820 to 1836). However, the armed conflict has had detrimental effects on women's access to land (Bouvier, 2016). Significantly, it has provoked the displacement of millions of people, which has made land claiming and distribution more complicated. The law 1448/2011 on the assistance and integral reparation to the victims of the armed conflict emphasises the protection of women and other vulnerable groups (art.

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	13), and guarantees the right to land restitution to the victims who have lost their land as a result of the conflict (art. 28)
Financial rights	There are no restrictions on women's ability to open a bank account or access financial institutions. Two national programmes exist to facilitate women's access to credit: the law 823/2003 to support single others with an entrepreneurship project, and a programme of microcredit for women head of household launched in 2004 (FAO, Gender and Land Right Database).
CEDAW	The CEDAW was ratified on 19 January 1982.
CERD	The CERD was ratified on 02 September 1981.

Cote d'Ivoire

Key institution	<i>Ministry of the Family, Women, and Children</i>
Land rights	Married women do not have the same rights as married men to own, use, make decisions and use as collateral land, property and other non-land assets (Law on Marriage, art. 79 & 81). All goods acquired, inherited or earned during the marriage are considered common goods (Law on Marriage, art. 76), and they are administered by the husband (Law on Marriage, art. 79). However, spousal consent is required for major transactions (Law on Marriage, art. 81). The law provides for joint land titling for land used or acquired by informal unions (Law on Land, art. 10). Unmarried women have the same rights as unmarried men to own, use, make decisions and use as collateral land, property and other non-land assets (Constitution, art. 11). After divorce or separation, women and men share equal rights with regards to owning, using, making decisions and using as collateral land, property and other non-land assets (Law on Marriage, art. 108).
Financial rights	The law provides women with the same rights as men to open a bank account at a formal financial institution (Law on Marriage, art. 66) and to obtain credit (no restriction found). Several initiatives have been implemented to increase women's access to credit by the government, such as a "Women and Development Fund" which facilitates women obtaining credit; or a programme to facilitate access to financial resources at a reduced cost for female entrepreneurs (Republic of Côte d'Ivoire, 2014).
CEDAW	The CEDAW was ratified on 18 December 1995.

CERD	The CERD was ratified on 04 January 1973.
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Democratic Republic of Congo

Key institution	The <i>Ministry</i> of Gender, Family Affairs and Children
Land rights	According to the state's Constitution, women and men are equally guaranteed the right to property in accordance with law or custom, and no citizen shall be deprived of their rightful property (Article 34, 2011). Taken together with the law that prohibits discrimination against women, this requires the government to ensure women property rights both under statutory and customary law (Art. 14, 2011). In principle, the Constitution recognizes customary law, but only to the extent that it does not contradict the Constitution. Under statutory law, no distinction is made in the provision of land rights between women and men (Land Law 1973). For married persons, the state passed the Family Code in 1987 which outlines three property regimes which allow for equal property ownership rights for husbands and wives. These include the Separation of Property (where each spouse keeps their own property); Communal Acquisitions (where each spouse keeps the property they acquired before the marriage, but share the property acquired during the marriage); and Universal Community Property (where both spouses share the property acquired before and during the marriage) (Family Code, Arts. 487-537, 1987).
Financial rights	Amendments to the Family Code eliminate the need for a married woman to obtain her husband's permission to engage in any legal act (Law 16-008, 2016). In principle, the amendment allows women the right to open individual bank accounts as well as access formal financial services such as a line of credit or financial loan. Moreover, the government enacted microfinance legislation which guarantees the right of each citizen to access microfinance services without any discrimination, stressing that women specifically should have equal rights to open bank accounts, access credit, and any other microfinance service (Law 11/020, Art. 9-10, 2011). Despite such laws that help promote women's economic participation, there is a general resistance toward women's economic empowerment in the country, even if it serves to enhance the well-being the family unit (USAID, 2012). As such, women often experienced economic discrimination, particularly in access to credit (US Department of State, 2017; CEDAW, 2013). This is particularly so

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	for rural women, who make a large portion of women in the DRC (CEDAW, 2013).
CEDAW	The CEDAW was ratified on 17 October 1986.
CERD	The CERD was ratified on 21 April 1976.

Ecuador

Key institution	National Council for <i>Women</i> , from the <i>Ministry</i> of Social Affairs
Constitutional equality	Brazil's Federal Constitution enshrines the principle of equality
Land rights	Women and men have the same rights to own, use and make decisions over land (Constitution, art. 66, 69, 321). In particular, article 321 of the Constitution recognises and guarantees “the right to property in all of its forms, whether public, private, community, State, associative, cooperative or mixed- economy”. Since 2008, 60 100 hectares of land have been redistributed to 11 081 beneficiaries, 33% of which were women. Regarding land titling, ancestral communities have received collective titles to about 500 000 hectares, benefiting almost 20 000 persons, 47% of which are women (Deree, 2017). However, there are some discrepancies between the Civil Code and customary practices. Most land titles are attributed to the husband and remain under their disposition. In rural areas, the double signature for the acquisition of estate or property is not common, which means that only the name of the buyer, often the husband, is stipulated in the contract. Thus, women end up losing access to land and property (FAO, Gender and Land Rights database).
Financial rights	No restrictions could be found regarding women's right to open a bank account or access credit. Besides, the right to obtain loans and mortgages is guaranteed by article 375 of the Constitution in relation to the right to a healthy environment and decent housing (CEDAW, 2013). The CEDAW Committee (2013) notes the existence of a credit programme to facilitate the access of women in extreme poverty to sustainable micro-enterprises. The law on rural land and ancestral

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	territories (Ley organica de tierras rurales y territorios ancestrales, n. 711/2016, art. 34´) also stipulates that the state should be guarantor of preferential rural credits for women and small peasants.
CEDAW	The CEDAW was ratified on 09 November 1981.
CERD	The CERD was ratified on 22 September 1966.

Gabon

Key institution	The National Support Centre for <i>Women's Organizations</i> in <i>Gabon</i>
Land rights	The legal framework provides married/unmarried women with the same rights as married/unmarried men to own, use, make decisions and use as collateral land, property and non-land assets. The Civil Code establishes that each spouse can administer and enjoy his own goods (buildings and non-buildings) and can dispose of it as they see fit (art. 340). The right to property is enshrined in the Constitution, establishing that no one can be deprived of his/her right to property (art. 1-10). After divorce or separation, the law provides equally for women and men in terms of matrimonial regimes and the separation of goods (Civil Code, art. 305). The law provides for joint land titling by married couples (Law on the regime of land ownership, art. 52). However, the Civil Code includes a discriminatory provision establishing that marital property is administered by the husband (art. 335). The husband has to seek the consent of his wife regarding decisions for the marital property, such as to dispose of the marital property, even for the establishment of children, to earn from the rent or to use marital property as collateral (Civil Code, art. 336).
Financial rights	The Civil Code establishes that a married woman who works can open a bank account on her own and administer and enjoy the income she earns (art. 262). The Civil Code stipulates that a married woman can open a bank account without the signature of her husband but the husband must be notified of the opening of the bank account and he has to give permission for debit (art. 257). The legal framework provides married and unmarried women with the same rights as married and unmarried men to obtain credit (African Union Commission, 2015).
CEDAW	The CEDAW was ratified on 21 January 1983.
CERD	The CERD was ratified on 29 February 1980.

Indonesia

Key institution	<i>Ministry of Women</i> Empowerment and Child Protection
Land rights	Married and unmarried women have the same rights as men to own, use, make decisions and use as collateral land and non-land assets (Civil Code, Article 570; Marriage Law, Article 35; Constitution, Article 28H(4)). The default marital property regime is partial community of property (Marriage Law, Articles 35 and 36) and both spouses must agree in the administration of marital property (Marriage Law, Article 36(1)). Although the law formally adopts the concept of joint ownership of property purchased during marriage or marital property, only few parcels of land are registered in the joint name of husband and wife. It is customary for the husband to register marital property in his name (ADB, 2016), combined by the fact that there is little awareness that title certificates for marital property can be issued in the name of both spouses.
Financial rights	No legal restriction on married women's rights to open a bank account at formal financial institution could be located. However, Article 108 of the Civil Code creates a barrier to the acquisition of assets, as it prevents married women from executing a deed or agreement on their own behalf and from receiving any payment from the latter without consent of the husband. Although recent amendments to the law have extended the same co-signing requirement to husbands (CEDAW, 2011, p.54), the equality guaranteed by the law is not always enforced consistently (CEDAW, 2012).
CEDAW	The CEDAW was ratified on 13 September 1984.
CERD	The CERD was ratified on 25 June 1999.

Lao PDR

Key institution	Lao Women's Union (LWU) Association for Development of Women and Legal Education (ADWLE)
Land rights	Access to land is regulated by the amended Land Law (2003). The State owns all land but may grant the right to possess, use, transfer and inherit it to individuals, without discrimination based on sex on marital status (art. 4). Joint land registration and titling is uthorised for married and de facto couples (art. 43 and 49). Vacant land and degraded forestland can be used for restoration, development, cultivation or animal husbandry (art. 55).

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	Women are reported to have benefited from increasing rates of female and joint land titling (ADB, 2012). The nation-wide process of land mapping, registration and titling is still ongoing though, meaning that women and men risk eviction or expropriation without compensation if they do not hold a formal land title (ADB, 2012). Matrimonial property is divided equally among spouses after divorce, unless the dissolution of the marriage was caused by a fault committed by one spouse, in which case this spouse only receives one third of the matrimonial property. This rule is nuanced in the event that the divorced couple has minor children, in which case the court may award a bigger share to the parent to whom child custody is given (Family law art. 28). The Land law is silent on land division and use among spouses after divorce.
Financial rights	The banking laws of Lao PDR (e.g. 1995 Law on the Bank of Lao PDR, 2007 Law on commercial banks, 2012 Decree on microfinance institutions) provide women with the same right as men to open bank accounts and access credit, regardless of their marital status. The microfinance sector is still nascent though and only a few commercial banks and microfinance institutions operate outside the urban centres (GIZ, 2017). This limits the possibility for rural women to access finance, who are already disadvantaged in accessing market information due to their low levels of literacy and Lao language proficiency, as well as traditional norms limiting women's mobility (ADB, 2012). Women therefore usually access capital via their husbands who have greater financial literacy and a better ability to understand formal banking procedures (ADB, 2012).
CEDAW	The CEDAW was ratified on 14 August 1981.
CERD	The CERD was ratified on 22 February 1974.

Liberia

Key institution	The Ministry of Gender, Children and Social Protection
Land rights	According to the Liberian Constitution, “every person shall have the right to own property alone as well as in association with others”. This law ensures that women have the same rights as men to individually own, manage and use both land and non-land assets (Liberian Constitution, 1987). These privileges are also extended to married women and men, allowing married persons “powers as though unmarried” to hold property individually or jointly (Domestic Relations Law, 1973; Descendants Estates Law, 1973).

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	There is however a gap in the law that leaves women in consensual informal or de-facto unions unprotected. In these cases, property (even if jointly acquired), is assumed to belong to the man in these unions because property rights are most often deeded under the man's name. In customary law, unmarried women are granted the right to use land by virtue of affiliation with a customary group.
Financial rights	While women and men are afforded the same rights to open a bank account and obtain credit, equal access among them to formal financial resources is debatable. Several factors limit women's access to credit including: low levels of financial literacy, lack of collateral, the perception by some financial institutions that women pose a higher risk, or corruption that at times comes in the form of sexual assault or exploitation when women apply for a loan (IFC, 2014). As such, women have relied on informal lines of credit such as credit or loan clubs, otherwise known as susus (IFC, 2014).
CEDAW	The CEDAW was ratified on 17 July 1984.
CERD	The CERD was ratified on 05 November 1976.

Zambia

Key institution	<i>Ministry of Gender and Child Development</i>
Land rights	In Zambia, there is a two-tier system of land ownership; it may be administered under statutory and customary tenure (CEDAW, 2010). Under statutory law, unmarried and married women have the same rights as men to own, use, make decisions over land and non-land assets and use as collateral. Customary lands are governed by traditional authorities and only men have the right to own and power to dispose of property; wife or children may have access to it (CEDAW, 2010). Customary land accounts for the majority of total (96%) whereas the remaining 6% are state lands (Centre On Housing Rights And Evictions, 2004). Therefore, most of the people in Zambia are subjected to customary law. The Zambia National Agriculture Investment Plan 2014-2018 provides that at least 30% of beneficiaries shall be women (Ministry of Agriculture and Livestock, 2013). It recognises the dual role of women in both agricultural production and nutrition and highlights that adequate support services may lead to positive outcomes.
Financial rights	There is no legal restriction located to suggest that women and men do not have equal access to formal financial resources. Married and unmarried women have the same right as men to open a bank account

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	at formal institutions or obtain credit. However, in practice gender gaps in financial inclusion are persistent and women are less likely to use credit or access financial services (SADC, 2013; Deutsche Gesellschaft für Internationale Zusammenarbeit, n.d.). The main constraints women are facing in regard to economic empowerment are: lack of supportive policy and legal framework; cultural norms; physical barriers; low literacy and limited understanding of financial institutions and services; lack of products and services tailored for women (Deutsche Gesellschaft für Internationale Zusammenarbeit, n.d.; Ministry Of Gender and Child Development, n.d.). Women often are not treated as serious entrepreneurs or business partners when accessing institutions. Also lack of collateral impedes women's access to credit that is considered as a major requirement by most financial institutions (CEDAW, 2010). Due to the lower status of women in the society, some institutions still demand a signature of their husbands to obtain a loan.
CEDAW	The CEDAW was ratified on 21 June 1985.
CERD	The CERD was ratified on 04 February 1972.

10. Conclusion and recommendations

This gender assessment has demonstrated that considering gender differences in the use of, access to, and benefits from commodity supply chains forest landscapes can lead to more fair and effective design of interventions and institutional arrangements. This is because gender-differentiated tasks and responsibilities in commodity supply chains and the generation of income often mean that women and men have different needs, opportunities, priorities, and concerns. Although women tend to commercialize forest products less than men, the sale of forest products can be an essential source of cash income for women, who lack many of the opportunities for generating cash income commonly available to men. However, women's role in agriculture and their vulnerability to the impacts of land degradation are usually neglected.

The &Green Fund, focused on transitioning global supply chains from extractive to truly sustainable blueprints recognizes that gender mainstreaming can maximize program results and successes in addressing deforestation in many countries. In doing so, the Fund aligns with GCF's private sector and financing strategies. The climate fund recently adopted two new decisions intended to reduce global emissions from deforestation and forest degradation, as well as to support forest restoration and conservation in developing countries through:

- Improved role in financing development of policies and preparatory activities in developing countries; and
- Improved policy related to making payments for verified emission reductions achieved through such policies and measures.

The Fund will scale a portfolio of investments delivering quantifiable social, forest and climate benefits as well as solid, risk-adjusted returns for investors. One of the pathways to achieve these benefits will be through diminishing gender inequality through the invested portfolio. In principle, &Green will tackle gender inequalities in three ways: understanding the gendered division of labour, decision making process and access to financial services; drawing action plans specific to the local context; and enhancing cooperation in local communities and raising awareness of women's empowerment.

If approved, the Fund will take the following approach to addressing gendered barriers:

- The &Green Fund's Gender Approach will provide a framework to accelerate gender-transformative and gender-sensitive (as appropriate for each Deal) investments through the &Green Fund structure.
- The Gender Approach will be mobilized through the Environment and Social Action Plans (ESAPs) - which are strict environmental and social safeguarding covenants that are conditions of the loan contracts of the &Green Fund. The Gender Analysis has influenced the overall logical framework (in Section E of this Funding Proposal) and has identified entry points for the chosen paradigm shift pathway to deliver gender and social co-benefits, which will be detailed project-level investment stage, as reflected in the Gender Action Plan (presented in Appendix A).

Appendix A. Gender and Social Inclusion Action Plan

PROGRAMME OUTCOME 1

SCALABLE, REPLICABLE COMMERCIAL MODELS DEVELOPED FOR DEFORESTATION-FREE COMMODITY PRODUCTION

ACTIVITIES	GENDER ACTION POINT	RESPONSIBLE PARTY	INDICATORS / TARGETS	MEANS OF VERIFICATION	GENDER TECHNICAL ASSISTANCE
OUTPUT 1.1: Scalable investment vehicle established					
1.1.1 Establish the scalable investment vehicle	1.1.1 Through this activity, the &Green Fund will be restructured as a scalable investment vehicle that will include existing &Green Fund processes, resources and assets and allow investment by the GCF as well as commercial investors.	FMO &Green	1.1.1 Scalable investment vehicle with the &Green gender approach established. Target: Completion of the Gender Approach and integration into ESMS - this is	Reports (and other documentation) produced during the investment screening stage. Publication of &Green ESMS on the &Green website.	REQUIRED Gender Expert engaged for the development of the &Green gender framework an integration in the Fund's ESMS. Budget: ca USD 10-15,000 ⁷⁰⁰

⁷⁰⁰ This is a rough estimate of the budget allocated for the development of the Gender Approach and Country Profiles as part of a bigger consultancy comprising the full GCF application process assistance costs.

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	&Green has developed a Gender Approach (Section 3 of the Gender Assessment) which will ensure that the Fund invests either in: (i) a gender-sensitive pathway or when possible, (ii) a gender-transformative pathway. The Gender Approach will be integrated in the &Green Fund's Environmental & Social Management System (ESMS) to ensure full integration in the Fund's investment processes. See section 3.2.5 Gender and SEAH training in annex 6 (ESMS), page 30.		already underway during preparation stage).⁶⁹⁹ 1.1.2 Integration of gender approach in &Green's ESMS. Target: Completion of ESMS with inclusion of gender approach.		
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OUTPUT 1.2: Fund recruits private sector co-investment contributions to Fund to leverage GCF and existing &Green resources

⁶⁹⁹ &Green ESMS, 2022. Available at: https://www.andgreen.fund/wp-content/uploads/2022/06/Green_ESMS_Disclosure_English.pdf

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1.2.1 Promote &Green to private sector fund contributions	1.2.1 Through these activities, the &Green Fund will attract co-investment to leverage GCF and existing &Green borrowers, and ensure due diligence is undertaken before deal finalization - with stipulations for contribution agreements. This capital will allow &Green to implement their gender framework at scale, across their portfolio. The gender framework and envisioned gender mainstreaming outcomes will be used in the promotion of &Green's fund, as this is a programme investment.	FMO &Green	1.2.1 # promotional materials that include gender approach. Target: >2 promotional materials (presentations, flyers) explain to investors the &Green Gender Approach by 2023.	Reports (and other documentation) produced during the contributor screening stage, selection stage, and finalization	NOT REQUIRED
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1.2.2 Negotiate and execute contribution agreements	1.2.2 Integration of the gender framework in the Fund's ESMS will ensure that the framework is integrated in all contribution agreements. These actions identified in the programmatic Logical Framework (Section E - Funding Proposal) will ensure that private sector contributions in the &Green Fund is scaled up. Since this is still a function at the programmatic level, funding accrued in this phase, will be used to drive the &Green Gender Approach, mainstreamed into the investments.				
Output 1.3: Fund capital disbursed to large-scale sustainable agriculture transactions with robust environmental and social covenants incorporated into lending agreements as events of default					

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1.3.1 Identify Client companies and organizations, and tailor investment to transformational change business needs	1.3.1 Through this output, &Green will continue to develop its investment pipeline of gender sensitive and gender transformative investments. &Green develops JECAs - Jurisdictional Eligibility Criteria Assessments to assess the suitability of that jurisdiction, prior to any investment in that jurisdiction. This process will include a gender focus, using the country profiles in this document and additional gender-specific assessments as needed. If a JECA is approved, &Green selects pipeline transactions based on their transformational change (TC) potential. A TC assessment is	FMO &Green	1.3.1 # JECA assessments and TC rationales including a gender focus. Target: >3 TC rationales including gender completed by end 2023. 1.3.2 # ESAPs including gender-related action items. Target: > 2 gender transformative deals in the &Green portfolio by 2025. 1.3.3 # Annual external reviews including progress update of gender-related action	GAPs developed as part of the due diligence - will be incorporated in the ESAPs for projects identified for the gender-transformative approach, and monitored (I) For the gender-sensitive approach (I) - gender analysis will be conducted and documented to ensure that investments consider mitigating gender issues in design of the change and investment thesis JECA assessments with gender analysis sections Executed investment documents/contracts	REQUIRED As part of the JECA process, a country profile will be developed by an external expert (see included in this document for 17 countries), and strengthened/updated as needed by &Green's in-house expertise. Originating new transactions that have a gender transformative potential will be a joint effort between IDH and &Green, using their in-house gender expertise to source and assess the transactions in the first instance. The TC assessment will be carried out by &Green's internal gender expertise, which will be strengthened during implementation of the framework through gender lens training. In due diligence, gender expertise is hired to provide the gender sensitive assessment (integrated in the ESIA), or gender transformative assessment. This will be funded and supported in part by IDH's TAF and in-house expertise. Gender performance will be monitored as part of the annual review by
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1.3.2 Disburse capital to large scale sustainable agricultural projects with robust environmental and social covenants	done at an early stage of the investment process and includes an assessment of potential for gender transformation. The TC narrative is discussed with the Investment Committee. 1.3.2 If a transaction is pursued, a thorough due diligence process is carried out, in which the gender baseline is assessed and a gender sensitive or transformative pathway is designed. This is funded in part by the TAF. Funds are ultimately committed to Clients that &Green deem likely to contribute significantly to a transformation in the sector, supporting an inclusive and		items and IFC PS requirements. Target: collect gender disaggregated data for the whole portfolio by mid 2023.	(which sign to all &Green Fund frameworks, including Lending Guidelines and ESMS (which includes the Gender Framework, Stakeholder Engagement Framework etc.) Internal screening documents to include gender assessment and social inclusion analysis as part of due diligence Quarterly/annual reporting on gender indicators and targets	external experts, as well as by &Green's in-house gender expertise. Budget⁷⁰¹: JECA / country profiles: ca USD 12,000 Gender sensitive assessment as part of an ESIA: ca USD 5-10,000 Gender transformative assessment: ca USD 15-25,000 Implementation of the gender sensitive or gender transformative pathways is funded by the Client. In due diligence, the Client's capacity and resources are assessed to ensure they are able to meet their commitments. Where additional resources or capacity is required, actions such as recruitment of specialists, capacity building etc. will be integrated in the ESAP.
1.3.3					

⁷⁰¹ Note that these budgets are purely indicative and based on industry averages. Actual budgets will vary depending on the nature of the investment.

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Monitor and manage financial and impact performance	deforestation-free value chain and a gender sensitive or responsive pathway. 1.3.3 Every Client commits to an organization-wide NDPE policy, IFC PS compliance, and agrees to implementing a tailored Environmental and Social Action Plan (ESAP), which includes actions and targets to secure gender sensitive or gender transformative outcomes. These targets are transaction-specific but contribute to &Green's gender disaggregated Fund indicators for inclusivity (see section 4.3). In due diligence, the Client's capacity				
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	and resources are assessed to ensure their ability to implement the ESAP and ensure gender sensitive or gender transformative outcomes. The ESAP is incorporated into lending agreements through robust environmental and social covenants. &Green will monitor and enforce client performance throughout the loan tenor. An IFC PS compliance matrix is produced for each investment, outlining the baseline compliance status and the pathway to full compliance. This includes the standard's gender-related				
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	requirements. An annual external review is undertaken to assess progress against the IFC PS. n&Green will ensure that clients are onboarded either onto the gender-sensitive or the gender-transformative pathways.				
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PROGRAMME OUTCOME 2

TECHNICAL ASSISTANCE FACILITY ESTABLISHES ENABLING ENVIRONMENT FOR FOREST PROTECTION AND CLIMATE-RESILIENT COMMODITY PRODUCTION

ACTIVITIES	GENDER ACTION POINT	RESPONSIBLE PARTY	INDICATORS	MEANS OF VERIFICATION	GENDER TECHNICAL ASSISTANCE
OUTPUT 2.1: Policy dialogue, awareness raising and capacity building to maximize country ownership, blueprint communication and replication					
2.1.1 Develop strategies for nationally	2.1.1 &Green partners with IDH to develop country engagement strategies for eligible jurisdictions for interventions that enable the transition of tropical commodity	FMO &Green	2.1.1 # IDH strategies with a gender lens in eligible jurisdictions	Gender analysis in country engagement strategies	LIKELY NOT REQUIRED

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relevant interventions	production to become deforestation-free and socially inclusive, through the design and scaling of sustainable blueprints. These TA strategies will include a gender lens, which will be used to create gender sensitive or gender transformative blueprints.	IDH	Target: > 3 strategies to include a gender lens by end 2023.	IDH tools used and results documented for gender analysis	IDH and &Green have in-house capacity to deliver on such activities.
2.1.2 Country engagement strategy roll-out	2.1.2 Country engagement strategies outline the context and culture-specific strategies required to ensure deforestation-free and inclusive supply chains are mainstreamed in tropical agricultural commodity supply chains. To implement these strategies at the country level, various stakeholders and partners will be engaged to create an enabling environment for these blueprints to establish and replicate them. This will happen at the policy level, through capacity building and awareness raising, and by building a network of relevant stakeholders that can champion the &Green strategy.		2.1.2 # Stakeholder consultations with IDH' in-country networks by IDH to catalyse the gender mainstreaming agenda. Target: >10 consultations annually.		If needed, national gender experts, with sectoral experience as well as supply chain experience (where possible), can be hired to complement in-house expertise.

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	In each of these efforts; policy, education and network, gender will be mainstreamed through capacity building and an active gender lense focus brought to policy discussions and stakeholder engagement efforts. This will ensure that replication and scaling up occurs in a gender-sensitive or gender-transformative manner, to make sure women are an active part in the transition towards sustainable supply chains.				
OUTPUT 2.2: Technical cooperation service contracts in eligible jurisdictions for capacity building of companies and business model development, landscape-level impact design and local community/ smallholder inclusion plan; assessment against commercial viability and environmental and social impact criteria					
2.2.1 Provide pre-investment TA	2.2.1 Pre-investment technical assistance will operate at two levels: - Co-funding sustainability innovations with investment potential to create appetite for change within companies before &Green engages - Supporting the development of Landscape Protection Plans	FMO &Green IDH	2.2.1 Number of TA projects supported by the TAF for gender sensitive and gender transformative assessments prior to investments Target: 10	Landscape Protection Plans - LPPs with gender sections, where relevant Gender Assessments and GAPs developed with the support of TA	REQUIRED Using the IDH TAF, external experts will be hired to implement gender sensitive and gender transformative assessments prior to investment. Gender sensitive assessment as part of an ESIA: ca USD 5-10,000
2.2.2					

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Post-investment TA	In the pre-investment phase, the &Green Gender Framework will be applied, aiming at contributing towards gender impact targets. For gender-sensitive transactions, the gender assessments will be integrated in the due diligence activities. These gender transactions will furthermore include a more elaborate gender assessment which will be supported by the TA facility. 2.2.2 Post-investment technical assistance can be applied to support companies to maximize social and environmental impacts, and secure scalability and 'durability' of impact, and to enhance connection with stakeholders in the wider commodity production landscape. Post-investment TA can be mobilized as and when needed to help the company to maximize gender impacts.		2.2.2 Number of TA projects supported by the TAF to hire external expertise to support the implementation of gender mainstreaming targets set out in the ESAP. Target: 8	Gender-related TA support incorporated in TA agreements with investees Progress reporting on gender engagement through technical assistance	Post investment, external expertise can be sourced to support the implementation of gender mainstreaming targets set out in the ESAP, using IDH' TAF. Gender transformative assessment: ca USD 15-25,000
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Output 2.3: Monitoring, reporting and verification of changes in GHG, resilience and social inclusion indicators, hazard assessments and tracking paradigm shift progress, continuous improvement

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2.3.1 Knowledge product and blueprint development	2.3.1 Through this output, &Green will produce knowledge products on business and investment models, as well as improve the existing &Green KPI/MRV system to ensure it is fit for purpose for the GCF. &Green, in collaboration with IDH, also aims to develop knowledge products on gender-transformative investments to ensure documentation of best practices and lessons learnt for gender through specific investments. These will capture country context at the national and regional level, and address the data and information paucity on gender roles and different commodity supply chains.	FMO &Green IDH	2.3.1 # Knowledge products and blueprints developed Target: First knowledge product or blueprint developed by end 2023. 2.3.2 % integration of gender framework in &Green MRV system Target: Gender Approach fully integrated in &Green's MRV system by end 2023. 2.3.3 # Climate Hazard Assessments completed Target: First Climate Hazard Assessment	Inclusion of gender in knowledge products Gender analysis included in climate hazard assessments Gender reporting through the MRV system	REQUIRED &Green and IDH have in-house capacity to develop knowledge products and blueprints with a gender lens and to include the gender framework in &Green's MRV systems. To ensure sustainability of the gender mainstreaming expertise within both institutions, in-house capacity building and training will be prioritized and used as much as possible. A JECA specialist will be recruited into the &Green team to strengthen the Fund's in-house capacity for JECAs. This resource will bring additional capacity on the gender front and will likely play a critical role in the execution of climate hazard assessments.
2.3.2 Enhance MRV system to incorporate GCF reporting requirement	2.3.2 &Green will strengthen its MRV system to incorporate the gender framework and gender indicators, as outlined in previous sections. 2.3.3 Commodity and country (or sub-region as relevant) specific climate hazard assessments will be developed to optimize				

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2.3.3 Climate hazard assessments	investments. Climate hazard assessments developed by &Green will include gender analyses building on the gender issues identified by this assessment to ensure gender barriers that combine with climate drivers are addressed by the programme paradigm.		completed by end 2023. 2.3.4 # annual reports that report on gender disaggregated data. Target: 2023 First Annual Report that reports gender disaggregated data.		Where needed, external expertise can be sourced to ensure a gender lens is fully integrated in the climate hazard assessment, using the IDH TAF. Budget: ca USD 10-15,000 &Green has advanced in conversations with TMP consultants to conduct a physical climate risk assessment overlaid with a social conflict assessment, at the jurisdictional level. This assessment can expose climate-related gender risks that support &Green investment rationale for gender transformative investments.
2.3.4 Incorporate MRV system improvements	2.3.4 Reporting on relevant gender indicators through the improved MRV system will be ensured to track progress on gender targets identified pre-investment, particularly those distilled for the gender-transformative pathway.t				

Appendix B. Tentative gender and social inclusion activities

At a **fund level**, &Green could be expected to engage in the following activities, based on needs assessments:

- Capacity building of SAIL Ventures staff, through internal and external training
- Inclusion of the &Green gender approach in fundraising marketing materials
- Inclusion of the &Green gender approach in the Fund's ESMS
- Implementation of the &Green gender approach in the fund's investment processes
- Inclusion of gender disaggregated data in monitoring, reporting and communication of the portfolio
- Publication of ESMS, which will have the gender analysis embedded, on the &Green website
- Publication of Landscape Protection Plans (LPPs) and Environmental and Social Action Plans (ESAPs), with inclusion of a gender lens, on the &Green website.

At a **portfolio company level**, &Green could be expected to engage in the following activities, depending on the context and supply chain/s with the company/ies::

- Adoption of a gender lens throughout the investment process, as per the &Green gender approach.
- Allocate Technical Assistance to gender-focused assessments as part of the due diligence process
- Assess and actively pursue gender transformative investment opportunities, working together with portfolio companies to achieve gender inclusion targets as part of our transformational change ambitions
- Crowd in private sector financing for gender-sensitive and gender-transformative investment opportunities

Options appraisal for gender activities, for **companies** (depending on their context/business focus) as part of their ESAP in &Green's future portfolio may include:

- Inclusion of women in smallholder supply chains
- Promotion of women entrepreneurs in the landscape
- Women-focused stakeholder engagement processes
- Women representation in governance structures
- Training producers on gender-balanced practices
- Training of households on (financial) decision-making, family planning, nutrition, hygiene and other topics that may have a positive impact on gender equality.
- Development of policies related to gender equity, prevention of Gender-based Violence and SEAH.

- Women representation in other decision-making bodies
- Assessment and creation of job opportunities for women
- Providing enabling conditions and facilities for women to engage in employment opportunities
- Ensuring accessibility and safe workspace to encourage women's participation